

IN THE MATTER OF AN ARBITRATION
UNDER THE ARBITRATION AND CONCILIATION ACT 1996 AND THE
UNCITRAL ARBITRATION RULES 1976
27653/GL/DTI/HBH

BETWEEN:

Prvo Plinarsko Drustvo d.o.o.

[Claimant]

Gazprom Export LLC

[Respondent]

Before

Onsite hearing on 16 to 27 March 2026

Day 1

Wednesday, 15 April 2026

**Mr A.Ramasubramanian, Mr Manikandan Murugesan
(of Adroit Claims & ADR Consultants),
Mr Abdalla Alowais (of Abdalla Alowais Advocates) and
Mr Chinniah Titus appeared
*On Behalf of Claimant***

**Mr R Venkataramani, Attorney General of India; Mr Vivek Kohli, Senior
Advocate;
Ms Neetika Bajaj, Ms Shambhavi Srivastava, Mr Anav Mathur (of Zeus Law
Associates);
Mr Samir Malik, Mr M Shahan Ulla, Mr Lakshay Mehta and Ms Yachana Gupta
(of DSK Legal);
Mr Raman Yadav, Mr Abhishek Kumar Pandey, Ms Yamika Khanna and
Ms Deboshree Mukherjee (assisting the AGI);
Mr Shivang Singh, Ms Vasudha Chadha and Mr Vaibhav Chaturvedi (assisting
Mr Vivek Kohli)
*On Behalf of Respondent***

01 08:43:35 (9.00 am)

02 08:59:59 Introductions and procedural discussion

03 09:00:19 **PRESIDENT:** Good morning. Welcome to all of you. I hope

04 09:00:23 you had safe travels.

05 09:00:26 The members of the tribunal are very happy to meet

06 09:00:30 with the parties and counsel representatives, we look

07 09:00:34 forward for this two-week hearing.

08 09:00:38 We have, before we start the evidentiary hearing

09 09:00:40 with the opening statements of the respective parties,

10 09:00:44 I have to review and decide on a few procedural matters.

11 09:00:48 The first matter on the agenda today is the

12 09:00:51 participation of Mr Goeth to this hearing and to this

13 09:00:55 arbitration.

14 09:00:57 We have received an application from the claimant on

15 09:01:00 Saturday night and we have received the comments of the

16 09:01:04 parties.

17 09:01:05 The second point on the agenda is the use of the

18 09:01:10 slides and some of the slides identified by parties'

19 09:01:13 respective counsel as being demonstrative exhibit, this

20 09:01:18 will be dealt with before we start this morning.

21 09:01:20 We have these two points on the agenda today before

22 09:01:25 we start; is there any other point that needs to be

23 09:01:29 covered before we commence with the evidentiary hearing?

24 09:01:32 Claimant?

25 09:01:36 **MR HAUGENEDER:** Good morning, madam president, members of

01 09:01:38 the tribunal. First of all, we are very glad to see
02 09:01:41 that also the tribunal could be -- everyone on the
03 09:01:46 tribunal could be here personally. We are very glad
04 09:01:51 about that.
05 09:01:54 Thank you, there are no other matters at this moment
06 09:01:56 to decide.
07 09:01:57 **PRESIDENT:** Thank you, claimant, and very shortly the
08 09:01:59 tribunal will invite you to introduce all the members of
09 09:02:02 the delegation that is composed on my right-hand side.
10 09:02:09 Respondent.
11 09:02:12 **MR TALANOV:** Thank you, dear members of the panel, a very
12 09:02:14 good morning. Many thanks from our side as well for
13 09:02:16 being here today.
14 09:02:17 There are no other procedural issues to discuss
15 09:02:19 before we start. Thank you.
16 09:02:22 **PRESIDENT:** Thank you. May I invite counsel for claimant
17 09:02:25 to introduce the parties' representatives and any member
18 09:02:30 of the delegation, I call it this way.
19 09:02:39 **MR HAUGENEDER:** Thank you, madam president.
20 09:02:40 On behalf of the claimant, PPD, we have Mr Lovro
21 09:02:47 Gasparac, we have Ms Tea Piacun and to my left Mr Ben
22 09:02:57 Holland. To my right Ms Jurgita Petkute, Mr Theo Hall.
23 09:03:04 And then in our team Ms Arias Lim, Ms Kirsten
24 09:03:11 McGoldrick, Mr Benjamin Weber, Mr Max Murtinger,
25 09:03:16 Mr Nikalas Peristorakis, Ms Emma Lidstrom, Mr Jack

01 09:03:21 Salter, Mr James Jago and Mr Sam Gordon.

02 09:03:27 Thank you.

03 09:03:28 **PRESIDENT:** Thank you very much.

04 09:03:32 Respondent.

05 09:03:33 **MR TALANOV:** Thank you, dear members of the panel. With

06 09:03:35 respect to the legal counsel, to my right is

07 09:03:37 Ms Natalia Soldatenkova, to my left is Mr Arseniy

08 09:03:40 Bystrov, Mr Evgeny Raschevsky, Ms Anastasia Alexandrova.

09 09:03:48 There is also the representatives of the Gazprom expert

10 09:03:53 legal team, Ms Natalia Kosinova, Ms Karina Rostovtseva,

11 09:03:59 Ms Ekaterina Mikhalkenko and Mr Maksim Petchenko.

12 09:04:04 And as for the experts, we also have

13 09:04:07 Mr Pascal Hildebrand, Ms Yulia Dubovik,

14 09:04:12 Ms Valentina Smirnova and Ms Ksenia Berezneva present

15 09:04:15 here as well.

16 09:04:18 **PRESIDENT:** Thank you very much.

17 09:04:19 Can you confirm, claimant, that none of the

18 09:04:23 witnesses who are going to be called are in attendance

19 09:04:25 this morning? On your side?

20 09:04:28 **MR HAUGENEDER:** I confirm that.

21 09:04:29 **PRESIDENT:** Respondent?

22 09:04:31 **MR TALANOV:** We can confirm that. Thank you.

23 09:04:32 **PRESIDENT:** The first point we will address is the

24 09:04:36 claimant's application requesting that LGP and Mr Goeth

25 09:04:42 be excluded from acting as counsel for respondent in

01 09:04:45 these proceedings and therefore be prevented from
02 09:04:47 attending the evidentiary hearing commencing today,
03 09:04:49 16 March.
04 09:04:52 May I first ask counsel for respondent whether
05 09:04:55 Mr Goeth is in attendance right now, in this room?
06 09:04:59 **MR TALANOV:** Mr Goeth is not in attendance in this room
07 09:05:01 now.
08 09:05:01 **PRESIDENT:** Is he in the premises?
09 09:05:04 **MR TALANOV:** He's not. We invited him not to be here
10 09:05:06 today, because of the unresolved issue with his
11 09:05:12 attendance.
12 09:05:19 **PRESIDENT:** Do you intend to have Mr Goeth participate in
13 09:05:22 the hearing?
14 09:05:23 **MR TALANOV:** Yes, not today. Starting from tomorrow.
15 09:05:47 **PRESIDENT:** Is he in the hotel right now?
16 09:05:49 **MR TALANOV:** He is not.
17 09:05:51 **PRESIDENT:** The tribunal has a question to the respondent
18 09:05:57 before we discuss and decide on this question.
19 09:06:04 When did Mr Goeth or at which point in time, on
20 09:06:08 which date, did Mr Goeth or LGP become involved in this
21 09:06:12 arbitration? We were notified, we understand we were
22 09:06:15 notified on 9 March, but at which point in time did he
23 09:06:18 become involved?
24 09:06:20 **MR TALANOV:** Mr Szucich, who was the original Austrian
25 09:06:24 counsel by the respondent, passed away on 20 February

01 09:06:29 and the respondent started searching the new counsel
02 09:06:32 right afterwards. It took us about maybe five, seven
03 09:06:36 days to find the counsel, so somewhere in the end
04 09:06:38 of February was the first time Mr Goeth confirmed he has
05 09:06:44 no conflict to act in this case as representative.

06 09:06:51 **PRESIDENT:** Which date was he hired by your client?
07 09:06:55 **MR TALANOV:** I need to check, not to mislead you, but it
08 09:06:58 was something around 27 or 28 February.

09 09:07:02 **PRESIDENT:** Thank you.

10 09:07:16 **DR REINER:** Did you consider informing the tribunal by
11 09:07:19 that date that you had appointed new counsel? Because
12 09:07:23 the list of participants is not really related to any
13 09:07:26 change or any amendment to the representative team.

14 09:07:33 **MR TALANOV:** We see your point, but there was a procedural
15 09:07:35 deadline established by the tribunal when this clarity
16 09:07:39 could have been brought in and therefore we thought it
17 09:07:43 is best to do it accordingly.

18 09:07:47 **PRESIDENT:** Okay. Further to the questions that were
19 09:07:51 asked for the -- by the tribunal to the respondent, is
20 09:07:55 there any comment you may wish to add and do you
21 09:07:59 maintain your request as filed on Saturday?

22 09:08:04 **MR HAUGENEDER:** Madam president, we maintain our request
23 09:08:09 and the information we just received reinforces our
24 09:08:13 concerns, because the list of participants to a hearing
25 09:08:19 is not the same matter as the appointment of counsel.

01 09:08:24 We believe the appointment of counsel should be
02 09:08:27 notified without delay and as it seems here, there was
03 09:08:32 at least a delay of 10 days.
04 09:08:36 So that also speaks against the respondent's
05 09:08:47 objection that our request was untimely. We made the
06 09:08:54 request immediately on the day we discovered these
07 09:08:57 issues and we would submit that there is an obligation
08 09:08:59 of counsel to notify any issues that could endanger the
09 09:09:08 integrity of the proceedings.
10 09:09:11 **PRESIDENT:** Thank you. This is noted.
11 09:09:13 We are going to take a two-minute break. We're
12 09:09:15 going to deliberate on this point and we'll be back in
13 09:09:17 the room.
14 09:09:18 Please don't move. We will move and resume very
15 09:09:22 shortly.
16 09:09:23 **DR REINER:** Can I perhaps ask one question before we
17 09:09:25 leave.
18 09:09:27 Did Mr -- how do you pronounce his name properly,
19 09:09:30 "Go-et" or?
20 09:09:31 **MR TALANOV:** I guess "Goeth", but I may be wrong, I am not
21 09:09:33 a native speaker.
22 09:09:35 **DR REINER:** Did he sign any declaration of confidentiality
23 09:09:38 yet?
24 09:09:40 **MS SOLDATENKOVA:** We have a confidentiality clause in the
25 09:09:42 engagement letter, because we include it as per the

01 09:09:44 terms of reference in all engagement letters which are

02 09:09:46 made in relation to this arbitration.

03 09:09:49 **DR REINER:** Okay.

04 09:09:51 **PRESIDENT:** I'm sorry, I didn't hear the answer and the

05 09:09:53 transcript is not following --

06 09:09:54 **DR REINER:** It's not very loud.

07 09:09:56 **PRESIDENT:** Could you repeat the answer, just for me

08 09:09:59 because I -- the transcript, I mean the realtime is

09 09:10:03 suspended.

10 09:10:05 **MR TALANOV:** Absolutely. There is a confidentiality

11 09:10:06 clause in the agreement signed between our law firms on

12 09:10:09 the one hand, and on the second there is an issue raised

13 09:10:13 as a solicitor; under the English rules he's in any case

14 09:10:18 obliged to comply with the highest professional

15 09:10:20 standards.

16 09:10:22 **DR REINER:** Did you receive any information on other cases

17 09:10:26 that Mr Goeth is dealing with?

18 09:10:28 **MR TALANOV:** We were just getting the information that

19 09:10:32 there is no conflict, and that's all we could ask for.

20 09:10:36 So he confirmed that there is no conflict.

21 09:10:38 **DR REINER:** No, but my question is did you get some

22 09:10:40 information on these other cases --

23 09:10:42 **MR TALANOV:** No.

24 09:10:43 **DR REINER:** -- that he's dealing with?

25 09:10:45 **MR TALANOV:** No, no.

01 09:10:47 **PRESIDENT:** Further to the question asked by my colleague
02 09:10:51 to the respondent, is there anything the claimant wants
03 09:10:54 to add?

04 09:10:57 **MR HAUGENEDER:** Yes. First, a clarification. Mr Goeth,
05 09:11:02 according to our information, is not a solicitor. He's
06 09:11:04 a barrister in England and Wales.

07 09:11:10 Second, to underscore the point, Mr Goeth was
08 09:11:17 visibly engaged in finding out confidential information
09 09:11:23 about Mr Vujnovac and about this arbitration. So in
10 09:11:28 this sense --

11 09:11:30 **PRESIDENT:** I would like -- we have read your submission.
12 09:11:35 We have read the information that was to be collected.
13 09:11:40 I think the question is narrowed on any conflict of
14 09:11:45 interest. Please address the question, any comment, on
15 09:11:51 the question that was asked.

16 09:11:52 **MR HAUGENEDER:** Yes.

17 09:11:53 **PRESIDENT:** So, to the point that it is addressing that
18 09:11:55 question, I will take your comment, but if we expand it
19 09:11:59 we will not be able to make a determination on the
20 09:12:02 points that are on record.

21 09:12:04 **MR HAUGENEDER:** I was going to, just now to address that.
22 09:12:08 Under the applicable bar rules, a barrister is certainly
23 09:12:13 not allowed to try to obtain or to obtain confidential
24 09:12:20 information about his opponent and that's what Mr Goeth
25 09:12:23 has done. So we submit that excludes Mr Goeth

01 09:12:30 automatically. This is a serious irregularity and that

02 09:12:33 is a very, very serious conflict.

03 09:12:42 **PRESIDENT:** Thank you. We will resume in a few minutes.

04 09:12:49 (9.12 am)

05 09:12:53 (Short break)

06 09:12:55 (9.19 am)

07 09:19:27 **PRESIDENT:** So we're back on record.

08 09:19:29 So the tribunal has deliberated on the participation

09 09:19:33 of Mr Goeth. The tribunal notes that the issue is, in

10 09:19:38 the present case, is an allegation of a misconduct. The

11 09:19:43 tribunal finds that there has been up to now, on the

12 09:19:48 face of the evidence that's been provided to the

13 09:19:50 tribunal, no misconduct in this arbitration, that

14 09:19:58 whether there was a misconduct in relation to pending

15 09:20:03 procedural, parallel procedures, that are with related

16 09:20:06 parties, this is not a matter at this point of a breach

17 09:20:11 of misconduct of the lawyer or barrister in this

18 09:20:15 arbitration.

19 09:20:17 So therefore, the participation of Mr Goeth in this

20 09:20:20 arbitration at this point does not constitute a threat

21 09:20:24 to the integrity of these arbitration proceedings.

22 09:20:27 However, the tribunal is very concerned with the

23 09:20:32 integrity of this arbitration and matters of

24 09:20:36 confidentiality, including the parties' commitment made

25 09:20:40 in paragraph 71 to 73 of the terms of reference, whereby

01 09:20:45 the parties undertook confidentiality duties and made
02 09:20:52 declarations that they would provide for confidentiality
03 09:20:58 undertakings by the persons who are participating in
04 09:21:01 this arbitration, which includes counsel for respondent.
05 09:21:06 With that in mind, and in view of the specific
06 09:21:10 agreement signed by both parties in the terms of
07 09:21:13 reference and pursuant to article 19 and 22 of the
08 09:21:17 rules, the tribunal decides that the participation of
09 09:21:20 Mr Goeth in this arbitration and to this hearing is
10 09:21:25 subject to Mr Goeth providing to the other party and to
11 09:21:28 the tribunal, one, an undertaking requirement -- the
12 09:21:33 undertaking required so as to comply with the parties'
13 09:21:37 specific agreement contained in article 71 to 73 of the
14 09:21:40 terms of reference and, two, a declaration by Mr Goeth
15 09:21:44 that this undertaking does not violate the duty Mr Goeth
16 09:21:48 may owe to any other client and/or party or to the
17 09:21:52 court. Under the provision of such undertaking and
18 09:21:56 declaration, Mr Goeth will be allowed to participate to
19 09:22:00 the hearing commencing today, 16 March 2026.
20 09:22:04 A procedural order will be issued in the course of
21 09:22:10 the day or tomorrow confirming this decision.
22 09:22:19 Respondent, you have understood the tribunal is
23 09:22:21 requesting the respondent to provide such undertaking
24 09:22:26 and, subject to the provision of the undertaking,
25 09:22:28 Mr Goeth will be allowed.

01 09:22:31 I would like to ask now two questions.

02 09:22:35 Is the scope of Mr Goeth expertise in this

03 09:22:39 arbitration related to his expertise in Austrian law?

04 09:22:44 **MR TALANOV:** Absolutely, that is the case.

05 09:22:45 **PRESIDENT:** Is Mr Goeth going to be involved in the

06 09:22:48 cross-examination of any of the fact witnesses or expert

07 09:22:52 in this arbitration?

08 09:22:55 **MR TALANOV:** When you ask "involved", you mean will he

09 09:22:57 be --

10 09:22:59 **PRESIDENT:** Conducting cross-examination.

11 09:23:00 **MR TALANOV:** It was not the plan that we had in mind at

12 09:23:01 least before --

13 09:23:03 **PRESIDENT:** Is this a no?

14 09:23:05 **MR TALANOV:** It is a no.

15 09:23:06 **PRESIDENT:** Okay, so he will not be cross-examining any

16 09:23:09 fact witness of the claimant? I'm asking again.

17 09:23:13 **MR TALANOV:** He will not.

18 09:23:14 **MS SOLDATENKOVA:** No.

19 09:23:14 **PRESIDENT:** He will not. Very good. This is noted.

20 09:23:19 And the expert as well?

21 09:23:21 **MR TALANOV:** And the expert as well.

22 09:23:23 **PRESIDENT:** And the legal experts?

23 09:23:25 **MS SOLDATENKOVA:** And the legal experts.

24 09:23:26 **MR TALANOV:** And the legal experts.

25 09:23:27 **PRESIDENT:** So EPAM is exclusively conducting the

01 09:23:31 evidentiary hearing in terms of cross-examination or any
02 09:23:35 re-direct.

03 09:23:35 **MR TALANOV:** That is the plan, yes.

04 09:23:38 **PRESIDENT:** Thank you.

05 09:23:39 This is noted.

06 09:23:41 Were now going to turn to claimant.

07 09:23:45 **MR HAUGENEDER:** Madam president, thank you. We appreciate
08 09:23:49 the tribunal's concerns about the integrity of the
09 09:23:52 proceedings and we thank you for (inaudible -- coughing)
10 09:23:59 in this regard.

11 09:24:00 However, with respect, we must object against this
12 09:24:05 decision (inaudible -- coughing) 40 of the ICC Rules.

13 09:24:09 We believe that the threat to the integrity of these
14 09:24:15 proceedings is serious and real, as long as Mr Goeth and
15 09:24:19 LGP are counsel of record in this arbitration.

16 09:24:27 Again, it is not only about confidentiality.

17 09:24:32 Mr Goeth was engaged and has engaged a professional spy,
18 09:24:41 was engaged -- he engaged a professional spy to find out
19 09:24:46 pressure points about Mr Vujnovac, who is a key witness
20 09:24:50 in this arbitration.

21 09:24:53 He also was engaged to find out confidential
22 09:24:58 information on this arbitration for another client.

23 09:25:05 We believe this in itself excludes the participation
24 09:25:10 of Mr Goeth. Whether he conducts personally
25 09:25:15 cross-examination or not, we believe he cannot be

01 09:25:22 a counsel in this matter.

02 09:25:26 **PRESIDENT:** You just referred to an ICC provision of the

03 09:25:30 rules. Can you repeat the number? Did you mention 40?

04 09:25:38 **MR HAUGENEDER:** Yes.

05 09:25:48 **PRESIDENT:** On the waiver, right?

06 09:25:51 **MR HAUGENEDER:** We believe that this is a very serious

07 09:25:55 irregularity and that's the reason why we are raising

08 09:26:00 this point immediately, because we believe he and LGP

09 09:26:07 cannot stay counsel of record.

10 09:26:10 **PRESIDENT:** Your objection is noted and it's on record.

11 09:26:16 We're now moving to the demonstrative exhibits which

12 09:26:20 were submitted by the parties.

13 09:26:22 We have reviewed the 41 slides submitted by

14 09:26:25 respondent in respondent's opening submission and we

15 09:26:42 agree with the claimant that each of these slides, these

16 09:26:47 41 slides, do constitute exhibits, demonstrative

17 09:26:52 exhibits under the procedural order and the definition

18 09:26:57 of demonstrative exhibits. They do contain charts, they

19 09:27:07 do contain tabulations and they do contain illustrations

20 09:27:16 or forms that qualify them as a demonstrative exhibit.

21 09:27:21 That being said, each of these slides provides for

22 09:27:24 the source of the information that is conveyed on those

23 09:27:30 charts.

24 09:27:30 So the question here is to the tribunal, the

25 09:27:37 non-compliance by respondent of the 72-hour deadline.

01 09:27:43 The tribunal finds that this violation of the
02 09:27:48 deadline, that actually claimant complied with the
03 09:27:52 deadline, respondent did not comply with the deadline,
04 09:27:55 does not -- is not serious enough to exclude those
05 09:27:59 slides at this stage, today, in the slides that have
06 09:28:03 been submitted in respondent's opening submission.
07 09:28:09 However, should this happen again, the tribunal puts
08 09:28:13 the respondents on notice not to take a too narrow
09 09:28:17 approach to the definition of a demonstrative exhibit
10 09:28:20 and any use of an exhibit, a legal material, in order to
11 09:28:26 provide a secondary presentation of, in primary, either
12 09:28:35 exhibit or legal matter through a chart, a form, a flow
13 09:28:38 chart or a design, will be considered as a demonstrative
14 09:28:43 exhibit, and the tribunal reserves its right to exclude,
15 09:28:50 in particular for the examination of the witnesses and
16 09:28:53 the experts, reserves its right to exclude the use of
17 09:28:57 the slide for the purpose of cross-examination or
18 09:28:59 closing submissions.
19 09:29:05 There are rules in this arbitration and we
20 09:29:10 appreciate the amount of work put by the parties and the
21 09:29:13 parties' teams, so that the parties may prepare in
22 09:29:18 advance for every step of the proceedings.
23 09:29:21 The preparation of the opening submissions is one of
24 09:29:25 them and the 72-hour deadline was precisely made in
25 09:29:32 order to allow the parties not to have to search at the

01 09:29:37 last minute the content and double-check the content of
02 09:29:40 the slides.
03 09:29:44 So this is addressed to both parties, but in
04 09:29:48 particular for this topic it's addressed for the
05 09:29:51 respondent.
06 09:29:52 Now, the claimant has also reviewed the objection
07 09:29:55 raised by the respondent on the amount of slides
08 09:30:00 submitted by the claimant and the tribunal thinks it is
09 09:30:04 for each party to present its case as it so wish, with
10 09:30:08 the number of slides it so wish, and use them within the
11 09:30:11 time that is allocated by the tribunal in this hearing.
12 09:30:17 Should an extension of time be required, we just
13 09:30:21 remind the parties that the parties are equal -- I mean,
14 09:30:24 have the same amount of time and that the evidentiary
15 09:30:27 hearing is to start tomorrow, so there will not be at
16 09:30:32 this point any extension of time because of the
17 09:30:34 inability to present the entire slides.
18 09:30:37 As to the objection raised by the respondent on the
19 09:30:40 content of the slides submitted by the claimant, the
20 09:30:43 tribunal does not find that these slides constitute
21 09:30:46 demonstrative exhibits that should have been submitted
22 09:30:49 72 hours before the hearing. We received two
23 09:30:55 demonstrative exhibits and these have been addressed by
24 09:30:59 the claimant. The tribunal does not find that any other
25 09:31:03 slides identified by respondent do constitute

01 09:31:06 demonstrative exhibit.

02 09:31:08 As to the scope and the content of the slides, it is

03 09:31:14 up to the parties to make their presentation as they so

04 09:31:18 wish and the tribunal will determine the relevance of

05 09:31:20 each of these slides with the decision that has to be

06 09:31:24 made by the tribunal.

07 09:31:26 So with this in mind, we're keeping the

08 09:31:29 presentations as they are with a warning that the

09 09:31:31 tribunal will treat as a strict deadline any provision

10 09:31:36 of slides for the purpose of examination, so that none

11 09:31:40 of the parties feel that they're ambushed in this

12 09:31:43 arbitration.

13 09:31:46 **MR TALANOV:** If you permit just one clarification as for

14 09:31:48 those objections that were raised by the respondent.

15 09:31:52 We never raised any objections as to the

16 09:31:54 demonstrative aspects and we are very happy with the

17 09:31:57 presentation of the claimant to that extent.

18 09:32:00 There is a number of slides that do not identify the

19 09:32:03 sources, but as said, we do not object to that as well,

20 09:32:07 but they were just four specific slides raised that

21 09:32:10 contain new information, evidence and statements never

22 09:32:14 raised in this arbitration before.

23 09:32:16 So that was the precise concern of the respondent.

24 09:32:21 I just had to put it on the record that that was exactly

25 09:32:25 the content. Thank you.

01 09:32:28 **PRESIDENT:** Counsel, that was well noted by the tribunal
02 09:32:31 in your objections yesterday and that was addressed in
03 09:32:37 response, and the tribunal made its decision in light of
04 09:32:43 the comments that were submitted by both parties.
05 09:32:49 Claimant, anything?

06 09:32:53 **MR HAUGENEDER:** We have no further procedural issues.

07 09:32:55 **PRESIDENT:** So, claimant, you will shortly have the floor
08 09:32:59 to present. We're only three minutes behind schedule.

09 09:33:01 **MR TALANOV:** Excuse me --

10 09:33:01 **PRESIDENT:** You may wish to take a three-minute break to
11 09:33:08 get organised, so we will resume at 38 of the hour, in
12 09:33:13 five minutes. Thank you.
13 09:33:37 (9.33 am)
14 09:33:41 (Short break)
15 09:33:42 (9.36 am)

16 09:36:37 **PRESIDENT:** We will have a 15-minute break at some point
17 09:36:40 of time. Please take the 15-minute break at the point
18 09:36:47 in time in the flow of your presentation that you find
19 09:36:50 suitable.
20 09:36:52 I understand you'll be standing for quite a few
21 09:36:54 hours.

22 09:36:56 **MR HAUGENEDER:** It's not only me who will be giving our
23 09:36:59 opening presentation.

24 09:37:01 **PRESIDENT:** Should you prefer to click from your desk, the
25 09:37:05 tribunal is perfectly fine with you making your

01 09:37:08 presentation -- appreciate facing you, but is also very

02 09:37:13 much comfortable having you take a seat.

03 09:37:16 **MR HAUGENEDER:** Thank you. I think I prefer standing, but

04 09:37:22 a colleague will click, so that should work very well.

05 09:37:28 Are you hearing me? Because I have the information

06 09:37:28 that the sound --

07 09:37:39 **PRESIDENT:** The acoustic is a little bit slow, so speak

08 09:37:41 close to the microphone, but we have the ...

09 09:37:52 (Discussion off the record)

10 09:37:52 Opening submissions by Mr Haugeneder

11 09:38:42 **MR HAUGENEDER:** Madam president, members of the tribunal,

12 09:38:46 it is a privilege for Ms Petkute, Mr Holland and myself

13 09:38:51 to present PPD's opening statement in this important

14 09:38:57 matter.

15 09:38:59 After introducing some key facts and legal

16 09:39:03 principles that are highly relevant for the case, we

17 09:39:07 will first set out PPD's claims for suspended gas

18 09:39:11 deliveries, then move to PPD's claim on market

19 09:39:19 manipulation, followed by the quantification of these

20 09:39:23 claims.

21 09:39:24 We will then address Gazprom's counterclaims and

22 09:39:28 conclude with the request for relief.

23 09:39:32 I move to my introductory points.

24 09:39:38 First, Gazprom, the respondent in this case, is not

25 09:39:47 an ordinary corporation, it was one of the most powerful

01 09:39:51 companies of the world. Gazprom has the export monopoly
02 09:39:57 for pipeline gas from the Russian Federation, which
03 09:40:01 before 2022 was the most important source of gas for
04 09:40:06 Europe.
05 09:40:08 So Gazprom had enormous power.
06 09:40:13 Gazprom is managed by senior political allies of
07 09:40:18 President Putin. President Putin has often personally
08 09:40:24 intervened on matters of Gazprom and has made
09 09:40:28 representations on behalf of Gazprom.
10 09:40:32 Gazprom is used as a commercial vehicle for Russian
11 09:40:37 foreign policy. It is an instrument of geopolitical
12 09:40:42 pressure, as you can see from numerous respectable
13 09:40:48 sources that we have submitted in this arbitration.
14 09:40:54 The influence of the Russian Government on Gazprom
15 09:40:57 is also acknowledged by Gazprom itself, as you can see
16 09:41:01 from these exhibits.
17 09:41:04 As the European Parliament concluded already before
18 09:41:08 the events of 2022, Gazprom used its enormous market
19 09:41:14 power to create dependency relationships throughout
20 09:41:19 Europe.
21 09:41:21 These conclusions also apply until 2022 to Croatia.
22 09:41:26 Croatia required gas imports of around 17 to 24 terawatt
23 09:41:32 hours since 2017. The annual contract quantity under
24 09:41:38 the contract at issue here was 21.1 terawatt hours per
25 09:41:43 year.

01 09:41:44 Therefore, the contract delivery volume provided for
02 09:41:48 most of the gas quantities imported by Croatia.
03 09:41:55 Through the contractual take or pay obligation
04 09:41:58 Gazprom had control over a very significant part of
05 09:42:03 Croatia's gas consumption.
06 09:42:08 In the month before the full-scale invasion of
07 09:42:14 Ukraine, Gazprom applied the market power it had built
08 09:42:20 up with full force and restricted gas supplies in
09 09:42:24 Europe, creating an artificial scarcity of gas. Gazprom
10 09:42:30 disputes this, but the evidence that we have submitted
11 09:42:34 speaks for itself.
12 09:42:36 What did Gazprom concretely do?
13 09:42:40 First, Gazprom cut its sales from the trading
14 09:42:45 platform ESP, that concerns spot sales, up to full
15 09:42:53 discontinuation in October 2021. This means long-term
16 09:42:58 contracts were generally fulfilled in 2021, but Gazprom
17 09:43:03 stopped spot sales, creating a very significant deficit
18 09:43:09 of gas supply.
19 09:43:12 Second, Gazprom has emptied gas storage in Europe
20 09:43:18 throughout 2021 and failed to refill them, leaving the
21 09:43:23 gas storages empty before the winter and causing
22 09:43:28 additional scarcity during a time of the year when gas
23 09:43:32 was most needed.
24 09:43:35 After the full-scale invasion of Ukraine and the
25 09:43:40 adoption of wide-ranging sanctions by the European

01 09:43:43 Union, President Putin directed Gazprom, the Russian
02 09:43:48 Central Bank and the Russian Government to work out
03 09:43:53 measures to unilaterally change the currency of payment
04 09:43:57 of gas supplies for so-called unfriendly countries.
05 09:44:03 So Gazprom was not just implementing laws and
06 09:44:12 government regulations; it was instrumental in setting
07 09:44:16 up an elaborate mechanism to circumvent sanctions.
08 09:44:22 Decree 172 was issued on 31 March 2022.
09 09:44:29 The letters which Gazprom sent to European gas
10 09:44:35 buyer, that requested to change the payment currency to
11 09:44:40 roubles and to agree on a new payment mechanism, was
12 09:44:46 sent on 1 April 2022. This was one day after the
13 09:44:54 issuance of decree 172.
14 09:45:02 Clearly, these letters, with which Gazprom
15 09:45:08 threatened that gas supplies would be interrupted unless
16 09:45:13 the buyers of gas agree to a changed payment mechanism,
17 09:45:20 were part of a coordinated action in which Gazprom had
18 09:45:28 worked in tandem with the Russian State. These letters
19 09:45:35 were sent in early afternoon of 1 April, so immediately
20 09:45:44 after the issuance of decree 172.
21 09:45:48 That was also freely admitted in the public
22 09:45:51 statements of Gazprom, such as in the statement of
23 09:45:54 Mr Miller, the head of PJSC Gazprom, "Our product, our
24 09:46:00 rules".
25 09:46:02 Clearly, Gazprom was not a corporation implementing

01 09:46:05 bona fide regulations. It was participating in making
02 09:46:10 these rules.
03 09:46:13 The mechanism Gazprom imposed on its buyers, and
04 09:46:18 that you can see here, provided that PPD had to open
05 09:46:22 a bank account at Gazprombank and instruct Gazprombank
06 09:46:26 to sell PPD's euros at the Moscow Stock Exchange using
07 09:46:33 a national clearing centre, the NCC.
08 09:46:37 However, under this mechanism, PPD would not know
09 09:46:40 the identity of the buyer of euros with which it
10 09:46:44 transacted.
11 09:46:49 The roubles that PPD received from the unknown buyer
12 09:46:57 of euros would then be transferred to a roubles account
13 09:47:01 of PPD and from there to Gazprom.
14 09:47:08 Therefore, the essence of the mechanism was that PPD
15 09:47:14 would not know with who -- who was buying its euros to
16 09:47:20 obtain roubles.
17 09:47:23 I will now move to the consequence of Gazprom's
18 09:47:29 behaviour for the gas buyers, and there were two main
19 09:47:37 consequences.
20 09:47:39 First, the lasting withholding of gas from the
21 09:47:44 European market caused an unprecedented rise of gas
22 09:47:48 prices.
23 09:47:50 The TTF price was stable in 2019/2020 as you can see
24 09:47:57 here, but spiked in 2021/2022 during the artificial
25 09:48:05 scarcity of gas.

01 09:48:07 There is a direct and obvious correlation between
02 09:48:10 Gazprom's conduct and gas prices up until late 2022,
03 09:48:16 which you can see from the graph on the right-hand side.
04 09:48:21 You see the gas supplies going down and the price
05 09:48:26 spiking.
06 09:48:28 This was of course immensely profitable to Gazprom
07 09:48:34 because the cost of production remained largely the
08 09:48:37 same.
09 09:48:40 This was not only the case for the contractual TTF
10 09:48:45 price, but also for other hub prices, like CEEGEX in
11 09:48:52 Hungary or CEGH in Austria.
12 09:48:54 There is widespread agreement that the crisis was
13 09:48:58 caused by Gazprom, that Gazprom manipulated the gas
14 09:49:03 market despite the record high production at the same
15 09:49:06 time.
16 09:49:10 The second consequence of Gazprom's actions in 2022
17 09:49:15 was the threat to cut off supplies unless buyers
18 09:49:20 accepted the payment mechanism, which left buyers with
19 09:49:26 the choice between the interruption of gas supplies
20 09:49:29 entailing a struggle for survival, or compliance with
21 09:49:35 the request.
22 09:49:37 As you can see here, already at the time Commission
23 09:49:40 President von der Leyen described Gazprom's conduct as
24 09:49:46 blackmail.
25 09:49:48 Gazprom indeed cut off supplies to buyers who

01 09:49:52 refused to comply with the payment mechanism. The

02 09:49:56 cut-offs concerned, for instance, Orlen, Bulgargaz

03 09:50:02 in April 2022, Gasum, GasTerra, Orsted, Shell Energy

04 09:50:10 in May/June 2022, and ENGIE in August.

05 09:50:18 Companies highly dependent on Russian gas, such as

06 09:50:23 OMV or PPD, had no alternative, as you can see here from

07 09:50:33 OMV's statement, to accepting -- to complying with the

08 09:50:41 payment mechanism.

09 09:50:44 The example of Uniper shows that European gas buyers

10 09:50:47 could not procure gas from alternative sources at

11 09:50:51 sustainable cost, which in the case of Uniper led to

12 09:50:54 Uniper's insolvency and forced administration.

13 09:51:00 Why? Because the spot market prices were much

14 09:51:03 higher than those in Gazprom's contract and were

15 09:51:08 unsustainable for the buyers of Russian gas.

16 09:51:14 Countries dependent on Russian gas were pushed into

17 09:51:16 a state of emergency.

18 09:51:19 In Croatia, an early warning about the emergency

19 09:51:24 situation on the gas markets was given. This was the

20 09:51:28 situation in which PPD had to decide in April 2022

21 09:51:38 whether to sign Gazprom's terms or face the end of gas

22 09:51:43 supplies and likely insolvency.

23 09:51:49 I move now to my third introductory point, the legal

24 09:51:52 point. Sanctions imposed by the European Union.

25 09:51:57 The purpose of sanctions is to increase the cost of

01 09:52:01 war for Russia. In broad terms, the sanctions relevant
02 09:52:06 here prohibited transactions related to the management
03 09:52:10 of resources or related to assets of the Central Bank of
04 09:52:15 Russia or of Russian publicly controlled entities, and
05 09:52:22 they prohibited making available directly or indirectly
06 09:52:26 funds or economic resources to sanctioned entities.
07 09:52:31 In addition, there were prohibitions to circumvent
08 09:52:35 sanctions and to satisfy claims in connection with
09 09:52:39 transactions effected by sanctions.
10 09:52:43 In the recently published opinion of Advocate
11 09:52:46 General Biondi in the Reibel matter, it is once again
12 09:52:52 confirmed that sanctions are a fundament of European
13 09:52:58 public policy.
14 09:53:00 It was also confirmed that sanctions are built on
15 09:53:03 the principle that they can have significantly negative
16 09:53:08 consequences for certain economic operators, because
17 09:53:13 that is their purpose.
18 09:53:18 The widespread agreement in the authorities is that
19 09:53:24 EU sanctions must be interpreted broadly to ensure their
20 09:53:29 effectiveness.
21 09:53:33 The payment mechanism imposed by Gazprom breached
22 09:53:38 sanctions in several ways which we set out in detail,
23 09:53:40 but already from the overview that I have shown, it is
24 09:53:46 clear that PPD was forced to instruct Gazprombank to
25 09:53:50 sell euros without knowing the buyer, which obviously

01 09:53:57 entails the risk, and in fact the high likelihood, that

02 09:54:01 euros were made available to sanctioned entities,

03 09:54:05 including the CBR.

04 09:54:08 The European Commission confirmed this in commenting

05 09:54:13 on an application of Croatia's High Commercial Court in

06 09:54:17 the bank guarantee case related to this arbitration as

07 09:54:22 well as the Croatian Government.

08 09:54:27 The referral was rejected as procedurally

09 09:54:30 inadmissible, but that does not change the weight of the

10 09:54:38 Commission's and the Croatian Government's observations.

11 09:54:46 It is worth mentioning that in our case, regardless

12 09:54:50 of the decision on all other issues, sanctions prohibit

13 09:54:55 any award in favour of Gazprom.

14 09:54:58 As Advocate General Biondi pointed out in Reibel,

15 09:55:03 the no claims provision prohibits an award of any claims

16 09:55:08 if a transaction or its performance has been affected by

17 09:55:18 sanctions.

18 09:55:20 So the claim itself need not be covered by other

19 09:55:25 sanctions provisions, it does not matter whether the

20 09:55:30 satisfaction of the claims would entail the infringement

21 09:55:34 of other sanctions provisions, and we submit this is

22 09:55:41 dispositive of all of Gazprom's counterclaims.

23 09:55:48 No award can be made in favour of Gazprom.

24 09:56:01 After having highlighted these points, which we

25 09:56:04 submit are of fundamental importance for the decision of

01 09:56:07 the case, I will now give an overview of our legal
02 09:56:12 submission and its structure.
03 09:56:17 The legal consequences of the facts of the case are,
04 09:56:22 first, PPD was not obliged to comply with decree 172 or
05 09:56:29 decree 254 due to the application of sanctions, due to
06 09:56:34 article 102 TFEU, PPD did not consent to the variation
07 09:56:42 of the contract and did not accept to offer -- the offer
08 09:56:47 to vary the contract.
09 09:56:50 Even if PPD had consented to the variation, this
10 09:56:56 consent is invalid because the variation was avoided
11 09:57:02 with ex tunc effect as it was procured under duress.
12 09:57:07 Gazprom was not entitled to rely on decree 172 as
13 09:57:12 a force majeure event. Gazprom's letter of 1 April
14 09:57:17 threatening the suspension of deliveries was therefore
15 09:57:20 an unlawful threat.
16 09:57:22 PPD has not waived the right to avoid the purported
17 09:57:27 variation.
18 09:57:29 Of course, the variations, if they were -- if you
19 09:57:34 find they were validly agreed, are also invalid due to
20 09:57:39 the application of sanctions and due to
21 09:57:42 article 102 TFEU.
22 09:57:45 Second, as a consequence of the above, PPD was
23 09:57:50 entitled to pay in euros and refuse payment in roubles.
24 09:57:54 Third, because PPD had not breached the contract,
25 09:58:00 Gazprom was not entitled to suspend performance

01 09:58:02 in November 2022.

02 09:58:06 Fourth, PPD validly avoided the contract by its

03 09:58:10 letter dated 8 March 2023.

04 09:58:16 Gazprom had committed a fundamental breach of

05 09:58:20 contract by conditioning its contractual obligation to

06 09:58:23 deliver gas to the modification of the contract in its

07 09:58:27 favour, and because it refused to accept payment in

08 09:58:32 euros and suspended gas supplies.

09 09:58:38 Fifth, as a consequence of Gazprom's breach of

10 09:58:45 contract and the avoidance of the contract, PPD is

11 09:58:48 entitled to recover the incurred losses resulting from

12 09:58:54 the failure to supply gas to PPD.

13 09:58:57 Sixth, and independently of the above, Gazprom is

14 09:59:03 liable for damages caused by its unlawful market

15 09:59:06 manipulation, which constituted a breach of REMIT,

16 09:59:11 article 102 TFEU, a breach of the requirement to observe

17 09:59:17 good faith, and a duty of care and loyalty in

18 09:59:20 contractual relations, as well as a breach of the

19 09:59:24 requirement not to cause damages contrary to good

20 09:59:28 morals.

21 09:59:31 Seventh, PPD has with its claims validly declared

22 09:59:37 set-off against Gazprom's claim to payment of gas

23 09:59:40 delivered in September and October 2022.

24 09:59:46 Eighth and finally, Gazprom is not entitled to the

25 09:59:50 counterclaim because PPD has not committed a fundamental

01 09:59:55 breach of contract. Because all of Gazprom's

02 10:00:00 counterclaims fail due to sanctions, Gazprom is not

03 10:00:04 entitled to payment for the September and October 2022

04 10:00:11 gas deliveries due to PPD's set-off. Gazprom is not

05 10:00:16 entitled to unjust enrichment. Gazprom is not entitled

06 10:00:20 to the MAQ counterclaim and Gazprom is not entitled to

07 10:00:27 lost volume seller damage.

08 10:00:38 I will now move to PPD's claim for suspended gas

09 10:00:42 deliveries.

10 10:00:46 First, contrary to Gazprom's submissions, the

11 10:00:52 amendments of the contract requested by Gazprom required

12 10:00:57 PPD's consent.

13 10:01:02 The contract stipulated payment in euros. When

14 10:01:06 Gazprom demanded payment in roubles under the payment

15 10:01:11 mechanism, PPD was not obliged to comply with this by

16 10:01:18 **virtue of article 54 CISG. Article 54 provides:**

17 10:01:27 "The buyer's obligation to pay the price includes

18 10:01:29 taking such steps and complying with such formalities as

19 10:01:34 may be required under the contract or any laws and

20 10:01:39 regulations to enable payment to be made."

21 10:01:41 There is widespread agreement in legal writing that

22 10:01:48 the CISG does not provide the seller with the right to

23 10:01:53 elect a replacement currency.

24 10:01:57 A right of the seller to choose the payment currency

25 10:02:00 was expressly rejected when drafting the CISG, as the

01 10:02:06 drafting history shows.

02 10:02:09 As Prof Perner notes, there may be a right to elect

03 10:02:17 a replacement currency where it has become impossible to

04 10:02:23 the buyer to pay in the agreed currency. The reason for

05 10:02:28 this is that the buyer should not be able to rely on

06 10:02:34 foreign exchange controls of his own country to refuse

07 10:02:39 payment, but that is not the case here.

08 10:02:42 Even Prof Klicka admits that if a right of the

09 10:02:48 seller to elect a replacement currency is accepted, the

10 10:02:52 chosen replacement currency must be suitable and must

11 10:02:55 not burden the buyer inappropriately.

12 10:02:59 Therefore, the obligation of the buyer to comply

13 10:03:03 with steps and formalities to effect payment does not

14 10:03:07 grant the seller a right to choose a replacement

15 10:03:11 currency.

16 10:03:12 If such right is accepted, then the replacement

17 10:03:15 currency must not burden the buyer inappropriately.

18 10:03:20 However, as the record shows, the payment mechanism

19 10:03:26 introduced a new currency into the contract, imposed

20 10:03:31 significant costs and further very substantial risks on

21 10:03:38 PPD.

22 10:03:38 This therefore does not fall under steps and

23 10:03:43 formalities according to article 54 CISG, and PPD did

24 10:03:49 not have to comply with the payment mechanism.

25 10:03:54 Gazprom not only imposed a change of currency, but

01 10:03:58 also a complex and intransparent payment mechanism

02 10:04:03 involving considerable costs and risks.

03 10:04:08 The decrees imposed financial costs on PPD as

04 10:04:14 payment had to be made three to eight days earlier than

05 10:04:17 under article 9.1 of the contract.

06 10:04:20 This caused significant additional costs as Mr Way

07 10:04:26 confirmed in his report.

08 10:04:28 The mechanism imposed by Gazprom was subject to

09 10:04:34 payment delays due to compliance investigations caused

10 10:04:40 by the numerous interposed banks and entities, which in

11 10:04:45 turn resulted in late payments and cut-offs by Gazprom.

12 10:04:50 The decrees further imposed burdensome processes

13 10:04:54 without any electronic access to PPD's Gazprombank

14 10:04:58 account. PPD was in the dark about what was happening

15 10:05:01 with its payments which, as you know, were very

16 10:05:05 significant sums.

17 10:05:08 The imposed processes were burdensome, as the

18 10:05:13 correspondence on the record shows.

19 10:05:17 Particularly relevant for sanctions, the payment

20 10:05:25 mechanism meant PPD did not have control over the

21 10:05:30 identity of the buyer of euros. This in itself

22 10:05:35 precludes reliance on article 54 CISG because there

23 10:05:39 cannot be an implied duty to expose oneself to

24 10:05:44 a sanctions risk.

25 10:05:46 And finally, the decrees exposed PPD to the Russian

01 10:05:51 legal system for dispute resolution, adding additional
02 10:05:55 risks to PPD's position.
03 10:05:57 The sums at issue were very significant and it was
04 10:06:01 therefore certainly not a formality which PPD could have
05 10:06:08 been asked to comply under the CISG.
06 10:06:15 The decrees vested the Russian administration with
07 10:06:20 significant authority to decide on the fulfilment of
08 10:06:24 PPD's payment obligations under the payment mechanism
09 10:06:28 which interfered with the contract and which again is
10 10:06:32 not a formality.
11 10:06:34 Therefore, the contention that PPD was obliged to
12 10:06:38 accept the imposed payment mechanism pursuant to
13 10:06:40 article 54 CISG fails.
14 10:06:48 Even Prof Klicka seems to recognise this when he
15 10:06:53 suggests that PPD's non-acceptance of the payment
16 10:07:02 mechanism would be "an action against good faith, which
17 10:07:07 results in rendering the respective rejection of the
18 10:07:11 request to amend unlawful under the Contract".
19 10:07:14 This contention evidently has no legal basis,
20 10:07:18 because it is contrary to the fundamental principles of
21 10:07:25 party autonomy and freedom of contract.
22 10:07:30 There is simply no basis for a rule that the party
23 10:07:34 must comply with contract amendments requested by the
24 10:07:37 other party pursuant to unspecified, I quote again,
25 10:07:43 "values incorporated in the contractual provisions [and]

01 10:07:47 various provisions of the CISG".

02 10:07:49 The CISG exhaustively sets out the requirements for

03 10:07:54 valid contract modification. If article 54 is

04 10:07:58 inapplicable, any modification of the contract requires

05 10:08:03 the agreement of the parties.

06 10:08:05 The inescapable conclusion is that PPD's consent to

07 10:08:09 the payment mechanism was required under the CISG, which

08 10:08:13 was not validly given.

09 10:08:20 Gazprom alternatively tries to argue that PPD only

10 10:08:24 needed to consent to material changes to the contract in

11 10:08:28 accordance with article 19 to CISG by analogy.

12 10:08:35 However, article 29 CISG states in abundantly clear

13 10:08:44 terms that any contract modification requires the

14 10:08:47 agreement of the parties.

15 10:08:51 There is no doubt in the case law and in the legal

16 10:08:53 commentaries that after the conclusion of a contract,

17 10:08:59 modifications are governed by article 29 CISG alone and

18 10:09:04 not by article 19.

19 10:09:06 Therefore, agreement to any modification was needed.

20 10:09:12 I move now to the application of these principles to

21 10:09:15 the facts.

22 10:09:18 PPD had signed the 1 April letter, but there was no

23 10:09:23 agreement to allow Gazprom to change the payment

24 10:09:26 mechanism unilaterally at its discretion in the future.

25 10:09:31 However, this is what happened.

01 10:09:36 The CBR's official clarification of 29 April 2022

02 10:09:43 sought to further amend the risk allocation set out in

03 10:09:47 the 1 April letter in case the bank failed to make the

04 10:09:52 payment.

05 10:09:56 Decree 254 introduced the NCC, another party, to the

06 10:10:00 payment mechanism, which was evidently not part of, part

07 10:10:08 and parcel of the initial offer to modify the contract,

08 10:10:10 as Gazprom submits.

09 10:10:15 Gazprom's own witnesses confirm that Gazprom did not

10 10:10:19 seek consent to apply decree 254 and PPD did not consent

11 10:10:25 to any further modifications.

12 10:10:29 Gazprom simply notified PPD of changes, which can

13 10:10:34 have no contractual effect.

14 10:10:37 There were no offers, and therefore nothing could be

15 10:10:42 accepted.

16 10:10:44 Therefore, in conclusion, PPD never consented to the

17 10:10:48 modified payment mechanism set out in Gazprom's letter

18 10:10:51 of 5 May 2022.

19 10:10:58 Gazprom alternatively says that PPD impliedly

20 10:11:05 consented to the change of the payment mechanism by its

21 10:11:09 conduct in accordance with article 18 CISG. This fails

22 10:11:15 because silence or continued performance of the contract

23 10:11:20 cannot in the absence of a of clear indications to the

24 10:11:25 contrary, be interpreted as consent to modification of

25 10:11:29 the contract.

01 10:11:30 This applies with particular force after the start
02 10:11:34 of the performance of the contract as Prof Schroeter
03 10:11:39 confirms. There are no such clear indications of
04 10:11:44 consent on the record, rather there are clear statements
05 10:11:48 of disagreement.
06 10:11:52 As a last resort Gazprom says that it relied on
07 10:11:57 PPD's conduct and that this reliance would be protected.
08 10:12:01 However, under article 29(2) of the CISG, the protection
09 10:12:08 of reliance is limited and ends when a contrary
10 10:12:13 information is given.
11 10:12:15 The fact show that PPD never gave rise to legitimate
12 10:12:23 trust on Gazprom's side. With letter 26 May 2022, PPD
13 10:12:29 expressly stated that it did not agree to any
14 10:12:33 contractual amendment. PPD never made any payment under
15 10:12:39 the payment mechanism set out by decree 172.
16 10:12:46 Equally, no payments were made under the payment
17 10:12:50 mechanism before PPD's letter of 26 May 2022, in which
18 10:12:57 PPD made clear that it did not agree to any amendment of
19 10:13:02 the contract.
20 10:13:04 Any reliance of Gazprom under article 29(2) had been
21 10:13:09 expressly destroyed by PPD with its letter of
22 10:13:13 26 May 2022, even if one assumes there were such
23 10:13:20 a reliance.
24 10:13:21 In conclusion, PPD has not validly consented to the
25 10:13:26 amendment payment mechanism and Gazprom also cannot

01 10:13:30 invoke protection of reliance.

02 10:13:42 I move to the next point, duress.

03 10:13:49 Even if it is found that PPD had consented to the

04 10:13:52 payment mechanism of the 1 April letter, and no consent

05 10:13:59 was needed for any subsequent change to the payment

06 10:14:02 mechanism, this consent is invalid because it was given

07 10:14:08 under duress.

08 10:14:11 In accordance with section 870 of the Austrian Civil

09 10:14:15 Code, if a threatened party was not free to form its

10 10:14:20 will out of fear that the threatened harm would occur,

11 10:14:26 the threatened party can avoid the contract with

12 10:14:30 retroactive effect.

13 10:14:31 Section 870 protects the free will of the party who

14 10:14:37 was forced to agree to a contract under duress.

15 10:14:43 The legal prerequisites to avoid a contract in

16 10:14:46 accordance with section 870 are, first, an

17 10:14:51 unjust/unlawful threat; second, well-founded fear, and

18 10:15:01 third, a causal link between the threat and the

19 10:15:06 agreement to the contract or the contract amendment.

20 10:15:10 I will now discuss these elements.

21 10:15:14 In its 1 April letter, Gazprom clearly made a threat

22 10:15:19 because it announced PPD would not receive gas under the

23 10:15:23 contract unless it consented to the amended payment

24 10:15:27 mechanism.

25 10:15:28 As Prof Perner notes, this was not an amicable

01 10:15:32 communication, this was a written ultimatum.

02 10:15:38 In legal terms, a threat is the announcement of

03 10:15:42 a severely negative consequence should the counterparty

04 10:15:51 not act accordingly that is agreed to the contract or

05 10:15:55 the contract amendment.

06 10:15:57 A threat does not have to be made explicitly, it can

07 10:16:00 be hidden or implied.

08 10:16:04 Here we have an explicit threat. Gazprom explicitly

09 10:16:11 announced a severely negative consequence, the cessation

10 10:16:14 of gas supplies, on which PPD heavily depended, should

11 10:16:20 PPD not agree to the amendment of the contract.

12 10:16:25 The intention of the threatening party to make

13 10:16:30 a threat is not a prerequisite for the avoidance of the

14 10:16:36 contract. Section 870 does not even require the

15 10:16:40 threatened party's awareness of wrongdoing, contrary to

16 10:16:44 what Gazprom wrongly alleges.

17 10:16:49 **Gazprom in essence says:** we just informed you about

18 10:16:55 governmental regulations in Russia that are binding on

19 10:16:58 us.

20 10:17:00 However, as you have seen already from the facts

21 10:17:04 summarised in the introduction, Gazprom is not an

22 10:17:07 ordinary corporation that was simply subject to

23 10:17:10 government regulation. It was complicit with the

24 10:17:14 Russian State and collaborated with it precisely with

25 10:17:20 the purpose of interfering with gas contracts.

01 10:17:24 As Mr Miller said, "Our product, our rules", and
02 10:17:28 with "our", he clearly means Gazprom and Russia.
03 10:17:33 The 1 April letter was therefore not only a threat,
04 10:17:38 but it was an unlawful threat that was not justified by
05 10:17:43 bona fide government regulations.
06 10:17:49 There is a general principle that state entities
07 10:17:51 cannot rely on the separate legal entity from the state
08 10:17:55 to the detriment of its contract partners, which was
09 10:18:00 formulated by Prof Bockstiegel and which is therefore
10 10:18:04 called the Bockstiegel test. According to this test
11 10:18:10 there is the presumption that a state will not have its
12 10:18:14 executive organs act to the detriment of its own
13 10:18:18 institutions, including state enterprises. Therefore,
14 10:18:22 administrative acts of state are in principle not
15 10:18:26 considered force majeure and therefore in the context of
16 10:18:31 duress they are not considered as an excuse for making
17 10:18:39 a threat.
18 10:18:42 This presumption is not applied if it can be seen
19 10:18:46 prima facie or can be proved by the state enterprise
20 10:18:50 that the administrative act was caused by general
21 10:18:53 considerations not connected with this contract or this
22 10:18:58 sort of contract.
23 10:19:00 The primary presumption is applicable again if the
24 10:19:03 private party proves that in its specific case, general
25 10:19:09 considerations did not apply.

01 10:19:21 Decree 172 was not the general law, but an
02 10:19:26 administrative act of state that specifically targeted
03 10:19:32 a particular class of contracts.
04 10:19:35 It specifically aimed to interfere with the
05 10:19:38 contractual relationships of Gazprom with its contract
06 10:19:42 partners in unfriendly countries.
07 10:19:46 It applied to Gazprom alone, which had the expert
08 10:19:50 monopoly, and targeted a specific subsection of
09 10:19:54 Gazprom's contract portfolio.
10 10:19:58 Decree 172 aimed to amend the gas supply contracts
11 10:20:05 to the detriment of Gazprom's contract partners, and to
12 10:20:08 benefit the strategic interest of the Russian State and
13 10:20:13 of Gazprom.
14 10:20:20 The amendments of the contracts were to be achieved
15 10:20:22 without negotiation, without any concession on Gazprom's
16 10:20:27 part, as also the documents produced by Gazprom show.
17 10:20:35 Following the basic presumption, as an
18 10:20:38 administrative act of state cannot be considered force
19 10:20:44 majeure, Gazprom has the burden to prove the contrary,
20 10:20:49 to show that decree 172 was caused by general
21 10:20:56 considerations not connected with the contract or this
22 10:20:59 sort of contract.
23 10:21:00 But Gazprom cannot prove this. As Gazprom's public
24 10:21:05 statements and the record shows, Gazprom was not opposed
25 10:21:11 to the interference with contracts, but it was complicit

01 10:21:16 with it.

02 10:21:18 Therefore, government regulation cannot justify the

03 10:21:24 threat made by Gazprom.

04 10:21:30 There is clear authority in Austrian law that the

05 10:21:33 threat of a breach of contract amounts to unlawful means

06 10:21:38 and is therefore unlawful.

07 10:21:45 With its letter dated 1 April, Gazprom conditioned

08 10:21:51 the performance of its delivery obligations on the

09 10:21:54 acceptance of amended payment terms. This was, in line

10 10:22:01 with the jurisprudence and the legal commentaries, an

11 10:22:05 unlawful threat in the sense of section 870.

12 10:22:13 The second element of duress is well-founded fear.

13 10:22:21 It is recognised that a threat with breach of contract

14 10:22:27 triggers reasonable fear if the threatened party is

15 10:22:30 urgently dependent on the performance of an existing

16 10:22:34 contract.

17 10:22:36 On the facts, there can be no doubt that PPD was

18 10:22:41 urgently dependent on Gazprom's gas and that its fear of

19 10:22:46 the consequences of not signing the letter were real and

20 10:22:50 well founded.

21 10:22:52 As the testimony of Mr Vujnovac and Ms Measic shows,

22 10:22:57 they reasonably feared that the end of gas supplies from

23 10:23:02 Gazprom would have catastrophic consequences.

24 10:23:07 Finally, section 870 requires a causal link between

25 10:23:12 the threat and the conclusion of the contract amendment.

01 10:23:17 Only the perspective of the threatened party is
02 10:23:20 relevant, it must be examined whether the threatened
03 10:23:23 party would also have concluded the contract amendment
04 10:23:28 in this specific form without the threat. Contributory
05 10:23:34 causation is sufficient.

06 10:23:39 On the facts it is clear that Gazprom's threat was
07 10:23:43 the cause of the conclusion of the contract amendment in
08 10:23:48 the sense of section 870.

09 10:23:51 Had it not been for Gazprom's threat, PPD would not
10 10:23:54 have countersigned Gazprom 1 April letter in this
11 10:23:59 specific form on 4 April 2022.

12 10:24:04 This was -- the threat was the only cause. PPD had
13 10:24:11 no reason whatsoever to conclude a contract amendment
14 10:24:14 that brought no benefits but only disadvantages.

15 10:24:19 The conclusion is that the countersignature of the
16 10:24:23 1 April letter was made under duress and was therefore
17 10:24:29 validly avoided.

18 10:24:32 Gazprom says that if there was duress, PPD waived
19 10:24:38 its rights to challenge the purported variation through
20 10:24:41 its subsequent conduct.

21 10:24:46 The applicable standard for an implied waiver is
22 10:24:50 particularly strict under Austrian law. A waiver can
23 10:24:55 only be assumed if there is conduct that leaves no
24 10:24:59 reasonable doubt with respect to the intention to waive
25 10:25:04 a right, which will rarely be given.

01 10:25:09 The case law of the Supreme Court confirms that
02 10:25:13 extreme caution is required when it comes to implied
03 10:25:18 declarations of intent in the context of waivers.
04 10:25:24 In addition, as Prof Perner stresses, there can be
05 10:25:33 no waiver as long as the situation of duress continues.
06 10:25:39 PPD's fears could at the earliest have ended when it
07 10:25:44 was possible for it to receive replacement supplies of
08 10:25:48 gas and this was available only in November 2022, when
09 10:25:53 PPD clearly expressed not to be bound by the purported
10 10:25:58 contract amendment.
11 10:26:00 There is therefore no basis for Gazprom's assertion
12 10:26:04 that PPD had waived its right to challenge the purported
13 10:26:08 variation.
14 10:26:18 I will now deal with Gazprom's reliance on force
15 10:26:21 majeure.
16 10:26:25 Under article 6 CISG, the parties are free to
17 10:26:31 supplement, replace or even discard provisions of the
18 10:26:38 CISG. Therefore, the parties were able to fully or
19 10:26:45 partially derogate from article 79 CISG. Accordingly,
20 10:26:52 with article 11 of the contract, the parties derogated
21 10:26:56 from the CISG and agreed on a detailed code to
22 10:27:02 extensively regulate force majeure events, including the
23 10:27:05 steps required to invoke a force majeure event, which
24 10:27:12 replaced the regime of the CISG.
25 10:27:16 Under article 11.4 and 11.5 of the contract, Gazprom

01 10:27:21 was obliged to immediately notify PPD upon the
02 10:27:24 occurrence of a force majeure event and to provide
03 10:27:28 a confirmation of the occurrence and the duration of the
04 10:27:32 force majeure event by the chamber of commerce and
05 10:27:35 industry of the Russian Federation.

06 10:27:39 As Prof Perner confirms, with this, the parties have
07 10:27:43 agreed upon formalities which must be complied with and
08 10:27:49 they have validly derogated from the regime of the CISG.

09 10:27:55 Gazprom claims that article 79 CISG should
10 10:28:01 nevertheless apply as a default rule. However, as
11 10:28:06 Prof Perner notes, this submission is impossible; it is
12 10:28:13 impossible to conceive a reason why the terms of the
13 10:28:18 contract should simply be disregarded, because that's
14 10:28:24 what Gazprom's position amounts to.

15 10:28:30 On the facts, there is no doubt that Gazprom did not
16 10:28:33 comply with the procedures set out in article 11 of the
17 10:28:36 contract, Gazprom did not make a force majeure
18 10:28:44 notification.

19 10:28:45 The letters of 1 April, 31 October and
20 10:28:47 3 November 2022 were not force majeure notifications.

21 10:28:57 Also, Gazprom's own witnesses did not understand
22 10:29:01 Gazprom's 1 April letter to be a force majeure notice as
23 10:29:07 required by the contract.

24 10:29:11 A certificate of the Chamber of Commerce & Industry
25 10:29:14 of the Russian Federation dated 2 December 2024 was only

01 10:29:19 submitted two and a half years later in the course of
02 10:29:24 this arbitration which is evidently not timely.
03 10:29:29 The consequence of Gazprom's non-compliance with the
04 10:29:32 prerequisites of article 11 of the contract is that the
05 10:29:36 invocation of force majeure must fail.
06 10:29:40 In any event, as I have outlined before and I'm not
07 10:29:45 going to repeat it here, there was no force majeure
08 10:29:50 event because Gazprom has promoted the government
09 10:29:54 regulation it now claims was force majeure.
10 10:30:00 The contractual definition of force majeure is not
11 10:30:06 met, and also under the Bockstiegel test the reliance on
12 10:30:11 force majeure fails.
13 10:30:14 In addition to this, the party affected by force
14 10:30:17 majeure must do all in its powers to avoid the effect of
15 10:30:22 the force majeure event and to ensure contractual
16 10:30:26 performance, as the contract confirms. Gazprom did not
17 10:30:32 do this.
18 10:30:34 There was a possibility to seek an exemption from
19 10:30:38 the effects of decree 172. Gazprom could at least have
20 10:30:44 filed application with Russian Government bodies to
21 10:30:47 obtain an exemption. Gazprom could also have delivered
22 10:30:52 gas via its subsidiaries in the EU. Gazprom did not do
23 10:30:59 this.
24 10:31:01 Therefore, Gazprom did not comply with its duty to
25 10:31:05 do all in its power to carry out its obligations

01 10:31:08 required under the contract, and the reliance on force
02 10:31:13 majeure also fails for this reason.
03 10:31:21 This concludes my part of the opening statement.
04 10:31:25 Mr Holland will now continue our presentation on the
05 10:31:31 issue of sanctions.
06 10:31:38 Opening submissions by Mr Holland
07 10:31:51 **MR HOLLAND:** Members of the tribunal, respectfully, we
08 10:31:53 continue our submissions.
09 10:31:55 There will be a natural break in our submissions in
10 10:31:58 about 50 minutes, but there would be an alternative in
11 10:32:02 about 30 minutes, if you would like to indicate if you
12 10:32:06 wish to take an earlier break.
13 10:32:10 This, first, is PPD's submission that the purported
14 10:32:14 variation to the contract was null and void under
15 10:32:19 Austrian law for breaching EU sanctions.
16 10:32:24 We will address the relevant provisions and how
17 10:32:28 they're to be interpreted, the payment mechanism itself
18 10:32:32 and the violations of EU sanctions that were requested
19 10:32:36 of the gas buyers by the payment mechanism.
20 10:32:41 So first, as we heard before, the way that sanctions
21 10:32:45 are implemented and interpreted depends on their
22 10:32:50 objective, and on screen is the CJEU decision from one
23 10:32:57 month ago affirming this principle of interpretation.
24 10:33:02 That decision echoes the European Commission's
25 10:33:05 explanation of the broad objectives of the Russia

01 10:33:11 sanctions. It was to reduce the financial resources
02 10:33:16 available to the Russian State in the context of its war
03 10:33:21 with Ukraine.
04 10:33:24 The broad objective was confirmed in September 2025
05 10:33:27 for regulation 269, that's the top half of the screen,
06 10:33:32 to impose sanctions and increase pressure to put an end
07 10:33:37 to military action. And then just three weeks ago, for
08 10:33:43 regulation 833, which is at the bottom, the same
09 10:33:48 **objective is confirmed:** to increase the costs of the war
10 10:33:54 and to promote peace.
11 10:33:56 So next, the language and interpretation of the
12 10:34:01 sanction provisions themselves.
13 10:34:03 So you heard before that EU authorities interpret
14 10:34:08 sanctions broadly, and that's because they have
15 10:34:13 important public policy objectives.
16 10:34:15 If you look at it from the point of view of the EU,
17 10:34:19 a limited interpretation would allow loopholes to open
18 10:34:24 up.
19 10:34:24 All this is relevant to your task in applying these
20 10:34:29 provisions to give them effect.
21 10:34:33 Looking at the relevant provisions, there are three
22 10:34:36 types. And to show how they are interpreted, we have
23 10:34:43 put on these slides the cases commenting on the language
24 10:34:46 that they use, and where there is no case on the
25 10:34:50 specific language of the regulation that we're using, we

01 10:34:53 use language that's identical in another sanction, and
02 10:34:58 that is the approach that the CJEU takes.
03 10:35:03 So the first prohibition relates to sanctioned
04 10:35:06 entities and there are two separate restrictions and
05 10:35:09 both are on screen together. Looking at the language of
06 10:35:14 article 2(2) first, we highlight the language it uses on
07 10:35:21 the right and then comment on it on the left.
08 10:35:24 So first, you must have made available funds or
09 10:35:28 economic resources. This has been held to have a broad
10 10:35:32 meaning and it covers anything which allows a sanctioned
11 10:35:36 person to have access directly or indirectly to an
12 10:35:41 economic resource.
13 10:35:43 Second, those words "directly or indirectly"
14 10:35:47 indicate that you cannot make funds available through an
15 10:35:51 intermediary. You cannot use a middleman.
16 10:35:56 The CJEU has explained that as long as it's possible
17 10:36:01 for the funds to be passed on to a sanctioned entity,
18 10:36:05 then this is a violation.
19 10:36:07 Confirming that, third, there is a violation if
20 10:36:12 funds may or is likely to benefit a sanctioned party.
21 10:36:20 Let's move regulation. So this is the next one,
22 10:36:23 it's the broad interpretation of article 5aa(1), and
23 10:36:28 then first, transaction, that is to be interpreted
24 10:36:32 broadly and regulation 269 has a definition of
25 10:36:37 "transaction", and that's relevant therefore to both

01 10:36:41 this and regulation 833.

02 10:36:45 Three points on that definition.

03 10:36:48 So it includes a transaction in any form whatsoever,

04 10:36:53 the transaction could be a chain of one or more

05 10:36:58 transactions and these can involve different parties or

06 10:37:03 points in the chain.

07 10:37:06 So to finish this one, it applies both directly or

08 10:37:09 indirectly as before, so a breach can again be via an

09 10:37:15 intermediary.

10 10:37:19 The second form of prohibition relates to the CBR,

11 10:37:24 the Central Bank of Russia, and it was crucial to the

12 10:37:28 Russian war effort, and this sanction prohibits

13 10:37:32 transactions related to the management of the assets and

14 10:37:36 reserves of the CBR.

15 10:37:39 So breaking it down, again, transaction has the same

16 10:37:42 meaning as before. Second, reserves are a type of asset

17 10:37:48 and they include foreign exchange, which is one of the

18 10:37:51 most important reserves. And third, management. That

19 10:37:57 includes increasing or preserving assets or reserves.

20 10:38:05 The third and final form of prohibition relied on

21 10:38:10 relates to circumvention provisions, and they are

22 10:38:14 applicable alongside the prohibitions we have already

23 10:38:18 looked at, and circumvention of a sanction is broader

24 10:38:24 than a violation of it.

25 10:38:28 On the slides you get this from the words, "avoid

01 10:38:33 the constituent elements of an infringement".

02 10:38:36 So by necessity, here you have not met the elements

03 10:38:42 needed for a direct violation and infringement, but you

04 10:38:47 have, by avoiding these elements, by not doing them,

05 10:38:52 circumvented the provision. You have frustrated the

06 10:38:57 sanction and caused it to fail, despite not violating it

07 10:39:03 directly.

08 10:39:04 So this is much wider in scope than the violation

09 10:39:08 itself and this is also important in your task of

10 10:39:12 applying these known circumvention prohibitions to give

11 10:39:15 them effect.

12 10:39:17 Finally, circumvention also requires an element of

13 10:39:22 knowledge and intent by the EU party.

14 10:39:28 Next, the operation of the payment mechanism. So

15 10:39:31 claimant, you have seen this before, but claimant has

16 10:39:33 created this graphic as an illustration of this. From

17 10:39:38 the left, in dark blue, PPD first pays to its euro "K"

18 10:39:45 account at Gazprombank, which is in light blue also on

19 10:39:49 the left.

20 10:39:51 Now, Gazprombank was, as a matter of banking

21 10:39:54 practice, PPD's agent, and we will cover that role

22 10:39:58 shortly. And on this graphic, where you see a step

23 10:40:03 taken by Gazprombank as agent for PPD as principal, they

24 10:40:10 are in small black boxes.

25 10:40:12 So the next step is that on behalf of PPD,

01 10:40:17 Gazprombank sends PPD's euros to the NCC, and that's in
02 10:40:22 the centre bottom circle.
03 10:40:26 The NCC gathered PPD's euros and the Russian buyer's
04 10:40:33 roubles and then it transacts the exchange from euros at
05 10:40:39 the bottom to roubles shown just above. That
06 10:40:45 conversion, the currency conversion happens on MOEX, the
07 10:40:50 Moscow exchange.
08 10:40:54 Looking to the right, the euros then go to the buyer
09 10:40:58 of euros and the roubles, looking up, go to PPD's rouble
10 10:41:05 "K" account, that's the second box from the top, and
11 10:41:10 then to Gazprombank, the Gazprom account at Gazprombank,
12 10:41:19 and Gazprom is shown in dark blue at the top.
13 10:41:23 So two points about how the payment mechanism
14 10:41:26 operated. First, the gas buyer was involved as
15 10:41:30 a participant throughout the entire procedure and that's
16 10:41:34 clear from the 1 April letter and decree 172; you
17 10:41:40 received the roubles in exchange for the euros that you
18 10:41:44 gave at the start of the transaction and you pay Gazprom
19 10:41:48 in roubles, right at the end of the transaction. So it
20 10:41:53 matters to you how you got hold of the roubles and what
21 10:41:58 happened to your euros.
22 10:42:00 You cannot just pay into your euro "K" account, the
23 10:42:05 first step, and not care what happens next. It's not
24 10:42:10 like a fire-and-forget process. You are being asked to
25 10:42:14 trigger the entire sequence.

01 10:42:17 So second, Gazprom has consistently confirmed that
02 10:42:22 Gazprombank acted for and on behalf of PPD. And that's
03 10:42:27 right, because Gazprombank's letter to PPD, which was
04 10:42:31 attached to the 1 April 2022 letter, required
05 10:42:36 pre-authorisation instructions from the gas buyer of the
06 10:42:41 whole procedure. The entire process took place because
07 10:42:46 the gas buyer asked for it to happen. The gas buyer was
08 10:42:50 the principal and Gazprombank was the agent in the
09 10:42:55 payment process.
10 10:42:56 So performance of every step was based on the gas
11 10:43:02 buyer's orders.
12 10:43:03 If all this seems very complex to those here, which
13 10:43:08 it is, then we may approach this the way that
14 10:43:12 international bankers are trained to.
15 10:43:15 PPD says that to an international banker, this
16 10:43:19 complex payment mechanism triggers red flags on an
17 10:43:23 industrial scale.
18 10:43:26 On the state of the expert and other evidence, PPD
19 10:43:31 will present two experts to you. One, Mr Boublik, who
20 10:43:38 had that red flag opinion above, was the former COO of
21 10:43:44 the largest private sector bank in Russia, Alfa-Bank.
22 10:43:47 And the other is Mr Papadia, who was a central banker at
23 10:43:52 the European Central Bank.
24 10:43:56 Gazprom advances no banking evidence, only more
25 10:44:01 legal submissions which we address as counsel.

01 10:44:08 Moving on, the payment mechanism breached each of
02 10:44:13 the prohibitions that we introduced earlier and we take
03 10:44:16 each of those three groups in turn.
04 10:44:19 First, on the prohibition of funds directly or
05 10:44:23 indirectly made available to sanctioned entities under
06 10:44:28 article 2(2) of regulation 269, three authorities really
07 10:44:35 help to show the risks that the gas buyer faced.
08 10:44:40 The first case is Mollendorf and in that the CJEU
09 10:44:46 held that the prohibition to make funds available
10 10:44:51 applies to any mode of making available an economic
11 10:44:55 resource and also any act which flows from the execution
12 10:45:01 of a contract.
13 10:45:04 **So you look at how the euros flowed onwards:** does
14 10:45:09 your payment let euros flow to sanctioned entities?
15 10:45:15 Now, in Mollendorf, the money was to flow from an
16 10:45:20 escrow agent to a sanctioned party. So the escrow agent
17 10:45:25 was between the buyer and the sanctioned party and was
18 10:45:31 going to pass the money on.
19 10:45:35 Sanctions stopped that deal and the payment going
20 10:45:39 through and it didn't matter who was in the middle.
21 10:45:44 So having Gazprombank or the NCC as an intermediary
22 10:45:49 should not shield you in any way. Remember, the words
23 10:45:53 were "directly or indirectly".
24 10:45:57 Now, Mollendorf was about the Taliban sanctions and
25 10:46:01 not the Russian sanctions, although the words "made

01 10:46:05 available" were the same.

02 10:46:08 But in September last year it was confirmed by

03 10:46:12 Advocate General Norkus in the case Ciekuri, so this is

04 10:46:14 relevant to the Russian sanctions. In this case it was

05 10:46:19 **said:** you need to look at whether a sanctioned entity

06 10:46:22 could access the resources.

07 10:46:26 **So a bit like the flow of funds before, you ask:** who

08 10:46:30 can access the funds? Am I placing them where they are

09 10:46:37 available? Again, regardless of the status of any

10 10:46:40 middleman.

11 10:46:43 In the final case, which was on the Libyan

12 10:46:45 sanctions, in SH v TG, the party was to pay

13 10:46:51 a non-sanctioned bank to maintain a bank guarantee, so

14 10:46:55 the payment was for -- it was a fee for the bank to keep

15 10:47:01 the guarantee in place. But the end beneficiary of the

16 10:47:05 **guarantee was sanctioned. It was** held in that case that

17 10:47:09 that payment was not a problem and the funds were not

18 10:47:14 going to be passed to the sanctioned entity; they were

19 10:47:17 not to be passed on at all. They were a payment to the

20 10:47:21 bank for a service, which was setting up the guarantee,

21 10:47:26 so there was no flow to the sanctioned entity. There

22 10:47:29 was no access of funds and nothing was made available.

23 10:47:35 **So for the payment mechanism, you ask:** was it

24 10:47:39 possible for euros to be passed on? And the answer is

25 10:47:43 that they were sent to the NCC, which then needed, it

01 10:47:50 had an obligation under its own rules, to pass them on
02 10:47:53 to the Russian buyer, and Mr Boublik confirms that the
03 10:47:58 NCC must strictly segregate the euros that it was
04 10:48:04 collating away from its own property.
05 10:48:08 So it must not keep these for its own use. The NCC
06 10:48:13 cannot be an end user of the euros and nor does the NCC
07 10:48:20 buy the euros. It doesn't pay anything and it just
08 10:48:25 keeps the collateral and it passes it on.
09 10:48:29 Remember, to breach article 2(2), you just need to
10 10:48:33 show that it must be possible for those funds to be
11 10:48:36 passed on. They do not need to be passed on to
12 10:48:40 a sanctioned entity in order to violate sanctions.
13 10:48:44 So these cases give a wide interpretation to "made
14 10:48:47 available", which guides the tribunal's approach.
15 10:48:53 Now, next, because of the flow of the euros, you
16 10:48:55 must undertake due diligence on who gets them and there
17 10:48:58 were three people who could in theory have been doing
18 10:49:01 sanctions checks on the Russian buyer of the euros.
19 10:49:04 The first was the gas buyer itself or its bank, but
20 10:49:09 Gazprom concedes multiple times that they cannot check
21 10:49:12 who is buying the euros. They deliberately made it
22 10:49:15 impossible to conduct the normal sanctions screens.
23 10:49:21 So the second party is Gazprombank. Maybe they
24 10:49:24 could do that under the irrevocable order that they
25 10:49:29 asked for. But, no, Gazprombank is not doing any

01 10:49:33 sanctions checks either, as Gazprom accepts, on the
02 10:49:36 final recipient of the euros.
03 10:49:40 In theory at least, the third checker would be the
04 10:49:43 NCC who was doing the exchange on the Moscow exchange.
05 10:49:48 But by the same submission, Gazprom accepts that the NCC
06 10:49:53 is not doing any sanctions checks either.
07 10:49:57 This would only not be a problem if Gazprom could
08 10:50:04 prove that there were no sanctioned entities that were
09 10:50:07 trading on MOEX, but it does not even try to do so
10 10:50:12 because the opposite is true.
11 10:50:16 This is because the CBR openly says that there were
12 10:50:20 sanctioned parties such as designated banks buying on
13 10:50:25 MOEX. It says buyers, especially those under the
14 10:50:31 sanctions, were the parties who engaged in foreign
15 10:50:35 exchange purchases on the market.
16 10:50:39 This is from the CBR's own report into the
17 10:50:43 anti-crisis, or we say anti-sanctions measures that it
18 10:50:48 took.
19 10:50:49 Crucially, even in a market where information is
20 10:50:53 being intentionally suppressed, VTB Bank, which has been
21 10:50:58 a sanctioned entity since April 2022, openly admitted in
22 10:51:05 its 2022 annual report that sanctions had caused a drop
23 10:51:12 in foreign exchange liquidity, requiring VTB Bank to
24 10:51:18 purchase foreign exchange from the open market. And
25 10:51:23 MOEX is the largest such market in Russia and Mr Boublik

01 10:51:29 says that sanctioned entities are the largest FX traders
02 10:51:36 on MOEX.
03 10:51:43 The operation of MOEX and the NCC in fact made
04 10:51:45 things worse, because they use something called
05 10:51:48 multilateral netting, and that gathers and sends all the
06 10:51:54 euros to multiple unknown buyers of the euros.
07 10:52:01 So your millions of euros each month gets sent all
08 10:52:05 over. It was much more likely that big batches of them
09 10:52:11 were being sent to any of the sanctioned entities who
10 10:52:14 were seeking them and this was all by design.
11 10:52:20 So the gas buyer presses "send" on the euros, the
12 10:52:24 procedure operates, the euros go off, absolutely
13 10:52:28 unchecked, and sanctioned entities dominate the market
14 10:52:31 that they are sold on.
15 10:52:34 So we say in breach of article 2(2) the euros were
16 10:52:38 made available to those entities, and also in breach of
17 10:52:42 article 5aa(1), this was a transaction with them.
18 10:52:49 Now, for the separate violation related to that
19 10:52:54 prohibition, by way of circumvention, you need to look
20 10:52:58 at whether the activity has the object or effect of
21 10:53:06 circumventing sanctions.
22 10:53:10 So first, the activity, the conduct, that's the gas
23 10:53:13 buyer's continued payment under the payment mechanism.
24 10:53:15 Second, the effect of the payment mechanism was to
25 10:53:21 frustrate sanctions.

01 10:53:23 So maybe you have friends. Maybe they have euros.

02 10:53:27 Maybe they're in banks. Maybe they're in the EU. Then

03 10:53:31 suddenly they're frozen. So that's a problem.

04 10:53:35 Now, Gazprom was not sanctioned. So you make it

05 10:53:43 look like Gazprom are still getting the euros, but

06 10:53:47 they're not. So you leave them where your friends can

07 10:53:52 get them and then you don't have a problem again.

08 10:53:58 Remember that Gazprom was not sanctioned. The idea

09 10:54:03 that the payment mechanism was facilitating

10 10:54:07 non-prohibited payments is a nonsense. Something

11 10:54:13 powerfully deceptive was going on.

12 10:54:19 Worse still, that was the effect, but you must also

13 10:54:22 look at the object, and the object, the purpose of these

14 10:54:27 decrees, was to get around sanctions.

15 10:54:31 So on screen from Gazprom's statement of defence is

16 10:54:35 an open admission that leaves no doubt on this. In the

17 10:54:40 first paragraph of the quote, Gazprom tell us that

18 10:54:44 sanctions are imposed. Next, in the second paragraph in

19 10:54:50 response to sanctions, unfriendly countries are listed.

20 10:54:53 And then finally, in this context, ie the context of the

21 10:54:58 sanctions, decree 172 was issued.

22 10:55:02 President Putin said the same thing, and that is the

23 10:55:04 reference on the end of this slide.

24 10:55:06 So whether you find that there has been a direct

25 10:55:09 violation or a circumvention, the payment mechanism

01 10:55:14 violates sanctions.

02 10:55:18 The second form of the prohibition relates to the

03 10:55:21 management of the reserves and assets of the CBR and

04 10:55:26 this violation is helped by a diagram, again this is

05 10:55:30 claimant's diagram.

06 10:55:33 The first slide shows sources of euros on the left,

07 10:55:38 and users or people needing euros on the right, plus

08 10:55:45 a chart showing financial stability.

09 10:55:50 So on the first slide, before the war and sanction,

10 10:55:54 Russian companies, MOEX trading members, there on the

11 10:55:57 middle right, were always able to go to MOEX to sell

12 10:56:05 roubles and buy euros that they would need.

13 10:56:09 If there were not enough euros, which would lead to

14 10:56:13 a rouble devaluation, then the CBR intervened, and

15 10:56:19 that's shown on the top left. It could sell the euros

16 10:56:23 which it held in the EU and take roubles, that's shown

17 10:56:27 to the top right, and that maintained rouble stability

18 10:56:33 because there was a balance between supply and demand.

19 10:56:38 So the next slide shows the changed position after

20 10:56:42 the CBR's euro reserves in Europe were frozen by

21 10:56:46 sanctions, the CBR can't use them anymore to balance

22 10:56:50 supply and demand, and that led to a very well-reported

23 10:56:57 rouble devaluation.

24 10:56:58 The CBR called it a panic in the financial market

25 10:57:03 and the CBR was forced to use its finite, its limited

01 10:57:07 euro reserves in Russia to intervene, because it no
02 10:57:11 longer had any other euros to use.
03 10:57:15 But at the bottom you'll see that gas buyers at this
04 10:57:18 point are still undisturbed by Russia's problems; they
05 10:57:23 were still happy, they were still paying Gazprom in
06 10:57:26 euros under their contracts.
07 10:57:28 But next, the payment mechanism told all of the gas
08 10:57:33 buyers to sell all of their euros on MOEX and start
09 10:57:37 getting involved in the Russian economy, and there were
10 10:57:41 two impacts of this.
11 10:57:42 First, the CBR is a MOEX member. It particularly
12 10:57:49 needed to buy euros on MOEX in exchange for roubles,
13 10:57:53 which it's doing at the top right.
14 10:57:55 So this is now doing the same as with sanctioned
15 10:57:58 entities earlier. The payment mechanism is providing
16 10:58:02 a pool of extra euros, an opportunity for it to buy
17 10:58:07 euros, and it could do that cheaply because the euros
18 10:58:10 were flooding in from all gas buyers at the end of each
19 10:58:13 month and whenever there's an excess available, they
20 10:58:17 would be cheaper, they weren't scarce.
21 10:58:19 So buying them would increase the reserves of the
22 10:58:24 CBR.
23 10:58:26 Second, by forcing gas buyer euros onto MOEX, there
24 10:58:31 was no panic. Euro demand was satisfied. There were
25 10:58:35 lots of euros.

01 10:58:37 So the CBR knew what euro payments were made and
02 10:58:43 they knew what buyers needed them, due to controls in
03 10:58:48 reporting within Russia. So it could co-ordinate and
04 10:58:52 balance supply and demand, buying and selling, and that
05 10:58:55 reduced instability.
06 10:58:59 So for both of those last two, the CBR did not need
07 10:59:04 to put its euros in, so it was able to preserve its
08 10:59:09 limited stocks of euros.
09 10:59:13 Mr Boublik and Mr Papadia confirm that both an
10 10:59:17 increase to and a preservation of foreign currency in
11 10:59:23 banking equates to management, and their opinions are on
12 10:59:26 this slide.
13 10:59:27 The EU Council has confirmed the objective of this
14 10:59:37 sanction and made it clear that it's not restricted only
15 10:59:41 to the CBR's frozen assets in the EU.
16 10:59:47 So the EC FAQs have no geographic limit, they use
17 10:59:52 a broad interpretation and you must not restrict its
18 10:59:56 scope. So euros within and outside the EU should fall
19 11:00:02 within the prohibition.
20 11:00:04 Also, the wording of article 5a(4), which talks of
21 11:00:11 assets and reserves of the CBR, means that it applies to
22 11:00:16 those assets and reserves which the CBR already holds
23 11:00:20 and those it might obtain.
24 11:00:23 The payment mechanism allow both buying and
25 11:00:27 preserving, and the suggestion that you are banned from

01 11:00:31 dealing with the CBR's existing reserves, but allowed to
02 11:00:36 help it get new reserves, would make the sanction
03 11:00:39 pointless.
04 11:00:42 Finally, the separate violation related to the CBR,
05 11:00:47 the circumvention of the restriction above. So PPD's
06 11:00:51 submissions on this are as before. The logic is the
07 11:00:55 same. The objective of EU sanctions was to reduce the
08 11:01:01 financial resources available to the Russian State and
09 11:01:05 that was done by removing the CBR's access to euro
10 11:01:09 reserves.
11 11:01:12 It was to limit the CBR's ability to intervene in
12 11:01:16 foreign exchange market, to smooth the market.
13 11:01:19 The payment mechanism circumvented that objective
14 11:01:23 because it allowed the CBR to support the rouble and
15 11:01:28 support the war.
16 11:01:29 So even again, if there is no breach of the
17 11:01:32 violation of the prohibition, there is a breach by
18 11:01:36 circumvention of the prohibition.
19 11:01:41 That concludes the analysis of the breaches of the
20 11:01:43 relevant sanctions.
21 11:01:47 PPD submits the payment mechanism violated one, more
22 11:01:50 or all of those restrictions, and in terms of
23 11:01:55 consequences, any obligation requiring a party to act in
24 11:02:01 a way that breaks the law is a breach of good morals
25 11:02:05 under the law governing the contract and its

01 11:02:08 modification, and that's Austrian law.

02 11:02:12 So by way of section 879 ACC, the tribunal is

03 11:02:17 required under mandatory public policy, Eco Swiss law,

04 11:02:24 to find that any modification requiring the payment

05 11:02:27 mechanism is null and void.

06 11:02:40 That concludes our submissions on sanctions.

07 11:02:43 **PRESIDENT:** Thank you. Thank you very much.

08 11:02:45 We will now take a 20-minute break and we will

09 11:02:48 resume at 22 of the hour, 11.22.

10 11:02:56 (11.02 am)

11 11:02:59 (Short break)

12 11:03:00 (11.24 am)

13 11:24:28 **PRESIDENT:** So we're back on record.

14 11:24:32 I suggest it's a good moment to confirm who is in

15 11:24:37 attendance via video conferencing, and I will now invite

16 11:24:42 the respondent to indicate who will be joining today for

17 11:24:48 the rest of the day through the videolink this hearing.

18 11:24:52 **MR TALANOV:** Thank you. Prof Hildebrand, the expert on

19 11:24:56 anti-trust issues, is joining online. Thank you.

20 11:25:02 **PRESIDENT:** Thank you. Claimant?

21 11:25:04 **MR HAUGENEDER:** From our side nobody is joining online.

22 11:25:10 Before, I should have mentioned that also Mr Riechmann,

23 11:25:15 Mr Van Huystee and Ms Baum from Frontier are in

24 11:25:18 attendance personally.

25 11:25:21 **PRESIDENT:** Can you confirm, I understand Dr Hildebrand is

01 11:25:25 connecting from Germany?

02 11:25:26 **MR TALANOV:** That is correct.

03 11:25:28 **PRESIDENT:** Where are Mr Riechmann and Ms Baum?

04 11:25:40 **MR HAUGENEDER:** They are here.

05 11:25:41 **PRESIDENT:** Okay, but they're in attendance?

06 11:25:44 **MR HAUGENEDER:** Yes, they're in attendance.

07 11:25:45 **PRESIDENT:** Okay, I get it now. I apologise. I did not

08 11:25:48 understand.

09 11:25:52 We are going to continue with the presentation and

10 11:25:54 we have planned the presentation to end at 1.20. So you

11 11:26:08 have the floor now.

12 11:26:10 **MR HOLLAND:** Thank you.

13 11:26:11 Members of the tribunal, thank you. On timing,

14 11:26:13 there will be another natural break in about one and

15 11:26:18 a half hours and if it would be convenient to take

16 11:26:22 a short break then for the transcriber, I hope the

17 11:26:27 tribunal or they will indicate.

18 11:26:31 But for now, PPD next claims that the imposition of

19 11:26:37 new and unfair commercial terms in Gazprom's 1 April and

20 11:26:42 5 May 2022 letters, to change the payment mechanism

21 11:26:48 under the threat of the end of gas supplies, was void as

22 11:26:54 it violated article 102 TFEU.

23 11:26:59 PPD's submissions on this are as follows.

24 11:27:02 First, that Gazprom was dominant in the relevant

25 11:27:04 market.

01 11:27:05 Second, that the terms that Gazprom imposed were
02 11:27:09 unfair trading terms and that they cannot be considered
03 11:27:14 to be normal market practice.
04 11:27:17 Third, that Gazprom cannot apply the state
05 11:27:21 compulsion doctrine.
06 11:27:24 So first, to find that Gazprom was dominant, for PPD
07 11:27:29 you will be hearing from Dr Riechmann, and he is
08 11:27:32 a competition economist specialising in gas and energy
09 11:27:36 markets.
10 11:27:37 And some points for you to have in your mind as you
11 11:27:42 consider the competing expert evidence.
12 11:27:46 Now, first, there is a rulebook for you, and Gazprom
13 11:27:52 agrees that this is the European Commission's Market
14 11:27:54 Definition Notice, or MDN. The parties agree that
15 11:28:00 following the MDN, there are two steps in the dominance
16 11:28:04 assessment.
17 11:28:05 The first is the establishment of the relevant
18 11:28:08 product and geographic market, and the second is the
19 11:28:11 assessment of the market position of Gazprom within that
20 11:28:15 market.
21 11:28:16 Starting with product market, the only relevant
22 11:28:19 disagreement concerns whether LNG is part of the
23 11:28:25 relevant product market after 2021, and the appropriate
24 11:28:31 comparison used by the European Commission looks at the
25 11:28:35 interchangeability of products.

01 11:28:39 Dr Riechmann concludes that during 2021, it was not
02 11:28:44 always cost-economic to switch from PNG, pipeline
03 11:28:49 natural gas, to LNG, liquefied natural gas.
04 11:28:53 The correct way to look at that is through the SSNIP
05 11:28:55 test. When prices were in the shaded area on the slide,
06 11:29:00 LNG was more than the 5 or 10 per cent more expensive
07 11:29:06 than pipe gas, which is the standard set in that SSNIP
08 11:29:10 test.
09 11:29:12 Then in 2022, the gas crisis happened and gas prices
10 11:29:17 rose to more than 400 per cent higher than was normal.
11 11:29:23 The MDN says that the SSNIP test will be unreliable
12 11:29:29 outside of normal market conditions.
13 11:29:31 So what a gas buyer might buy in a crisis is not
14 11:29:36 reliable evidence of its choice to switch between
15 11:29:39 products.
16 11:29:41 Because of this, Dr Riechmann's product market
17 11:29:44 definition leaves this LNG issue open, and it's common
18 11:29:49 for the European Commission to leave things open, which
19 11:29:52 means undecided, and he does this because if you agree
20 11:29:58 with him on the geographic market, then nothing turns on
21 11:30:04 this LNG issue.
22 11:30:06 So moving, then, to the geographic market, this
23 11:30:11 should be an integrated Croatia and Hungary market, and
24 11:30:16 what you are looking for between them is homogeneity.
25 11:30:21 The test is on screen now, and it's set out in the MDN,

01 11:30:26 and Gazprom agrees with this test.

02 11:30:31 So you need to look at whether the conditions for

03 11:30:36 competition in Croatia are sufficiently homogenous to

04 11:30:42 the nextdoor market in Hungary.

05 11:30:45 Are the two markets similar enough to be considered

06 11:30:49 integrated for gas? Can cross-border deals be done?

07 11:30:55 You don't need perfect harmony, just sufficient

08 11:30:59 homogeneity.

09 11:31:01 The MDN sets out five categories of evidence to

10 11:31:06 assess. These may be relevant, but you don't need to

11 11:31:10 answer all of them in toto. Each is, if you like,

12 11:31:14 a plus factor when you look at them together.

13 11:31:17 So you must carefully check for evidence and data in

14 11:31:22 both markets to see what barriers or opportunities there

15 11:31:26 are. And what Gazprom hopes that it will be able to

16 11:31:31 show you, in order for it to be correct, and what you'll

17 11:31:35 be looking for in the evidence, are things that make

18 11:31:39 Croatia and Hungary distinct, like all of these features

19 11:31:45 on screen.

20 11:31:48 Gazprom will not be able to show you that any of

21 11:31:50 these features on screen exist as a barrier to

22 11:31:54 integration, because the opposite is true.

23 11:31:58 They all speak in favour of integration. That's

24 11:32:03 because rational operators can buy in Hungary if Croatia

25 11:32:08 is more expensive and the other way around. That's

01 11:32:12 because these two countries are homogenous markets.

02 11:32:18 Then there is an odd thing. So I said just now in

03 11:32:22 relation to the product market that Prof Hildebrand for

04 11:32:28 Gazprom wants to include LNG. That's ships arriving in

05 11:32:34 Croatia. But she then says that this LNG when it

06 11:32:40 arrives in Croatia is just travelling, transiting from

07 11:32:44 Croatia to Hungary, and she does not account for it as

08 11:32:48 gas supply in Croatia.

09 11:32:50 No way, we say. You should either exclude this LNG

10 11:32:58 arriving in Croatia because it's too expensive, or you

11 11:33:02 should take account of it consistently with the fact

12 11:33:05 that it is in Croatia. You have to do this, because you

13 11:33:08 can't test whether Croatia and Hungary are homogenous

14 11:33:14 without doing so.

15 11:33:15 This gas is moving freely today from Croatia to

16 11:33:19 Hungary, and that's powerful evidence that they are the

17 11:33:26 same market.

18 11:33:28 Next, prices. Prof Hildebrand compares PPD's sales

19 11:33:36 prices in Hungary and Croatia. But we are doing an

20 11:33:43 assessment of Gazprom's dominance. So we need to look

21 11:33:47 at Gazprom's prices, at its level in the market.

22 11:33:52 Price will not help you of course if you are looking

23 11:33:56 one step down the contract chain, and it would have been

24 11:34:00 better for Gazprom to compare its downstream wholesale

25 11:34:05 prices because it has them for both Hungary and Croatia,

01 11:34:09 and that was not done.

02 11:34:12 Once you adjust PPD's prices to account for the

03 11:34:16 different commercial terms that were offered in its

04 11:34:20 contracts, they are closely homogenous anyway, if you

05 11:34:24 look at the left-hand side of this graph, but until the

06 11:34:30 difference in commercial terms get all skewed by the gas

07 11:34:35 crisis, which happens further to the right.

08 11:34:40 Now, Prof Hildebrand has also last week compared

09 11:34:43 prices from a survey in Croatia to Hungarian

10 11:34:49 CEEGEX-traded prices, and yet again and obviously,

11 11:34:53 comparing a survey of average prices with traded actual

12 11:34:58 spot prices is comparing apples and oranges and they are

13 11:35:03 bound to be different.

14 11:35:06 Before leaving geographic market, you will also hear

15 11:35:09 more about the Gazprom decision.

16 11:35:12 This was a finding of Gazprom's dominance in Hungary

17 11:35:18 and several other CEE countries, but not Croatia,

18 11:35:21 because Croatia had not at that time joined the EU.

19 11:35:28 The European Commission noted three other factors

20 11:35:33 that it considered to be of relevance, and they overlap

21 11:35:38 a bit with the five before in the MDN, but they are

22 11:35:42 specific to gas markets.

23 11:35:45 So Dr Riechmann has noted all of these too, but he

24 11:35:50 concludes that they no longer apply because Croatia and

25 11:35:55 Hungary are now much better connected.

01 11:35:58 I mean, when it joined the EU, for example, Croatia
02 11:36:02 immediately was more homogenous with Hungary than the
03 11:36:07 period under study in the decision.
04 11:36:12 So when you have made your decision about pipeline
05 11:36:16 natural gas plus LNG or not, and then either Croatia
06 11:36:20 plus Hungary or just Croatia, you can then assess
07 11:36:26 Gazprom's market position within that relevant market.
08 11:36:32 You can refer to Gazprom's position through its market
09 11:36:35 shares, but also the competitive constraints on it.
10 11:36:42 These include two things. Firstly, was Gazprom an
11 11:36:45 unavoidable trading partner, and secondly, could it act
12 11:36:50 independently of its customers?
13 11:36:52 So there's three indicators. First, market shares.
14 11:37:01 **On this, the question first is:** what gas is Gazprom's
15 11:37:05 gas? So you need to see what share of gas is Gazprom's
16 11:37:09 in the market.
17 11:37:13 Gazprom is the monopoly seller of Russian PNG. So
18 11:37:17 if the gas through -- if the gas comes from Russia, it's
19 11:37:25 via Gazprom, whether it's direct or indirect, and so
20 11:37:28 it's quite easy to account for. Much easier than other
21 11:37:33 products. And it's also quite intuitive.
22 11:37:34 And Gazprom, because it's a monopoly, can structure
23 11:37:41 the contract as it chooses and it can sell gas through
24 11:37:46 intermediaries by an indirect sale, who can then sell on
25 11:37:52 that gas into the relevant market.

01 11:37:55 So with Gazprom and gas markets to not account for
02 11:38:00 these indirect sales will under-represent and
03 11:38:05 under-report what Gazprom's share truly is.
04 11:38:10 This need to take into account indirect sales is
05 11:38:14 spelt out in the Gazprom decision and also the BEH Gas
06 11:38:20 decision which was in Bulgaria, it was another gas
07 11:38:23 market in the CEE. It reconfirmed that yet again.
08 11:38:28 Prof Hildebrand acknowledges that Gazprom's indirect
09 11:38:33 sales via traders, hub, and intermediaries may fall
10 11:38:39 within the scope of assessment of Gazprom's dominance.
11 11:38:44 But then another odd thing happens. Prof Hildebrand
12 11:38:50 applies selected and we say invented criteria to
13 11:38:57 Gazprom's indirect sales to artificially whittle them
14 11:39:02 down. And this is important, because the effect of that
15 11:39:06 step is so limiting to the indirect sales that basically
16 11:39:13 you would only be looking at Gazprom's direct sales.
17 11:39:17 As pointed out by Dr Riechmann, all -- its small
18 11:39:21 text, but all of those red types of very common indirect
19 11:39:28 sale of Gazprom's gas would just be ignored.
20 11:39:31 On that basis, Gazprom would never be dominant, it
21 11:39:34 would just engineer its contracts in one of these ways.
22 11:39:42 So if you were to agree with PPD on that point, and
23 11:39:46 not apply those filters, then that would be enough to
24 11:39:51 reach a conclusion that Gazprom was dominant.
25 11:39:56 Now, it's normal to take annual data, and for 2022,

01 11:40:00 for April 2022, when Gazprom's market share by the way
02 11:40:04 was dropping anyway because it was cutting everybody
03 11:40:07 off, Dr Riechmann finds 54 per cent, if you see the top
04 11:40:13 row, for 2022. And even if LNG is included for 2022,
05 11:40:18 it's 45 per cent.
06 11:40:21 The parties agree that a market share above
07 11:40:26 50 per cent triggers a presumption of dominance and also
08 11:40:31 that at 40 per cent you are at the danger zone where
09 11:40:35 dominance is likely to be found, but with some
10 11:40:40 additional evidence.
11 11:40:43 The evidence does establish dominance because the
12 11:40:45 **second indicator of dominance is:** was Gazprom an
13 11:40:51 unavoidable trading partner?
14 11:40:55 You test this by taking away all of Gazprom's gas
15 11:40:58 from the relevant market. Dr Riechmann conducted this
16 11:41:02 analysis for Croatia and Hungary and he found that
17 11:41:06 demand for gas in Croatia and Hungary could not be met
18 11:41:11 fully without Gazprom's gas, nor if you look in the
19 11:41:16 wider import zone, which is all the countries that could
20 11:41:22 feed gas to Croatia and Hungary.
21 11:41:26 So there wasn't enough gas to meet demand and by
22 11:41:30 definition, Gazprom was an unavoidable trading partner.
23 11:41:35 You could not do without Gazprom's gas. You would run
24 11:41:39 out.
25 11:41:43 The third and final indicator of dominance is that

01 11:41:47 PPD could not constrain Gazprom's actions.

02 11:41:51 Now, when Gazprom reduced gas supplies to Europe,

03 11:41:58 the whole market reacted. Nobody could push back.

04 11:42:03 Everybody was affected. Huge gas giants like Uniper

05 11:42:10 failed.

06 11:42:11 So in those two years, 2021 and 2022, Gazprom had

07 11:42:16 huge leverage. It's not credible that everybody in the

08 11:42:21 gas industry was wrong about this. And only a dominant

09 11:42:26 firm would be capable of imposing those disadvantageous

10 11:42:32 and uncommercial payment terms in April 2022.

11 11:42:36 If Gazprom was not dominant, everybody, including

12 11:42:40 PPD, would have just refused to accept those amendments

13 11:42:44 and found gas elsewhere.

14 11:42:47 So on the basis of all that evidence, those three

15 11:42:50 indicators, Dr Riechmann finds that Gazprom was dominant

16 11:42:54 in the relevant market in 2022.

17 11:43:00 But if you were to find a Croatia-only market, there

18 11:43:06 would be one more step for you to take, and looking on

19 11:43:10 screen for the column 2022, at the bottom are three rows

20 11:43:16 with market shares contended for just in Croatia by

21 11:43:20 Prof Hildebrand.

22 11:43:23 You might see straight away that Gazprom's 2022

23 11:43:26 market share is only, at most, 13 per cent. And that's

24 11:43:31 a fraction of the contract's annual contracted quantity,

25 11:43:36 and the lowest share is zero. That's strikingly low,

01 11:43:44 because Dr Riechmann is calculating 44 per cent at the
02 11:43:48 top.
03 11:43:49 Now, there are two reasons for that wide difference.
04 11:43:51 The first is that Prof Hildebrand excludes Gazprom's
05 11:43:58 direct sales to PPD under the contract itself from the
06 11:44:03 dominance analysis in Croatia.
07 11:44:09 The contract was the largest gas supply contract in
08 11:44:11 Croatia and under it, Gazprom's title to the gas was
09 11:44:16 held onto, right up to the delivery point in Croatia.
10 11:44:21 So you cannot ignore that the contract involved gas
11 11:44:26 sent by Gazprom to Croatia.
12 11:44:31 Gazprom's error arises from the impact of the GTA
13 11:44:36 and the swap agreements.
14 11:44:39 This error is even worse than the idea of ignoring
15 11:44:42 indirect sales that you saw earlier, because this is now
16 11:44:47 ignoring a direct sale.
17 11:44:51 This is all because PPD was in charge of helping
18 11:44:57 Gazprom with its duty to deliver gas under the contract
19 11:45:01 from Hungary to Croatia, to the delivery point in
20 11:45:04 Croatia.
21 11:45:08 So the argument is just not sustainable.
22 11:45:11 Anyway, even if you were to see that Gazprom's PNG
23 11:45:17 was accountable in Hungary, not Croatia, which is wrong,
24 11:45:23 for a swap under the swap agreements, you need something
25 11:45:26 to swap it with. You need something to swap the

01 11:45:30 contract's gas with. And it was swapped with LNG that
02 11:45:34 was in Croatia. Hungary is landlocked.
03 11:45:38 So whether you start with the contract's gas in
04 11:45:41 Croatia as we say, or if you swap it in either of the
05 11:45:48 two ways on the slide at the moment, on all the
06 11:45:53 approaches, it's right to allocate all of the contract's
07 11:45:58 volumes to Croatia, where they're delivered, and to
08 11:46:01 Gazprom, who supplied them.
09 11:46:05 There's one more reason for those very low Croatia
10 11:46:08 market shares before. The second reason is that in
11 11:46:12 Prof Hildebrand's first or primary market share
12 11:46:16 analysis, there is inflation of the total size of the
13 11:46:22 Croatian market, to completely unrealistic levels.
14 11:46:27 This is done by adding trading volumes.
15 11:46:32 They're not part of the relevant market. You can
16 11:46:34 trade a molecule of gas countless times before it
17 11:46:38 reaches a user. Introducing trading volumes introduces
18 11:46:44 double counting in the actual gas that's there. That
19 11:46:48 succeeds, of course, by raising the total market size,
20 11:46:52 it succeeds in lowering Gazprom's share in it.
21 11:46:55 If you look at the table on the top far right-hand
22 11:46:59 side, the total size at the top right is an outlier
23 11:47:07 against the other amounts, including Prof Hildebrand's
24 11:47:11 other calculation.
25 11:47:14 So when you correct Gazprom's share and the total

01 11:47:19 market size, you get to that 44 per cent again.

02 11:47:23 That remains above the danger level for a finding of

03 11:47:27 dominance and you apply once again those two further

04 11:47:31 tests, and we repeat our position on unavoidable trading

05 11:47:36 partner and conduct.

06 11:47:38 So, even if you did look in a Croatia-only market,

07 11:47:42 which we don't agree with, Dr Riechmann holds that

08 11:47:46 Gazprom is dominant nevertheless.

09 11:47:51 The second part of PPD's submission is that Gazprom,

10 11:47:54 as a dominant undertaking, had a special responsibility

11 11:47:58 under European law not to allow its conduct to impair

12 11:48:03 competition.

13 11:48:05 There are three conditions for an unfair term that

14 11:48:10 constitutes an abuse of dominance under article

15 11:48:13 102(a) TFEU. They're on the slide. They were confirmed

16 11:48:21 by the European Commission in Apple streaming.

17 11:48:24 So the first condition, Gazprom imposed the payment

18 11:48:27 mechanism on PPD, and we just established that on our

19 11:48:33 submissions on duress.

20 11:48:36 On the second condition, the terms of Gazprom's

21 11:48:40 1 April letter were unfavourable and detrimental to PPD.

22 11:48:45 You heard that as well.

23 11:48:48 But on screen are each of the detrimental terms.

24 11:48:51 You know, not least the threat to be cut off with gas,

25 11:48:54 banking arrangements.

01 11:48:57 And just maybe taking a step back, none of this is
02 11:49:00 normal. It's not normal in the gas industry in the
03 11:49:04 middle of a war to be asked to pay money into the
04 11:49:07 economy of another country.
05 11:49:09 It's obviously against the interests of a commercial
06 11:49:13 trading partner that just wants to buy gas for delivery
07 11:49:17 in its home state.
08 11:49:20 So next, on the third and final condition, the terms
09 11:49:26 imposed by Gazprom to implement decree 172 were not
10 11:49:32 objectively necessary, the third part of the test.
11 11:49:37 So we saw decree 172s 172 and 254 before. Now, they
12 11:49:43 don't mention, when you read them, anywhere in their
13 11:49:48 text at all, how Gazprom should implement those decrees,
14 11:49:56 what the decrees said.
15 11:49:58 On this slide are some of the steps which the
16 11:50:01 decrees could have necessitated. They're steps that
17 11:50:07 they could have prohibited Gazprom, by law, from doing,
18 11:50:11 but they absolutely did not. They didn't add any
19 11:50:15 implementation rules for Gazprom on how it was to
20 11:50:20 proceed.
21 11:50:23 Gazprom's implementation steps therefore have no
22 11:50:28 basis in the words of decree 172 and they were not
23 11:50:31 necessary.
24 11:50:34 When Gazprom says in its defence submission that its
25 11:50:39 1 April 2022 letter corresponded exactly to decree 172,

01 11:50:45 that is not correct.

02 11:50:48 Also, as shown on the slide, there were no

03 11:50:51 efficiencies or benefits produced to buyers or consumers

04 11:50:58 using Gazprom's gas that would excuse the term from

05 11:51:02 being imposed.

06 11:51:04 The opposite was the case.

07 11:51:07 Gazprom unnecessarily over-implemented decree 172.

08 11:51:12 It was not necessary for a legitimate purpose and

09 11:51:18 Gazprom ignored the other options that it has.

10 11:51:23 So the term was unfair and meets all three tests

11 11:51:28 under article 102.

12 11:51:33 Moving on to the third and final part of this

13 11:51:35 submission, Gazprom can't rely either on the doctrine of

14 11:51:39 state compulsion. This is a narrow doctrine that would

15 11:51:45 abrogate it of all its responsibilities under

16 11:51:49 competition law.

17 11:51:51 Gazprom accepts, and this is on screen, it's

18 11:51:54 a reference from its last submission, that it only

19 11:51:58 applies where a state leaves a company without any

20 11:52:04 possibility to act in a competitive way.

21 11:52:09 That test is from the leading case, the CJEU's

22 11:52:13 decision in Ladbroke Racing. The test is put in

23 11:52:19 similarly absolute terms by the CJEU in Irish Sugar.

24 11:52:26 That's at the bottom. There were two points made in

25 11:52:29 that bottom extract from the last case that are worth

01 11:52:34 noting. First, it makes clear that the burden to prove
02 11:52:40 state compulsion is on Gazprom, and second, that Gazprom
03 11:52:45 must show that it was deprived of all independent choice
04 11:52:50 in its commercial policy.
05 11:52:54 Gazprom fails on both. First, it has not met its
06 11:52:58 burden. Gazprom is subject to EU competition law. It's
07 11:53:03 been investigated many times.
08 11:53:05 And in 2022, in PGNiG, a Polish gas company in
09 11:53:09 commission, the general court held specifically in
10 11:53:14 relation to the state compulsion defence that Gazprom is
11 11:53:18 now maintaining, and specifically applicable to
12 11:53:23 Gazprom's own actual conduct and its own actual
13 11:53:25 ownership and control structure, that, first, due to the
14 11:53:32 restrictive nature of the defence, a factual and legal
15 11:53:40 analysis must take place of the autonomy of Gazprom.
16 11:53:45 Second, what actual evidence is there of the
17 11:53:49 interventions of Russia in Gazprom's decisions?
18 11:53:54 Here, there is no evidence, other than the words of
19 11:53:58 decree 172 itself and the way it was drawn up, which
20 11:54:04 could satisfy Gazprom's burden.
21 11:54:06 And secondly and anyway, decree 172 did not take
22 11:54:11 away all of Gazprom's independent choice.
23 11:54:16 Due to the decree's silence on implementation, which
24 11:54:20 we just saw before, Gazprom did have freedom and
25 11:54:26 autonomy in its implementation and it chose what to

01 11:54:31 write on 1 April. It chose the most hostile and most
02 11:54:38 extreme option to it.
03 11:54:41 As explained earlier, in relation to duress and
04 11:54:44 force majeure, it was acting in complicity with the
05 11:54:49 Russian State and it was leaning on the power of the
06 11:54:53 state through the overlap between the management and the
07 11:54:58 government. It was trying to secure a benefit to
08 11:55:00 itself. It wanted to secure this outcome for itself and
09 11:55:07 for the state. It wasn't compelled in any way.
10 11:55:13 So there is nothing to allow the tribunal to find
11 11:55:17 the state compulsion doctrine can be applied.
12 11:55:21 In conclusion, the imposition of the unfair trading
13 11:55:26 terms was a breach of article 102 and so the terms in
14 11:55:30 the 1 April and the 5 May letters can't form a valid
15 11:55:36 contractual amendment, which is null and void again
16 11:55:39 under section 879(1) of the Austrian Civil Code, because
17 11:55:45 it was procured by abusive behaviour of the dominant
18 11:55:50 party, and to repeat myself again for my last
19 11:55:53 submission, that obligation as well to avoid any such
20 11:56:00 amendment extends to the tribunal under Eco Swiss.
21 11:56:06 That concludes PPD's submissions on the purported
22 11:56:09 variation being void.
23 11:56:16 Opening submissions by Mr Haugeneder
24 11:56:27 **MR HAUGENEDER:** Members of the tribunal, I will now
25 11:56:30 briefly continue PPD's presentation on the claim based

01 11:56:34 on market manipulation.

02 11:56:37 I will start by showing that PPD's claim falls

03 11:56:43 within the scope of the arbitration agreement.

04 11:56:49 It is PPD's submission that Gazprom manipulated the

05 11:56:55 TTF month-ahead price, the index determining the price

06 11:56:59 under the contract, through capacity withholding and

07 11:57:05 other actions.

08 11:57:07 By these actions, Gazprom committed torts as well as

09 11:57:12 breached the contract.

10 11:57:17 The claim is based on Gazprom's breach of REMIT,

11 11:57:25 article 102 TFEU, the contractual duty to perform

12 11:57:31 contracts in good faith, and the breach of the

13 11:57:35 obligation not to cause harm in breach of good morals.

14 11:57:41 So you have here contractual as well as

15 11:57:45 non-contractual causes of action for the same conduct.

16 11:57:49 Gazprom claims that the tribunal does not have

17 11:57:53 jurisdiction because claims for breach of REMIT and

18 11:57:57 article 102 TFEU would fall outside the scope of the

19 11:58:03 arbitration agreement because they would not have

20 11:58:08 a sufficiently close connection to the contract.

21 11:58:11 This allegation fails.

22 11:58:14 The starting point is that the scope of the

23 11:58:18 arbitration agreement requires interpretation under the

24 11:58:22 applicable Austrian law. Relevant for the

25 11:58:26 interpretation of arbitration agreements is the text,

01 11:58:31 the intention of the parties and the understanding of
02 11:58:36 the agreement in accordance with the practice of honest
03 11:58:42 dealings.
04 11:58:44 There is clear and uncontroversial case law from the
05 11:58:48 Austrian Supreme Court case that arbitration agreements
06 11:58:52 must be interpreted broadly, because this corresponds to
07 11:58:57 the parties' intention to exclude the jurisdiction of
08 11:59:01 the state courts and to avoid split jurisdiction.
09 11:59:09 Split jurisdiction would, however, occur if you
10 11:59:13 follow Gazprom's submissions, because you would have
11 11:59:20 contractual jurisdiction for contractual causes of
12 11:59:22 action, state court jurisdiction for non-contractual
13 11:59:27 causes of action.
14 11:59:28 We submit there's no basis for that.
15 11:59:31 When in doubt, an interpretation that favours the
16 11:59:34 application of the arbitration agreement must be given
17 11:59:39 preference, as the Austrian Supreme Court held.
18 11:59:43 In our case, there is no doubt whatsoever that the
19 11:59:47 arbitration agreement is exceptionally broad, covering,
20 11:59:50 **I quote:**
21 11:59:50 "All controversy, claims, disputes and other matters
22 11:59:56 arising out of or relating to contractual liability,
23 12:00:00 tortious liability, and/or to this Contract ..."
24 12:00:07 This is not an ICC model clause, but a tailor-made
25 12:00:09 clause intended to capture the broadest possible scope

01 12:00:12 of the disputes between the parties. It expressly
02 12:00:18 covers tortious liability relating to the contract or
03 12:00:22 not.
04 12:00:24 Neither in the arbitration agreement, nor in the
05 12:00:28 Austrian law, is there a requirement of foreseeability,
06 12:00:34 functional connection or strong, significant, close,
07 12:00:41 sufficiently close connection with the contract, as
08 12:00:44 Gazprom postulates.
09 12:00:45 In its leading case on competition law, the Austrian
10 12:00:51 Supreme Court set aside an award because the tribunal
11 12:00:54 did not hear a tort claim over damages based on
12 12:00:59 article 102 TFEU.
13 12:01:02 **This case involved a narrow clause:** "any dispute
14 12:01:09 arising ... under this Capacity Contract". So not
15 12:01:13 related to. The clause was narrow, but the Supreme
16 12:01:16 Court still found that the claim for abuse of a dominant
17 12:01:22 position was functionally closely linked to the contract
18 12:01:25 and was therefore covered by the arbitration agreement.
19 12:01:31 The Austrian Supreme Court confirmed in this context
20 12:01:36 that this interpretation corresponded to the Apple sales
21 12:01:42 case of the CJEU.
22 12:01:46 There is no doubt in the Austrian arbitration law
23 12:01:50 that non-contractual claims may fall under a legal
24 12:01:57 relationship that is submitted to arbitration, and that
25 12:02:01 is what has happened here; in our case, the submission

01 12:02:05 to arbitration is exceptionally broad.

02 12:02:14 Looking at this legal relationship, under the

03 12:02:18 contract the price of gas was calculated by reference to

04 12:02:21 the TTF index. We submit that Gazprom, through actions

05 12:02:29 which constitute torts, as well as breaches of

06 12:02:35 contractual duties, abusively inflated the TTF index.

07 12:02:44 The invoked manipulation of the contractual price

08 12:02:48 index is evidently closely connected to the contract.

09 12:02:55 We claim Gazprom manipulated the contract price; what

10 12:03:00 closer connection to the contract can there be?

11 12:03:04 Therefore, without a doubt this claim is covered by the

12 12:03:08 arbitration agreement.

13 12:03:11 I will now very briefly address the issue of

14 12:03:15 arbitrability of Gazprom's submission that the claim

15 12:03:21 under REMIT is not arbitrable.

16 12:03:25 Under the Austrian arbitration law, any pecuniary

17 12:03:29 claim is arbitrable. I quote section 582 of the

18 12:03:33 **Austrian Civil Procedure Code:**

19 12:03:36 "Any pecuniary claim within the jurisdiction of the

20 12:03:38 courts of law may be made the subject of an arbitration

21 12:03:42 agreement."

22 12:03:43 The notion of pecuniary claim is understood broadly

23 12:03:48 by the case law and the legal commentary.

24 12:03:53 PPD's claim, based on the private enforcement of

25 12:03:57 REMIT, is a claim for money. It is therefore

01 12:04:03 a pecuniary claim. There cannot be any serious
02 12:04:06 suggestion that the claim is not arbitrable.
03 12:04:11 Even if it is assumed that a decision of the NRA is
04 12:04:19 required before an award of damages, as Gazprom submits,
05 12:04:23 this pertains to the tribunal's substantive decision of
06 12:04:28 the merits of PPD's claim and not to arbitrability.
07 12:04:35 With that, I hand again back to Mr Holland who will
08 12:04:40 set out Gazprom's liability for market manipulation.
09 12:04:48 Further opening submissions by Mr Holland
10 12:04:59 **MR HOLLAND:** To establish that Gazprom's conduct was
11 12:05:03 actionable by PPD and led to its loss, we address,
12 12:05:07 first, a recap on Gazprom's market manipulation conduct.
13 12:05:13 Next, PPD's four claims, set out at points (ii) to (v)
14 12:05:20 on the slides. Then the governing law and the standard
15 12:05:22 of proof for causation. And then how Gazprom's conduct
16 12:05:27 resulted in PPD's loss.
17 12:05:32 So earlier you heard the steps that Gazprom took in
18 12:05:36 2021 and the beginning of 2022, and without repeating,
19 12:05:41 it created an artificial scarcity of gas.
20 12:05:46 Addressing now PPD's first claim, again, it's
21 12:05:50 a breach of article 102(a) of the TFEU and you will
22 12:05:55 remember the three elements of that claim are on screen.
23 12:06:01 We say they're met.
24 12:06:02 Firstly, Gazprom was dominant in the market of
25 12:06:05 Croatia and Hungary where the actions impacted on PPD.

01 12:06:09 And then from that position of dominance, Gazprom
02 12:06:15 directly or indirectly imposed unfair selling prices and
03 12:06:23 unfair trading conditions.
04 12:06:26 If either of those is made out, Gazprom has breached
05 12:06:31 article 102.
06 12:06:35 So in the first element, PPD repeats its submissions
07 12:06:39 on dominance, and the test, the first indicator is
08 12:06:46 market shares. We're now back on the slide. In the top
09 12:06:50 table is the relevant market, Croatia and Hungary. This
10 12:06:55 time we now look at 2021, which was when Gazprom's
11 12:07:01 pattern of conduct changed.
12 12:07:05 Gazprom was over 50 per cent, it was at 58 per cent
13 12:07:09 or 51 per cent, no matter how you look at LNG. So
14 12:07:15 dominance is presumed in 2021, which is the period where
15 12:07:21 most of the steps were taken.
16 12:07:24 Then for 2022, you saw before it was 54 and 45,
17 12:07:31 a very high level.
18 12:07:34 Underneath the market shares for the Croatia-only
19 12:07:37 market that Gazprom argues for, that's the bottom table,
20 12:07:43 it's 49 per cent for 2021 and 44 per cent for 2022.
21 12:07:51 So you look again at the second indicator of
22 12:07:54 dominance, that unavoidable trading partner, and
23 12:08:00 Dr Riechmann's analysis of that, which we discussed
24 12:08:03 before, analysed Gazprom's market power within the
25 12:08:09 import zone.

01 12:08:11 I mention that before, but let me explain it a bit
02 12:08:14 more now.
03 12:08:15 That included the Netherlands, and that's where TTF
04 12:08:22 is based. That confirmed Gazprom's market power as an
05 12:08:28 unavoidable trading partner within the import zone, so
06 12:08:33 including Croatia and Hungary, and the details are on
07 12:08:37 the slides.
08 12:08:39 Then finally, Gazprom had no effective competitive
09 12:08:43 restraint. We simply repeat what I addressed to you
10 12:08:48 before.
11 12:08:51 Moving on to the second element of this first claim,
12 12:08:58 Gazprom imposed unfair selling prices, including
13 12:09:02 excessive pricing.
14 12:09:06 In United Brands, as well as subsequent decisions,
15 12:09:10 the CJEU set out a two-step test for this abuse. The
16 12:09:19 **first step asks:** is the price excessive in relation to
17 12:09:22 the economic value of the product?
18 12:09:28 Now, gas had been selling for years across Europe at
19 12:09:33 about 15 euros per megawatt hour. So that must be the
20 12:09:39 upper limit of the supply cost of a producer like
21 12:09:45 Gazprom. That's shown at the -- in the chart, that's
22 12:09:48 the price chart between 2019 and 2020.
23 12:09:54 And in July 2021, the forward price, that's the
24 12:10:00 price the market expects, for the remainder of 2021 and
25 12:10:05 2022, was well below 50 euros.

01 12:10:10 That appeared fair. But then in 2022, prices
02 12:10:16 reached 150 euros, and those prices cannot bear any
03 12:10:22 reasonable relationship to Gazprom's costs of
04 12:10:25 production. Gazprom hasn't suggested that its costs
05 12:10:30 rose, and so this test is met.
06 12:10:35 But there was a second step, which then asks whether
07 12:10:38 the price was unfair in itself when compared to fair
08 12:10:44 prices.
09 12:10:46 The price was unfair in itself and we make two
10 12:10:51 points.
11 12:10:53 First, Mr Michael Fulwood is one of the principal
12 12:10:59 designers of the World Gas Model or WGM. That is used
13 12:11:06 by market participants. Nigaz Ekonomika(?), a Gazprom
14 12:11:13 company, had a licence previously, as did national
15 12:11:16 governments and other gas companies; it's
16 12:11:19 a sophisticated price model.
17 12:11:24 The modelling created a factual scenario using
18 12:11:27 actual supply and demand inputs and observed behaviours
19 12:11:32 in 2021 and 2022 and then it compared it with
20 12:11:38 a counterfactual of what the impact would have been
21 12:11:45 without Gazprom's conduct.
22 12:11:48 The result was that prices were 43 per cent higher
23 12:11:53 than they would have been if Gazprom did not withhold
24 12:11:57 gas over that period.
25 12:12:06 But second, actual TTF prices were significantly

01 12:12:08 higher than the price the market had reasonably
02 12:12:12 expected, which we say is a fair benchmark. And again,
03 12:12:17 taking July 2021 just before this happened, the blue
04 12:12:21 line, right down at the bottom, that was what the market
05 12:12:27 expected, and the actual TTF price is in red. You can
06 12:12:31 see it's significantly higher than the market
07 12:12:34 expectation.
08 12:12:36 So in fact, Mr Fulwood's 43 per cent higher
09 12:12:42 calculation could be considered to be conservative. But
10 12:12:46 in both cases the manipulated price was unfair.
11 12:12:53 Then the alternative.
12 12:12:56 In the alternative, Gazprom imposed unfair trading
13 12:13:00 conditions. We saw this before. This was the one from
14 12:13:05 earlier. So you get again the three-step test from
15 12:13:09 Apple streaming.
16 12:13:12 To the right here, so as not to repeat ourselves,
17 12:13:16 PPD applies the facts of this abuse to the test, with
18 12:13:22 the conclusion that the trading conditions were unfair.
19 12:13:29 Before leaving article 102, all these abuses took
20 12:13:34 place in the relevant market. The manipulation of gas
21 12:13:42 prices was an abuse by Gazprom of its dominant position
22 12:13:46 in Croatia and Hungary, where it had a special
23 12:13:50 responsibility not to do so.
24 12:13:53 Gazprom's conduct caused very high Hungarian gas
25 12:13:58 prices. If you see the blue line in this figure on the

01 12:14:04 slide, they were rising because TTF prices rise. That's
02 12:14:09 the red line.
03 12:14:12 TTF governed the contract price. So this connection
04 12:14:18 operated as a tool that enabled Gazprom to impair
05 12:14:25 effective competition in Croatia and Hungary where it
06 12:14:29 was dominant.
07 12:14:31 It didn't need to be dominant at TTF. Just like
08 12:14:38 Apple can make a chip in California that abuses its
09 12:14:43 dominance in Croatia and Hungary.
10 12:14:45 So all of these conditions are satisfied and
11 12:14:50 article 102 was breached.
12 12:14:57 Moving to PPD's claim for breach of REMIT. REMIT is
13 12:15:01 an EU-wide regulation for deterring market manipulation
14 12:15:06 in the EU wholesale energy markets, and the parties
15 12:15:10 agree that REMIT operates without prejudice to
16 12:15:14 article 102 and regardless whether Gazprom is dominant
17 12:15:20 for the purpose of article 102.
18 12:15:25 The operative provision in REMIT is article 5. It
19 12:15:31 prohibits engagement in market manipulation.
20 12:15:35 We address two issues.
21 12:15:38 First, article 5 creates a private law cause of
22 12:15:43 action and, secondly, that Gazprom's actions engage the
23 12:15:46 definition of market manipulation referred to in
24 12:15:52 article 5.
25 12:15:55 On the first issue, whilst it is true that REMIT

01 12:15:58 gives national regulators -- they're called NRAs, as we
02 12:16:03 heard before -- powers to impose fines, Prof Koller
03 12:16:06 emphasises that the enforcement of public law
04 12:16:15 remedies does not exclude private damages actions.
05 12:16:19 There is nothing in REMIT to suggest that a prior
06 12:16:24 decision is a prerequisite or that an NRA has the only
07 12:16:29 say whether a breach has occurred. In fact, article --
08 12:16:34 recital 31 keeps the courts and tribunals involved. And
09 12:16:40 damages of course are separate to fines.
10 12:16:47 PPD has a right to a private law cause of action for
11 12:16:51 three reasons.
12 12:16:54 First, REMIT is directly applicable in all EU Member
13 12:16:59 States and all the actions here were within the EU.
14 12:17:05 So both Professors Perner and Koller say that the EU
15 12:17:11 principle of effectiveness requires that anyone who has
16 12:17:15 suffered loss through a breach of REMIT is able to claim
17 12:17:20 damages.
18 12:17:22 Second, this is also intuitive when you look at the
19 12:17:26 text and the preambles of REMIT because it's aiming to
20 12:17:30 protect market participants' interests.
21 12:17:34 So relying on that, in order to ensure
22 12:17:36 effectiveness, Prof Perner says that market participants
23 12:17:42 can enforce market manipulation provisions by private
24 12:17:47 damages claims. And the other way to look at this is
25 12:17:52 that there is a common public interest in prohibiting

01 12:17:56 both market manipulation and competition law abuses, so
02 12:18:02 both should allow damages claims.
03 12:18:08 Finally, also on this principle of effectiveness of
04 12:18:11 the regulation, private law enforcement acts as
05 12:18:16 a supplement to the action of the authorities. This was
06 12:18:20 founds in the Munoz case. All of this is in line with
07 12:18:26 the market abuse regulation, which is REMIT's twin and
08 12:18:32 which the EU tries to keep in alignment. That covers
09 12:18:37 financial services. So the same logic should apply to
10 12:18:42 REMIT.
11 12:18:44 The Austrian securities law regime does give
12 12:18:49 a private right of action for market manipulation, as
13 12:18:53 does well-developed competition law regime, and some
14 12:19:00 relevant case law is on the next few slides.
15 12:19:07 So PPD had a private law right of action, and on the
16 12:19:12 second issue, Gazprom's actions engaged the definition
17 12:19:18 of market manipulation, which is prohibited by
18 12:19:23 article 5.
19 12:19:26 On screen now is article 2(2)(a) of REMIT, which
20 12:19:31 contains the start of the definition of market
21 12:19:35 manipulation, and it begins by prohibiting entering into
22 12:19:40 any transaction or issuing any order to trade in
23 12:19:45 wholesale energy products.
24 12:19:47 Now, wholesale energy products includes gas
25 12:19:50 contracts.

01 12:19:52 But the words "transaction" and "order to trade" are
02 12:19:56 not defined in REMIT or even in the MAR, the market
03 12:20:01 abuse regulation.
04 12:20:03 But the MAR treats transactions as the execution of
05 12:20:05 a trade, a transaction is the execution of a trade, and
06 12:20:09 an order is an instruction to trade, even if it doesn't
07 12:20:14 go ahead.
08 12:20:16 Gazprom did transact under contracts, it was
09 12:20:20 entering contracts when it decided what gas to sell and
10 12:20:24 store.
11 12:20:28 So next, looking at the three defined market
12 12:20:31 manipulation events in 2(2)(a) of REMIT. I must say,
13 12:20:38 whenever I read them I find they overlap quite a lot.
14 12:20:40 But on the three, which are on the right-hand side, and
15 12:20:44 our view is on the left, first, Gazprom withheld
16 12:20:50 available gas which it sent, following a clear pattern
17 12:20:54 for years, and that withholding gave signals of false or
18 12:20:59 misleading scarcity of supply and demand. It had the
19 12:21:03 gas, but it wasn't there.
20 12:21:05 Second, for the second part, Gazprom secured the TTF
21 12:21:10 price at an artificial level without legitimate reason
22 12:21:14 or accepted market practice.
23 12:21:17 And third, Gazprom employed a fictitious device
24 12:21:21 which was likely to give false signals.
25 12:21:24 That's because Gazprom was telling the market how it

01 12:21:28 was meeting the high demand whilst actually reducing
02 12:21:33 supplies to the EU.
03 12:21:34 On the slide now is just an example. Other ones are
04 12:21:40 founds elsewhere.
05 12:21:44 And on this, none of Gazprom's three witnesses
06 12:21:48 defend its motives and they don't give any legitimate
07 12:21:53 reasons for this, and the submissions made on its
08 12:21:58 innocence on this point are some of its least convincing
09 12:22:02 of all.
10 12:22:05 So, because of this, PPD is also claiming a breach
11 12:22:08 of part B of the definition of market manipulation and
12 12:22:13 that deals directly with media and market announcements,
13 12:22:18 at the bottom of the slide.
14 12:22:23 In fact, the REMIT guidance on the current slide has
15 12:22:25 a name for what Gazprom did, and they call it
16 12:22:25 "manipulative capacity withholding". That's the
17 12:22:25 violation; it's the label for the violation.
18 12:22:42 Moving to PPD's third claim, which is for Gazprom's
19 12:22:45 violation of ancillary duties of good faith and
20 12:22:48 cooperation and Austrian duties of care and loyalty, to
21 12:22:51 maintain the timetable, our submissions in brief are on
22 12:22:56 these bullets on screen and we will address you on those
23 12:22:59 in closing. And the same applies for PPD's fourth claim
24 12:23:05 on the violation of good morals. But all the facts and
25 12:23:09 the principles that we've discussed and will discuss

01 12:23:12 will apply to those.

02 12:23:17 So we move on to the governing law of these tortious

03 12:23:22 claims and as you heard, the parties expressly selected

04 12:23:27 Austrian substantive law, and two points support the

05 12:23:31 view that that choice is applied directly, rather than

06 12:23:37 through Austrian conflict rules.

07 12:23:40 The first reason for this is the principle of party

08 12:23:44 autonomy in international arbitration.

09 12:23:49 So the parties chose the conflict rules for

10 12:23:52 determining the applicable law, article 21 of the ICC

11 12:23:56 Rules, which means that Austrian law applies without

12 12:24:01 engaging its conflict of law rules.

13 12:24:04 That includes Rome II and section 603 ZPO

14 12:24:11 specifically allows Austrian substantive law to be

15 12:24:16 applied directly, not via Austrian conflict rules.

16 12:24:21 Prof Koller says that the Rome II regulation does

17 12:24:27 not override the parties' choice of Austrian law.

18 12:24:32 That's since Rome II is part of the conflict of law

19 12:24:38 rules, so it cannot be directly applied in international

20 12:24:42 arbitration.

21 12:24:44 Prominent commentators, including Born, agree. Born

22 12:24:48 says that Rome II does not have any mandatory effect in

23 12:24:53 international arbitration or any greater effect than

24 12:24:58 national conflict rules. And Prof Koller likewise

25 12:25:03 states that Rome II does not qualify as European public

01 12:25:08 policy.

02 12:25:11 Our second point here is that the EU principle of

03 12:25:15 equivalence and effectiveness must apply. Rome II aims

04 12:25:21 to avoid circumvention of the law of the affected

05 12:25:26 market. And there can be no circumvention here.

06 12:25:31 Remember what Rome II is trying to do.

07 12:25:33 Austrian law is not a less stringent liability

08 12:25:39 regime. Of course it's a more stringent liability

09 12:25:45 regime, it allows a more effective remedy, because it

10 12:25:50 only calls prima facie evidence of causation.

11 12:25:59 On this lower standard of proof requirement, it

12 12:26:03 applies under Austrian law to claims under article 102

13 12:26:08 by way of legal ruling and the principles on screen.

14 12:26:15 Foreseeability of loss is also presumed, in the

15 12:26:17 middle of this slide.

16 12:26:22 All of this applies also to REMIT because it's

17 12:26:26 a protective law as supported by both Prof Perner and

18 12:26:30 Koller. The professors also note that REMIT provisions

19 12:26:37 on market manipulation were modeled on the MAR, which is

20 12:26:41 also a protective law too.

21 12:26:44 So the effect of all of this is that once PPD

22 12:26:50 establishes only prima facie causation, the burden to

23 12:26:55 show that it has not acted culpably is then passed to

24 12:27:00 Gazprom.

25 12:27:03 PPD next makes two points on causation. So, first,

01 12:27:07 under article 102, Gazprom's conduct does not have to be
02 12:27:11 the only reason for the price increases that cause PPD's
03 12:27:17 loss.
04 12:27:20 A counterfactual analysis will isolate the wrongful
05 12:27:24 conduct and counterfactuals need not be perfect to prove
06 12:27:30 causation. They just need to get to a plausible
07 12:27:32 outcome.
08 12:27:34 The European Commission's draft article 102
09 12:27:36 guidelines confirm that approach and it has been
10 12:27:40 recently applied in Google Shopping, and we saw earlier
11 12:27:44 how Fulwood 1 established that counterfactual following
12 12:27:50 the European Commission's principles and found the
13 12:27:54 43 per cent -- prices were 43 per cent higher than they
14 12:28:01 would have been.
15 12:28:02 On this, our second point is that Gazprom's defence
16 12:28:08 of the perfect storm of other factors is, in reality,
17 12:28:15 just the economic and legal context in which Gazprom's
18 12:28:19 conduct should be assessed.
19 12:28:21 PPD accepts that because of those other factors,
20 12:28:25 there was already not much gas around. They call that
21 12:28:30 a tight market. If you think about it, any further
22 12:28:35 reduction, even a small one, tips the market. And so
23 12:28:43 Gazprom's actions on top made the situation worse.
24 12:28:48 You cannot just discount the actions of the largest
25 12:28:52 seller. That's really not the way that complex markets

01 12:28:55 work.

02 12:28:58 Other independent views point the finger at Gazprom

03 12:29:02 and they are summarised on the next slides, and so

04 12:29:06 Gazprom caused the prices to rise.

05 12:29:09 And lastly, we discuss how those excessive prices

06 12:29:14 which were caused by Gazprom in turn caused PPD's loss.

07 12:29:22 So, Petrokemija is a fertiliser producer. It was

08 12:29:26 PPD's largest customer and it closed down. Gas is the

09 12:29:31 main thing you use when you're making fertiliser and it

10 12:29:34 became uneconomic with high gas prices.

11 12:29:38 This was also happening in Russia and would have

12 12:29:40 been foreseeable to a seller like Gazprom.

13 12:29:44 It's not right to say that Petrokemija stopped

14 12:29:49 making fertiliser and then stopped taking gas.

15 12:29:54 Petrokemija's annual report at the time makes absolutely

16 12:29:57 clear that the high price of gas caused it to close

17 12:30:02 down, not the other way around.

18 12:30:03 It closed down because once the price under its

19 12:30:07 contract with PPD was at a sustained price over about

20 12:30:12 100 euros per megawatt hour consistently -- and that's

21 12:30:16 the months in red in the table -- it couldn't stay open.

22 12:30:22 Now, if prices had not been 43 per cent too high,

23 12:30:27 Petrokemija would have paid PPD 77 euros on average,

24 12:30:32 instead of 110 euros on average.

25 12:30:37 So that's what caused Petrokemija to stop buying gas

01 12:30:41 from PPD. That's caused the loss.

02 12:30:45 Next, PPD also sold gas to GPZ, which then sold gas

03 12:30:50 on to households in Croatia, and for households there is

04 12:30:56 a regulated price like a price cap.

05 12:31:01 Price caps were imposed, you might remember, by

06 12:31:04 governments right across Europe, and the cap would have

07 12:31:07 been foreseeable to Gazprom to happen whenever prices

08 12:31:10 were really high. And because the gas price rose

09 12:31:14 towards the end of 2021, the price cap stayed low. It

10 12:31:20 was a protection to citizens.

11 12:31:23 It became far lower than the price that GPZ was

12 12:31:27 paying to PPD, which meant that GPZ started trading at

13 12:31:33 a heavy loss and couldn't pay the amounts due.

14 12:31:36 So that loss now sits with PPD.

15 12:31:41 PPD did try to cut off GPZ. It was a credit risk

16 12:31:48 because of its debts. But during a crisis meeting, at

17 12:31:51 the top level, the Croatian Minister of Economy stepped

18 12:31:55 in and he said citizens must not be left without gas.

19 12:32:00 So PPD couldn't stop delivering. It was completely out

20 12:32:03 of PPD's hands.

21 12:32:05 None of this would have happened if prices were not

22 12:32:08 inflated.

23 12:32:09 PPD is chasing this debt and a part-payment was made

24 12:32:12 in February, but 174 million euros have still not been

25 12:32:18 paid today. If there's no further payment from GPZ by

01 12:32:25 the close of evidence, then PPD seeks a declaratory
02 12:32:30 award for the liability of that amount.
03 12:32:33 We will update the tribunal if there are any further
04 12:32:38 payments right up to the close of evidence.
05 12:32:41 Finally, unlike the other two PPD customers, HEP
06 12:32:45 bought from PPD at a fixed annual price. So that price
07 12:32:50 didn't rise and that exposed PPD when TTF prices rose.
08 12:32:57 PPD couldn't pass on the higher prices as it had done
09 12:33:01 with Petrokemija. It had to implement a financial hedge
10 12:33:05 to protect itself.
11 12:33:07 By financial hedge, I mean you lock in the buy price
12 12:33:13 that you're paying by buying a derivative from
13 12:33:17 a counterparty or a bank, and that stops the buy price
14 12:33:20 rising higher than the sell price. It's price
15 12:33:24 protection.
16 12:33:27 PPD tried to hedge. All its large fixed price HEP
17 12:33:33 contracts were hedged and prior to late 2021 PPD had no
18 12:33:38 issues doing this.
19 12:33:41 But the high price and volatility meant that it
20 12:33:44 couldn't find a counterparty. So significant volumes
21 12:33:49 had no price protection and PPD bought gas at high
22 12:33:55 prices, but was locked into its contracts.
23 12:33:58 So as a direct consequence of the high prices, it
24 12:34:03 suffered a loss.
25 12:34:09 To conclude on this submission, PPD has established

01 12:34:11 that Gazprom caused the TTF price rise and the other hub
02 12:34:14 prices to rise and the contract price to rise, and also
03 12:34:18 that Gazprom's market conduct caused PPD's losses and
04 12:34:22 the on-sale of gas to customers.
05 12:34:26 It's then Gazprom's burden to disprove the causal
06 12:34:30 link and it has supplied no gas model, its witnesses are
07 12:34:35 silent, and it has failed to do so.
08 12:34:39 That concludes our submissions on these market
09 12:34:41 manipulation claims.
10 12:34:48 I now turn next to the quantum of PPD's claims.
11 12:34:53 That concludes our liability submissions.
12 12:34:56 I'll deal with this as follows. First, the legal
13 12:34:58 principles and contractual framework. Next, replacement
14 12:35:03 gas losses that fall into two parts. Next, other losses
15 12:35:10 associated with a failure to supply, and this really is
16 12:35:13 the transportation loss. And next, market manipulation
17 12:35:16 losses, the quantum of those themselves.
18 12:35:20 I'll also cover discounting and interest, but before
19 12:35:23 starting, Gazprom's counterclaim will be the subject of
20 12:35:28 a different presentation.
21 12:35:31 Now, as you heard, there has been a recent
22 12:35:33 development, PPD received that part-payment from GPZ,
23 12:35:37 and there's also been a recalculation of PPD's loss.
24 12:35:42 That will reduce PPD's total claim and we seek
25 12:35:46 permission to update our request for relief, and for

01 12:35:53 convenience, we will set that out in the slides at the
02 12:35:57 very end of these presentations.

03 12:36:03 Returning to the claim which PPD has made and the
04 12:36:08 legal principles. So it's agreed that Austrian law and
05 12:36:13 the CISG govern the parties' entitlement to damages and
06 12:36:18 quantum.

07 12:36:19 The claims are made under article 74, 75 and 76
08 12:36:24 CISG, but I emphasise article 74, because that applies
09 12:36:30 to all of PPD's claims.

10 12:36:32 That permits claims for damages based on the
11 12:36:36 difference between the price of an original contract and
12 12:36:40 the replacement contract, and the applicable standard of
13 12:36:45 proof is reasonable certainty.

14 12:36:51 So the first issue is, what is a replacement
15 12:36:55 transaction under article 74.

16 12:36:59 Gazprom breached the contract on 1 April 202 by
17 12:37:03 threatening to suspend gas deliveries, and a further
18 12:37:08 breach on 1 November 2022 by not supplying gas.

19 12:37:15 If you have a long-term contract which is not likely
20 12:37:20 to be performed, should you sit on your hands and wait
21 12:37:24 to suffer a loss, or should you instead take precautions
22 12:37:29 or try to mitigate that loss. And a rational commercial
23 12:37:35 party would do the latter and CISG Advisory Council
24 12:37:42 Opinion 6 fully affirms this. And Gazprom specifically
25 12:37:48 acknowledges AC6's application.

01 12:37:53 So it's common ground that a party can enter into
02 12:37:57 replacement transactions from the moment of breach,
03 12:37:59 either as a precaution or as mitigation or both.
04 12:38:08 That is what PPD did. PPD's witnesses say that it
05 12:38:11 was only after the 1 April breach that it sought out
06 12:38:16 replacement gas, and that takes time to organise as
07 12:38:21 there was a severe shortage of gas at the time.
08 12:38:24 So Gazprom is wrong to try and assert, without any
09 12:38:27 authority, a different test to breach as the trigger for
10 12:38:32 replacement contracts, and it's also wrong to ask you to
11 12:38:37 disregard all of PPD's losses until avoidance on
12 12:38:42 8 March.
13 12:38:46 So that now leads me to the first of five points on
14 12:38:49 the applicable damages framework, and the first issue is
15 12:38:51 that the contract assesses loss based on a daily
16 12:38:57 shortfall.
17 12:38:58 The parties agree that the contract is an instalment
18 12:39:01 contract and it operates daily; there are consequences
19 12:39:04 each day.
20 12:39:06 It's also confirmed by a clause you might have seen
21 12:39:09 as you read the contract that both parties accept and
22 12:39:13 agree it's not applicable. That's article 12 on
23 12:39:16 seller's deficiencies. It's not applicable, both
24 12:39:19 parties say, when gas has stopped flowing, but it does
25 12:39:22 stress the daily nature of deliveries.

01 12:39:27 It also doesn't contain, nor does the rest of the
02 12:39:31 contract, any exclusion of indirect losses.
03 12:39:38 So article 12 reflects how the gas industry works.
04 12:39:43 You buy to sell on each day based on the price that day.
05 12:39:48 Both experts agree to that.
06 12:39:53 Second, it follows that gas that was replaced is
07 12:39:57 assessed on a daily basis. So if the replacement gas
08 12:40:01 was more expensive than the contract price, you
09 12:40:05 calculate the loss for that day.
10 12:40:09 But if the replacement gas was cheaper than the
11 12:40:11 contract price, you do not hand over gains on that day.
12 12:40:16 **That's confirmed by leading commentators:** the party
13 12:40:20 in breach should not benefit from its wrong. Gazprom
14 12:40:25 actually does not deny that principle, at the bottom of
15 12:40:27 the slide, and that's because gas is a trading
16 12:40:31 commodity. So how do you apply this agreed principle in
17 12:40:35 a commodities market?
18 12:40:38 Now, PPD needed this commodity, the gas under the
19 12:40:44 contract, because its customers needed it. The annual
20 12:40:49 amount of gas that PPD had to buy from Gazprom under the
21 12:40:55 contract was driven by how much its customers needed.
22 12:40:59 And if it didn't buy gas from Gazprom, it had to pay for
23 12:41:03 it anyway.
24 12:41:05 After the contract ended, PPD still needed to buy
25 12:41:09 this gas. It had no choice. PPD had to replace the

01 12:41:15 contract and that is where it made a loss.

02 12:41:22 As a commodities trader, PPD also had the option to

03 12:41:27 either buy extra gas when it could make a profit, or

04 12:41:31 take less gas in a day when the contract was less

05 12:41:35 profitable.

06 12:41:36 So in either scenario, PPD's actions were driven by

07 12:41:42 profit. It would only do this trading when it could

08 12:41:47 make a gain.

09 12:41:48 You have to assume rational commercial behaviour, so

10 12:41:53 there would never be any losses with these traded

11 12:41:57 volumes.

12 12:41:59 So if we find any gains after 1 November 2022, these

13 12:42:05 were the result of PPD's profitable trading. There is

14 12:42:10 no way that these should be handed over to Gazprom.

15 12:42:16 Mr Way, who is a gas market expert, sees this

16 12:42:19 approach all the time.

17 12:42:23 This brings me to the third principle, which is

18 12:42:26 relevant to the volumes of gas on which PPD's losses are

19 12:42:30 based each day.

20 12:42:33 There was a daily flexibility for PPD. It could

21 12:42:38 take gas up to the daily contract quantity, but it

22 12:42:42 didn't have to.

23 12:42:43 Both parties agree that flexibility is a benefit

24 12:42:48 conferred on PPD and both parties rely on the same

25 12:42:53 passage from Saidov. PPD's witnesses say that full

01 12:42:58 flexibility would have been used had the contract
02 12:43:01 continued. So PPD's loss should be based on the annual
03 12:43:06 **sum of these DCQs. That's called the ACQ.**
04 12:43:15 **So fourth, on days when PPD failed to replace gas up**
05 12:43:19 **to the DCQ, it lost the opportunity as a trader that it**
06 12:43:23 **had to use the flexibility and make an additional profit**
07 12:43:27 **in that market.**
08 12:43:28 **That loss is neither speculative, nor a loss of the**
09 12:43:32 **chance, because Gazprom was obliged to make available**
10 12:43:34 **the DCQ in each day. PPD has shown that market prices**
11 12:43:41 **are known and that its losses can be calculated on those**
12 12:43:45 **days with reasonable certainty.**
13 12:43:49 **The final issue of principle: known data should be**
14 12:43:55 **used when available. That approach is undisputed and**
15 12:43:59 **it's what PPD has done.**
16 12:44:03 **So with these five principles, PPD establishes its**
17 12:44:06 **damages. First, those that are based on its actual**
18 12:44:09 **costs.**
19 12:44:11 **So a gas company tracks all of the contracts and**
20 12:44:15 **cost data that it has, it has to know its trading**
21 12:44:18 **position. So PPD records this in its ETRM system and**
22 12:44:24 **a data room was set up to collate all this data, and it**
23 12:44:29 **was checked by Mr Gilbey and his forensic accounting**
24 12:44:33 **team. Once all the costs were reconciled, they all**
25 12:44:38 **match up against audited financial statements.**

01 12:44:43 Second, Mr Gilbey also went on to check those
02 12:44:47 entries against the actual underlying invoices and
03 12:44:51 contracts, point by point, and in person. And remember
04 12:44:57 PPD did not need to take that approach. It could have
05 12:45:00 used an anticipated market price, and particularly as
06 12:45:05 Gazprom seems to be allergic to all data when it comes
07 12:45:09 to its counterclaim, which is not supported by any costs
08 12:45:13 or sales data at all.
09 12:45:19 Gazprom was invited to review the data room. It
10 12:45:24 declined that invitation. But once the data was
11 12:45:26 checked, you then apply legal principles to the data in
12 12:45:31 order to assemble your loss.
13 12:45:33 So, first, we only included contracts after 1 April.
14 12:45:38 That was permitted by CISG 74. Second, only those that
15 12:45:44 were for delivery after 1 November were included. Next,
16 12:45:51 we excluded related party transactions.
17 12:45:56 PPD's ETRM system only records the costs of PPD and
18 12:46:02 not those of the group. So there's no chance that group
19 12:46:06 costs are being loaded up on top.
20 12:46:10 PPD excluded deals within its group because they
21 12:46:14 just can't be considered to be arm's-length
22 12:46:16 transactions, because those transactions are not market
23 12:46:21 tested.
24 12:46:24 Gazprom had agreed, in the middle of this slide,
25 12:46:26 with that approach, but it is then -- or has become

01 12:46:30 inconsistent in application at the bottom, because
02 12:46:34 elsewhere it says you might look at intragroup
03 12:46:38 contracts, but that would not be safe at all, it's not
04 12:46:43 industry practice.
05 12:46:44 If these were added, they would not be PPD's costs,
06 12:46:44 they would be another company's costs, and you actually
07 12:46:52 normally spend huge effort to try to make sure that
08 12:46:56 these costs are fully excluded.
09 12:47:01 Also, the record in this arbitration records
10 12:47:05 a network of services and other relationships that could
11 12:47:09 affect prices between affiliates.
12 12:47:12 What we're looking for here is market prices only.
13 12:47:17 PPD's affiliates, such as a company called PPD Global,
14 12:47:20 are also trading companies. Gas companies typically
15 12:47:27 purchase gas based on their own portfolio and it's
16 12:47:32 separate. So it's quite impossible to trace the price
17 12:47:37 that PPD Global paid for any chunk of gas that it then
18 12:47:41 sold to PPD. It's all mixed up and you would have to
19 12:47:46 speculate what it paid.
20 12:47:48 So once all those steps are applied, PPD's damages
21 12:47:52 related to the cost of replacement transactions was
22 12:47:56 calculated.
23 12:47:59 Next, PPD's future loss. So after the period of
24 12:48:04 data ends, which was in August 2024, damages are then
25 12:48:09 claimed to the end of contract, and PPD had entered into

01 12:48:13 a long-term LNG contract which covers about one-third of
02 12:48:17 the replacement gas.
03 12:48:21 PPD claims the incremental cost under that contract
04 12:48:27 in its loss.
05 12:48:29 The LNG contract is based on TTF FM prices, which is
06 12:48:34 just like the contract. That base TTF price under the
07 12:48:39 LNG contract would over time rise and fall exactly the
08 12:48:43 same as the contract.
09 12:48:46 So you'd then just account for the difference in
10 12:48:48 what's called the constant, and that's a little value
11 12:48:52 which you either add or take away from TTF, and the
12 12:48:57 difference, they're in different units of measurement,
13 12:49:00 but when you work that out, the difference between them
14 12:49:02 is 1.62 euro per megawatt hour.
15 12:49:06 No assumptions are needed for that loss. It's just
16 12:49:09 simple maths.
17 12:49:12 Then to place the LNG on a like-for-like basis with
18 12:49:16 the gas under the contract, you then adjust the
19 12:49:20 additional costs of buying LNG compared to gas. And
20 12:49:25 Gazprom doesn't dispute that approach.
21 12:49:29 Next, there are no other long-term replacement
22 12:49:33 contracts to replace the remaining two-thirds of the
23 12:49:37 contract volumes.
24 12:49:39 Gazprom does challenge this. It has reviewed
25 12:49:41 Mr Gilbey's historical dataset. It's trying to find

01 12:49:46 other long-term contracts, but it can't find any. All
02 12:49:50 it's found is a framework agreement and some repeat
03 12:49:53 purchases, but there are no other long-term contracts,
04 12:49:57 as Mrs Measic has confirmed.
05 12:50:02 So PPD and Gazprom agree that PPD has to find the
06 12:50:07 market price of a replacement contract and that that has
07 12:50:12 to have the same characteristics as the contract.
08 12:50:17 So, unlike historical damages, there's no need to
09 12:50:20 look backwards for historical data. What you're now
10 12:50:23 doing is looking at what the contract offered.
11 12:50:28 Gazprom says you should look backwards. It says you
12 12:50:31 should look backwards at the pattern of gas purchases
13 12:50:34 after November 2022 to try and benchmark the
14 12:50:38 characteristics, and that is wrong, wrong for two
15 12:50:42 reasons.
16 12:50:43 First, they were only short-term emergency
17 12:50:46 replacement contracts, so they're not going to reflect
18 12:50:50 the market price of a long-term contract.
19 12:50:53 Second, the market was in absolute turmoil at this
20 12:50:58 time. Gazprom's approach wouldn't replicate the
21 12:51:01 contract, it would replicate the crisis. We have to
22 12:51:06 look at how we can replicate the key characteristics of
23 12:51:10 the contract.
24 12:51:12 So the best way to replicate, to get like for like,
25 12:51:15 is to buy a TTF price.

01 12:51:21 That perfectly matches the price under the contract
02 12:51:24 and then you have to add your constant, we just saw that
03 12:51:27 with the LNG contract, and this is, by the way,
04 12:51:31 a constant is perfectly standard. It covers a wide mix
05 12:51:34 of things like transportation costs, entry fees,
06 12:51:38 a profit for the seller, but you can't just take
07 12:51:41 a constant from one contract and kind of copy it across.
08 12:51:45 It really depends on the dynamics of the deal.
09 12:51:48 So we have to build our constant. TTF is in the
10 12:51:53 Netherlands. The cost of transporting gas from the
11 12:51:55 Netherlands to the delivery point reflects a location
12 12:52:00 differential. You have to get it there from the
13 12:52:03 Netherlands. So that's added, based on transportation
14 12:52:11 cost data, public data.
15 12:52:14 Now, you can't buy TTF at any other place in the
16 12:52:19 world other than the Netherlands without paying
17 12:52:24 something as a location differential to get it there
18 12:52:28 from the Netherlands.
19 12:52:32 So Gazprom are wrong to want PPD to buy a TTF price
20 12:52:37 at a hub in Austria called CEGH, with no proper constant
21 12:52:44 to get it there. The replacement cost on that basis
22 12:52:47 would be much too low. You can't buy at CEGH prices,
23 12:52:52 not TTF prices, without moving away from the
24 12:52:56 like-for-like approach under the contract. If you did
25 12:52:59 that, you're not replicating TTF under the contract very

01 12:53:04 well at all. You would be giving PPD the risk that CEGH
02 12:53:10 and TTF over time would swing away from each other.
03 12:53:17 Still and finally building this constant, we saw
04 12:53:19 that the contract offered daily flexibility, so you add
05 12:53:24 an additional storage cost. That's to replace the
06 12:53:28 flexibility in the contract.
07 12:53:31 When you add up those things, that completes the
08 12:53:34 constant.
09 12:53:37 Add that to TTF and you compare the price that PPD
10 12:53:41 would have had to pay for the replacement gas against
11 12:53:44 the contract price.
12 12:53:46 By that approach, PPD has discharged its burden of
13 12:53:50 proof.
14 12:53:53 **PRESIDENT:** Sir, before we move to the last three items
15 12:53:57 under the quantum, maybe we could take a break, because
16 12:54:02 we have been 90 minutes into the presentation. I know
17 12:54:08 you may have wanted to finish quantum of PPD's claims,
18 12:54:13 but maybe it would be a good time to stop.
19 12:54:17 **MR HOLLAND:** We fully sympathise and we will take a short
20 12:54:20 break.
21 12:54:20 **PRESIDENT:** Let's take a 10-minute break.
22 12:54:25 You're still contemplating finishing at 1.20, right?
23 12:54:30 **MR HOLLAND:** We'll confer and check and come back.
24 12:54:33 **PRESIDENT:** Very good. See you in 10 minutes.
25 12:54:40 (12.54 pm)

01 12:54:45 (Short break)

02 12:54:46 (1.06 pm)

03 13:06:27 **PRESIDENT:** We're back on record. According to the

04 13:06:30 tribunal's calculations, the claimant has used

05 13:06:33 172 minutes. We're going to go over the time break

06 13:06:41 which was scheduled at 1.20, to allow the claimant to

07 13:06:46 complete its presentation.

08 13:06:48 We just conferred with lead counsel, the tribunal,

09 13:06:53 a few minutes ago. The respondent is instructed before

10 13:06:57 the end of the presentation to provide the demonstrative

11 13:07:05 exhibits which were identified by the tribunal earlier

12 13:07:09 today as demonstrative exhibits, as RD, and to be

13 13:07:16 submitted and put on the e-bundle. The claimant's

14 13:07:23 counsel has indicated that it was not materially

15 13:07:27 possible to review these demonstrative exhibits before

16 13:07:33 the presentation that is going to start this afternoon,

17 13:07:38 so for the respondent.

18 13:07:41 So the claimant is directed to provide any objection

19 13:07:46 it may have on the accuracy of the reference and any

20 13:07:50 objection it may have on the demonstrative exhibit

21 13:07:53 before the closing statements, which are scheduled at

22 13:07:56 the end of this week.

23 13:07:59 With that in mind, we continue with the presentation

24 13:08:01 on quantum.

25 13:08:03 **MR HOLLAND:** Next I turn to PPD's loss of transportation

01 13:08:08 fees. We address three questions. The first is why
02 13:08:11 these losses arise from the end of gas supply under the
03 13:08:15 contract.
04 13:08:17 The answer is that Gazprom had to get the gas to PPD
05 13:08:21 in Croatia and in not doing so, PPD loses whatever the
06 13:08:25 gas gives it, including the transportation fees.
07 13:08:31 Loss of those transportation fees was an inherent
08 13:08:35 value under the contract. It was lost as a consequence
09 13:08:40 at the end of supply.
10 13:08:42 That's because on the facts, PPD had the only
11 13:08:46 long-term contract with delivery to Croatia. Everybody
12 13:08:50 else was trying to get gas out of Croatia and out into
13 13:08:55 Hungary, and that was a feature of the contract, the
14 13:09:00 delivery point, and that let PPD enter profitable swap
15 13:09:05 agreements to meet its transportation duty to Gazprom.
16 13:09:09 So all of the elements of it arise under the
17 13:09:12 contract, and Prof Koller agrees that the claim does not
18 13:09:17 arise under the GTA because the loss flows from the
19 13:09:22 failure to supply gas via the contract.
20 13:09:27 So second, why did Gazprom have to keep using
21 13:09:32 transport whilst the contract was running? It admits it
22 13:09:36 can't get gas to PPD under the contract without help.
23 13:09:40 PPD's route, on the screen in green, is also the
24 13:09:44 cheapest. So it would make no sense to stop using it
25 13:09:48 and to use the much longer route, in red.

01 13:09:50 So although PPD accepts that Gazprom could have
02 13:09:54 decided not to use the transport service, with
03 13:09:58 reasonable certainty it never would.
04 13:10:01 Finally, on causation, PPD says that the contract
05 13:10:06 breach caused the loss of transportation. But Gazprom
06 13:10:10 says that the loss of transportation caused the end of
07 13:10:14 the contract.
08 13:10:15 Now, this is easy. The first step under the system
09 13:10:20 was that each day of the contract, Gazprom had to make
10 13:10:26 available gas at the delivery point. So before that, it
11 13:10:30 needed to ask PPD to transport the gas to the delivery
12 13:10:35 point.
13 13:10:36 The cause of no nomination of transport fees was the
14 13:10:41 breach of contract and Mr Mazilov states that PPD was in
15 13:10:47 total control of the volumes transported on each day and
16 13:10:52 that is because of that flexibility under the contract.
17 13:10:59 We would move now to PPD's claim for market
18 13:11:02 manipulation, but we've described those claims earlier
19 13:11:07 and we intend to cover the quantum of those claims in
20 13:11:11 closing, and that therefore just leaves discounting and
21 13:11:15 interest.
22 13:11:19 Gazprom in this case uses an assessment date for
23 13:11:21 damages of the date of avoidance, as it says. But on
24 13:11:28 this slide, Gazprom is using that as one way to not look
25 13:11:34 past that date. It's a way to not ask what it did with

01 13:11:40 the contract's gas, the steps it took to mitigate, and
02 13:11:44 that's entirely unhelpful.
03 13:11:47 So PPD does not want to do that. It wants to take
04 13:11:51 into account known data and as such, PPD uses the date
05 13:11:57 of the award, not the date of the breach. And that
06 13:11:59 means that less interest is claimed because you only
07 13:12:03 claim it when each chunk arrives, but there is no
08 13:12:06 discounting.
09 13:12:07 We'll explain in closing how, if we had used the
10 13:12:11 date of breach, the rate you would use for discounting
11 13:12:16 is, in all circumstances, lower than the rate you would
12 13:12:20 use to go forward again.
13 13:12:22 So you most likely would increase the claim, had the
14 13:12:25 date of breach been used.
15 13:12:29 So after set-off, which we will address in the
16 13:12:31 counterclaim, interest is added again. There's no
17 13:12:35 dispute on the calculated interest and PPD accepts that
18 13:12:39 the tort rate, which is lower, would be applied to PPD's
19 13:12:43 market manipulation claims.
20 13:12:46 So that concludes our submissions on the loss of
21 13:12:50 PPD's claims and Ms Petkute will now address the
22 13:12:54 tribunal on Gazprom's counterclaim.
23 13:13:00 Opening submissions by Ms Petkute
24 13:13:12 **MS PETKUTE:** Madam president, members of the tribunal, it
25 13:13:15 is a privilege to stand before you today to present

01 13:13:18 PPD's position on Gazprom's counterclaims.

02 13:13:22 Gazprom seeks over 5.4 billion euros from PPD. That

03 13:13:28 is what respondent asks you to award.

04 13:13:31 This is a counterclaim for which Gazprom failed to

05 13:13:34 meet its burden of proof. This is a counterclaim by the

06 13:13:38 breaching party.

07 13:13:40 In the next 20 minutes I will address three points

08 13:13:43 related to liability on the counterclaims.

09 13:13:47 First, it is Gazprom, not PPD, that committed

10 13:13:52 a fundamental breach of the contract.

11 13:13:55 Second, I will explain why EU sanctions laws bar any

12 13:14:00 award in Gazprom's favour.

13 13:14:01 And third, I will turn to specific heads of

14 13:14:06 Gazprom's counterclaims to address liability.

15 13:14:10 Let me begin.

16 13:14:13 **Gazprom's counterclaim rests on one key assertion:**

17 13:14:17 that PPD fundamentally breached the contract.

18 13:14:21 As you can see on the screen, fundamental breach is

19 13:14:24 defined in article 25 CISG. It is a precondition for

20 13:14:29 avoidance of the contract. It is also a precondition to

21 13:14:33 claim damages up to the end of the contract term, that

22 13:14:38 is end of 2027.

23 13:14:41 In Gazprom's view, it validly avoided the contract

24 13:14:44 and for that reason it is entitled to damages up to that

25 13:14:48 period.

01 13:14:49 The opposite is true.

02 13:14:52 On 1 April 2022, Gazprom sent a letter that was not

03 13:14:57 a mere request. It was an ultimatum. The message was

04 13:15:02 **clear:** accept a new payment mechanism or there would be

05 13:15:06 no more gas.

06 13:15:09 Article 9.1 of the contract is unambiguous. Payment

07 13:15:14 was to be made in euros, no unilateral modification and

08 13:15:19 certainty no MOEX, no NCC, no instructions from Russian

09 13:15:24 Central Bank. Yet, Gazprom demanded precisely those

10 13:15:29 things.

11 13:15:31 Gazprom fundamentally breached the contract in two

12 13:15:34 **ways:** first, by subjecting its primary contractual

13 13:15:39 obligation to supply gas upon conditions not contained

14 13:15:44 in the contract, and second, by suspending supply of gas

15 13:15:49 to PPD from 1 November 2022.

16 13:15:54 As we got subjecting primary contractual obligations

17 13:15:58 to supply gas upon conditions not contained in the

18 13:16:01 contract, the tribunal will have observed that Gazprom

19 13:16:07 required to pay via the mechanism after the decree 172

20 13:16:13 was issued on April 1, after the decree 254 was issued

21 13:16:18 in May, and after the decree 992 was issued in December.

22 13:16:25 The authors are unanimous in their conclusions.

23 13:16:28 A seller who conditions delivery on non-contractual

24 13:16:34 terms commits a fundamental breach of the contract.

25 13:16:38 You see several authorities on this slides. I will

01 13:16:41 **quote only one, Magnus:**

02 13:16:43 "It is ... a fundamental breach if the seller

03 13:16:46 requests, as condition for delivery, that the buyer

04 13:16:50 first fulfils further conditions ... which had not been

05 13:16:53 agreed upon in the original contract."

06 13:16:56 This is the first leg of Gazprom's fundamental

07 13:17:00 breach.

08 13:17:02 The second one is failure to supply from 1 November.

09 13:17:07 On this slide you also see authorities supporting that

10 13:17:10 this is a fundamental breach.

11 13:17:13 On 8 March, PPD formally avoided the contract for

12 13:17:18 these two reasons. On the slide you see PPD's notice of

13 13:17:22 avoidance.

14 13:17:23 PPD noted, "you have refused to accept payment in

15 13:17:27 Euros" and you "ceased supply of Natural Gas". By that

16 13:17:32 time, 17 weeks had passed without any gas deliveries

17 13:17:37 from Gazprom. This was a valid exercise of article 49

18 13:17:42 of CISG, a right confirmed upon PPD by virtue of

19 13:17:48 Gazprom's own fundamental breach of the contract.

20 13:17:53 Gazprom invokes article 71 CISG which governs

21 13:17:58 anticipatory breach and claims a right to suspend gas

22 13:18:03 deliveries because of PPD's alleged failure to pay on

23 13:18:08 31 October.

24 13:18:10 Gazprom has to rely on anticipatory breach because

25 13:18:14 alleged failure to pay on 31 October was for the gas

01 13:18:19 delivered in the past in September, but Gazprom
02 13:18:22 suspended supply for further periods.
03 13:18:26 This assertion fails for several reasons.
04 13:18:30 PPD did not refuse to perform its obligations under
05 13:18:34 the contract. PPD insisted on paying in euros. Lawful
06 13:18:40 insistence on contractual compliance cannot constitute
07 13:18:44 **an anticipatory breach. Prof Perner explains:**
08 13:18:49 "If a party lawfully refuses to effect performance
09 13:18:52 under a contract, the counterparty can never invoke
10 13:18:56 Art 71 CISG and suspend its own performance."
11 13:19:01 Article 80 further supports PPD's position. It
12 13:19:06 **provides:**
13 13:19:07 "a party may not rely on a failure of the other
14 13:19:10 party to perform, to the extent that such failure was
15 13:19:14 caused by the first party's [breach] or omission."
16 13:19:17 Gazprom asserts that even if PPD's non-payment via
17 13:19:23 the mechanism is justified by circumstances beyond the
18 13:19:27 party's control, Gazprom still had a right to suspend
19 13:19:31 performance.
20 13:19:32 This argument must be rejected. PPD was not
21 13:19:36 affected by any impediment to performance within the
22 13:19:40 meaning of article 71. PPD always had the ability to
23 13:19:44 pay in euros.
24 13:19:46 The very same author upon which Gazprom relies
25 13:19:49 clarifies that article 80 here comes into play.

01 13:19:54 Article 80 must also be taken into account when
02 13:19:58 assessing the breach of duty. Suspension is not
03 13:20:01 permissible if the creditor is responsible for the
04 13:20:05 debtor's breach.
05 13:20:07 Issuance of decree 992 does not change this
06 13:20:11 conclusion. What decree 992 did, it allowed payments of
07 13:20:21 debt by foreign buyer in euros. However, it continued
08 13:20:25 to condition the obligation of supply upon payments to
09 13:20:30 mechanism.
10 13:20:31 Therefore, Gazprom after decree 992 continued to be
11 13:20:36 in fundamental breach of the contract.
12 13:20:39 In any event, the claim defect of decree 992 is
13 13:20:44 moot, as Gazprom has no claim for gas supplies
14 13:20:47 in September and October because of PPD's valid set-off.
15 13:20:54 Gazprom therefore has no right to avoid the contract
16 13:20:58 because PPD was not in fundamental breach; Gazprom was.
17 13:21:03 Moreover, Gazprom failed to comply with formal
18 13:21:06 requirements and issue a notice of avoidance. It
19 13:21:09 purports that it did so with the answer to the request
20 13:21:13 for arbitration in May.
21 13:21:16 However, while it is required that parties' intent
22 13:21:21 is clear to avoid the contract, you cannot find such
23 13:21:25 intent in the answer.
24 13:21:28 In its opening presentation Gazprom submits that it
25 13:21:31 could choose whether to exercise avoidance right under

01 13:21:34 article 25. This is exactly the point. Gazprom might
02 13:21:39 choose of course the remedies it wishes to invoke;
03 13:21:41 however, the intent to avoid the contract must be clear.
04 13:21:47 The consequences of Gazprom's fundamental breach are
05 13:21:50 significant. It had no right to suspend performance
06 13:21:53 in November and no right to avoid the contract.
07 13:21:58 Accordingly, Gazprom is not entitled to the
08 13:22:00 counterclaim it now pursues.
09 13:22:05 Even if the tribunal were to find, contrary to PPD's
10 13:22:09 submission, that PPD was in breach, Gazprom's
11 13:22:13 counterclaim would still fail because of EU sanctions
12 13:22:16 regulations.
13 13:22:18 Here PPD invokes article 11 of Council Regulation
14 13:22:22 833 and article 10 of Council Regulation 269.
15 13:22:28 **Article 11 of Council Regulation is explicit:**
16 13:22:33 "No claims in connection with any contract ... the
17 13:22:36 performance of which has been affected, directly or
18 13:22:40 indirectly, in whole or in part, by the measures imposed
19 13:22:44 under this regulation ... shall be satisfied, if they
20 13:22:47 **are made by:**
21 13:22:48 "(b) any other Russian person, entity or body.
22 13:22:52 "2. In any proceedings for the enforcement of
23 13:22:54 a claim, the onus [the burden] of proving that
24 13:22:58 satisfying the claim is ... on [a party who is] seeking
25 13:23:01 the enforcement..."

01 13:23:03 There is of course no dispute that Gazprom is
02 13:23:07 a Russian entity, nor can there be any serious dispute
03 13:23:11 that the performance of the contract was affected by EU
04 13:23:15 sanctions.
05 13:23:17 The consequences in this article are also clear. No
06 13:23:22 claim shall be satisfied.
07 13:23:26 Just a few weeks ago, and my colleagues discussed
08 13:23:29 that briefly, Advocate General Biondi opined exactly on
09 13:23:33 **this article, on article 11 of regulation 833. It said:**
10 13:23:40 "... the arbitration bodies ... are not only bound
11 13:23:43 by EU law but also, at their level, are the guarantors
12 13:23:47 [of] EU law ..."
13 13:23:49 It also found that article 11 must be interpreted as
14 13:23:54 being part of EU public policy.
15 13:23:57 Advocate General noted the broad scope of the
16 13:24:05 wording "directly or indirectly", literal analysis,
17 13:24:08 contextually interpreted the provision, and noted that
18 13:24:15 the regulation includes no circumvention provision, and
19 13:24:20 also mentioned the purpose of this regulation, which my
20 13:24:23 colleagues already addressed.
21 13:24:26 But I would like to particularly draw your attention
22 13:24:29 to the second paragraph on the slide.
23 13:24:33 Critically, article 11 is automatic, it's
24 13:24:38 autonomous, it is irrelevant whether satisfying the
25 13:24:41 claim would itself entail a prohibited measure. Let me

01 13:24:45 **quote:**

02 13:24:47 "... where the claim relates to a contract or

03 13:24:49 a transaction the performance of which has been affected

04 13:24:54 by the measures laid down by that regulation, the

05 13:24:58 non-satisfaction of that claim is automatic,

06 13:25:01 irrespective of whether satisfying the claim would

07 13:25:05 entail infringement of the other measures provided for

08 13:25:09 in that regulation ..."

09 13:25:14 It is very important, members of the tribunal. Just

10 13:25:16 consider the situation in the Reibel case. What was

11 13:25:19 sanctioned there? It was the good itself, it was the

12 13:25:24 metal parts which were considered to be of dual use for

13 13:25:27 helicopters. This good was sanctioned, it could not be

14 13:25:32 delivered, but the advance payment was made.

15 13:25:37 While the tribunal found that the advance payment

16 13:25:41 should be repaid because the good was not delivered

17 13:25:43 because of the sanctions, Advocate General says that

18 13:25:47 article 11 still captures that advance payment, although

19 13:25:53 what's sanctioned is the good, of course, not the

20 13:25:58 advance payment.

21 13:25:59 That is how broad article 11 should be interpreted.

22 13:26:06 Gazprom contends on slide 189 of its opening

23 13:26:09 submissions that the debt for September and October 2022

24 13:26:16 could be paid directly to GPE into euro account, because

25 13:26:19 of that decree 992, and therefore it fails outside

01 13:26:24 article 11.

02 13:26:26 But this ignores the scope of the sanctions as just

03 13:26:30 addressed.

04 13:26:31 It is sufficient that the contract performance is

05 13:26:35 affected by sanctions and then article 11 provides that

06 13:26:40 no claims can be satisfied.

07 13:26:45 On the consequences of the application of

08 13:26:49 article 11, Advocate General noted that the body who

09 13:26:54 **receives the claim:**

10 13:26:54 "... is obliged not to satisfy it. Not satisfying

11 13:26:58 a claim means ... that a favourable response must not be

12 13:27:02 given to it."

13 13:27:06 There can be no doubt that the performance of this

14 13:27:08 contract was affected by the measures imposed under

15 13:27:12 regulation 833.

16 13:27:14 Here you see a quote by the European Commission who

17 13:27:18 observed that transactions resulting in the Central Bank

18 13:27:21 of Russia gaining control over funds could be considered

19 13:27:26 prohibited transactions, and that prohibitions in the

20 13:27:29 sanctions should be interpreted broadly.

21 13:27:35 Also, I now quote the view of the Ministry of the

22 13:27:41 Foreign and European Affairs of Croatia, responsible for

23 13:27:45 implementing and enforcing sanctions in the Republic of

24 13:27:48 **Croatia:**

25 13:27:48 "The procedure for converting the paid funds is

01 13:27:53 entirely within the jurisdiction of the bodies of the
02 13:27:55 Russian Federation and is related to the management of
03 13:27:59 the funds and reserves of the Central Bank of
04 13:28:01 Russia ..."

05 13:28:04 Prof Klicka further openly asserts that the very
06 13:28:10 issuance of the decrees was because of EU sanctions.

07 13:28:18 **This is what Prof Klicka says:**

08 13:28:20 "While EU sanctions at the respective time did not
09 13:28:23 make it impossible for GPE to continue to accept
10 13:28:26 payments in accordance with Clause 9.2 of the Contract,
11 13:28:29 they triggered in effect the introduction of decree 172,
12 13:28:34 which was issued by the Russian state in the context of
13 13:28:38 the EU measures enacted against Russia ..."

14 13:28:43 Therefore, contract performance was definitely
15 13:28:46 affected by the EU sanctions. The decrees were issued
16 13:28:50 in response to EU sanctions. It opened up the mechanism
17 13:28:56 under which sanctioned parties could acquire PPD's
18 13:29:00 euros. Also the contract was avoided and no payment was
19 13:29:05 made because of the risks of sanctions.

20 13:29:08 Now I turn to article 10 of Council Regulation 269.

21 13:29:12 Even if PPD was mistaken and no sanctions apply,
22 13:29:20 **this provision releases from liability:**

23 13:29:25 "The freezing of funds and economic resources or the
24 13:29:28 refusal to make funds or economic resources available,
25 13:29:31 carried out in good faith ... shall not give rise to

01 13:29:36 liability of any kind ... unless it is proved ..."

02 13:29:41 And the burden is here on Gazprom, that this was

03 13:29:43 done "as a result of negligence".

04 13:29:45 PPD was not negligent. Here on this slide you see

05 13:29:55 various opinions of EU officials confirming their views

06 13:30:00 that the mechanism fell under sanctions.

07 13:30:03 PPD did not act negligently when it suspended

08 13:30:06 payment due to the risk of sanctions. These statements

09 13:30:11 confirm this.

10 13:30:13 PPD was not reckless. PPD faced a genuine

11 13:30:18 regulatory uncertainty and chose compliance with EU law.

12 13:30:24 For that choice it cannot be liable.

13 13:30:30 The consequences of application of these two

14 13:30:32 **sanction regulations:** if article 11 applies, no claims

15 13:30:39 shall be satisfied, while article 10 provides for the

16 13:30:44 consequences that no liability for the breach of

17 13:30:48 contract arises.

18 13:30:51 I now turn to specific heads of Gazprom's

19 13:30:54 counterclaims on liability.

20 13:30:58 Gazprom claims euro 346 million for gas delivered

21 13:31:03 in September and October 2022. This claim fails because

22 13:31:09 PPD had declared a valid set-off.

23 13:31:15 Austrian law, not CISG, applies to the question of

24 13:31:18 set-off, as the CISG does not cover this issue. On this

25 13:31:24 slide you can see authorities confirming it.

01 13:31:28 Under Austrian law, a set-off has the same effect as
02 13:31:33 the performance of a monetary obligation by payment and
03 13:31:39 has a retroactive effect.
04 13:31:42 The effect of the set-off goes back to the time at
05 13:31:46 which the claims were first capable of being set off
06 13:31:49 against each other.
07 13:31:54 Gazprom has no entitlement to payment for these
08 13:31:57 invoices because PPD declared a valid set-off against
09 13:32:02 its damages claims. Here you see the chronology, how
10 13:32:06 the claims developed and how the set-off was announced.
11 13:32:10 Initially, Gazprom claimed the debt without request
12 13:32:15 for interest running on that debt. On 9 March 2023 PPD
13 13:32:20 declared a valid set-off against this claim.
14 13:32:25 During this arbitration, Gazprom updated its
15 13:32:29 counterclaim, then also including a claim of penalties.
16 13:32:33 PPD updated its damages quantification, as well as
17 13:32:38 introduced its damages claim for market manipulation.
18 13:32:42 For the avoidance of doubt, PPD declared a material
19 13:32:46 set-off with its own updated claim for damages against
20 13:32:52 the payment for gas delivered in September and October.
21 13:32:56 Under Austrian law, set-off can also be declared
22 13:33:00 procedurally, conditionally. PPD did that in the
23 13:33:05 request for relief.
24 13:33:07 The difference is that of course PPD does not
25 13:33:10 acknowledge Gazprom's counterclaim. It is conditional,

01 13:33:14 but such relief is in front of the tribunal.

02 13:33:19 I now turn to Gazprom's counterclaim on unjust

03 13:33:23 enrichment.

04 13:33:27 Gazprom claims 4.5 million in unjust enrichment

05 13:33:29 under section 1041 of Austrian Civil Code.

06 13:33:37 What is Gazprom asking? Gazprom says PPD owes

07 13:33:42 Gazprom the funds which it had to pay for the September

08 13:33:48 and October deliveries. Then somehow Gazprom submits

09 13:33:53 that these funds, exactly these funds were used to

10 13:33:56 purchase LNG by PPD, and it claims the profits received

11 13:34:03 by PPD from the sold LNG.

12 13:34:06 This claim has no basis legally under Austrian law

13 13:34:10 of unjust enrichment.

14 13:34:12 The section 1041 on which Gazprom relies is

15 13:34:17 applicable, it is a subsidiary norm which is applicable

16 13:34:21 where there is no contract. In the case of the absence

17 13:34:24 of contract, it is based on a basic idea of reverse

18 13:34:30 unjustified transfers of assets.

19 13:34:33 Of course, what was transferred here? It was gas.

20 13:34:37 Was that transfer unjustified? Not, because the

21 13:34:41 contract is a basis for that transfer.

22 13:34:44 The legal prerequisites are simply not met.

23 13:34:48 This section does not apply where the contract

24 13:34:51 exists. This is that elementary. Unjust enrichment law

25 13:34:56 is designed to reverse unjustified transfers in

01 13:35:03 situations precisely where there is no contractual basis
02 13:35:06 for the benefit received.
03 13:35:12 The money, the alleged debt which Gazprom alleges
04 13:35:17 was unjustifiably used, of course was not transferred
05 13:35:23 unjustifiably. That money was of course PPD's funds.
06 13:35:34 There is no evidence whatsoever on the case record
07 13:35:37 that that money or that debt was used to buy LNG.
08 13:35:42 Prof Perner is very clear on this point.
09 13:35:47 This is not a factual situation that can engage
10 13:35:50 section 1041. Section 1041 is subsidiary in nature.
11 13:35:59 Gazprom cannot pursue unjust enrichment counterclaim
12 13:36:03 while simultaneously pursuing a contractual claim for
13 13:36:06 exactly the same debt.
14 13:36:10 A claim for unjust enrichment can never be brought
15 13:36:14 in a situation where the creditor has a contractual
16 13:36:17 claim against the enriched party arguing that.
17 13:36:23 This is impermissible. The law of contract and CISG
18 13:36:27 governs what a party must pay for a delivery, and
19 13:36:32 Gazprom has not established neither contractual nor
20 13:36:36 basis under the CISG of its claim.
21 13:36:40 Now I turn to the minimal annual quantities
22 13:36:44 counterclaim of Gazprom.
23 13:36:47 Gazprom claims 44 million for the 2022 minimum
24 13:36:52 annual quantity shortfall. This claim misunderstands
25 13:36:58 the nature of the minimum annual quantities.

01 13:37:03 This counterclaim has also undergone
02 13:37:05 a transformation. It began at over 343 million and has
03 13:37:11 now shrunk to more than sevenfold, to euro 44 million.
04 13:37:19 According to Gazprom's experts Fidem, MAQ is
05 13:37:23 a prepayment for future make-up gas.
06 13:37:27 The commercial premise of the MAQ clause is that the
07 13:37:30 seller will continue to supply gas in subsequent years,
08 13:37:35 allowing the buyer to take the prepaid quantities
09 13:37:40 without further payment.
10 13:37:43 You can see that in clause 3.2 of the contract.
11 13:37:50 3.2(a) establishes annual obligation of PPD. It
12 13:37:55 defines the quantities of gas that PPD has to take and
13 13:38:01 if not taken, to pay.
14 13:38:04 The quantities of gas which are not taken but paid,
15 13:38:09 they are being prepaid. PPD pays 75 per cent of the
16 13:38:15 arithmetic average.
17 13:38:17 But crucially, in point (c), those quantities which
18 13:38:21 were not delivered but prepaid would be delivered the
19 13:38:25 next year upon PPD's request, and only the remaining
20 13:38:30 25 per cent of the price would be paid.
21 13:38:38 Awarding the MAQ without consideration of PPD's
22 13:38:42 right to take make-up gas in future would overcompensate
23 13:38:46 Gazprom. It would ignore that there were no deliveries
24 13:38:53 from 1 November. This would be contrary to the
25 13:38:58 fundamental principle under the CISG, that damages

01 13:39:02 should place a party in the position it would have been,
02 13:39:04 but for the breach.
03 13:39:08 MAQ is a prepayment. It cannot -- it is not
04 13:39:12 a clause which is designed to calculate debt or damages
05 13:39:17 when the supplies were stopped.
06 13:39:19 Finally, I will touch upon one point of the lost
07 13:39:25 profits counterclaim before handing over to my
08 13:39:26 colleague.
09 13:39:28 Gazprom claims lost profits from 1 November to
10 13:39:31 31 December 2027. It assumes that the contract would
11 13:39:38 have been performed until that date.
12 13:39:42 This assumption is factually impossible. Although
13 13:39:45 the contract broke down, there were further decrees
14 13:39:48 regarding payment mechanism. There was a decree 1003
15 13:39:52 and finally in June 2024 the mechanism fell down because
16 13:39:59 US imposed sanctions on the MOEX and national clearing
17 13:40:02 centre. That mechanism was not anymore functional from
18 13:40:08 that date, June 2024.
19 13:40:13 The loss of profits cannot be calculated on the
20 13:40:16 assumption that the contract would have been performed
21 13:40:20 to 31 December 2027, which is a date in the future.
22 13:40:27 There is no causal link between the breach and the
23 13:40:31 claimed losses.
24 13:40:34 The remaining aspects of Gazprom's lost profit
25 13:40:38 counterclaim will be addressed by my colleague, Ben

01 13:40:40 Holland, like the quantum of the counterclaims. Thank
02 13:40:45 you.

03 13:40:46 Further opening submissions by Mr Holland

04 13:40:53 **PRESIDENT:** Mr Holland, you have the difficult task to do
05 13:40:57 this presentation on quantum of counterclaim in
06 13:41:00 six minutes. So if you need any additional time, let us
07 13:41:04 know now.

08 13:41:05 **MR HOLLAND:** We will be able to dispose of this
09 13:41:07 5.5 billion euro counterclaim in 10 minutes, if that
10 13:41:11 would be acceptable.

11 13:41:12 **PRESIDENT:** Very good.

12 13:41:13 **MR HOLLAND:** I think we'll find as well that it is more
13 13:41:15 exciting than the normal end of a quantum submission,
14 13:41:18 and that's because although it's common ground that
15 13:41:23 Gazprom is claiming under article 74 of CISG, Gazprom
16 13:41:28 says that it is a lost volume seller. And it does this
17 13:41:32 because a lost volume seller can claim damages that are
18 13:41:35 not reduced by mitigation. But the law, the facts and
19 13:41:39 your basic intuition speak with one voice, and Gazprom
20 13:41:43 is not a lost volume seller.

21 13:41:45 It's undisputed that the applicable test is that in
22 13:41:49 Sunrise Foods, and three points on that test.

23 13:41:53 First, summarising it, Gazprom has shown that it
24 13:41:56 could have, would have, sold the contract gas to
25 13:42:00 a subsequent buyer even without the breach and that it

01 13:42:05 would have done so for profit.

02 13:42:08 That's the test.

03 13:42:08 Second, Gazprom accepts the first and the third

04 13:42:11 elements. That's "could have" and "profit".

05 13:42:15 But Gazprom ignores -- third point -- the second

06 13:42:19 element of the test, and that element is crucial because

07 13:42:23 in Sunrise Foods the court rejected the seller's lost

08 13:42:28 volume claim due to lack of evidence of that second

09 13:42:32 independent sale, that it would have been made despite

10 13:42:37 the contract.

11 13:42:39 That is crucial, because that limb of the test

12 13:42:43 ensures that the seller is not overcompensated for its

13 13:42:46 loss.

14 13:42:49 On the facts, there is a complete failure of proof

15 13:42:52 on these points. Gazprom has provided no proof that it

16 13:42:56 has sufficient resources and capacities that it would

17 13:43:00 use to supply additional customers, despite admitting

18 13:43:05 that it's required to do so.

19 13:43:07 The entirety of the evidence is the bare assertion

20 13:43:12 that it has vast gas reserves and supply capabilities

21 13:43:17 that can be treated as unlimited.

22 13:43:20 But even if Gazprom had infinite gas resources, that

23 13:43:26 **doesn't dispose of the question:** could Gazprom have

24 13:43:30 supplied both replacement customers and the contract?

25 13:43:36 And the practicalities of gas sales say no on both

01 13:43:41 counts.

02 13:43:43 First, to sell gas you need to transport it to the

03 13:43:47 buyer. PPD's expert performs a gas flow analysis and

04 13:43:53 shows that it was not technically possible. That's

05 13:43:58 because in November 2022, gas under the contract was

06 13:44:03 transported through a pipeline into Hungary to Croatia,

07 13:44:07 and to get the gas into that point, you had to go

08 13:44:12 through Kiskundorozsm-2, or K2, and it's the connection

09 13:44:18 point between Hungary and Serbia and it's the only route

10 13:44:23 which Gazprom is still delivering gas to Europe today.

11 13:44:29 If you look at this next graph, it shows that it

12 13:44:32 can't possibly accommodate the contract volumes on top

13 13:44:38 of what is being supplied.

14 13:44:40 So, applying Sunrise Foods, Gazprom could not have

15 13:44:45 supplied contract gas in addition to the actual sales

16 13:44:50 it's making through the maxed-out K2.

17 13:44:54 Gazprom presents three witnesses, including

18 13:44:56 Mr Averkin, who's head of gas supply at the region, and

19 13:45:00 Mr Mazilov, who's in charge of transportation, and none

20 13:45:04 of them mention any of this at all.

21 13:45:07 Second, and separately, the gas purchase analysis

22 13:45:11 shows that Gazprom has been indirectly selling gas to

23 13:45:17 PPD since November 2022, and we need to go back to K2,

24 13:45:23 because two other things were happening there.

25 13:45:26 First, Gazprom was selling gas to a Bosnian company

01 13:45:31 at K2 and this gas was sold on to PPD at K2. It was
02 13:45:38 replacement gas. But the transit system operator
03 13:45:43 skipped this Bosnian middleman in the delivery protocol.
04 13:45:48 So on screen you can see that the seller of this gas was
05 13:45:53 Gazprom and the buyer was PPD.
06 13:45:56 After analysing the rest of these purchases,
07 13:46:00 74 per cent of the contract's volumes were being
08 13:46:04 indirectly sold to PPD by Gazprom and Gazprom could not
09 13:46:10 have supplied those volumes independent of the contract
10 13:46:16 because PPD couldn't take those molecules both directly
11 13:46:21 and indirectly; it did not need double the gas.
12 13:46:26 That must be why Gazprom is hiding its sales data.
13 13:46:32 So moving to the second part of my submissions,
14 13:46:35 because of all of that, Gazprom, like any other seller
15 13:46:38 seeking damages, has to comply with article 77 and it
16 13:46:42 acknowledges that duty of mitigation.
17 13:46:46 So the question is whether and to what extent
18 13:46:50 Gazprom could have reasonably mitigated its loss, and
19 13:46:56 I have four points to make.
20 13:46:58 The first is that each of Gazprom's four sets of
21 13:47:03 calculations of its loss assume that Gazprom did not
22 13:47:08 make any mitigation sales at all between November 2022
23 13:47:12 and December 2027, and that means that all Gazprom's
24 13:47:16 calculations are invalid if you are not convinced that
25 13:47:22 not a single molecule of gas has not been resold.

01 13:47:27 Second, as shown before, it's absolutely false to
02 13:47:30 say that there were no mitigation sales at all.
03 13:47:35 It's against ordinary commercial common sense and
04 13:47:38 it's clear that sales were being made to Hungarian
05 13:47:43 buyers, and because PPD has shown that Gazprom was
06 13:47:47 making subsequent mitigation sales of all the volumes,
07 13:47:52 the only possible loss that Gazprom could claim would be
08 13:47:56 that it suffered the price difference between the
09 13:48:00 volumes that it sold in mitigations and the contract
10 13:48:03 price.
11 13:48:04 But Gazprom has offered again no evidence on that
12 13:48:07 point at all, despite its burden of proof.
13 13:48:10 Now, Gazprom's experts do say otherwise, but they
14 13:48:13 have been given no sales data, they have been given no
15 13:48:16 contracts at all, so their evidence must be given next
16 13:48:20 to no weight.
17 13:48:21 Third, Gazprom is then forced to raise the truly
18 13:48:26 unworldly argument that this 3.6-billion-euro
19 13:48:33 counterclaim rests on the proposition that these volumes
20 13:48:38 of gas do exist, they have on Gazprom's calculations
21 13:48:43 been produced, but they then are all lost and they
22 13:48:49 cannot be sold ever.
23 13:48:54 Fourth, where does that leave us? Well, PPD need
24 13:48:57 only show, and it has shown, that reasonable mitigation
25 13:49:02 steps are possible.

01 13:49:04 If so, it's Gazprom's duty to prove the quantum of
02 13:49:08 its counterclaim after reasonable mitigation.
03 13:49:13 The experts can't help you because they've got no
04 13:49:15 further data that they could use to quantify this loss.
05 13:49:18 And of course that's right, because there was no loss,
06 13:49:22 because PPD has shown that Gazprom sales have already
07 13:49:27 been mitigated. So Gazprom can get no lost profit
08 13:49:33 damages.
09 13:49:35 Next, if the MAQ clause is applicable, which we
10 13:49:40 explained before it wasn't, but if it was, no payment
11 13:49:45 **still due, you compare two things:** first, the MAQ amount
12 13:49:51 under article 3 of the contract, and second, PPD's
13 13:49:56 offtake of gas in 2022.
14 13:49:59 So first, gas not made available due to any reason
15 13:50:04 counts towards the D parameter. That reduces it and
16 13:50:07 there are 58 days that needs reducing because of the
17 13:50:13 D parameter.
18 13:50:14 Now, 38 of those are in dispute. They're in dispute
19 13:50:18 because Gazprom told PPD that no gas would be available.
20 13:50:23 So PPD didn't nominate for it. But those days should
21 13:50:28 also count towards the D parameter when you look at its
22 13:50:32 language because under article 3.1, the duty to make gas
23 13:50:37 available each day applies regardless whether the buyer
24 13:50:42 is nominating.
25 13:50:43 If you didn't take that point of view, you would be

01 13:50:46 asking PPD to keep demanding gas day by day for gas that
02 13:50:52 it knew that would not be available.
03 13:50:55 Now, coming to the other side of the equation, PPD's
04 13:51:00 offtake, that should be based on the amount of gas that
05 13:51:04 PPD was required to take.
06 13:51:08 Gazprom is only guaranteed to sell that required
07 13:51:10 amount to PPD. We heard before that PPD does have an
08 13:51:15 option to take more gas on each day. But that option
09 13:51:19 was for the benefit of PPD and it can't be assumed or
10 13:51:23 forced to do something that was its sole option.
11 13:51:28 When you apply the two, the offtake was higher than
12 13:51:32 **the MAQ. So no minimum payment arises.**
13 13:51:38 **We have one point on late penalties there.**
14 13:51:43 **Gazprom is claiming both interest and penalties, and**
15 13:51:48 **as explained in our written submissions, that's not**
16 13:51:51 **correct. The contract is silent on whether you can**
17 13:51:53 **claim both simultaneously.**
18 13:51:56 **We say that it just has to be interpreted based on**
19 13:52:00 **a reasonable view, that a reasonable person would not**
20 13:52:04 **expect a daily penalty to be in addition to a daily rate**
21 13:52:12 **of interest. Both amounts fulfil exactly the same**
22 13:52:17 **commercial purpose and it would be unreasonable to apply**
23 13:52:22 **both.**
24 13:52:22 **To emphasise its double counting, Gazprom also say**
25 13:52:26 **that interest accrues on the penalties.**

01 13:52:30 That concludes PPD's submissions on the
02 13:52:34 counterclaim, but we sought earlier to update PPD's
03 13:52:38 request for relief. We will set that out on these final
04 13:52:45 slides.

05 13:52:49 Members of the tribunal, colleagues, that brings
06 13:52:52 PPD's opening presentation to an end.

07 13:52:56 PPD respectfully asks that the tribunal grant the
08 13:52:59 relief sought.

09 13:53:01 **PRESIDENT:** Thank you very much, Mr Holland. That
10 13:53:03 concludes the presentation for the claimant.

11 13:53:11 Thank you very much, we will now take a lunch break.

12 13:53:15 We will add, we will carefully calculate the extra
13 13:53:19 time, add it to the benefit of the respondent this
14 13:53:21 afternoon.

15 13:53:23 What is the preference of the respondent? Should we
16 13:53:25 keep the original timetable, which means we have
17 13:53:27 30 minutes to start or should we give extra time,
18 13:53:33 lunchtime? We have time. The members of the tribunal
19 13:53:38 are available.

20 13:53:40 What would you like to do? Do you want to keep
21 13:53:44 a one-hour break or would you like to start earlier?

22 13:53:47 **MR TALANOV:** We are fine in keeping one-hour break if the
23 13:53:49 other party and the tribunal agrees to that.

24 13:53:52 **PRESIDENT:** So we will commence again at 2.53. Thank you.

25 13:54:00 (1.54 pm)

01 13:54:03 (Lunch break)

02 13:54:04 (2.54 pm)

03 14:54:14 **PRESIDENT:** Just for the record, the claimant has used

04 14:54:17 217 minutes this morning. So you're allocated as well

05 14:54:21 217 minutes.

06 14:54:23 Opening submissions by Mr Talanov

07 14:54:25 **MR TALANOV:** Thank you so much.

08 14:54:25 Dear members of the tribunal, my pleasure and honour

09 14:54:28 to be representing the respondent in this matter GPE,

10 14:54:30 Gazprom Export, in these proceedings before the

11 14:54:36 honourable tribunal, before the learned counsel of the

12 14:54:39 claimant.

13 14:54:41 The difficulty of speaking after lunch is well

14 14:54:43 known, clearly, because everyone is quite fighting the

15 14:54:48 urge for a small post-lunch nap.

16 14:54:52 Well, I will do my best to ensure that the tribunal

17 14:54:55 as well as the other party does not necessarily succumb

18 14:54:59 to this temptation, but don't hold it against me because

19 14:55:02 we will necessarily talk of some of the very complex

20 14:55:05 details, which we unfortunately have to discuss so that

21 14:55:08 to understand the substance of the position of the

22 14:55:11 respondent.

23 14:55:13 As you well recall, this case is about taking the

24 14:55:17 gas and not paying for it.

25 14:55:19 There is no controversy to that fact. This is not

01 14:55:24 disputed. The gas for two months has been taken,
02 14:55:27 consumed and never paid for. Clinical, admitted fact.
03 14:55:31 And the claimant receives the gas, but fails to pay for
04 14:55:34 it in time. Well, actually, failed to pay for it ever.
05 14:55:40 However, just now, before the break, we heard
06 14:55:43 a different story of the difficulties and hardships by
07 14:55:46 the claimant. And this is nothing but a song about how
08 14:55:49 a party wants to take back their own words.
09 14:55:53 In April 2022, as you already well know, PPD,
10 14:55:58 without a single question, without any request for
11 14:56:01 clarification, within one business day, agrees to
12 14:56:06 introduce minor -- and I emphasise minor -- amendments,
13 14:56:10 changes to the contract, to keep making a fortune,
14 14:56:14 re-selling the Russian gas.
15 14:56:16 **They send a clear signal to the respondent: we**
16 14:56:19 continue the contract under the new terms.
17 14:56:22 However, as now already demonstrated by ample
18 14:56:26 evidence on the record, and actually even explained by
19 14:56:30 PPD themselves, already in the previous months,
20 14:56:34 in March 2022, PPD decided to start getting rid of the
21 14:56:40 long-term contract with the respondent.
22 14:56:43 Why so?
23 14:56:45 This is also pretty clear. We all remember the
24 14:56:47 times of the March 2022. And maybe potentially even
25 14:56:53 understandable from the business perspective, PPD

01 14:56:55 thought it may be politically reasonable to disconnect
02 14:56:59 itself from the GPE in the long run.
03 14:57:03 In March 2022, prior to any contract modifications
04 14:57:07 and any of the events that we mainly discussed before
05 14:57:10 the lunch break, PPD already books some capacities at
06 14:57:14 the Krk LNG terminal. They extend the LNG contract
07 14:57:19 in June, with the first LNG supplies effective
08 14:57:23 in November.
09 14:57:24 In 2022, PPD were rather late with LNG, as compared
10 14:57:28 to other market players, as they now admit, and their
11 14:57:31 witnesses say the capacities were not immediately
12 14:57:33 available and the booking had to be done in advance, so
13 14:57:36 they want to keep using GPE as long as PPD deems
14 14:57:41 convenient.
15 14:57:43 Clearly, nothing about LNG and all these plans ever
16 14:57:46 said to GPE, not a word.
17 14:57:50 Over May-October 2022, the long-term contract
18 14:57:54 between GPE and PPD is performed under the modified
19 14:57:58 payment mechanism. Gas duly supplied. Transfers made.
20 14:58:02 Nominations made. "K" type accounts opened. Despite
21 14:58:08 all the widely known difficulties and minor hitches that
22 14:58:12 all of us witnessed in those days.
23 14:58:14 Assess this cumulatively. Contract amendment signed
24 14:58:19 by PPD without any question, nearly overnight. Special
25 14:58:25 type "K" account opened. Five money transfers under the

01 14:58:30 amended regime effectively made by PPD.

02 14:58:34 All of this works as long as it is convenient to PPD

03 14:58:37 only.

04 14:58:39 GPE in July even agrees to further modifications to

05 14:58:43 the contract to the benefit of PPD as requested by them.

06 14:58:47 The so-called amendment 10.

07 14:58:50 All of this is convenient only until the moment that

08 14:58:53 replacement LNG supplies become fully available.

09 14:58:57 Then GPE will be conveniently kicked out and the

10 14:59:01 contract, as you well know, abandoned.

11 14:59:04 As now clear, they know already in June that they

12 14:59:08 are going to fully replace GPE gas in November with LNG,

13 14:59:13 but they are radio silent with the respondent.

14 14:59:16 Instead, PPD selects to stop paying for gas in

15 14:59:19 September and October, perfectly understanding that

16 14:59:25 their further supplies will be seized -- not even by the

17 14:59:28 respondent, that's the trick -- by the Russian customs,

18 14:59:33 given the clear failure and the refusal by PPD to pay.

19 14:59:37 And that's what happened.

20 14:59:39 So they keep getting the gas from GPE until end

21 14:59:42 of October and then on 4 November already LNG starts

22 14:59:47 coming. What a fortunate coincidence.

23 14:59:50 But even worse, as we now see from the evidence on

24 14:59:53 the record, the Russian gas has been effectively sold to

25 14:59:57 the consumers and the funds obtained have been then sent

01 15:00:03 to secure the LNG supplies. So it was GPE actually

02 15:00:06 paying for that launch.

03 15:00:12 This is already unbelievable convenience and

04 15:00:13 coincidence.

05 15:00:14 When the respondent asks PPD in October, what is

06 15:00:18 wrong? What is the problem with the payment? We value

07 15:00:21 our contract. What is the answer received? So, what we

08 15:00:25 would expect. Anything about duress, we heard so much

09 15:00:28 about duress today. Amendments to contract that are not

10 15:00:33 in force. Anything about sanctions? You bet. Not

11 15:00:36 a word of this. Nothing.

12 15:00:40 All these concepts will appear much later when the

13 15:00:43 case that you have just heard gets engineered.

14 15:00:47 What does PPD say? We will see this later, further

15 15:00:50 on, but just for starters, the CEO by PPD, Mr Vujnovac,

16 15:00:56 **says:**

17 15:01:00 "Due to the recent development in Croatian political

18 15:01:03 establishment, there is a lack of political and public

19 15:01:06 support towards cooperation with the Russian companies."

20 15:01:12 Fine. Be it as it may.

21 15:01:14 **Then:**

22 15:01:14 "All our past payments were approved by the Ministry

23 15:01:17 of Foreign Affairs."

24 15:01:19 **October, end of October 2026:**

25 15:01:22 "All our past payments were approved by the Ministry

01 15:01:25 of Foreign Affairs."

02 15:01:26 So they were absolutely fine sanctions wise.

03 15:01:29 This is a contemporaneous document.

04 15:01:32 But now the political landscape changed. Even if we

05 15:01:36 trust that happened, fine, what would you expect

06 15:01:38 a diligent businessman to do? The landscape changed.

07 15:01:42 Fine. Cooperation is no longer possible as we expected.

08 15:01:46 **Fine. A diligent businessman would say:** well, we will

09 15:01:50 pay for what was supplied, but now we would like to

10 15:01:53 terminate the contract. Let's discuss the termination

11 15:01:57 terms.

12 15:01:58 That would be fair and diligent. No problem.

13 15:02:02 Ever said? Never.

14 15:02:04 No duress, no sanctions, no dominance, no

15 15:02:08 fundamental breach on the side of GPE, nothing. The

16 15:02:11 **only thing said is, and I quote:**

17 15:02:14 "We are not in a position to fulfil our payment

18 15:02:17 obligation now. We will come back as soon as we have

19 15:02:22 more information on the topic."

20 15:02:23 **Well:** we will come back, these are difficult times,

21 15:02:27 wait for us, we're handling the political side of the

22 15:02:29 story domestically. No worries.

23 15:02:34 Note one more revealing thing. This very letter,

24 15:02:38 and I will show you that letter down the presentation,

25 15:02:43 was the letter that PPD sent to the respondent, and this

01 15:02:47 letter did not get submitted to this arbitration by the
02 15:02:52 claimant. It did not. Yet again, because it is
03 15:02:58 inconvenient.
04 15:03:00 The contract could be terminated in any case, with
05 15:03:04 whatever dominant company, based on any applicable law
06 15:03:07 on a number of reasons and primarily upon agreement
07 15:03:11 between the parties. And Gazprom has such experience.
08 15:03:14 But if you settle amicably, you need to pay back
09 15:03:18 what has been consumed and you need to resolve the issue
10 15:03:22 with the long-term contract penalties.
11 15:03:25 This is not in the interests of the PPD because when
12 15:03:28 the time is so conveniently against the Russian gas
13 15:03:30 supplies, why would you do that?
14 15:03:33 When does GPE hear for the first time in any clear
15 15:03:37 terms about fundamental breaches, duress, use of
16 15:03:40 dominance, non-existence of the contractual
17 15:03:43 modification? December 2022. When GPE is no longer
18 15:03:49 needed, the contract from a great commercial benefit now
19 15:03:51 turns into a burden for PPD, given they need now to pay
20 15:03:54 for LNG and the Russian gas is now toxic.
21 15:03:58 Time to get rid of the partner you no longer need.
22 15:04:03 In March 2023, this arbitration starts. PPD demands
23 15:04:09 damages at the amount of around 300 million losses as
24 15:04:15 a result of the alleged breaches under the contract by
25 15:04:19 the respondent.

01 15:04:21 Keep in mind that the price for the gas that was
02 15:04:24 supplied, consumed and never paid for is around that,
03 15:04:29 350 million. Again, convenient calculations for the
04 15:04:34 very nicely framed set-off.
05 15:04:38 Well, fine. These losses shall be assessed and
06 15:04:42 confirmed and determined to be real or not by the
07 15:04:45 tribunal and as you will see, even the financial experts
08 15:04:49 based on the claimant's own calculations arrived to the
09 15:04:52 conclusion that no such losses were suffered.
10 15:04:54 But PPD never expected the respondent to show up in
11 15:05:00 the arbitration. And they just submit the claim,
12 15:05:05 willing to win it, absent the other party.
13 15:05:09 GPE unexpectedly appears, submits serious
14 15:05:13 counterclaim, never anticipated, for all the contractual
15 15:05:16 losses as a supplier and what happens? Six months after
16 15:05:20 the start of this arbitration, PPD comes up with the
17 15:05:25 so-called supplementary claim on the anti-trust issues
18 15:05:30 and inflated gas prices as if because of the made-up
19 15:05:35 market manipulation by the respondent.
20 15:05:38 For the events that happened in 2011, 2022 -- why
21 15:05:42 was not that in the original request for arbitration?
22 15:05:45 Convenient memory loss.
23 15:05:48 Strikingly, in January 2023, before the counterclaim
24 15:05:51 arrives, PPD's CEO gives an interview that the tribunal
25 15:05:55 will see later in detail.

01 15:05:58 In this interview he mentions GPE, boasts of
02 15:06:03 extraordinary revenues, claims to have made fortune on
03 15:06:05 the last year sales, totally silent on any market
04 15:06:09 manipulations and actually boasting to the contrary.
05 15:06:13 So all the anti-trust claim is invented and
06 15:06:16 defectively inflated solely with a view to offset the
07 15:06:21 purely contract-based and very clear-cut counterclaim by
08 15:06:25 GPE.
09 15:06:25 Now, plainly, all these public policy issues that we
10 15:06:31 are hearing about, sanctions, market manipulation,
11 15:06:35 duress, as I said, they are never contemporaneously
12 15:06:38 raised. They are never fixed or proven before this
13 15:06:42 arbitration started.
14 15:06:44 Sanctions are no issued today as well. The
15 15:06:47 respondent until today sells gas to Europe. No
16 15:06:50 sanctions prohibited. Until today, the modified
17 15:06:55 contracts exist, operate. No one ever had any
18 15:06:58 liability, neither criminal, nor administrative,
19 15:07:01 nothing.
20 15:07:04 All these public policy concerns are just reverse
21 15:07:07 engineering, so that to impress the tribunal with
22 15:07:13 imaginary risks and threats.
23 15:07:16 Then, when the arbitration unveils and PPD
24 15:07:19 understands that they admitted that will have to be
25 15:07:22 ultimately paid back, what happens? Mr Pavao Vujnovac,

01 15:07:26 you will see him tomorrow, deliberately takes steps to
02 15:07:30 remove PPD from its former wealthy parent company, Enna,
03 15:07:34 and decreases PPD assets available for debt collection.
04 15:07:39 The tribunal will recall the details of their story; we
05 15:07:42 have discussed that a lot during the consideration of
06 15:07:44 the anti-suit application by the claimant that was
07 15:07:48 rejected by the tribunal.
08 15:07:51 So after GPE submits counterclaims, Enna removes PPD
09 15:07:58 from its group company structure, sells shares to
10 15:08:03 a shell company called Blue Horizons with next to no
11 15:08:06 charter capital of 3,000 euros, so that's effectively
12 15:08:09 the owner of PPD we are looking at.
13 15:08:12 All other corporate connections broken, all
14 15:08:15 meaningful assets diluted, again conveniently. Rather
15 15:08:20 than honouring contractual obligations, the claimant
16 15:08:23 embarked on a strategy of delay, initiating and
17 15:08:27 extending these proceedings through repeated procedural
18 15:08:30 and extra-procedural tactics, and the respondent has
19 15:08:33 addressed and refuted these in written submissions.
20 15:08:36 In this opening I will try to focus on the key
21 15:08:39 points demonstrating why the allegations and
22 15:08:42 counterdefences of the claimant fail.
23 15:08:47 As for the key facts of the case, as they were
24 15:08:49 discussed and as for the presentation, they have it.
25 15:08:54 To set the record straight on the main actors, the

01 15:08:57 claimant in this arbitration, PPD, is a well-experienced
02 15:09:01 gas trading major company with sufficient resources.
03 15:09:06 Claimant's business focuses on trade, import, sale,
04 15:09:08 supply of natural gas.
05 15:09:10 According to data from Croatian Ministry of Energy
06 15:09:12 agency HERA -- we will mention that abbreviation several
07 15:09:16 times in the course of the next days -- PPD is the
08 15:09:19 second major supplier into Croatia with around
09 15:09:22 25 per cent share of the domestic gas market.
10 15:09:26 Majority of PPD sales are, however -- and that is
11 15:09:29 important, majority of PPD sales -- conducted outside
12 15:09:32 Croatia. So gas supplied by GPE during the lifetime on
13 15:09:36 the contract was primarily sold outside Croatia.
14 15:09:40 The main actor on PPD's side is Mr Pavao Vujnovac,
15 15:09:43 I already mentioned him. The quote on the slide
16 15:09:47 provides Mr Vujnovac is known as the most powerful
17 15:09:50 businessman of Croatia, largely infamous, as also now
18 15:09:57 even more visible from the Saturday application by the
19 15:10:00 claimant, who is most responsible for the continued
20 15:10:03 leadership of the ruling political party in Croatia.
21 15:10:08 As facts on the record tellingly reflect, and this
22 15:10:12 evidentiary hearing will confirm, this influence, access
23 15:10:17 to which Mr Vujnovac has, continues to substantially
24 15:10:22 impact the relations between the parties during the
25 15:10:25 relevant time periods.

01 15:10:27 The claimant, being a preeminent national supplier
02 15:10:29 in Croatia, contracted with respondent in 2017. The
03 15:10:34 relations between the parties started in 2017.
04 15:10:38 Now, a lot has been said about the respondent, and
05 15:10:41 we yet need to reiterate one key point.
06 15:10:47 You have heard many times today that the respondent
07 15:10:50 is referred to as "Gazprom". This is totally
08 15:10:53 misleading. That is not the name of the respondent.
09 15:10:56 Gazprom is a different company, which is a parent
10 15:10:58 company of the respondent.
11 15:11:01 Indeed, there is a well-known company Gazprom,
12 15:11:04 everyone knows it and it is conveniently useful to use
13 15:11:08 this brand with certain connotations, but the respondent
14 15:11:12 here in the room is not Gazprom. It is Gazprom Export.
15 15:11:17 Therefore, all the relations between the two parties
16 15:11:21 were relations between Gazprom Export, we will refer to
17 15:11:24 as GPE, and PPD.
18 15:11:28 All that is done on purpose so that everything mix
19 15:11:31 up, father -- mother company, daughter company, the
20 15:11:35 Russian Federation, all one big ball, totally mixed up
21 15:11:39 and all taking decisions in one and the same place.
22 15:11:44 Respondent in this arbitration is a limited
23 15:11:47 liability company, a private legal entity, and
24 15:11:51 respondent is not fully owned by -- well, the respondent
25 15:11:58 GPE is fully owned by public joint stock company

01 15:12:02 Gazprom, PJSC Gazprom, but that company in its turn is
02 15:12:07 not fully owned by the Russian State. It is not.
03 15:12:11 It is only with respect to 40 -- it is with respect
04 15:12:17 to 50 per cent, 50.23 per cent that -- that's the
05 15:12:22 overall said indirect shareholding of the Russian
06 15:12:26 Federation in the company, through three separate
07 15:12:29 entities. Federal Agency for State Property Management,
08 15:12:33 that's the governmental body. Then a company called
09 15:12:37 Rosneftgaz and a company called Rosgazifikatsiya.
10 15:12:42 Well, as anyone with a knowledge of corporate law
11 15:12:45 may appreciate, the fact that the overall share of the
12 15:12:50 Russian Federation is split between three entities also
13 15:12:53 has certain meaning, and clearly it is not that the
14 15:13:00 government directly somehow easily gives directions to
15 15:13:05 Gazprom mother company, because it is the only or the
16 15:13:10 majority shareholder that can do that without any
17 15:13:14 problem.
18 15:13:16 49.77 per cent of the shareholders of the mother
19 15:13:21 company is free float, private investors.
20 15:13:27 PPD references to alleged state control in
21 15:13:30 decisions-making rest on a misconception of corporate
22 15:13:35 control.
23 15:13:35 So actually, the fact that GPE's sole shareholder is
24 15:13:40 itself partially owned by the state cannot transform the
25 15:13:43 claimant into a state controlled company by default.

01 15:13:48 The board of directors of the mother company Gazprom
02 15:13:53 currently has 11 members, six of which have either never
03 15:13:58 held any governmental positions or have already retired
04 15:14:01 long time ago. And when I say long, I mean over
05 15:14:04 20 years.
06 15:14:06 It is not disputed that the board does really
07 15:14:09 include certainly public officials. It does. However,
08 15:14:13 this presence arises solely from the state's
09 15:14:16 shareholding in the company, and under the company's
10 15:14:19 governance structure of the mother company Gazprom,
11 15:14:23 shareholders are entitled to nominate their board
12 15:14:26 representatives in proportion to their shareholding.
13 15:14:29 So accordingly, the board officials in question are
14 15:14:34 acting as shareholder representatives, not as agents
15 15:14:37 exercising state authority over the company or anything
16 15:14:40 of the kind. There are some allegations to that extent
17 15:14:42 that PPD makes that I will get to in a while.
18 15:14:49 Both companies, Gazprom Export and PJSC Gazprom, are
19 15:14:53 distinct from the state, independent, and the state's
20 15:14:56 status as a shareholder does not give the state any
21 15:15:01 privileges over other shareholders.
22 15:15:05 Corporate control shall not be confused in any case
23 15:15:07 with the regulatory powers which state necessarily
24 15:15:10 exercises over an entity within its jurisdiction, and
25 15:15:14 especially that is typical of strategic sectors like oil

01 15:15:19 and gas.

02 15:15:21 Natural gas is treated as part of state's strategic

03 15:15:26 sector, strategic interest, in any jurisdiction. There

04 15:15:31 is no jurisdiction where it is not the case.

05 15:15:34 Hence, many states seek to have certain influence on

06 15:15:37 the national oil and gas giants and may use it in

07 15:15:41 achieving their public policy goals.

08 15:15:44 On the slide, you may see the examples from the

09 15:15:46 other countries, where in France, in Norway, in the

10 15:15:50 United States and in the Republic of Croatia, such

11 15:15:53 companies that are responsible for gas or oil are really

12 15:15:58 being carefully scrutinised and in a way checked by the

13 15:16:06 government with additional -- additional willingness,

14 15:16:13 let's put it this way.

15 15:16:16 We all perfectly understand that it is a very

16 15:16:18 popular and yet populist scarecrow argument to say that

17 15:16:24 President Putin personally approves each and every

18 15:16:27 transaction of Gazprom Export, PJSC Gazprom, starting

19 15:16:30 from the gas price determination to the paperclip

20 15:16:35 procurement.

21 15:16:36 This position is especially popular in the European

22 15:16:39 Parliament that has been cited by the learned counsel

23 15:16:45 representing PPD.

24 15:16:48 But the members of the tribunal I guess clearly

25 15:16:51 understand that the participation through a corporate

01 15:16:54 structure is for a reason. The mankind knows far easier
02 15:17:00 ways for the state to dictate their will to the
03 15:17:03 commercial entities on a daily basis than the structure
04 15:17:06 on this slide.
05 15:17:09 That said, this influence of state towards major gas
06 15:17:11 and oil companies does not deprive this companies of
07 15:17:15 separate legal personality and does not imply in and of
08 15:17:20 itself the state's involvement in commercial
09 15:17:22 decision-making.
10 15:17:24 There are clear tests developed by ample case law
11 15:17:27 and none accept any default attribution of state actions
12 15:17:35 to a commercial entity with a state participation,
13 15:17:37 beyond a case-by-case analysis. Thus, these arguments
14 15:17:43 of PPD are frankly of no merit.
15 15:17:46 Fortunately, modern law does not condone such witch
16 15:17:50 hunts, even though this rhetoric still finds its way
17 15:17:53 into legal advocacy as well.
18 15:17:57 I must admit that we are witnessing quite regularly
19 15:18:03 also very selective and tendentious reading of the
20 15:18:08 evidence and statements when it comes to statements made
21 15:18:11 by Gazprom. My learned friends have cited twice the
22 15:18:16 phrase said by Mr Miller, "Our gas, our rules".
23 15:18:21 However, if you were to open that publication and
24 15:18:24 read the context, you would be puzzled to see that it
25 15:18:27 had nothing to do with the decree that we were

01 15:18:29 discussing, with none of the decrees that we were
02 15:18:31 discussing, and actually related to a totally different
03 15:18:34 story, the story that all of you know, which is the
04 15:18:39 Nordstream pipeline.
05 15:18:44 The claimant's only response -- well, actually, one
06 15:18:48 more thing.
07 15:18:49 In the written submissions, the parties have
08 15:18:50 discussed that all in length and actually it is even
09 15:18:54 embarrassing to quote the arguments of the claimant
10 15:18:56 against the applicable corporate law, case law, the
11 15:18:58 constitutional law of Russia, international practice
12 15:19:01 positions, but I just could not leave that without some
13 15:19:04 comment.
14 15:19:05 The claimant's only argument to all of the Russian
15 15:19:08 corporate law, structure, procedures, is that Russia is
16 15:19:13 placed lower in the civil justice ranking made by some
17 15:19:15 of the private foreign organisations, and therefore all
18 15:19:18 of the positions of the Russian domestic law,
19 15:19:21 constitutional court and so on, is not relevant.
20 15:19:25 Luckily, as will be demonstrated further, courts and
21 15:19:29 tribunals stand to apply a far more nuanced approach
22 15:19:32 than this nationality principle proposed by the
23 15:19:35 claimant.
24 15:19:37 The contract at hand that we are discussing, that
25 15:19:40 was concluded in 2017, was indeed a truly lucrative

01 15:19:47 contract for the claimant. In many respects. Though we
02 15:19:51 have heard to the contrary.
03 15:19:54 PPD has voiced its lamentation on the contract at
04 15:19:57 hand as a heavy burden it had to undertake for the lack
05 15:20:01 of any alternatives to the terrible and pressing Russian
06 15:20:07 pipeline gas.
07 15:20:09 This is yet again playing the victim whenever
08 15:20:12 convenient.
09 15:20:13 The truth is that a commercial contract is normally
10 15:20:16 beneficial to both parties, enabling them to make
11 15:20:19 profit.
12 15:20:20 Here, PPD's entire business model was built on the
13 15:20:24 advantages that it won from the contract, and the
14 15:20:28 contractual terms were and remain beneficial and
15 15:20:32 fruitful to PPD, and the tribunal will see how PPD's
16 15:20:36 witnesses openly confirm that in their witness
17 15:20:39 statements, that the contract was beneficial to the
18 15:20:45 company.
19 15:20:47 What were the points that matter for us?
20 15:20:50 The price formula. The price formula is a market
21 15:20:55 index. TTF. TTF means that it was designed as
22 15:21:00 a competitive market price determined by the supply and
23 15:21:03 demand at any given moment. By 2017 most of the GPE
24 15:21:11 contracts were tied to one or another market index, not
25 15:21:13 necessarily TTF, but around, say, 50 per cent of the

01 15:21:16 volumes supplied by GPE were sold at TTF prices, and no
02 15:21:20 one ever complained at this price formula to be somehow
03 15:21:24 unnecessarily burdensome or oppressive.
04 15:21:28 It can work for both parties, to the benefit or to
05 15:21:31 the detriment, depending on the market fluctuations.
06 15:21:35 The contract ensured stable supplies of quite
07 15:21:38 considerable volumes. The volumes under the contract
08 15:21:42 were up to 2 BCM after amendment 4. What is 2 BCM, so
09 15:21:47 **that you have the image of it:** 1 BCM of gas is enough to
10 15:21:50 cover the needs of, say, 1.5 million to 2 million
11 15:21:54 European households for a year.
12 15:21:56 So 4 million households of a year, that is the
13 15:22:00 volume of the contract at stake.
14 15:22:02 And as PPD itself confirms, the contract provided
15 15:22:07 a basis for growth because only with stable supplies for
16 15:22:11 predictable price PPD could properly plan and grow its
17 15:22:15 customers portfolio.
18 15:22:17 Issue number 3, we did not discuss that in a lot of
19 15:22:20 detail today, but it has been widely discussed in the
20 15:22:23 submissions.
21 15:22:25 Flexibility. It was in PPD's discretion within each
22 15:22:29 delivery to offtake the volumes equal to the MAQ --
23 15:22:33 minimum annual quantity -- or exceeding it up to
24 15:22:39 **the ACQ.**
25 15:22:41 **In commercial practice, the common value of MAQ is**

01 15:22:44 usually 80, 90 per cent or above that. Meaning that the
02 15:22:48 **buyer is usually asked to offtake most of the ACQ.**
03 15:22:54 **The contract at hand, under article 3.2, provides**
04 15:22:57 **for 80 per cent value, meaning that PPD had the highest**
05 15:23:02 **possible flexibility average in the market to maximise**
06 15:23:05 **its profits, buying less when the price is not**
07 15:23:08 **beneficial, where the price is peaking, or buying more**
08 15:23:12 **when the price was lower.**
09 15:23:14 **Despite any speculations otherwise, as explained in**
10 15:23:17 **the written submissions of the respondent, this**
11 15:23:20 **flexibility term is very beneficial to PPD in comparison**
12 15:23:23 **with the ordinary market practice.**
13 15:23:26 **Now, here we come to the key point. The deferral of**
14 15:23:30 **payment.**
15 15:23:32 **The deferral of payment is classified, labelled by**
16 15:23:36 **the witnesses of the claimant as foundation of the whole**
17 15:23:42 **business model in a way. Because in effect, every month**
18 15:23:49 **PPD gets gas and is not required to pay in advance, is**
19 15:23:56 **not required to pay in a week, is not required to pay in**
20 15:23:59 **a month given.**
21 15:24:02 **Effectively, every month GPE was giving out**
22 15:24:05 **a short-term loan to PPD for the price of gas supplied**
23 15:24:08 **in the preceding month, meaning that GPE would complete**
24 15:24:12 **two monthly supplies by the moment when PPD starts**
25 15:24:17 **paying for the first one.**

01 15:24:19 So after the gas was supplied, payment was to be
02 15:24:22 made by PPD only 60 days later or around 60 days later.
03 15:24:29 After the modification of the contract terms, and we
04 15:24:32 agree to that, this term got shorter by two days, needed
05 15:24:37 for the conversion. So 58 days following the
06 15:24:40 modification.
07 15:24:41 This actually is the only real change that happened
08 15:24:44 after the decree 172.
09 15:24:47 Many other long-term contracts with European buyers
10 15:24:51 provided for far more limited payment deadlines, like
11 15:24:54 15, 10 days of the following months, or even prepayment
12 15:24:57 for the supplies.
13 15:24:59 Unfortunately, it was precisely this exceptionally
14 15:25:02 favourable provision for the claimant that allowed it to
15 15:25:05 consume two months' worth of gas without ever paying for
16 15:25:08 it.
17 15:25:09 Well, with hindsight it is clear that such
18 15:25:12 a concession should never have been granted to
19 15:25:14 a counterparty of this kind of good faith as PPD has,
20 15:25:16 but that is what we have.
21 15:25:19 PPD could accordingly offer its customers better
22 15:25:22 terms, grow its customers portfolio, use the timelag
23 15:25:26 between the collection of payment and the supplies so
24 15:25:28 that to invest, gain extra revenue from the money and
25 15:25:33 really make fortune.

01 15:25:38 The said stable supplies, flexibility, deferral of
02 15:25:40 payment that PPD enjoyed under the contract, ultimately
03 15:25:43 put PPD's business on a completely new level, allowing
04 15:25:46 it to expand internationally.
05 15:25:49 PPD is a trader. So its growing appetite for cheap
06 15:25:53 and stable Russian gas naturally resulted from its
07 15:25:56 growing ambition to expand its operations to other
08 15:25:58 markets in the region, and what might have been enough
09 15:26:01 to meet the demand of its Croatian customers was not
10 15:26:05 enough to enter new markets that PPD wanted to conquer,
11 15:26:08 such as Hungary and South Eastern Europe.
12 15:26:13 As already said and as confirmed by the witnesses of
13 15:26:17 the claimant, the contract was the pillar of PPD's
14 15:26:19 business model. To this end PPD sought to agree on
15 15:26:24 excess volumes and it offered to amend the contract;
16 15:26:26 it offered to amend the contract and increase supplies
17 15:26:31 starting from the very first months.
18 15:26:34 So PPD immediately sought to extend the ACQ twofold,
19 15:26:39 amendment 1.
20 15:26:42 Same happened in 2018, 2019, ending up with
21 15:26:45 **amendment 4, which permanently increased the ACQ. Most**
22 15:26:49 **of that gas did not ever end up in Croatia. PPD's**
23 15:26:53 **business expanded largely because of the expansion to**
24 15:26:57 **the neighbouring countries beyond the Croatian border**
25 15:27:00 **through the Eastern Europe, with around 70 per cent of**

01 15:27:04 PPD profits, as we already said, generated outside
02 15:27:07 Croatia.
03 15:27:08 Well, PPD is not a local Croatian customer. It is
04 15:27:13 more of a global trader that it has the ambition to be.
05 15:27:18 In 2021, PPD stated that the company earns in the
06 15:27:22 Croatian gas market 35-40 per cent of its income from
07 15:27:25 sales and 60-65 per cent of income from selling gas to
08 15:27:29 international markets, well, taking into account the
09 15:27:32 60-65 revenue share generated outside of Croatia for
10 15:27:36 2022, when all these events that we discuss today
11 15:27:40 happened.
12 15:27:40 The share of revenue generated outside Croatia
13 15:27:44 increased further to 70 per cent. Meaning that only
14 15:27:49 30 per cent of PPD's revenues relate to Croatia, or even
15 15:27:53 20 per cent as Mr Vujnovac asserts.
16 15:27:56 So PPD, note voluntarily, willingly, on its own
17 15:28:01 demand and to its own convenience, keeps requesting for
18 15:28:05 increasing the volumes of gas supplies, which led to
19 15:28:08 further and further growth and benefit of PPD.
20 15:28:11 This was agreeable for GPE as long as the PPD duly
21 15:28:14 paid for the supplies.
22 15:28:17 The situation changed in 2022.
23 15:28:21 A lot has been said today about the decree 172 and
24 15:28:25 we will have to dive into this document in a lot of
25 15:28:29 detail.

01 15:28:31 The decree, as you already know, introduced
02 15:28:33 a special mechanism of payment under contracts for
03 15:28:35 export of natural gas and it implied that instead of the
04 15:28:43 initial account envisaged by the contract, both the
05 15:28:46 buyer and the seller were supposed to open the so-called
06 15:28:49 special type "K" account with the authorised bank, which
07 15:28:52 was Gazprombank.
08 15:28:54 Well, Gazprombank was the bank that the parties used
09 15:28:57 before the contract, so there was no problem with that.
10 15:29:00 PPD already knew that bank. They had relations with
11 15:29:02 them, they paid to that bank without any problems, and
12 15:29:05 in no moment relevant to the case at hand did
13 15:29:08 Gazprombank get sanctioned.
14 15:29:11 The buyer would transfer the funds in euro to this
15 15:29:19 type "K" account, nominated in foreign currency -- in
16 15:29:22 our case in euro -- as initially envisaged by the
17 15:29:25 contract.
18 15:29:27 The payment then would be converted by Gazprombank
19 15:29:30 to roubles and automatically credited to GPE account of
20 15:29:35 the same "K" type.
21 15:29:38 Moreover, what is important, the decree from day one
22 15:29:43 authorised the Central Bank of Russia to oversee the
23 15:29:46 implementation of the decree and to issue
24 15:29:49 interpretations of the provisions of the decree whenever
25 15:29:53 the bank deems necessary or wherever something needs

01 15:29:56 clarification.

02 15:29:59 In such a clarification, which is here on the slide,

03 15:30:01 the Central Bank of Russia specifically emphasises that

04 15:30:05 the buyer shall not bear any risks of this additional

05 15:30:10 conversion process by the Gazprombank.

06 15:30:14 **So, what does Central Bank says:** if the buyer timely

07 15:30:18 and in good faith transfers money to its type "K"

08 15:30:21 account in a foreign currency, in euro, then the

09 15:30:27 prohibition of supplies under decree 172 does not apply

10 15:30:31 even if the payment is not converted to roubles and does

11 15:30:35 not reach GPE by the payment due date.

12 15:30:40 So effectively, the claimant payment obligation

13 15:30:42 under the contract was discharged at this point. No

14 15:30:46 other action was required. There were no risks. There

15 15:30:50 was no other transaction that PPD was involved in. When

16 15:30:55 they credit their account, that's it. Full stop.

17 15:30:59 Nothing more needed.

18 15:31:02 The same, to the contrary, cannot be said about the

19 15:31:05 respondent GPE. Decree 172 imposed a mandatory

20 15:31:11 requirement restricting GPE's freedom to determine the

21 15:31:13 mode of performance of its and its counterparty's

22 15:31:17 obligations; compliance with the statutory requirement

23 15:31:20 now needs to be additionally overseen; then GPE needs to

24 15:31:24 make sure that it does not violate these rules, as they

25 15:31:28 are mandatory for GPE as a Russian company incorporated

01 15:31:32 in Russia, so that to be able to continue the supplies.

02 15:31:36 So, based on this clarifications of the Central

03 15:31:38 Bank, the risks of any failures in the conversion

04 15:31:42 mechanism lie with the respondent, not with the

05 15:31:44 claimant.

06 15:31:46 The claimant's position, that GPE somehow benefited

07 15:31:47 from this decree, is refuted by the very contents of

08 15:31:47 this decree and by the way how the scheme works.

09 15:31:55 Any reasonable assessment of the text of the decree

10 15:31:57 and the mechanism would clearly show that it was to the

11 15:32:00 commercial detriment of the GPE and not to the benefit

12 15:32:03 of the respondent.

13 15:32:05 Now, we would like to give a more detailed outline

14 15:32:09 of the payment mechanism to dispel the errors and those

15 15:32:12 misconceptions that were made by the claimant.

16 15:32:17 Please bear with me. It's a difficult story, but

17 15:32:20 I think it would not be that problematic if you have the

18 15:32:24 experience in understanding how any organised trade

19 15:32:27 works with any clearing houses, because that is exactly

20 15:32:30 what happened here.

21 15:32:32 The entire process of conversion is relatively

22 15:32:36 simple, though it looks complex on the scheme.

23 15:32:43 PPD, as I said, transfers euros to its account at

24 15:32:46 GPB. And it was already clear that it should be the GPB

25 15:32:57 account in euros and then the process starts.

01 15:33:03 The procedure is governed by the regulations of the
02 15:33:07 Moscow Stock Exchange. It's not regulated by the --
03 15:33:11 I mean, this conversion procedure is not regulated by
04 15:33:13 the presidential decree, not regulated by the
05 15:33:16 government. It's regulated by the stock exchange. And
06 15:33:18 all the steps I'm going to outline further were provided
07 15:33:23 in this MOEX regulations, the stock exchange
08 15:33:27 regulations, forex exchange regulations, effective both
09 15:33:38 in 2022 April, May 2022, and so on.
10 15:33:44 All these rules are available online. They are
11 15:33:46 available in English, what is not typical of the Russian
12 15:33:49 rules and it's not what happens regularly. So all very
13 15:33:53 transparent.
14 15:34:00 We have to deal with all this actually because we
15 15:34:03 need to understand if all these sanctions-related
16 15:34:07 arguments stand and to see what are the transactions
17 15:34:11 involved in the conversion and how it operates.
18 15:34:14 There is no sanctions issue at all here, as future
19 15:34:17 practice has demonstrated. There is no contemporaneous
20 15:34:19 evidence to show that any real sanctions concern that
21 15:34:23 PPD was voiced or even existed, and still we are
22 15:34:27 compelled to dive in these technicalities.
23 15:34:29 So, the payment here works as any forex at organised
24 15:34:33 trades. There is a clearing house. There is netting
25 15:34:38 and collateral. Nothing special.

01 15:34:42 PPD managed even today to totally confuse how it
02 15:34:45 works. Nothing actually complex. The mechanism works
03 15:34:51 as follows.
04 15:34:52 When the foreign buyer has the funds on its type "K"
05 15:34:55 account at Gazprombank, the same bank that parties as
06 15:35:00 I said use, the money gets in euros. Step 1. Foreign
07 15:35:10 buyer would transfer the payment and at this point, in
08 15:35:14 light of the shown clarification by the Central Bank,
09 15:35:20 the risk of non-payment already passed from PPD. The
10 15:35:24 payment obligation is effectively discharged.
11 15:35:28 Such transfer of money to the type "K" account
12 15:35:31 represents an irrevocable order from the client, PPD, to
13 15:35:36 the bank, Gazprombank, to carry out the transactions
14 15:35:40 necessary for the completion of the payment under the
15 15:35:43 decree, conversion into roubles.
16 15:35:46 PPD was never either effectively or legally involved
17 15:35:49 in any transactions starting from this point. So the
18 15:35:54 only party PPD involved in commercial relations with in
19 15:35:56 this mechanism is Gazprombank and no one else.
20 15:36:02 Not sanctioned at any relevant time, as said, and
21 15:36:04 PPD is now out of the picture.
22 15:36:07 Then the classical exchange routine works. To be
23 15:36:12 eligible to participate in any exchange transaction,
24 15:36:15 Gazprombank has to post collateral with the company
25 15:36:20 called NCC, the national clearing centre. That is the

01 15:36:24 clearing house of the stock exchange.

02 15:36:27 According to the rules of NCC and MOEX, transactions

03 15:36:31 and MOEX are settled from the provided collateral, which

04 15:36:33 has to be pre-posted prior to the date of settlement.

05 15:36:37 So it's an eligibility criteria to get access to the

06 15:36:43 exchange.

07 15:36:45 Gazprombank has a euro account with NCC, one euro

08 15:36:49 account with NCC. NCC in its turn reflect the sums that

09 15:36:54 it owns in euros in his own correspondent bank account,

10 15:37:02 which is Commerzbank and Societe Generale. There were

11 15:37:08 two. I don't know all of the details, which one was

12 15:37:10 selected, but all euros that were ever involved in any

13 15:37:14 transaction with NCC would be stored at the account with

14 15:37:18 the correspondent bank, Commerzbank or Societe Generale.

15 15:37:23 So the funds are reflected in those accounts and

16 15:37:26 unlike what we are hearing, it is not like the exchange

17 15:37:30 of cash, for instance. It's a totally different

18 15:37:35 mechanism.

19 15:37:36 So wherever we have the bank willing to do the

20 15:37:42 exchange, GPB wants to make the exchange, then they need

21 15:37:47 to have this collateral on their account with NCC. The

22 15:37:54 collateral pre-posted.

23 15:37:57 It could not be therefore that this collateral has

24 15:38:02 PPD euros or anyone else's euros or any of the clients'

25 15:38:07 euros; that is the bank that participates in exchange

01 15:38:12 operations with the clearing house.

02 15:38:14 So for all transactions it will do, it posts the

03 15:38:17 collateral for the whole day.

04 15:38:22 GPB, to enter the exchange, needs to maintain

05 15:38:24 a common collateral euro account, just one account with

06 15:38:27 the NCC for all the possible transactions within the

07 15:38:30 day.

08 15:38:31 In fact, this collateral is not and usually does not

09 15:38:35 need to be posted daily and prior to any particular

10 15:38:38 transaction. It is rather a minimum non-reducible

11 15:38:42 balance that needs to be on the account of GPB as

12 15:38:46 a bidder, so that to participate in the transactions

13 15:38:52 with NCC.

14 15:38:54 If for example on a given day Gazprom has enough

15 15:38:57 funds in euro on its account at NCC to cover the planned

16 15:39:01 transaction, it does not need to transfer anything at

17 15:39:04 all to the collateral. It keeps the funds that it got

18 15:39:08 from PPD and it may skip the step and proceed to the

19 15:39:12 trades. Because it is already eligible to the trade.

20 15:39:15 So there is no PPD funds going anywhere.

21 15:39:19 Moreover, GPB euro account at NCC is not only for

22 15:39:23 the collateral itself. It also includes euro received

23 15:39:27 as a result of trades. So it's one big pot. That's the

24 15:39:32 account.

25 15:39:33 The funds in the account constitute a common pooled

01 15:39:37 balance, they are not individually identifiable. They
02 15:39:39 are not earmarked or segregated by reference to the
03 15:39:42 party on whose behalf a particular exchange transaction
04 15:39:45 may be executed.
05 15:39:46 Clearly, as in any exchange transaction of this
06 15:39:49 type, PPD cannot claim any proprietary rights over this
07 15:39:54 GPB euro account with NCC.
08 15:39:59 Gazprombank, if it has the collateral, as the next
09 15:40:02 step may enter organised trading.
10 15:40:06 It enters into sale and purchase transactions with
11 15:40:10 NCC. NCC is a clearing house. As at any exchange.
12 15:40:16 Everyone makes transactions necessarily and solely with
13 15:40:20 NCC. There is no way to go around it in case of MOEX.
14 15:40:26 It's a mandatory party to any transaction and, as at
15 15:40:30 any organised trades, no one can make transactions
16 15:40:34 directly excluding NCC.
17 15:40:38 It is crucial to understand that in forex trade
18 15:40:42 Gazprombank does not actually exchange euros to roubles,
19 15:40:45 like we do when we go to the exchange office at the
20 15:40:51 Taksim Square.
21 15:40:53 At forex trade there are two different and
22 15:40:56 independent transactions. GPB sells euro to NCC and
23 15:41:00 then, separately, GPB buys roubles from NCC. And
24 15:41:05 effectively, when I change euro to liras in the Taksim
25 15:41:08 Square, I exchange one asset for the other, but in the

01 15:41:11 organised trades it is not how it works. It's not what
02 15:41:15 happens.
03 15:41:16 GPB separately sells 100 euro to NCC and then,
04 15:41:20 separately -- and then actually what happens is that NCC
05 15:41:25 records on the account of GPB that euro has been sold.
06 15:41:30 And then, separately, GPB purchases say 5,000 roubles
07 15:41:35 from NCC, and NCC reflects this on the GPB rouble
08 15:41:39 account, say plus 5,000 roubles.
09 15:41:43 At the end of the day, what happens is called
10 15:41:45 netting the settlement. And at that moment in time, all
11 15:41:49 claims of all bidders through the day are settled
12 15:41:53 between NCC and all of the bidders.
13 15:41:56 That is the essence of the clearing mechanism. So
14 15:41:58 if you enter into a transaction directly with another
15 15:42:01 bidder, you face the risk that a transaction may fail
16 15:42:05 because they or the party may fail. However, if your
17 15:42:09 counterparty is a clearing house, that risk is excluded.
18 15:42:12 A clearing house mitigates the risks by the
19 15:42:16 mandatory requirement to pre-post collateral at the full
20 15:42:20 amount of the transaction, so if the bidder does not
21 15:42:23 post collateral covering its future obligations under
22 15:42:25 the transaction, it simply cannot be admitted to
23 15:42:28 participate in the process.
24 15:42:32 Hence, when PPD states that clearing through NCC
25 15:42:36 posted additional risk that the clearing mechanism may

01 15:42:39 potentially fail and, plainly speaking, NCC would be out
02 15:42:43 of money to perform its obligations -- that is one of
03 15:42:46 the arguments in the submissions -- then, well, it is to
04 15:42:49 be, to say mildly, naive, and demonstrates the lack of
05 15:42:53 understanding how it works, because there is necessarily
06 15:42:55 a collateral. Without a collateral of GPB funds, own
07 15:43:01 funds or some other funds they may have in a big pool,
08 15:43:04 there can be no trade.

09 15:43:07 Once GPB has the funds back on its account at NCC
10 15:43:11 after netting, it is now free to withdraw them and
11 15:43:15 dispose of them as it wishes.

12 15:43:17 So now, upon instruction of PPD, GPB would
13 15:43:19 accordingly credit the funds in roubles to the GPE's
14 15:43:24 account. If GPB on a given day had enough funds in
15 15:43:28 roubles on account outside of NCC, it could potentially
16 15:43:31 also skip this step and just credit the requisite amount
17 15:43:34 to the GPE account without all these necessary or
18 15:43:39 unnecessary additional hurdles.

19 15:43:43 A foreign buyer, in our case PPD, is not legally or
20 15:43:48 factually involved in any of the transactions within the
21 15:43:51 conversion process following the receipt of funds in
22 15:43:53 euro on its type "K" account.

23 15:43:57 The claimant's heightened concern about the
24 15:43:59 involvement of the NCC is based on fundamentally wrong
25 15:44:03 assumption that PPD enters into some direct legal

01 15:44:06 relationship with NCC or with someone else, whoever may
02 15:44:11 be standing behind it. But this is incorrect.
03 15:44:16 Another concern of the claimant, which surfaced in
04 15:44:18 the recent rejoinder and counterclaim, is that claimant
05 15:44:21 was legally involved in the transaction with NCC as the
06 15:44:25 owner of this funds, and this concept of PPD euros is
07 15:44:30 the one you heard today.
08 15:44:32 The reality is different. When euro is transferred
09 15:44:33 from PPD, PPD effectively gets a contractual claim.
10 15:44:38 It's not cash, it's claims. So they effectively get
11 15:44:42 a contractual claim towards the bank, Gazprombank, and
12 15:44:46 this is the claim for the sum transferred.
13 15:44:50 This non-cash funds essentially represent an entry
14 15:44:53 in the bank account of PPD. They cannot be the object
15 15:44:56 of proprietary rights. It's a claim. It's an
16 15:44:58 obligation.
17 15:45:00 So when I say "Stradivarius violin", I understand
18 15:45:05 what that could mean. But when I hear "PPD's euros",
19 15:45:08 I cannot understand what it means when we talk not of
20 15:45:10 cash, but we talk of proprietary rights, claims.
21 15:45:15 So GPB in its turn has an agreement with NCC.
22 15:45:19 Actually, neither GPB nor NCC never sanctioned in the
23 15:45:24 relevant timeframe.
24 15:45:25 So GPB in its agreement with NCC posts collateral.
25 15:45:30 Gazprombank has a claim against NCC for the sum of the

01 15:45:34 collateral. This relations between GPB and NCC are
02 15:45:38 totally distinct of PPD, and they have nothing to do
03 15:45:41 with PPD at all, because there are maybe thousands of
04 15:45:44 bidders that GPB is taking care of in a given day.
05 15:45:51 So these relations between GPB and NCC, as on the
06 15:45:56 slide, are those relations that do not involve PPD or
07 15:46:00 any other of the numerous clients of GPB at any visible
08 15:46:03 angle.
09 15:46:05 This step was preliminary and was a matter of
10 15:46:09 ensuring Gazprom's eligibility to participate in
11 15:46:12 organised trade and clearing, and not at all as a matter
12 15:46:15 of the disposal of any assets owned by Gazprombank's
13 15:46:20 clients. Hence, PPD did not have any proprietary rights
14 15:46:23 to what it calls PPD euros and could not be legally
15 15:46:27 involved in any further transaction carried out by
16 15:46:29 Gazprombank with third parties.
17 15:46:31 Those are claims, obligations. Those cannot be
18 15:46:35 object of any proprietary rights in the scheme how trade
19 15:46:39 works.
20 15:46:41 Now, PPD claims that the decree 172 is a radical
21 15:46:46 change as compared to what the parties agreed upon in
22 15:46:48 the contract.
23 15:46:49 Let's check what was actually changed with the
24 15:46:52 decree.
25 15:46:54 Well, there are four issues that have been discussed

01 15:46:57 by the parties. The first two are on the slide.

02 15:47:01 The moment of the performance of payment does not

03 15:47:04 change. In accordance with the contract, the

04 15:47:07 performance of the buyer's obligation to pay is defined

05 15:47:10 as the moment of transfer of funds, not the receipt of

06 15:47:13 funds by the seller.

07 15:47:13 Under decree 172 as interpreted by the Central Bank,

08 15:47:20 the buyer's obligation is discharged by timely and good

09 15:47:25 faith transfer of funds to its type "K" account at GPB.

10 15:47:28 The moment of performance did not shift. The same

11 15:47:32 moment of performance.

12 15:47:33 Here, PPD misleads the tribunal and claims that

13 15:47:36 paragraph 7 of the decree requests the transfer to be

14 15:47:38 credited in roubles, for the payment under the contract

15 15:47:41 to be considered made. Well, that is the wrong reading,

16 15:47:44 not to mention that the Central Bank of Russia

17 15:47:47 clarifications plainly say to the contrary.

18 15:47:51 Paragraph 7 that is discussed by the parties in the

19 15:47:54 submissions was actually reflecting the moment when the

20 15:48:01 duty to comply with the payment mechanism prescribed by

21 15:48:04 the decree is deemed fulfilled, and not the contractual

22 15:48:08 duty to pay is deemed fulfilled.

23 15:48:10 So this is not about the contractual discharge of

24 15:48:13 obligations. It is about the discharge of the

25 15:48:15 obligations to comply with the decree, and it is

01 15:48:18 addressed to the Russian party obliged, to GPE.

02 15:48:21 So GPE's obligation to comply with the decree is

03 15:48:24 only discharged once the funds reach the rouble account,

04 15:48:27 and until the transfer of roubles reaches GPE, GPE is at

05 15:48:31 risk of penalties and statutory sanctions, while PPD is

06 15:48:37 feeling comfortable because the Central Bank explained

07 15:48:39 everything.

08 15:48:40 This is clear from the reading of the Russian text

09 15:48:42 of the decree as well. So the regulator does not care

10 15:48:45 about the moment of the performance of the contractual

11 15:48:46 obligations, they couldn't care less.

12 15:48:49 They are interested in ensuring that the exchange

13 15:48:51 mechanism is complied with and therefore they push GPE,

14 15:48:55 the seller, to push for the exchange at the GPB to be

15 15:48:59 done within the said two days.

16 15:49:02 So the moment of performance of contractual

17 15:49:04 obligations remains intact.

18 15:49:07 Currency of the payment. As numerous explained

19 15:49:10 before, decree 172 expressly requires claimant to

20 15:49:14 transfer funds in euro to its type "K" account. No

21 15:49:18 changes.

22 15:49:20 Now, timing of the payment. That was already

23 15:49:23 discussed today as well. The moment when claimant

24 15:49:27 practically needed to initiate the payment, to ensure

25 15:49:29 that it is received by GPE in accordance with the

01 15:49:33 decree, indeed shifted by two business days. This is
02 15:49:36 not disputed. This is accepted. This period was
03 15:49:39 required for the Gazprombank to complete conversion of
04 15:49:42 funds at the Moscow Stock Exchange. That is true.
05 15:49:45 So PPD was never required to pay in advance of the
06 15:49:50 supply, and essentially the 30 days' deferment of
07 15:49:54 payment that PPD enjoyed under the contract in any case
08 15:49:57 was just reduced by two business days. That is true.
09 15:50:02 Importantly, if we look at the contract, PPD was
10 15:50:05 supposed to pay no later than the 30th day. It was
11 15:50:09 never obliged or entitled to pay exactly on the 30th
12 15:50:13 day.
13 15:50:13 Given the EU sanctions and the European banks'
14 15:50:16 overcompliance that actually resulted to some minor
15 15:50:21 seizures of supplies that the parties faced in spring
16 15:50:26 and summer of 2022, PPD could have needed to make
17 15:50:32 payments earlier, because European banks may take longer
18 15:50:35 to go through the compliance checks and the funds need
19 15:50:40 to arrive in due time.
20 15:50:43 Then the fourth issue, account for the payment. It
21 15:50:46 was indeed changed, yes, that is true. This is not
22 15:50:49 disputed. GPE had to open a special type "K" account
23 15:50:53 with Gazprombank on the same terms as PPD. However,
24 15:50:58 I must emphasise that there were no charges at all
25 15:51:02 required for opening these type "K" accounts, and those

01 15:51:06 claimed bureaucratic issues, as you will see in the
02 15:51:10 coming days, is nothing but a made-up argumentation.
03 15:51:14 PPD perfectly managed to handle these issues without any
04 15:51:17 problem.
05 15:51:19 Now, the claimant tries to make a big point on what
06 15:51:22 had no effect on the payment mechanism at all, the
07 15:51:26 decree 254 that happened in 4 May 2022.
08 15:51:33 So what happened with this second decree 254? The
09 15:51:40 key change, which in claimant's opinion deserves to be
10 15:51:44 a whole new modification of the contract, is nothing but
11 15:51:48 the specific reference to the national clearing centre,
12 15:51:53 NCC, participating in the conversion process.
13 15:51:59 However, as you well understand, NCC was there even
14 15:52:03 before this direct reference, because NCC is the
15 15:52:06 clearing house of MOEX. Nothing changes.
16 15:52:10 I would like to emphasise that the decree 172, the
17 15:52:13 letter of 1 April 2022, both indicated that the
18 15:52:17 conversion would be conducted at the organised trade on
19 15:52:21 MOEX. So there is no other way to do organised trade at
20 15:52:24 MOEX than to have NCC involved.
21 15:52:29 Second, the applicable legislation and the trading
22 15:52:32 rules of MOEX provide plainly and expressly that all the
23 15:52:35 trades executed on MOEX are conducted solely with
24 15:52:39 clearing. NCC is a party to every transaction. You
25 15:52:43 don't have transactions with any other counterparties

01 15:52:45 even imaginable.

02 15:52:47 Finally, let me take you back to the scheme of the

03 15:52:50 payment mechanism outlining the steps after receipt of

04 15:52:52 euros on the PPD's type "K" account.

05 15:52:55 As we can see, all the steps involving NCC were

06 15:52:59 provided by the trading and clearing rules of MOEX and

07 15:53:03 in fact, the participation of NCC as a central

08 15:53:06 counterparty has been a feature of MOEX since its

09 15:53:10 outset, since 2007 when NCC was established.

10 15:53:14 And while the parties refer to a contemporaneous

11 15:53:17 version of the rules, they have not changed in the

12 15:53:20 relevant part, either in 2022 or after.

13 15:53:24 So, given the overall sanctions concerns of the

14 15:53:27 bank, the possible intention was to make the scope of

15 15:53:30 the participants of the conversion process transparent

16 15:53:33 and express from -- and, well, visible, clear for the

17 15:53:38 outsiders, mainly for foreign banks, to avoid issues

18 15:53:41 with payments due to the banks' overcompliance.

19 15:53:45 So this decree changed completely nothing.

20 15:53:49 Completely nothing.

21 15:53:51 Now, decree 992, which claimant portrays as yet

22 15:53:55 another alteration of the terms of the payment

23 15:53:58 mechanism. It did not affect the payment mechanism

24 15:54:02 at all.

25 15:54:04 This decree 992 merely provided that if the foreign

01 15:54:08 buyer failed to pay for gas supplies, it may settle the
02 15:54:12 outstanding debt without compliance with the decree 172.
03 15:54:17 So, for example, directly to the seller's account in
04 15:54:19 foreign currency if it exists, if that is what the
05 15:54:22 initial contract provided for.
06 15:54:27 So essentially, this meant that from 19 January 2023
07 15:54:32 when GPE had such euro bank account in place, PPD could
08 15:54:36 pay its own debt for September and October 2022 in the
09 15:54:40 same manner it originally did under the contract prior
10 15:54:43 to a decree, and without all those sanctions risks they
11 15:54:47 are referring to. Never done.
12 15:54:50 **So:** the mechanism is there, why don't you pay? No
13 15:54:53 sanctions, no risks, no NCC. Still not convenient.
14 15:54:59 Now, let me briefly remind you of the parties'
15 15:55:02 relations after and in response to the decree.
16 15:55:09 I will not definitely try to explain the whole
17 15:55:13 slide, but here what is important and almost instantly
18 15:55:19 after the decree, since 4 April 2022 and up
19 15:55:24 until October 2022 inclusive, the parties successfully
20 15:55:29 operated under the decree. They did operate under the
21 15:55:34 decree. And when we hear that they operated under some
22 15:55:36 other decrees and 172 was never complied with, but that
23 15:55:40 was the only decree of the substance.
24 15:55:44 No concerns about the commercial risks, no issues of
25 15:55:49 losses by PPD raised until the very end of 2022.

01 15:55:55 So due to time constraints I will not obviously go
02 15:55:57 through all of that. The key event is this letter of
03 15:56:01 1 April 2022, which has already been shown today by PPD.
04 15:56:08 This letter essentially recapitulates the provisions
05 15:56:12 of the decree and requests PPD to revert with an answer,
06 15:56:15 whether it is agreeable to the new terms or not.
07 15:56:18 The letter expressly refers, as I said, to organised
08 15:56:22 trades at MOEX, and therefore necessarily NCC, and it
09 15:56:27 also indicates the possibility of adjustment to be made
10 15:56:30 by the Central Bank of Russia, from day one it is clear.
11 15:56:34 And as can be seen from the language of this
12 15:56:37 request, PPD asks to confirm that PPD agrees. If so, it
13 15:56:42 does not demand, it does not threaten. It asks.
14 15:56:46 The deadline for the answer was set, that it is
15 15:56:49 important, for 30 May. 30 May. The date when the
16 15:56:55 letter is sent is 1 April. The anticipated reply date
17 15:57:00 is anything up to 30 May.
18 15:57:05 Nevertheless, the response was received on the next
19 15:57:08 business day. It was Friday when this letter was
20 15:57:11 drafted and the response was received on Monday, already
21 15:57:16 midday.
22 15:57:18 Interestingly, PPD is now criticising Gazprom Export
23 15:57:24 for as if having knowledge about this decree well in
24 15:57:27 advance. And as an argument unveils, the evidence in
25 15:57:33 support of that is that the letter was prepared very

01 15:57:36 quickly, within one day.

02 15:57:39 But if you would compare the text of the letter with

03 15:57:41 the text of the decree, you would not see any

04 15:57:42 significant difference.

05 15:57:44 The only thing that happened, they translated it

06 15:57:46 from Russian into English and put it on a standard

07 15:57:49 letterhead so that to inform the consumers, all of the

08 15:57:52 consumers who got affected by that. It was not only

09 15:57:55 PPD, but all the consumers that received it, and PPD

10 15:57:59 admits it. They were not the only to receive that

11 15:58:02 letter on the very same 1 April.

12 15:58:06 No problem to draft that letter. Anyone in this

13 15:58:08 room could do that within one, two hours.

14 15:58:14 Nevertheless, the response, as I said, was received

15 15:58:17 on the next business day, on Monday, 4 April. The

16 15:58:20 letter was signed by Mr Vujnovac, which, as indicated in

17 15:58:24 the letter itself, consents to the proposal. And as

18 15:58:30 follows from the cover letter, there are no

19 15:58:32 reservations, no conditions, no protests, no questions,

20 15:58:36 no enquiries made between 1 and 4 April.

21 15:58:42 The parties had thousands of ways to communicate.

22 15:58:45 Many of the employees knew each other. Many of people

23 15:58:49 were communicating on WhatsApp and other messengers.

24 15:58:52 Silence. Then you receive the letter signed without any

25 15:58:58 other additional reservation.

01 15:59:00 That is the only customer who managed to do that so
02 15:59:04 rapidly.
03 15:59:06 Then on 5 May, respondent informed the claimant that
04 15:59:11 decree 254 was adopted. So that the claimant knows what
05 15:59:21 all this fuss in the news could be about.
06 15:59:25 Along with that, the respondent does not request any
07 15:59:29 confirmation of agreement or disagreement, as I said,
08 15:59:31 there was nothing actually material in that decree.
09 15:59:37 Respondent informs the claimant of the
10 15:59:39 clarifications by the Central Bank as well, confirming
11 15:59:42 that all that was requested from PPD was just to
12 15:59:45 transfer the money in the same euro, but two business
13 15:59:50 days earlier. And that's it, nothing more.
14 15:59:55 And the letter of 26 May was sent already by the
15 15:59:59 claimant after 5 May but it did not contain any
16 16:00:04 reference as well to the new second decree of 254.
17 16:00:09 Instead, it reiterated the procedure as outlined by the
18 16:00:13 decree 172, with reference to the special "K" type
19 16:00:17 currency account and all this stuff. It refers to the
20 16:00:20 recent clarifications of the Central Bank, confirming
21 16:00:23 its understanding of the content, which respondent also
22 16:00:27 deemed correct.
23 16:00:29 No mentioning of sanctions, duress, abuse of
24 16:00:32 dominance, no challenge of PPD's acceptance of payment
25 16:00:35 mechanism or its validity. Well, they claim its payment

01 16:00:38 under protest, but we will get back to that as well.

02 16:00:41 In May and August 2022, there were two extremely

03 16:00:45 short-term suspensions of the supplies, but they were

04 16:00:48 due to PPD's failure to comply with the decree in a way

05 16:00:51 that the claimant exploited this so that to start the

06 16:00:57 transfers not well in advance, and the European banks

07 16:01:01 took longer to process the payment.

08 16:01:03 While the claimant exploits the situations to argue

09 16:01:06 that GPE threatened, pressured, cut the supplies off

10 16:01:09 whenever it wished, in fact the reasons for the

11 16:01:12 suspension are really trivial and they are visible on

12 16:01:15 the record.

13 16:01:17 All the information about the dates and the banks

14 16:01:20 was taken from the testimony of Ms Ivancic, the

15 16:01:25 claimant's own witness, so in May the claimant initiated

16 16:01:29 three payments from different banks, two of which were

17 16:01:33 at all not processed. Meaning that they never even left

18 16:01:37 PPD's local bank and hence, clearly, never received by

19 16:01:40 Gazprombank.

20 16:01:42 Only one payment, from Erste Bank, was successful,

21 16:01:45 and as we understand from the dates, there were no

22 16:01:49 issues with the processing of this payment on the side

23 16:01:51 of Gazprombank. However, these payments were received

24 16:01:55 by Gazprombank only on 31 May. Clearly, that was

25 16:02:01 already too late. Given that the contract due date was

01 16:02:05 supposed to be 30 May, the payment was too late; it was
02 16:02:10 received by Gazprombank on 31 May.
03 16:02:13 Who is to blame?
04 16:02:15 In August, PPD initiated three payments. It had to
05 16:02:18 divide the payment in three tranches due to some limits
06 16:02:22 on daily transfers from those banks, no problem. The
07 16:02:25 last tranche was initiated on 26 May but it was received
08 16:02:30 by Gazprombank only on 29 May, which was Sunday. So
09 16:02:35 then the conversion process starts, two business days,
10 16:02:38 and therefore it was complete on 31 May, which
11 16:02:41 apparently did not meet the requirement of the decree,
12 16:02:43 and the supplies were temporarily and very shortly
13 16:02:47 suspended.
14 16:02:50 Now, the other letter that is of interest, I already
15 16:02:54 mentioned it. The letter of 31 October 2022 is
16 16:02:59 important in several aspects.
17 16:03:02 Claimant again refers to the decree 172 only, no
18 16:03:07 decree 254, and once again admits that it has a payment
19 16:03:12 obligation to pay via type "K" account and confirms its
20 16:03:17 commitment to fulfil, that is the words of the letter.
21 16:03:22 Nevertheless, claimant indicates that it could not
22 16:03:24 pay for the September supplies at the moment due to the
23 16:03:28 change in political views of the Croatian political
24 16:03:31 establishment, and confirms that it was into the
25 16:03:36 discussion, assumedly with the Ministry of Foreign

01 16:03:39 Affairs, or whoever else is the political establishment,
02 16:03:42 because it is admitted that all past payments were kind
03 16:03:46 of approved by the Croatian Ministry of Foreign Affairs,
04 16:03:49 so were no problem. Sanctions wise as well.
05 16:03:53 Does this letter of 31 October mention sanctions,
06 16:03:57 duress, abuse of dominance? Does it challenge the PPD's
07 16:04:00 acceptance of payment mechanism? No. Yet again, not.
08 16:04:07 Following this failure to pay, for September,
09 16:04:11 and October, on 1 November 2022, GPE receives the order
10 16:04:17 from the central customs authorities to suspend
11 16:04:20 deliveries.
12 16:04:21 It is not the choice of GPE to suspend the
13 16:04:24 deliveries, though GPE does have such an option under
14 16:04:28 the contract. It's the decision of the customs
15 16:04:31 authorities and on 3 November GPE accordingly informed
16 16:04:36 PPD on the reasons for suspension, appending the order
17 16:04:39 from the central customs authorities.
18 16:04:42 So as of 1 November 2022 the supplies under the
19 16:04:46 contract were suspended, and the supplies delivered by
20 16:04:49 GPE in September and in October were never paid for.
21 16:04:55 You recall it was already time for conveniently
22 16:04:57 getting rid of GPE and making sure that you avoid what
23 16:05:02 any diligent business settlement would imply, and
24 16:05:06 therefore on 23 and 28 November, PPD does an
25 16:05:11 unbelievable thing. Perfectly knowing and having

01 16:05:15 acknowledged that the accounts identified in the
02 16:05:19 contract, euro accounts, have been closed, what PPD
03 16:05:23 does, to try construct their case, they attempt to pay
04 16:05:29 for these supplies to the euro account which has been
05 16:05:33 closed on 5 May 2022 and, clearly, the funds return.
06 16:05:41 In the letter of 26 May 2022, claimant expressly
07 16:05:45 acknowledges that those bank accounts are closed. Why
08 16:05:49 would you send funds to a closed bank account? To make
09 16:05:52 up the legal case.
10 16:05:55 To our knowledge, no further attempts, maybe of the
11 16:05:58 same kind, but to our knowledge no further attempts of
12 16:06:02 payment were ever made.
13 16:06:04 On 23 December 2022 claimant for the first time
14 16:06:08 tries to take back its consent to comply with the decree
15 16:06:13 and now starts telling us all those legends that you
16 16:06:16 have heard today.
17 16:06:17 It accuses the respondent of threatening, abusing
18 16:06:20 the dominant positional, alleges the violation of EU
19 16:06:23 sanctions, so apparently a good lawyer was on-boarded.
20 16:06:29 Remarkably, claimant does not challenge the
21 16:06:31 outstanding debt for September and October supplies, nor
22 16:06:35 does it propose to set it off.
23 16:06:38 Claimant essentially suggests the respondent to
24 16:06:41 continue supplies free of charge, in that letter, so
25 16:06:46 that the price of gas supplies by the respondent in

01 16:06:49 future would be offset against the alleged losses.

02 16:06:53 Well, this clearly couldn't happen because of the

03 16:06:56 mandatory rules that we already know of.

04 16:07:00 On 19 January 2022, the respondent notifies the

05 16:07:03 claimant of the decree 992, suggesting claimant to

06 16:07:09 settle the debt for the September and October 2022

07 16:07:12 supplies without compliance with the bad sanctions

08 16:07:16 related decree 172, NCC, God knows who gets the funds.

09 16:07:21 All that is no longer a burden. Pay directly to the

10 16:07:27 respondent's euro account, which GPE intentionally

11 16:07:30 opened to facilitate the settlement of the debt,

12 16:07:33 a separate bank account.

13 16:07:35 As we know, PPD did not follow this suggestion,

14 16:07:39 never had an intention to it, because they already had

15 16:07:41 a different business plan in mind.

16 16:07:42 Instead, on 30 January 2022, claimant went on to

17 16:07:48 challenge what was accepted and implemented for the

18 16:07:52 previous half a year. It accused the respondent of the

19 16:07:54 violations of EU law, the threats, yet no proposal to

20 16:07:58 settle the debt was made. The set-off proposal is again

21 16:08:01 misplaced. It refers to some future payments

22 16:08:05 obligations and the proposal to keep supplying free of

23 16:08:09 charge.

24 16:08:10 Understandingly, it cannot be the case, because of

25 16:08:12 the mandatory rules that apply to GPE.

01 16:08:16 The claimant simply could not pay off the debt
02 16:08:19 for September and October supplies, either in November
03 16:08:23 or thereafter, for a very simple business reason.
04 16:08:28 There is nothing hidden actually. They had to spend
05 16:08:32 the revenues made on the resale of gas to afford
06 16:08:34 supplies from other sources more politically reliable.
07 16:08:42 This transaction, from one source of supply to
08 16:08:45 another, at the expense of GPE, was meticulously and
09 16:08:48 cold-bloodedly planned by the claimant so that GPE
10 16:08:51 supplies would be necessarily suspended just several
11 16:08:54 days ahead of the first delivery from the alternative
12 16:08:58 supplier. It is so visible on any timeline that no one
13 16:09:03 could come to any different conclusion.
14 16:09:05 Once the transition was complete, the claimant
15 16:09:08 rhetorically makes U-turn, accusations, demands,
16 16:09:14 acknowledgement of obligations and commitments to work
17 16:09:18 out a solution never proposed, and that is what happens.
18 16:09:26 Now let's switch to the legal basis of the
19 16:09:28 claimant's obligation to comply with the payment
20 16:09:31 mechanism.
21 16:09:32 The factual circumstances outlined earlier
22 16:09:36 **illustrate one clear message:** claimant accepted the new
23 16:09:40 payment mechanism required under decree 172, or at least
24 16:09:44 created a strong impression of acceptance to make
25 16:09:48 respondent rely on it and maintain the supplies.

01 16:09:51 This acceptance, however, was effective as long as
02 16:09:53 it was convenient. Once the alternatives to the
03 16:09:57 contract became fully available, the claimant finally
04 16:09:58 walked away from the contract, taking the money for two
05 16:10:01 monthly supplies and pretend that nothing has happened,
06 16:10:06 no consent, no modification, no obligation.
07 16:10:10 Luckily, the CISG and the Austrian law are based on
08 16:10:15 the principles of reasonableness, good faith and, above
09 16:10:18 all, pacta sunt servanda.
10 16:10:22 Respondent respectfully invites the tribunal to look
11 16:10:24 at the claimant's alleged and backdated fears, concerns
12 16:10:27 and accusations through this lens.
13 16:10:31 To this end, respondent makes three arguments in its
14 16:10:34 defence.
15 16:10:37 To begin with, claimant was obliged to comply with
16 16:10:40 the payment mechanism under the CISG article 54.
17 16:10:46 Two, claimant was obliged to comply with the valid
18 16:10:49 modification of contract.
19 16:10:51 Three, claimant failure to comply with either of
20 16:10:55 these obligations entitled respondent to suspend the
21 16:10:57 supplies.
22 16:10:59 Alternatively, even if claimant was not obliged to
23 16:11:03 comply with the payment mechanism, respondent was still
24 16:11:07 entitled to suspend the supplies due to force majeure.
25 16:11:13 Article 54 CISG provides that a buyer is obliged to

01 16:11:16 take such steps and comply with such formalities as may
02 16:11:20 be required under any laws and regulations to make the
03 16:11:24 payment. This was cited today by the other party, with
04 16:11:28 no emphasis put towards any laws and regulations. But
05 16:11:32 these are the key words.

06 16:11:34 The purpose of this is to clarify that the buyer's
07 16:11:37 obligation to pay is not limited to mechanical transfer
08 16:11:41 of money from one account to another. That may also
09 16:11:44 require other action to ensure that payment is effected.

10 16:11:49 The latter, effective performance of the payment
11 16:11:50 obligation, is the core of this provision, article 54.

12 16:11:55 On this basis, the applicable steps and formalities
13 16:11:58 are defined as the moment of performance, and not the
14 16:12:01 moment of conclusion of the contract. And it's the
15 16:12:04 buyer's burden to apply due diligence and ensure that
16 16:12:07 the payment was effected.

17 16:12:09 The word "any" was also used on purpose to indicate
18 16:12:12 that the laws and regulations of either buyer or the
19 16:12:15 seller's place of business are applicable. Nor does
20 16:12:19 article 54 limit the scope of relevant regulations to
21 16:12:22 applicable laws.

22 16:12:23 **The actual test is rather functional here:** whether
23 16:12:26 the regulation affects the mode of performance of the
24 16:12:28 payment obligation or not.

25 16:12:31 Decree 172 met all the prongs of article 54. It was

01 16:12:37 envisaged by regulation, did not require claimant to pay
02 16:12:40 in a different currency, or pay a different sum, or do
03 16:12:44 anything beyond the scope of its obligation to pay. It
04 16:12:47 merely required to initiate payment two business days
05 16:12:50 earlier to ensure that the conversion is completed in
06 16:12:53 time, and send the money to a different account at the
07 16:12:56 very same bank.
08 16:12:58 Alternatively and most importantly, even if the
09 16:12:59 payment mechanism was applicable to claimant by default,
10 16:13:03 claimant has done everything to indicate its consent to
11 16:13:09 comply with the payment mechanism as part of its
12 16:13:11 contractual obligations.
13 16:13:13 First I will outline the factors that exactly
14 16:13:19 constituted the modification of the contract and
15 16:13:21 demonstrate that the claimant has accepted it.
16 16:13:24 Then I will go through each of the grounds for
17 16:13:26 invalidity of the modification raised by the claimant,
18 16:13:29 duress, breach of sanctions and use of dominance, to
19 16:13:32 address those.
20 16:13:33 So, a modification of initial terms of contract
21 16:13:37 implies that there are either new, additional or
22 16:13:41 different terms, as compared to the initial ones that
23 16:13:47 were proposed and agreed.
24 16:13:47 It is not contentious between the parties that
25 16:13:52 decree 172 did alter the initial payment mechanism, yes,

01 16:13:55 because PPD was required to initiate the transfer
02 16:13:57 payment two days earlier and use a different bank
03 16:14:00 account within the very same Gazprombank.
04 16:14:04 Decree 254 however did not influence the obligations
05 16:14:10 anyhow, because it did not introduce either new or
06 16:14:14 different terms as compared to those of the decree 172.
07 16:14:18 The only alteration identified by claimant was the
08 16:14:22 mentioning of NCC in the conversion process.
09 16:14:24 However, as I already explained, clearing is
10 16:14:27 a feature of MOEX and the NCC has been involved in
11 16:14:30 organised trades on MOEX for the last 20 years.
12 16:14:36 Moreover, claimant itself had been regarding the
13 16:14:39 decree 172 as the only modification of payment
14 16:14:43 mechanism. In the letters of 26 May, 31 October,
15 16:14:49 23 December, 30 January, notice of avoidance of the
16 16:14:53 8 March, claimant consistently refers to the payment
17 16:14:56 mechanism as payment in accordance with the decree
18 16:15:00 number 172. Even when the decree 254 was already in
19 16:15:05 force.
20 16:15:05 Finally, since the conversion process took place
21 16:15:09 after the transfer of money to PPD type "K" account at
22 16:15:12 Gazprombank, at which point PPD's contractual
23 16:15:13 obligations was already discharged, involvement of NCC
24 16:15:18 or the lack of it is largely irrelevant to the contents
25 16:15:23 of the obligations.

01 16:15:25 It could not constitute a modification of the
02 16:15:27 obligation, as the obligation is already discharged.
03 16:15:30 Gone. You already complied with.
04 16:15:33 In any event, in case there was a confusion about
05 16:15:38 the contents of the differences between the decree 172,
06 16:15:42 decree 254, it was PPD's duty to raise these questions
07 16:15:47 with GPE, and as said, whenever needed, PPD did that
08 16:15:51 perfectly.
09 16:15:52 The standard of reasonable person under article 8.2
10 16:15:56 of the CISG implies that in case a legal irrelevant
11 16:16:00 statement lacks clarity and is not sufficiently
12 16:16:03 understandable to the receiving party, it is the latter
13 16:16:07 that should make the requisite enquiries, request
14 16:16:10 translations, or otherwise seek to obtain reliable
15 16:16:14 knowledge of the content of the statement.
16 16:16:16 In other words, even if a businessperson lacks
17 16:16:19 expertise to fully comprehend the legally complex and so
18 16:16:23 unclear system of clearing at the exchange, then such
19 16:16:31 a businessman, being reasonable, needs to put effort to
20 16:16:34 obtain the necessary clarification from the
21 16:16:37 counterparty.
22 16:16:39 Under article 18 of the CISG an offer can be
23 16:16:43 accepted by statement or conduct.
24 16:16:46 In PPD's case there were both. The first and most
25 16:16:50 straightforward expression of PPD's assent was in the

01 16:16:55 first of 4 April 2022 letter signed by Mr Vujnovac.

02 16:17:02 Unconditional countersignature.

03 16:17:06 According to the express language of this letter,

04 16:17:08 such countersignature was to be regarded as an

05 16:17:11 acceptance of the proposed items. How else could it be

06 16:17:14 interpreted by GPE?

07 16:17:17 Claimant's key objection to the express acceptance

08 16:17:19 is based on alleged defects of the form. Claimant

09 16:17:23 relies on the contractual requirement to the form of

10 16:17:26 modification and the respondent never actually disputed

11 16:17:30 the application of those provisions. The contractual

12 16:17:32 requirements are very simple and straightforward. When

13 16:17:35 you make an amendment to a contract, what do you need to

14 16:17:38 do? Article 13.1, in writing signed by the authorised

15 16:17:43 representative. Article 16.1, in writing signed by

16 16:17:46 authorised representative. 16.2, documents transferred

17 16:17:49 by fax or email should be replaced with originals, hard

18 16:17:53 copy.

19 16:17:55 The letter of 1 April was made on paper

20 16:17:57 countersigned by Mr Vujnovac himself and he has never

21 16:18:01 claimed that his signature to be forged or --

22 16:18:04 importantly, the hard copy of the signed letter was

23 16:18:08 immediately despatched by the respondent to the

24 16:18:10 claimant, and why would have respondent done that if it

25 16:18:17 did not regard this letter to be an amendment subject to

01 16:18:19 article 16.2? Clearly.

02 16:18:24 Well, in any event, even there was a requirement to

03 16:18:30 draft -- well, even if there was a requirement to draft

04 16:18:33 a formal amendment with a title "Amendment" as the

05 16:18:38 parties did in the past, it is still excessively

06 16:18:45 formalistic to request that.

07 16:18:46 Yes, the other amendments to the contract were

08 16:18:49 labelled as amendments, but their content was different,

09 16:18:51 and they mainly dealt either with price revision or they

10 16:18:55 dealt with the quantities under the contract and that

11 16:18:58 implied formulas and that had to be the part of the

12 16:19:01 contract to be submitted actually to the bank for the

13 16:19:04 **currency controls. That's the proper English word:** for

14 16:19:11 the currency controls.

15 16:19:12 Here, the content of the letter did not necessarily

16 16:19:16 require formal title amendment.

17 16:19:20 But article 29.2 of the CISG provides that an

18 16:19:25 agreement that contains a provision requiring any

19 16:19:27 modification or termination to be in writing, cannot be

20 16:19:31 modified or terminated otherwise.

21 16:19:33 However, the second sentence of this paragraph,

22 16:19:35 subject if requirement to the principle of estoppel, the

23 16:19:39 party may be precluded by its conduct from raising

24 16:19:42 objections to the form of modification if the other

25 16:19:46 party relied on that conduct. And the claimant has

01 16:19:51 clearly foregone the right to raise such an objection

02 16:19:55 because of the clear behaviour that was in place.

03 16:19:59 The conditions for protection of legitimate

04 16:20:01 expectations under article 29 of the CISG are on the

05 16:20:06 slides. Of relevance are the two of them.

06 16:20:10 Well, to begin with, behaviour giving rise to trust.

07 16:20:15 Well, according to commentaries, even silence, in

08 16:20:17 combination with conduct or other circumstances, may be

09 16:20:20 even sufficient to establish acceptance of modification.

10 16:20:24 PPD's conduct throughout April-October 2022 passes

11 16:20:28 this test by a margin.

12 16:20:30 Claimant induced respondent's reliance on the

13 16:20:33 acceptance of modification by promptly and cooperatively

14 16:20:36 taking all necessary steps to open the type "K" account

15 16:20:40 in euro and in rouble. Posted nominations of volumes

16 16:20:44 under the contract. Accepted the supplies. Paid for

17 16:20:47 the supplies via the payment mechanism.

18 16:20:51 As for the effective agreement, except for formal

19 16:20:55 defects, since CISG does not govern issue of

20 16:20:58 representation at all, the relevance of this criteria in

21 16:21:00 the application of this provision is questionable and

22 16:21:02 therefore is not relevant for us.

23 16:21:05 But as for the actual trust, there was indeed GPE

24 16:21:11 relying on the conduct of the other party.

25 16:21:14 The asserting party's reliance can be indicated by

01 16:21:17 a range of actions, primarily by the performance of the
02 16:21:19 contract. Respondent in reliance on this conduct of the
03 16:21:23 claimant dutifully supplied gas upon claimant's
04 16:21:28 nominations and particularly by 26 May 2022, claimant
05 16:21:34 had already offtaken most an entire monthly supply. Is
06 16:21:40 not that behaviour self-speaking? And could not it
07 16:21:45 create actual trust?
08 16:21:48 As for the worthiness of protection, this criterion,
09 16:21:52 according to the commentators, merely adds
10 16:21:54 a qualification of reasonableness to the above
11 16:21:56 substantive conditions of reliance inducing and reliance
12 16:22:00 based conduct. While according to the claimant's
13 16:22:02 authorities, the reasonableness requirement implies that
14 16:22:04 if a party declares that it does not feel bound by the
15 16:22:08 changes due to the written form requirement, this also
16 16:22:12 destroys the trust with effect of ex tunc.
17 16:22:15 The claimant believes that the letter of
18 16:22:17 26 May 2022, where it expressly confirmed its intention
19 16:22:23 to fulfil the payment obligations in accordance with the
20 16:22:26 decree, but stated that it should not be construed as
21 16:22:28 acceptance of proposal, constituted such a declaration.
22 16:22:34 This allegation is wrong.
23 16:22:37 The reasonableness of reliance does not depend on
24 16:22:40 whether the party recognises the validity of
25 16:22:43 modification. It only matters whether the party

01 16:22:46 sufficiently indicated by its conduct that it will in
02 16:22:50 fact follow the agreement, regardless of whether it is
03 16:22:53 subjectively believed that this agreement is valid, or
04 16:22:56 gave it other subjective legal qualifications.
05 16:23:00 To put it simply, article 29.2 of the CISG was
06 16:23:04 designed to protect trust induced by the other party's
07 16:23:06 conduct. Both are questions of fact.
08 16:23:11 Even if the letter of 26 May 2022 could be given any
09 16:23:16 legal meaning, it still could not qualify as
10 16:23:19 a notification of the claimant's refusal to be bound by
11 16:23:22 the modification from then on, since it only confirmed
12 16:23:27 that the claimant will pay in accordance with the new
13 16:23:30 payment mechanism. I.e, that it will in fact accept the
14 16:23:33 agreement.
15 16:23:34 Hence, such conduct is sufficient to induce
16 16:23:37 reasonable reliance of the respondent.
17 16:23:41 Essentially, claimant seeks nothing but a second
18 16:23:45 bite of a cherry, suggesting that a letter sent
19 16:23:48 two months after the acceptance should somehow annul the
20 16:23:51 acceptance and/or eliminate the reliance induced by its
21 16:23:55 conduct throughout these two months. This cannot be
22 16:23:58 allowed.
23 16:23:59 In reality, the letter of 26 May which the claimant
24 16:24:02 labels "payment under protest" is of no help to the
25 16:24:06 claimant under the applicable legal standards.

01 16:24:09 Under article 22 of the CISG, the acceptance may be
02 16:24:13 withdrawn if the withdrawal reaches the offer before or
03 16:24:17 at the same time as the acceptance would have become
04 16:24:21 effective at the moment the indication of assent reaches
05 16:24:28 the offer.
06 16:24:31 Same applies to corrections, extensions,
07 16:24:33 restrictions, modifications of acceptance.
08 16:24:36 Hence, the PPD's acceptance of the 1 April offer
09 16:24:40 could not be revoked after 4 April.
10 16:24:44 Moreover, this vague and very unclear attempt to
11 16:24:48 kind of withdraw earlier consent was overridden by
12 16:24:52 consistent and subsequent further conduct, confirming
13 16:24:55 the claimant's consent to the new payment mechanism.
14 16:24:58 This alleged protest of the 26 May was not motivated
15 16:25:03 by any objective circumstances. There were no
16 16:25:05 meaningful developments in the EU sanctions policy for
17 16:25:08 instance in which claimant believes there were so many
18 16:25:13 risks associated to these payments. There were no other
19 16:25:19 reasonable grounds to believe that the circumstances
20 16:25:21 have changed. The claimant's authorities do not
21 16:25:24 represent the official stance of the EU on the legality
22 16:25:27 of the payment mechanism during this time changing.
23 16:25:31 So finally, here, even if none of the above
24 16:25:36 arguments about express consent of the claimant were
25 16:25:39 true, and the claimant actually revoked its consent on

01 16:25:44 26 May 2022, the modification was still accepted by the
02 16:25:49 further consistent conduct of PPD, both prior and after
03 16:25:54 26 May.
04 16:25:56 As demonstrated on the slide, the assent to an offer
05 16:26:00 may be given by various forms of conduct. All of these
06 16:26:03 examples may be found in our case.
07 16:26:06 PPD has been nominating and offtaking gas, both
08 16:26:09 before and after 26 May, perfectly knowing that the only
09 16:26:13 way these payments could be paid was in accordance with
10 16:26:16 the payment mechanism they are so unhappy with.
11 16:26:20 Remarkably, even on 31 October 2022, when PPD
12 16:26:26 informs GPE that September supplies would not be paid
13 16:26:28 for because of the changed political environment, PPD
14 16:26:32 nevertheless acknowledges that it has a payment
15 16:26:35 obligation under the decree. They acknowledge that they
16 16:26:38 have a payment obligation under the decree and not
17 16:26:41 otherwise.
18 16:26:43 The claimant's contention that respondent imposed
19 16:26:45 the modification on claimant via threat and duress is
20 16:26:51 plainly wrong.
21 16:26:53 The letter of 1 April 2022 was nothing more than
22 16:26:58 a notification of new requirements that are contained in
23 16:27:01 a binding decree, making it thus impossible for the
24 16:27:05 respondent to continue supplies under the contract
25 16:27:08 unless the decree was complied with and the contract was

01 16:27:14 accordingly altered.

02 16:27:15 If a person suffers from the pressure of

03 16:27:18 circumstances, without this pressure being wrongfully

04 16:27:21 exercised by the other party, this is not enough to

05 16:27:23 establish duress.

06 16:27:26 **As the Supreme Court of Austria phrases it:**

07 16:27:29 "every pressure creates the pressure of

08 16:27:30 circumstances, however, not every person exposed to the

09 16:27:33 pressure of circumstances is in such a position due to

10 16:27:36 a wrongfully exercise pressure."

11 16:27:39 There was no wrongfully exercised pressure by GPE in

12 16:27:42 this case.

13 16:27:44 The threefold test that is presented by PPD for the

14 16:27:48 duress finds absolutely no grounds in the facts of the

15 16:27:52 dispute with the opposite not proven by the claimant.

16 16:27:57 The action can neither be a lawful or an unlawful

17 16:28:00 threat if it is not a threat at all.

18 16:28:03 And there can be no causal link between a threat and

19 16:28:09 a party's declaration of intent to conclude a contract

20 16:28:11 if there is no threat.

21 16:28:15 The present case is a matching example of the

22 16:28:19 Supreme Court finding. The only and one reason for

23 16:28:21 respondent to suggest the amendment of the contract, as

24 16:28:24 well as to all other respondent's European buyers as

25 16:28:27 well on 1 April 2022, was the enactment of the decree,

01 16:28:32 having its unavoidable effect on both parties in spite
02 16:28:35 of, notwithstanding, the GPE's will.
03 16:28:39 **It is like the atmospheric pressure:** I can like it
04 16:28:42 or dislike it, but it exists.
05 16:28:44 The decree applies irrespective of what the
06 16:28:47 respondent wishes or thinks. The decree authorised the
07 16:28:49 central energy customs to monitor compliance with the
08 16:28:52 decree and, if violated, prohibit supplies. Not GPE,
09 16:28:57 but the central energy customs has control over the
10 16:29:00 infrastructure.
11 16:29:02 Mr Perner, expert of the claimant, fails to take
12 16:29:05 into account the above precedent of the Austrian Supreme
13 16:29:08 Court, which actually distinguishes the pressure of
14 16:29:11 circumstances from the pressure of the unlawful threat,
15 16:29:13 and that results in a logical fallacy.
16 16:29:17 Following his logic, even a letter about an
17 16:29:20 inadvertently falling meteorite, in the hypothetical
18 16:29:25 example, would constitute a threat.
19 16:29:29 Mr Perner's analysis fails to acknowledge the
20 16:29:31 existence of the pressure of circumstances, the
21 16:29:34 meteorite in the respondent's hypothetical example.
22 16:29:37 That's the decree 172 in the case of the contract.
23 16:29:42 In fact, the pressure was put on both parties by the
24 16:29:45 Russian Government, by virtue of unavoidable prohibition
25 16:29:47 of supplies under the contract if the decree is not

01 16:29:50 complied with.

02 16:29:50 The claimant's position, that the respondent was not

03 16:29:56 compelled to comply with the decree and could have

04 16:29:59 attempted to obtain an exemption from the Russian

05 16:30:00 Governmental commission, is entirely wrong. It is built

06 16:30:06 on retrospective and the wrong interpretation of the

07 16:30:08 decree.

08 16:30:10 Special rules to obtain permits at the governmental

09 16:30:17 commission on monitoring foreign investment for the

10 16:30:19 decree were only enacted on 9 April 2022 --

11 16:30:31 **PRESIDENT:** Sorry, we are with you. Do not worry. It's

12 16:30:35 an important matter and I know you're in the middle of

13 16:30:36 the presentation on duress.

14 16:30:38 When you complete the slides on duress, before you

15 16:30:41 move into competition or other topics, we'll make

16 16:30:45 a break. Thank you very much. But we're with you,

17 16:30:47 don't worry.

18 16:30:48 **MR TALANOV:** Thank you, thank you, no, I wanted to make

19 16:30:49 sure that we are all on the same page.

20 16:30:53 So, as I said, the pressure was on both parties and

21 16:31:00 both parties had to comply with the decree and

22 16:31:03 accordingly modify the contract.

23 16:31:05 The claimant's position, that respondent was not

24 16:31:07 compelled to comply with the decree and could have

25 16:31:10 attempted to obtain the exemption from the governmental

01 16:31:14 commission, is entirely wrong for a number of reasons.

02 16:31:17 But here the primary reason, that I mention on the

03 16:31:21 slide, is that there were no rules permitting such

04 16:31:29 exception, exemption, until 9 April 2022, and they only

05 16:31:36 happened five days after the contract was already

06 16:31:38 amended.

07 16:31:40 Clearly, there was already no field for discussion

08 16:31:44 of this kind. Why would you go and seek an exemption if

09 16:31:47 the other party already agreed?

10 16:31:50 GPE could not itself obtain any exemption, even if

11 16:31:53 after enactment of the special rules they wanted to, and

12 16:31:59 say PPD requested that. That never happened.

13 16:32:04 GPE simply has no right under the rules to approach

14 16:32:08 the governmental commission for this kind of exemption.

15 16:32:13 It can only be done by the Ministry of Energy.

16 16:32:16 Well, GPE is not the Ministry of Energy, it's

17 16:32:19 a different entity, it's a different state body and it

18 16:32:22 is not readily available to satisfy all the possible

19 16:32:28 demands that GPE or PPD may have.

20 16:32:31 Despite the statements of the claimant, GPE has

21 16:32:34 absolutely no guarantees of assistance by the ministry

22 16:32:37 under the federal law 59. I'm compelled to comment upon

23 16:32:41 that, that is a very recent argument and we did not have

24 16:32:44 a chance to otherwise address it, but unfortunately here

25 16:32:49 the claimant just simply reads the law wrong, because

01 16:32:54 this law is not applicable and it cannot be used by GPE
02 16:32:58 to approach the ministry.
03 16:33:01 The claimant arguments, that respondent was to
04 16:33:04 renegotiate the terms of the contract to consider the
05 16:33:08 impact of the offer on PPD but instead it magnified the
06 16:33:13 unjust treatment, shows actually that GPE's proposal was
07 16:33:15 obviously considered by claimant as a business offer.
08 16:33:20 The substance is not whether the respondent's
09 16:33:22 business offer was balanced or not, but an allegation of
10 16:33:25 a threat. The influence on the decision-making of the
11 16:33:30 contract partner by introducing fear.
12 16:33:34 Anyway, GPE could not be blamed for negotiating in
13 16:33:37 bad faith as PPD never informed it of any problems and
14 16:33:40 risks regarding the amendment before the breach.
15 16:33:45 The breach, I mean 31 October 2022.
16 16:33:49 On the contrary, PPD returned the countersigned
17 16:33:51 letter in three days, or in one business day, without
18 16:33:56 any comments, counteroffers, even though respondent
19 16:34:00 asked for the confirmation up to 30 May within two
20 16:34:03 months.
21 16:34:06 The only reason why respondent sent the letter of
22 16:34:10 1 April 2022 was nothing about duress; it was the
23 16:34:14 enactment of the decree, which was binding on the
24 16:34:16 respondent and would prevent any supplies to claimant if
25 16:34:20 not complied with.

01 16:34:23 As openly admitted by Ms Ivancic, PPD learned about
02 16:34:27 the decree from media first, and could have equally
03 16:34:32 received information of its content from the public
04 16:34:34 sources.
05 16:34:36 It could have hardly changed anything in the
06 16:34:38 modification, as the letter of 1 April basically quoted
07 16:34:45 the decree 172.
08 16:34:49 In the alternative, claimant failed to demonstrate
09 16:34:52 a causal link between the alleged threat in the letter
10 16:34:55 of 1 April and the modification.
11 16:34:58 As explained by the claimant's own expert Mr Perner,
12 16:35:02 the decisive question is therefore whether PPD would
13 16:35:05 have made its declaration of intent even without the
14 16:35:08 unlawful threat.
15 16:35:10 The abovementioned argument seems self-evident if
16 16:35:13 one appreciates that nothing would have changed if GPE
17 16:35:17 had decided not to notify PPD on the decree's
18 16:35:20 restrictions at all.
19 16:35:22 If the respondent remained silent, if the parties
20 16:35:27 had not agreed upon exactly the same payment mechanism
21 16:35:30 by 30 May 2022, what would happen? The central energy
22 16:35:35 customs of the Russian Federation would eventually have
23 16:35:37 simply cut off supplies to PPD under the specific
24 16:35:40 notice, analogous to the one that GPE shared with PPD
25 16:35:45 ultimately in November 2022.

01 16:35:48 This means that PPD would have made an identical
02 16:35:50 declaration of intent even without the unlawful threat.
03 16:35:55 PPD's argument on duress is based on the premises
04 16:35:58 that it was unable to finance any alternative sources of
05 16:36:01 gas in April and May, while Mr Way, the expert of the
06 16:36:06 claimant, also adds June 2022 in his account.
07 16:36:11 As per the claimant's own narrative, already in
08 16:36:14 summer 2022 the claimant could have concluded a similar
09 16:36:19 contract under similar conditions, or otherwise replaced
10 16:36:22 the volumes paid for, under the modification that it
11 16:36:26 allegedly considered detrimental to itself and
12 16:36:29 countersigned under duress.
13 16:36:31 However, despite all that, it continued to nominate
14 16:36:34 and offtake gas until 31 October.
15 16:36:38 PPD made several steps to get ready for the
16 16:36:39 well-planned breach of the contract.
17 16:36:44 On 12 April 2022 as I already said, PPD signs an
18 16:36:49 agreement with Krk operator in order to book all
19 16:36:52 **remaining available capacity. That's what they demand:**
20 16:36:54 all available capacity. All remaining available
21 16:36:57 capacity for four upcoming years.
22 16:37:00 From June to October 2022, PPD concluded many
23 16:37:05 contracts for the so-called replacement volumes. They
24 16:37:08 are carefully listed by Ms Ivancic in her second witness
25 16:37:12 statement, and we will have a look at those tomorrow.

01 16:37:15 On 30 June 2022, it concluded amendment, actually

02 16:37:20 restated agreement to the LNG agreement, which

03 16:37:24 introduced significant increase in the amount of LNG

04 16:37:27 supplies.

05 16:37:28 No wonder claimant was happy to send the letter of

06 16:37:31 31 October, having the gas supplied already secured,

07 16:37:34 thanks to the deals previously made, and financed from

08 16:37:37 the GPE's continued supplies under the amendment

09 16:37:40 contract terms.

10 16:37:42 The above timeline shows nothing but a cold-blooded

11 16:37:46 month-long preparation for inadmissible, unilateral

12 16:37:50 termination of payments under the contract. Searching

13 16:37:55 for a tool that would let us finish this plan, ie

14 16:37:57 escaping its obligation under the contract without

15 16:37:59 paying for the deliveries already completed. And PPD

16 16:38:04 chose to argue that the modification was imposed under

17 16:38:07 duress.

18 16:38:09 I think we could make a break here. Thank you.

19 16:38:12 **PRESIDENT:** Thank you very much. We will have now

20 16:38:14 a 20-minute break. We'll start in 20 minutes, so at

21 16:38:28 5 o'clock. 22 minutes.

22 16:38:31 (4.38 pm)

23 16:38:34 (Short break)

24 16:38:35 (5.01 pm)

25 17:01:16 **PRESIDENT:** You were allowed 217 minutes. You have used

01 17:01:19 so far 104 minutes, so you have 113 minutes left, and

02 17:01:26 I just checked with our stenotypist, you can go without

03 17:01:31 any break. If you wish to take a break we can take

04 17:01:33 a break, of course, but we're good to go and conclude in

05 17:01:37 one go. But we're in your hands; if you need to take

06 17:01:39 a break at a proper moment in your presentation, feel

07 17:01:42 free to do so.

08 17:01:43 **MR TALANOV:** Thank you so much. In any case, should you

09 17:01:45 feel the need for a break and if my presentation gets

10 17:01:48 too exhaustive, we're happy to accommodate. Please let

11 17:01:55 us know.

12 17:01:56 So the other tool which PPD conveniently employs to

13 17:02:09 shield itself from the obligation that it had actually

14 17:02:12 accepted under the contract, is the reference to the EU

15 17:02:16 sanctions, which do indeed impose a multiple number of

16 17:02:23 prohibitions and restrictions against the Russian

17 17:02:25 parties.

18 17:02:27 However, what is important, PPD's ingenious plan is

19 17:02:31 **shattered by one crucial factor:** there are no

20 17:02:34 prohibitions on Russian natural gas imports, nor are

21 17:02:38 there any prohibitions on the payment mechanism itself.

22 17:02:42 The absence of such prohibition is obvious. No

23 17:02:45 restriction on the Russian natural gas imports can be

24 17:02:48 found in any of the relevant provisions. Many of the

25 17:02:53 articles of the 833rd regulation are designed so they're

01 17:02:58 to specifically exclude their application to the supply
02 17:03:01 of natural gas from Russia into the EU.
03 17:03:04 And the clearcut situation, that there are no
04 17:03:11 restrictions at the EU level, and there is nothing that
05 17:03:16 is deemed to be restricted by the EU authorities,
06 17:03:20 becomes totally obvious, because some of the EU Member
07 17:03:23 States, such as Poland, Lithuania and Estonia, had to
08 17:03:28 implement some of the measures unilaterally, absent
09 17:03:32 rules in common.
10 17:03:34 If Russia's natural gas imports were subject to any
11 17:03:38 prohibitions or restrictions at the EU level, then no
12 17:03:41 unilateral actions of this kind would be required.
13 17:03:44 It is a common knowledge that the REPowerEU
14 17:03:49 initiative plans, so that to phase out the Russian gas
15 17:03:53 imports, is underway only now, and it was adopted
16 17:03:57 relatively recently after three years PPD stopped paying
17 17:04:02 under the contract.
18 17:04:03 So clearly, that none of those obvious and
19 17:04:09 straightforward sanctions were in place.
20 17:04:11 The EU Council has, before REPowerEU plan, never
21 17:04:16 intended to prohibit European companies from fulfilling
22 17:04:20 their obligations under existing long-term gas supply
23 17:04:24 contracts, well, at least until their expiration,
24 17:04:27 because even under this recent initiative, Russian gas
25 17:04:32 phased out by 2027, that is 30 September, by that moment

01 17:04:38 most of the contracts, including PPD contract, would
02 17:04:41 already expire.
03 17:04:44 The introduction of the payment mechanism in March
04 17:04:46 did not somehow get reflected in the position of the
05 17:04:51 European Council. There was absolutely no reaction by
06 17:04:54 the European Council responsible for the sanctions
07 17:04:57 following this move.
08 17:04:59 We see that the council actually, usually very
09 17:05:01 quickly and actively, reacts to the Russian legislation
10 17:05:05 that it deems to affect the objectives of its sanction
11 17:05:09 regime.
12 17:05:09 I could give you a number of examples, but to
13 17:05:11 **mention:** the council implements such measures, for
14 17:05:16 instance, as against the bad well-known, ill-known
15 17:05:19 Lugova(?) law proceedings, initiated before the Russian
16 17:05:25 courts when the Russian courts can exercise exclusive
17 17:05:29 jurisdiction. And whenever that happened and whenever
18 17:05:32 the council considered that to be sanction in
19 17:05:36 compliance, it immediately reacted.
20 17:05:39 Whenever the presidential decree in Russia number
21 17:05:43 302, that is the compensation mechanism for the change
22 17:05:47 of ownership, then, as a mirror to that, the European
23 17:05:53 Union Council enacts a measure to compensate who
24 17:06:00 suffered losses.
25 17:06:01 So council regularly implements measures

01 17:06:04 specifically against such legislation, directly cites
02 17:06:08 it, and like when it does so, it clearly explains that
03 17:06:14 it considers these rules to be contrary to the EU
04 17:06:18 sanctions policy.
05 17:06:19 Nothing has ever been said or done by the council
06 17:06:23 against the decree and the payment mechanism.
07 17:06:27 This actually explains why many European companies,
08 17:06:30 such as PPD, but not only PPD, have agreed to modify
09 17:06:36 their contract with GPE and continued to pay with the
10 17:06:42 new scheme, the new payment mechanism.
11 17:06:45 GPE has even concluded new gas supply contracts with
12 17:06:49 European companies under the very same payment terms of
13 17:06:52 the new decree.
14 17:06:54 Notably, as I already said, no criminal cases, no
15 17:06:58 investigations into any European company related to the
16 17:07:03 use of the payment mechanism has ever been reported.
17 17:07:08 And now you understand the structure of the
18 17:07:11 mechanism, you understand that there is no way you can
19 17:07:14 even try, reach and touch upon a sanctioned entity. So
20 17:07:20 it's evident why the European Union bodies don't feel
21 17:07:26 necessary to respond.
22 17:07:30 Even assuming that such prohibitions existed, PPD
23 17:07:33 could at any time request codifications or licences from
24 17:07:37 the Croatian competent authorities, correct? However,
25 17:07:40 PPD has never done so.

01 17:07:43 In that famous letter dated 31 October that I showed
02 17:07:47 you already several times today, PPD refers to some
03 17:07:51 approvals granted by the Croatian Ministry of Foreign
04 17:07:52 Affairs.
05 17:07:55 Well, I put it aside that it is not a competent
06 17:07:59 authority to grant any approvals; maybe Mr Vujnovac
07 17:08:04 knows it better. However, to my knowledge, under the
08 17:08:06 Croatian laws on sanctions, it's the Ministry of Finance
09 17:08:09 and the Ministry of Economy and Sustainable Development
10 17:08:11 who are the competent authorities that really monitor
11 17:08:14 this stuff.
12 17:08:15 But in any case, there is not a single
13 17:08:17 contemporaneous document confirming the existence of any
14 17:08:21 prohibition for PPD to pay under the payment mechanism,
15 17:08:24 any interpretation of sanctions so they're putting any
16 17:08:28 risk on PPD by any of the national or EU level
17 17:08:33 authorities. And that makes it pretty clear what PPD
18 17:08:37 really intends to do is just to use this argument as
19 17:08:42 a shield so that not to comply with its obligations.
20 17:08:47 The council, as I already said, did not prohibit the
21 17:08:50 payment mechanism in general, nor did it prohibit each
22 17:08:53 of the transactions that it implies.
23 17:08:56 The European Commission specifically confirmed, it's
24 17:08:59 there on the slide, it specifically confirmed that
25 17:09:02 European companies are allowed to engage with GPE, open

01 17:09:08 accounts with Gazprombank, make payments to Russian
02 17:09:11 persons and trade on Russian exchanges, including MOEX.
03 17:09:18 Furthermore, to date, the council has not imposed
04 17:09:21 sanctions on participants of the payment mechanism,
05 17:09:23 specifically Gazprombank, Moscow Stock Exchange, Moscow
06 17:09:28 exchange, and the national clearing house, NCC.
07 17:09:33 In the absence of any applicable prohibition, PPD
08 17:09:36 now claims that any payment in euros to Russia
09 17:09:39 constitutes a violation or circumvention of the
10 17:09:42 sanctions or their objectives.
11 17:09:45 In PPD's view, that is because such a transfer makes
12 17:09:48 euros potentially available to sanctioned persons and
13 17:09:53 contributes to the stabilisation of the Russian rouble.
14 17:09:56 And they also claim that the payment mechanism was
15 17:09:59 created to circumvent European sanctions by its nature.
16 17:10:04 Well, essentially, PPD bases its arguments on
17 17:10:08 a pretty incoherently broad and incorrect interpretation
18 17:10:13 of the European sanctions, as I will show.
19 17:10:16 This interpretation would effectively look to
20 17:10:18 prohibition of any payment to Russia or to any Russian
21 17:10:22 person, because any asset that you sell to that Russian
22 17:10:29 person may potentially get resold and therefore may get
23 17:10:35 to a sanctioned person in the very long run.
24 17:10:38 The council has never intended to impose such
25 17:10:41 embargos.

01 17:10:43 PPD argued that payment under the payment mechanism
02 17:10:46 violated the prohibition to make funds and economic
03 17:10:50 resources available to persons included in the sanctions
04 17:10:52 list under the regulation 269, personal sanctions.
05 17:10:59 Because such persons might purchase those imaginary PPD
06 17:11:06 euros, if they existed, on Moscow exchange.
07 17:11:10 As already explained, if one understands how
08 17:11:12 exchange organised trade works and how non-cash foreign
09 17:11:15 transaction works, that they return PPD euros makes
10 17:11:18 completely no sense.
11 17:11:20 However, the payment mechanism does not violate
12 17:11:22 transaction with anyone. The payment mechanism, sorry,
13 17:11:26 does not involve transaction with anyone other than NCC.
14 17:11:31 It's only the clearing house, no one else. As the
15 17:11:34 central counterparty, NCC executes all foreign exchange
16 17:11:39 trades on Moscow exchange by pooling all offsetting
17 17:11:43 positions of its all counterparties into one single
18 17:11:46 debit or credit obligation. As a purchaser, the NCC is
19 17:11:51 the ultimate recipient of foreign currency.
20 17:11:54 Hence, even if we were to assume that there could be
21 17:11:57 identified some PPD euros to which PPD had some
22 17:12:01 proprietary right that follow this property even after
23 17:12:05 it has transferred to Gazprombank -- which is totally
24 17:12:08 wrong -- once these PPD euros were received by NCC, they
25 17:12:13 become part of NCC funds. That's it, full stop.

01 17:12:18 Whoever purchases it from NCC thereafter is none of
02 17:12:21 PPD's business. It has absolutely no relevance to the
03 17:12:25 sanctions application, because that is how the laws on
04 17:12:32 sanctions work. There is no other way to read and apply
05 17:12:35 it.
06 17:12:36 It is confirmed by the EU sanctions expert evidence
07 17:12:39 that is also on the record, that is the leading EU
08 17:12:41 sanctions law firm Daldewolf.
09 17:12:44 Otherwise, if you follow this logic and you worry
10 17:12:49 about who buys anything from NCC, then as I said, you
11 17:12:54 cannot sell anything to anyone, because they can
12 17:12:58 potentially once sell it to a sanctioned Russian entity.
13 17:13:03 Yes, they can do that, but you cannot be put under
14 17:13:07 any liability, even risk of liability for that. Your
15 17:13:13 responsibility as the EU party ends when you understand
16 17:13:18 that the other part of the transaction that you are in
17 17:13:21 is not sanctioned. And here the counterparty is only
18 17:13:25 NCC, the clearing house. That's it.
19 17:13:28 There is frankly no other way to read sanctions.
20 17:13:31 The argument that NCC might sell at least some of
21 17:13:35 the PPD euros to sanctioned persons does not correspond
22 17:13:38 to how foreign exchange works.
23 17:13:41 This is because transactions in euros would not be
24 17:13:43 possible without the participation also of the European
25 17:13:46 correspondent banks, since no foreign bank has direct

01 17:13:51 access to the European financial system.

02 17:13:55 So euros are not kept with Gazprombank. Euros as

03 17:14:02 obligations, as parts of the records, are kept with

04 17:14:06 the correspondent banks in Europe. And as I said, those

05 17:14:10 are the two banks, which we know because of the publicly

06 17:14:14 available rules of the Moscow exchange, those are

07 17:14:19 Commerzbank and Societe Generale.

08 17:14:21 So this is clear to anyone who knows how these banks

09 17:14:24 works, that those funds are not like physical goods.

10 17:14:30 They get reflected on the correspondent accounts of the

11 17:14:33 European correspondent banks.

12 17:14:36 In order to transfer euros to a trader who purchases

13 17:14:39 them on the Moscow exchange after netting, the NCC must

14 17:14:44 instruct whom? Its European correspondent bank to

15 17:14:47 assign the euro claimed to the trader.

16 17:14:51 So effectively what happens, that the European bank

17 17:14:57 when accepting this request from NCC will have to check

18 17:15:02 who gets the funds. Is it a sanctioned entity or not?

19 17:15:07 We have no doubt that the European banks, the two

20 17:15:10 I mentioned, have very strict compliance policies and

21 17:15:13 there is no evidence that they have been involved in any

22 17:15:16 sanctions circumvention or violation.

23 17:15:21 So a transfer would be impossible without the

24 17:15:23 involvement of the European bank.

25 17:15:27 For the same reasons, PPD's argument that its euros

01 17:15:31 could be transferred to a certain state-owned company

02 17:15:34 subject to sanctions under article 5aa lacks merit.

03 17:15:39 However, more importantly, article 5aa, which is one

04 17:15:43 of the grounds of the claim by the PPD, this article

05 17:15:47 directly excludes its application to any transaction

06 17:15:50 necessary for the purchase, import or transport of

07 17:15:54 natural gas from Russia to the EU.

08 17:15:57 Even though the council has been aware that the

09 17:15:59 payment mechanism is an obligatory condition for such

10 17:16:02 imports, the wording of article 5aa has not been amended

11 17:16:07 to this day, and we have no doubt that the EU Council,

12 17:16:10 the EU Commission, know about the decrees.

13 17:16:17 So PPD further argue that transactions under the

14 17:16:20 payment mechanism relate to the management of reserves

15 17:16:23 and assets of the Central Bank, because the Central Bank

16 17:16:28 might purchase, yet again, the so-called non-existent

17 17:16:32 PPD euros on Moscow exchange and, if not, to stabilise

18 17:16:38 Russian rouble exchange, even without any involvement of

19 17:16:40 the CBR, of the Central Bank.

20 17:16:43 However, neither is covered by article 5a of the EU

21 17:16:52 Regulation 833, taking into account its objective, the

22 17:16:57 meaning, and the terms of the legislative context.

23 17:17:03 The goal of this provision that PPD refers to is to

24 17:17:05 restrict access of Central Bank to its assets on the

25 17:17:10 territory of the EU, and that is mostly reasonable.

01 17:17:14 Well, as said, if NCC, as a result of netting, were
02 17:17:19 to order transfer euros to the Central Bank, this would
03 17:17:25 simply not be permitted by Commerzbank or Societe
04 17:17:28 Generale, because they hold NCC euros on their account
05 17:17:33 and they will have to comply with sanctions and permit
06 17:17:36 the transfers.
07 17:17:38 Gazprombank does not have its own euros. All euros
08 17:17:41 are in Europe.
09 17:17:44 On different occasions the council and the European
10 17:17:47 Commission have consistently stated that the aim of
11 17:17:49 article 5a(4) is to prevent the Central Bank of Russia
12 17:17:54 from accessing foreign reserves held in the EU.
13 17:18:01 As amply explained by the respondent in the written
14 17:18:04 submissions, this is one of the reasons why the council
15 17:18:06 **worded article 5a(4) so narrowly:**
16 17:18:10 "Transactions related to the management of reserves
17 17:18:12 as well as assets of the Central Bank of Russia ..."
18 17:18:16 According to the International Monetary Fund, the
19 17:18:18 management of reserves and assets involves allocating
20 17:18:22 assets as an investment to achieve an acceptable level
21 17:18:26 of return.
22 17:18:28 Allocation of assets as an investment to achieve an
23 17:18:32 acceptable level of return, that's the definition of the
24 17:18:34 IMF.
25 17:18:35 This objective can only be achieved through the

01 17:18:38 allocation of foreign exchange reserves held in the form
02 17:18:40 of convertible foreign currency claims of the Central
03 17:18:46 Bank, and to allocate these foreign exchange reserves
04 17:18:55 held in the form of convertible foreign currency claims
05 17:18:58 on non-residents.
06 17:19:01 Examples include the Central Bank of Russia euro
07 17:19:04 deposits, securities, financial derivatives, which are
08 17:19:08 held in euros and they are held with the European
09 17:19:11 companies.
10 17:19:11 And, as you well know, they are now blocked.
11 17:19:16 Not only has the IMF confirmed that other assets
12 17:19:19 cannot be viewed as reserve assets, but the Central Bank
13 17:19:24 of Russia itself has admitted that it had no possibility
14 17:19:27 to prevent the immobilisation of its foreign currency
15 17:19:30 reserves and assets, specifically because, and I quote,
16 17:19:32 "non-cash currency is always reflected in correspondent
17 17:19:37 accounts in foreign banks".
18 17:19:42 Non-cash currency, euro, is in Europe. And there,
19 17:19:47 further, transfers is monitored by the correspondent
20 17:19:52 European bank complying with the sanctions.
21 17:19:57 Today PPD claim that its non-cash payment in euro to
22 17:20:00 Russia contributes to the stabilisation of the Russian
23 17:20:03 rouble, without CBR's intervention. This contradicts
24 17:20:09 the wording of article 584. Article 584 applies to
25 17:20:12 reserves and assets of the Central Bank of Russia. This

01 17:20:16 means that the reserves and the assets must be owned by
02 17:20:18 the Central Bank of Russia.
03 17:20:21 The use of the preposition "of" clearly indicates
04 17:20:24 that article 5a(4) applies only to reserves and assets
05 17:20:27 that are owned or effectively controlled by the Central
06 17:20:30 Bank, and not to every foreign currency payment within
07 17:20:33 Russia. Clearly not.
08 17:20:37 If the council intended to prohibit any payments to
09 17:20:39 Russia that might contribute to its economy, it could
10 17:20:43 perfectly do that, very easy, and that has been done in
11 17:20:48 the past.
12 17:20:49 How was that done? Well, you should just impose
13 17:20:52 personal sanctions on the Central Bank and that's it.
14 17:20:55 As was done in the case of the central banks of Syria
15 17:20:58 and Iran. However, the council opted for a far more
16 17:21:02 limited prohibition, aimed specifically at freezing the
17 17:21:05 Central Bank's assets in Europe. It's just the
18 17:21:10 territorial implication of the rules of the council,
19 17:21:12 which is also reasonable and intuitive.
20 17:21:15 So PPD claims that the CBR participate, the Central
21 17:21:19 Bank of Russia participates in the payment mechanism and
22 17:21:23 this claim is totally unsubstantiated. I explained
23 17:21:26 today how the mechanism works in ample detail and there
24 17:21:30 is no Central Bank involvement as a necessary stage at
25 17:21:35 any of the steps at the payment mechanism realisation.

01 17:21:40 However, under the imperative rules of the Russian
02 17:21:43 law, the Central Bank is permitted to conduct foreign
03 17:21:46 exchange transactions only in two cases. There are two
04 17:21:49 cases when the Central Bank can conduct foreign exchange
05 17:21:53 transactions.
06 17:21:54 One is the so-called direct interventions, and the
07 17:21:58 second is pursuant to the instruction from the Ministry
08 17:22:01 of Finance under the so-called budget rule.
09 17:22:06 However, all such transactions, both under the first
10 17:22:09 and the second route, have been stopped in February 2022
11 17:22:14 for obvious reasons. There is enough evidence on the
12 17:22:18 record to that extent.
13 17:22:21 Consequently, PPD's payment under the contract were
14 17:22:24 in no way related to the management of the Central
15 17:22:26 Bank's reserves and assets, nor do they at all involve
16 17:22:30 the Central Bank at any stage of the transaction.
17 17:22:34 PPD also puts forward the argument that its payments
18 17:22:37 under the payment mechanism may also involve providing
19 17:22:41 loans or credits to the Central Bank.
20 17:22:44 However, PPD fails to consider that the Central Bank
21 17:22:47 does not participate in the payment mechanism at any
22 17:22:50 moment of time.
23 17:22:52 It also conveniently misreads the full text of
24 17:22:55 article 5a(2), the second part of article 5a, which
25 17:22:59 explicitly excludes payment for non-prohibited imports,

01 17:23:03 our case, exports of goods between the Union, and any
02 17:23:07 third state including Russia.
03 17:23:11 Apparently, aware of the weakness of its position on
04 17:23:15 the EU sanctions, PPD comes up with a fresh idea, with
05 17:23:22 a flawed argument that the payment mechanism was created
06 17:23:25 to circumvent. And what? To circumvent what? To
07 17:23:29 circumvent the effect of sanctions by ensuring the
08 17:23:33 financial stabilities of the Russian Federation.
09 17:23:34 Notably, none of the applicable regulations use the
10 17:23:39 term "effect of sanctions".
11 17:23:43 In fact, EU law provides a very precise definition
12 17:23:45 of circumvention. It's a very clear definition. And it
13 17:23:50 should be clear, because it entails serious
14 17:23:53 consequences.
15 17:23:55 So the EU law provides a very precise definition of
16 17:23:56 circumvention. That does not apply to the payment
17 17:23:59 mechanism at any point.
18 17:24:02 The definition is on the slide and as I explained,
19 17:24:05 the payment mechanism did not compel PPD to use,
20 17:24:09 transfer or dispose of any frozen funds or economic
21 17:24:13 resources.
22 17:24:15 **That is what circumvention is:** disposal, use,
23 17:24:20 transfer of frozen funds or economic resources.
24 17:24:24 If we were to go beyond the bald populism and these
25 17:24:29 general statements of the effects and spirits of

01 17:24:31 sanctions, we would see that the definition of
02 17:24:34 circumvention is very clear and it has just nothing in
03 17:24:37 common with the effects of sanctions doctrine invented
04 17:24:41 by PPD.
05 17:24:43 Furthermore, the purpose of the payment mechanism
06 17:24:45 was made abundantly clear. It was introduced as
07 17:24:50 a special procedure for fulfilling obligations to
08 17:24:53 Russian natural gas supplies.
09 17:24:56 There is actually and frankly no need for conspiracy
10 17:25:00 theories or red flag guesswork by long-retired banking
11 17:25:04 experts.
12 17:25:06 The reason for the creation of the decree has been
13 17:25:09 explained by President Putin on the very same day the
14 17:25:12 decree was adopted. It's on the record.
15 17:25:15 The reason behind the mechanism was the risk of such
16 17:25:20 payments being routinely blocked by European banks due
17 17:25:23 to overcompliance, and the assessment of those direct
18 17:25:27 transfers which PPD now advocates for is not
19 17:25:31 sufficiently transparent, especially at the beginning of
20 17:25:34 2022.
21 17:25:36 Even the GPE in these proceedings encountered
22 17:25:41 numerous issues with payments regarding to arbitration,
23 17:25:43 carved out of any sanctions.
24 17:25:47 Despite all of that, paying is not easy. So the
25 17:25:54 goal of the mechanism was to introduce a clear scheme,

01 17:25:58 with the clearing house and the exchange involved, so
02 17:26:03 that all persons participating in the mechanism are
03 17:26:08 known.
04 17:26:08 The EU sanctions did not alter PPD payments under
05 17:26:12 the mechanism. The PPD extremely broad interpretation
06 17:26:17 of sanctions is really of no help so that to protect
07 17:26:22 itself from the payment obligations, because frankly
08 17:26:26 there are absolutely, in addition to what I said, no
09 17:26:29 contemporaneous documents that would make reference to
10 17:26:33 sanctions.
11 17:26:34 All this was made up solely with a view to
12 17:26:38 conveniently avoid payments under the guise of
13 17:26:41 non-existent sanctions concerns.
14 17:26:45 Now, with your kind permission, we will switch some
15 17:26:48 of the slides and my colleague Natalia will get back to
16 17:26:51 that, and I would like now to address the issues related
17 17:26:54 to CISG. Slide 76 for ease of reference.
18 17:27:02 Article 9.10 of the contract provides a plain remedy
19 17:27:05 for a situation where the payment was effected in due
20 17:27:10 time -- where the payment was not effected in due time.
21 17:27:14 The seller is entitled to suspend the deliveries of
22 17:27:17 gas until such payment is effected.
23 17:27:20 So there is a contract remedy available to the party
24 17:27:24 in case of non-payment in due time.
25 17:27:28 While claimant argues that before the decree came to

01 17:27:32 life, before the decree 172 was enacted, respondent had
02 17:27:36 never suspended supplies in response to the claimant's
03 17:27:39 breaches, true, nonetheless, this provision is there in
04 17:27:44 the contract.
05 17:27:46 It can barely justify the claimant's expectations
06 17:27:49 that respondent would never exercise this right in
07 17:27:52 future if the claimant keeps non-paying.
08 17:27:57 So this right has always been available to the
09 17:27:59 respondent in case of even slightest delay, regardless
10 17:28:04 of the decree 172.
11 17:28:08 Article 71(1) of the CISG provides for the same
12 17:28:11 right in case it becomes apparent that the other party
13 17:28:14 will not perform a substantial part of his obligation,
14 17:28:16 of its obligation, as a result of a serious deficiency
15 17:28:19 in its ability to perform, or its conduct in preparing
16 17:28:22 to perform, or in performing the contract.
17 17:28:26 In particular, say with respect to instalment
18 17:28:29 contracts, if the buyer has not paid an outstanding rate
19 17:28:33 for a previous delivery, the seller is entitled to
20 17:28:36 suspend further supplies.
21 17:28:38 The claimant's failure to pay for the earlier, say
22 17:28:42 September 2022 supply, and its express refusal to pay in
23 17:28:47 accordance with the decree thereafter, made it apparent
24 17:28:50 to the respondent that claimant could not perform its
25 17:28:53 obligations under the contract ever since.

01 17:28:56 Importantly, both rules, contractual and the CISG,
02 17:29:00 refer to the more failure to perform, unlawful or not.
03 17:29:04 Hence, even if PPD was for any reason excused for its
04 17:29:10 failure to pay, GPE would still have the right to
05 17:29:14 suspend.
06 17:29:17 Another feature of the CISG which does not favour
07 17:29:21 claimant's case is that the modalities of payment,
08 17:29:23 currency, time, procedure, et cetera, are also outside
09 17:29:27 of the scope of the discussion about the lawfulness of
10 17:29:30 the GPE suspension.
11 17:29:31 The CISG clearly distinguishes the obligation to pay
12 17:29:35 in accordance with all requirements of the contract and
13 17:29:38 the other applicable formalities as provided in
14 17:29:41 article 54, from the obligation to pay in principle
15 17:29:45 under article 53. The buyer's inability to fulfil all
16 17:29:49 requirements and pay properly under the contract and
17 17:29:52 applicable laws does not relieve it from an obligation
18 17:29:56 to pay in principle.
19 17:29:58 Accordingly, putting the claimant's case at its
20 17:30:01 highest, and assuming that it was not bound to comply
21 17:30:04 with the decree 172, that it did not accept the
22 17:30:08 modification, or that the modification was invalid or
23 17:30:11 that claimant had another ground for lawful non-payment
24 17:30:14 for September and October supplies -- while only
25 17:30:17 hypothetically because the claimant has not pleaded any

01 17:30:20 other defences so far -- respondent was still entitled
02 17:30:25 to suspend the supplies as of 31 October 2022.
03 17:30:31 Alternatively, GPE was entitled to suspend supplies
04 17:30:35 by virtue of force majeure.
05 17:30:39 Under both article 11 of the contract and article 79
06 17:30:44 of CISG, the impediment, force majeure, is an event or
07 17:30:49 circumstance that affects performance of one of the
08 17:30:52 parties and, one, was beyond its control, two, was not
09 17:30:56 reasonably foreseeable at the moment of the conclusion
10 17:30:59 of the contract, three, could not be avoided or
11 17:31:02 overcome.
12 17:31:04 Decree 172 provided for the prohibition of supplies
13 17:31:08 to foreign buyers who failed to comply with its payment
14 17:31:12 obligations. So this prohibition was not blanket, it
15 17:31:15 applies only if the buyer failed to pay in accordance
16 17:31:18 with the decree 172.
17 17:31:20 Hence, while the decree 172 was issued on 31 March,
18 17:31:25 the force majeure event in the present case crystallised
19 17:31:30 at the moment when PPD refused to comply with the
20 17:31:32 payment mechanism. And that triggered the prohibition
21 17:31:37 under the decree.
22 17:31:39 Claimant's key objection goes to the first
23 17:31:41 criterion. The claimant challenges the respondent
24 17:31:44 entitlement to rely on the decree as force majeure due
25 17:31:47 to, I quote, "complete unity of interest between Gazprom

01 17:31:52 and the Russian Federation".

02 17:31:54 Well, according to PPD, that does not allow GPE to

03 17:31:59 say that the decree 172 was beyond its control.

04 17:32:03 The claimant's argument that the effects of the

05 17:32:05 decree could be avoided or overcome by GPE equally

06 17:32:09 dwells on the alleged unity of GPE and the Russian

07 17:32:11 State, so we would have to comment on that.

08 17:32:15 The argument however does not have any legal merit.

09 17:32:18 The most straightforward and important argument here is

10 17:32:22 the text of the contract itself.

11 17:32:25 The corresponding provision is here on the slide.

12 17:32:30 Article 11.2(vi) expressly refers to the actions of

13 17:32:31 the Russian Government as a possible force majeure

14 17:32:38 **event. It specifically says:** if that is done by the

15 17:32:42 Russian Government, that is force majeure.

16 17:32:45 This contract was signed in 2017. The same Russian

17 17:32:51 Government had a major stake in Gazprom mother company

18 17:32:55 at all times, including in 2017, when the contract was

19 17:32:59 agreed and signed.

20 17:33:01 So hence, this circumstance alone cannot possibly

21 17:33:05 bar respondent from leading force majeure defence.

22 17:33:12 Second argument is that in any event, respondent has

23 17:33:16 separate legal personality from Gazprom PJSC, and the

24 17:33:20 Russian State as such shall be presumed to be

25 17:33:23 independent from both and be entitled to raise the same

01 17:33:26 claims and defences as private companies do, unless
02 17:33:29 proven otherwise.
03 17:33:32 The presumption may only be overridden in limited
04 17:33:34 cases, and the burden of proving of this case is
05 17:33:41 a pretty high threshold.
06 17:33:45 It lies with the claimant. Contrary to the
07 17:33:48 claimant, the presumption is to the opposite. The
08 17:33:50 separate legal personality of an entity is the
09 17:33:54 presumption and if you want to demonstrate the contrary,
10 17:33:59 a lot of evidence has to be provided and assessed so
11 17:34:04 that to be sufficient.
12 17:34:08 On the question of whether the general presumption
13 17:34:10 of separate legal personality can be rebutted, in which
14 17:34:13 cases both parties relied on the so-called Bockstiegel
15 17:34:19 test. That was already mentioned today. Well, it
16 17:34:21 essentially represents a number of reasoned conclusions
17 17:34:24 of Prof Bockstiegel, based on analysis of cases where
18 17:34:30 those issues arose.
19 17:34:32 This set of conclusions was adopted by many
20 17:34:34 tribunals as an authority guidance. Clearly the
21 17:34:37 tribunal is not bound by this test, but to begin with,
22 17:34:41 we shall clarify that what claimant presents as two
23 17:34:46 tests, general law and administrative law, is in fact
24 17:34:51 a rule for the allocation of the burden of proof, rather
25 17:34:54 than a substantive criterion allowing to define whether

01 17:34:57 it was a general law or administrative law. That we'll
02 17:35:01 look at.
03 17:35:02 Under rule A of this Bockstiegel test, if an act
04 17:35:06 qualifies as administrative act, the presumption is that
05 17:35:10 it does not constitute force majeure for a state
06 17:35:13 enterprise, and the latter therefore bears the burden of
07 17:35:18 proving the opposite.
08 17:35:20 So if it's an administrative act, the presumption is
09 17:35:24 that the act which is administrative does not constitute
10 17:35:28 force majeure, and the enterprise has to rebut the
11 17:35:32 charge.
12 17:35:33 In particular, the presumption may be rebutted by
13 17:35:36 the fact that the administrative act was based on
14 17:35:39 general considerations.
15 17:35:43 Under rule B, if an act qualifies as a general law,
16 17:35:47 the presumption is that a state enterprise may invoke
17 17:35:51 force majeure and the other party shall disprove it.
18 17:35:55 However, what constitutes a general law and general
19 17:35:58 considerations is a different question.
20 17:36:01 The answer to this question lies with the purpose of
21 17:36:03 the public act and the interests pursued by the state in
22 17:36:06 its adoption.
23 17:36:08 So essentially, the tribunal needs to establish an
24 17:36:11 abuse of public authority for commercial benefit of the
25 17:36:15 state as a shareholder of a state company, that the

01 17:36:19 state abused its public authority to meet its commercial
02 17:36:22 interests, to find that the state enterprise is barred
03 17:36:27 from invoking the state act as a force majeure event.
04 17:36:30 That is what is needed.
05 17:36:33 The case law on the question of whether the state
06 17:36:36 enterprise is allowed to invoke state act as an event of
07 17:36:41 force majeure is telling. Due to the time constraints
08 17:36:43 I will clearly not stop at each of these cases. The
09 17:36:47 analysis was set out in detail in section C1 of the
10 17:36:51 GPE's rejoinder.
11 17:36:52 I would only like to note that this table summarises
12 17:36:55 the findings of different tribunals on criteria that are
13 17:36:58 usually considered relevant for the matter and that were
14 17:37:05 particularly raised by the claimant.
15 17:37:09 As we can see, the tribunals do not recognise any
16 17:37:12 presumption that an entity where the state has a share
17 17:37:14 is automatically barred from invoking the state's action
18 17:37:18 as force majeure. No.
19 17:37:20 Rather, they would meticulously engage in
20 17:37:23 a case-by-case analysis to ascertain whether they can
21 17:37:27 depart from the presumption of separate legal
22 17:37:30 personality and declare that the state's act constitute
23 17:37:33 an abuse and, as such, cannot excuse the state's
24 17:37:37 enterprise failure to perform.
25 17:37:40 The case law indicates that neither the level of

01 17:37:45 state's stake or other indication of state's control

02 17:37:49 over the enterprise, nor the state involvement in the

03 17:37:53 conclusion and performance of a particular contract, nor

04 17:37:56 the scope of application of the state act, whether it

05 17:38:00 applied to other entities, but for the responding party

06 17:38:03 in that dispute, were decisive. None of these three

07 17:38:07 were decisive for the question of whether a state

08 17:38:09 enterprise may rely on force majeure or not.

09 17:38:12 The decisive factor was the purpose of the public

10 17:38:15 act, whether the purpose was to meet general public

11 17:38:19 policy considerations.

12 17:38:23 So if the purpose is to meet general public policy

13 17:38:26 considerations, and the measure was not found to

14 17:38:29 constitute an abuse, then the state entity was always

15 17:38:35 allowed to invoke force majeure.

16 17:38:38 The decree 172 was exactly such a measure that

17 17:38:42 pursued a general public policy goal. Why the

18 17:38:45 decree 172 was applicable only to contracts for export

19 17:38:48 of natural gas? It was adopted in a range of other

20 17:38:52 presidential decrees issued in 2022 to tackle or

21 17:38:56 mitigate the risks of foreign trade transactions.

22 17:38:58 It follows directly from the preamble of the decree,

23 17:39:01 which refers to four other decrees adopted earlier that

24 17:39:05 year with the same goal. So this decree is part of

25 17:39:09 a package of measures developed by the Russian

01 17:39:12 Government and it is not a standalone document developed
02 17:39:17 somehow to the benefit of GPE.
03 17:39:21 Meanwhile, absolutely no benefit was gained by the
04 17:39:24 Russian Federation as a shareholder of GPE as well. No
05 17:39:28 commercial interests of the Russian Federation as
06 17:39:30 a shareholder of Gazprom PJSC got protected through this
07 17:39:35 decree.
08 17:39:36 Contrary to the claimant's misconception, it cannot
09 17:39:39 be presumed that the Russian State always acts in the
10 17:39:42 interests of Gazprom mother company or any other company
11 17:39:45 where it holds a share.
12 17:39:47 State measures adopted for public policy reasons,
13 17:39:49 the public interest, are really precluded by the risk of
14 17:39:54 pecuniary losses on the part of the state-owned
15 17:39:57 enterprise and the state as a shareholder. It's
16 17:40:00 a private interest.
17 17:40:01 That was exactly the case with the decree 172 as
18 17:40:04 well as many other instances where the Russian
19 17:40:06 Federation acted in the public interest and contrary to
20 17:40:10 the interest of the state-owned company and itself as
21 17:40:13 a shareholder, if we were to think of it maximising
22 17:40:18 profit as a shareholder of Gazprom Export. Well,
23 17:40:22 remotely.
24 17:40:23 GPE, PJSC Gazprom and its shareholders, including
25 17:40:28 the Russian Federation, did not really benefit from the

01 17:40:31 adoption of the decree.

02 17:40:32 Why so? GPE now has to -- well, to begin with, it

03 17:40:35 is not released from an obligation to supply gas. The

04 17:40:41 contractual price and the conditions of payment, other

05 17:40:44 than the payment mechanism, do not change to the benefit

06 17:40:47 of GPE. GPE did not obtain any contractual rights, but

07 17:40:51 only new obligations.

08 17:40:53 Even the alteration of the payment mechanism under

09 17:40:55 the modification cannot be said to benefit GPE, as this

10 17:40:59 mechanism did not increase the price, did not hasten the

11 17:41:01 moment of the payment. On the opposite, it took effort,

12 17:41:06 cost, for GPE to comply with the decree, and actually it

13 17:41:11 had to deal now with a lot of contracts with foreign

14 17:41:14 buyers and some of them, unlike PPD, refused to continue

15 17:41:18 the contracts on the new conditions and they did it

16 17:41:22 straightaway and opted for termination. That's how

17 17:41:25 diligent counterparties act.

18 17:41:28 So it contributed ultimately to the historical net

19 17:41:32 loss of Gazprom group, actually at an amount of

20 17:41:37 USD 7 billion in 2023.

21 17:41:40 So it is also worth reminding that in this

22 17:41:45 particular dispute, it is GPE who ended up with an

23 17:41:49 undisputed loss of over 350 million, which PPD plainly

24 17:41:54 refuses to pay for two months of gas supplies.

25 17:41:57 In this vein, claimant's points on the complete

01 17:42:01 unity of interest between Gazprom and the Russian
02 17:42:04 Federation is remarkably ignorant. The claimant's
03 17:42:08 suggestion that the interests of the Russian State was
04 17:42:11 in protecting Gazprom revenues from sanctions is
05 17:42:16 nonsensical, as decree 172 has in fact done the
06 17:42:20 **opposite:** negatively affected those revenues.
07 17:42:28 Now, the claimant also raises a new argument in its
08 17:42:33 recent submission suggesting that GPE actually was not
09 17:42:38 able to perform because it was supposed to explore the
10 17:42:43 alternatives, which we can see on the slide.
11 17:42:46 So the claimant suggests that GPE European
12 17:42:48 subsidiaries should have been used to procure gas at
13 17:42:52 European hubs and supply it to PPD for euros, or GPE
14 17:42:57 European subsidiaries should have supplied GPE gas to
15 17:42:59 PPD for euros and paid to GPE via payment mechanism.
16 17:43:03 Well, none of this, however, from a legal standpoint, is
17 17:43:08 any alternative form of performance.
18 17:43:11 First, it is well established in CISG that the
19 17:43:15 seller's obligation consists either in despatch of the
20 17:43:18 goods to the buyer, or in placing the good at the
21 17:43:21 buyer's disposal, making it available. Arranging and
22 17:43:26 ensuring that these actions are carried out in favour of
23 17:43:28 the buyer by a third party, who is not a party to the
24 17:43:32 contract, cannot be considered to constitute performance
25 17:43:35 of the seller's obligation. It's not performance.

01 17:43:40 Yes, the assignment of right or obligations is
02 17:43:42 possible and it was in principle permitted under the
03 17:43:46 contract. That is not disputed.
04 17:43:48 However, that by no means would have qualified as
05 17:43:51 performance of the seller obligations, in the sense of
06 17:43:55 article 30 of CISG governs the seller's obligations, and
07 17:43:59 article 79, force majeure.
08 17:44:02 In this regard, Prof Perner's opinion that contract
09 17:44:05 transfer was a commercially reasonable substitute, well,
10 17:44:07 potentially commercially, yes, but then the respondent
11 17:44:14 was not obliged to seek and propose to claimant, because
12 17:44:18 this reasonable commercial substitute has no support in
13 17:44:22 the applicable legal framework. It is untenable.
14 17:44:26 It is no surprise that none of the authorities
15 17:44:28 brought up by Prof Perner actually suggested transfer of
16 17:44:32 contract as a substitute.
17 17:44:34 Second, this suggestion, to transfer the contract to
18 17:44:38 the EU subsidiary, contradicts claimant's own arguments
19 17:44:42 on EU sanctions. That is the most cherished baby in
20 17:44:47 this case theory.
21 17:44:48 If claimant was right in its allegation that the
22 17:44:51 payment mechanism contravened EU sanctions, an
23 17:44:55 assignment of contract by GPE to a 100 per cent
24 17:44:58 controlled subsidiary only to avoid application of this
25 17:45:01 mechanism would, under the claimant's own interpretation

01 17:45:05 of sanctions, qualify as circumvention of EU sanctions

02 17:45:12 falling within that definition.

03 17:45:14 Third, this would be in any event a temporary

04 17:45:18 solution, as to the best of our knowledge GPE has pretty

05 17:45:21 soon lost control over its European subsidiaries, as

06 17:45:25 claimant itself notes in the rejoinder.

07 17:45:29 Finally, claimant's objection dwells on the lack of

08 17:45:34 force majeure notification. As argued by the respondent

09 17:45:38 from the outset, the CISG approach to notification is

10 17:45:42 that of substance and not the form.

11 17:45:45 Hence, if the notification met the purposes and was

12 17:45:49 sufficiently clear to inform the party of the

13 17:45:51 impediment, the affected party has discharged the duty.

14 17:45:57 What has to be done is that notification needs the

15 17:46:01 purposes and is sufficiently clear to inform the party

16 17:46:04 of the impediment.

17 17:46:06 This was done initially on 1 April 2022 when

18 17:46:10 respondent flagged the impediment to claimant.

19 17:46:13 However, at that point the impediment did not

20 17:46:15 produce effect on the respondent's ability to perform,

21 17:46:18 because claimant agreed to renegotiate, to adapt the

22 17:46:25 contract to overcome the obstacle and prevent the

23 17:46:27 prohibition of supplies.

24 17:46:29 Then on 3 November 2022 the claimant refused to

25 17:46:34 continue with this adjustment and now failed to pay for

01 17:46:37 the September 2022 supplies.

02 17:46:41 This triggered the prohibition under paragraph 1 of

03 17:46:44 the decree 172. GPE receives an order from the central

04 17:46:48 customs authorities confirming that GPE was simply

05 17:46:52 obliged to stop the supplies from 1 November 2022

06 17:46:56 onwards, of which GPE notifies PPD immediately.

07 17:47:02 This constitutes a genuine notice of force majeure

08 17:47:04 in a sense that it was made already after the force

09 17:47:07 majeure produced effect on the particular performance of

10 17:47:11 the respondent under the contract, although it is

11 17:47:14 important that respondent has been diligently and in

12 17:47:17 good faith flagging the possibility and conditions of

13 17:47:20 such event, the prohibitions of supplies, in its letter

14 17:47:24 of 1 April, in its letter of 5 May, in its letter of

15 17:47:29 31 October when it reminded the claimant about the

16 17:47:32 payment due date. No measures were adopted by the

17 17:47:36 claimant to address this obstacle.

18 17:47:40 That concludes my part of the submission and I will

19 17:47:42 hand over to my colleague Natalia Soldatenkova, thank

20 17:47:48 you.

21 17:47:49 Opening submissions by Ms Soldatenkova

22 17:48:03 **MS SOLDATENKOVA:** How much time do we have left so that

23 17:48:05 I can properly time myself? I think it should be around

24 17:48:13 one hour, but I'm not sure about the minutes precisely.

25 17:48:22 **PRESIDENT:** 58 minutes.

01 17:48:24 **MS SOLDATENKOVA:** Perfect.

02 17:48:25 **PRESIDENT:** Roughly 58 minutes. It could be round up or

03 17:48:29 down by 1 minute.

04 17:48:30 **MS SOLDATENKOVA:** I will try to be as brief as possible,

05 17:48:31 and maybe some of the subjects --

06 17:48:33 **PRESIDENT:** Take your time, you have the time.

07 17:48:34 **MS SOLDATENKOVA:** On some of the subjects, you will have

08 17:48:35 to hear more from the experts and maybe in the closings

09 17:48:38 submissions, as far as they concern the legal expertise.

10 17:48:41 Now, moving to the next slide, the tribunal has

11 17:48:44 already been addressed on the timeline and when the

12 17:48:47 supplemental claim was submitted.

13 17:48:49 Next slide.

14 17:48:52 My screen works a little bit slower. Sorry for

15 17:48:55 this.

16 17:48:56 Now, the tribunal has already been updated on the

17 17:48:58 matter and the supplemental claim was in fact never part

18 17:49:01 of the original request for arbitration. And even in

19 17:49:04 the public communications, after the parties' dispute

20 17:49:07 broke out, the claimant's beneficiary and the president

21 17:49:13 of the management board never mentioned that there is in

22 17:49:16 fact any grievance in relation to GPE in relation to the

23 17:49:20 events in 2021 and 2022.

24 17:49:23 This is it for the historical aspect of that claim.

25 17:49:25 The claim, as the tribunal will see on the next

01 17:49:27 slide, also changed very substantially.

02 17:49:30 So if initially in the present case claimant

03 17:49:35 submitted three separate grounds of claims, including

04 17:49:37 lockout from auction pricing and abusive discrimination

05 17:49:40 and leveraging through subsidiaries, well, in the

06 17:49:44 statement of claim, on 4 April 2024, all of these claims

07 17:49:48 were dropped, and the only claim which is remaining in

08 17:49:51 these proceedings relates to this alleged unlawful

09 17:49:55 capacity withholding.

10 17:49:56 Now, enough for history, and we will move, if we can

11 17:50:00 go back to the previous slide, and I will briefly

12 17:50:03 address the tribunal with the structure of the

13 17:50:05 respondent's objections in relation to the supplemental

14 17:50:09 claim.

15 17:50:09 So the respondent's first objection is the tribunal

16 17:50:14 has no jurisdiction over the supplemental claim in

17 17:50:17 general.

18 17:50:18 Second, the REMIT claim, which forms part of the

19 17:50:21 supplemental claim, is not arbitrable.

20 17:50:24 Third, even if the tribunal finds that it has

21 17:50:27 jurisdiction over the supplemental claim, in any event

22 17:50:30 the claimant failed to prove this claim in substance

23 17:50:34 under the applicable law. And this goes both to the

24 17:50:37 third and the fourth ground that the tribunal can see on

25 17:50:40 the screen.

01 17:50:41 So the claim fails both as a matter of applicable
02 17:50:44 competition law and REMIT, and as a matter of applicable
03 17:50:48 private law on which claimant bases its claim for
04 17:50:51 damages.
05 17:50:52 Finally, I will very briefly address what claimant
06 17:50:55 calls market manipulation damages, and show that they
07 17:51:00 also significantly overstate it.
08 17:51:02 Moving to the jurisdictional objection, and we have
09 17:51:04 to skip one slide one more time, the tribunal is well
10 17:51:12 familiar by now with the arbitration clause in clause 14
11 17:51:15 of the contract, and this arbitration clause contains
12 17:51:17 some very specific wording, which specifically says that
13 17:51:17 the arbitral award has to be enforceable under the New
14 17:51:25 York Convention.
15 17:51:27 The arbitration clause also points to a seat in
16 17:51:31 Austria.
17 17:51:32 What is peculiar here is that both Austrian law and
18 17:51:35 the New York Convention in article 2.1 contain
19 17:51:40 a reference to a defined legal relationship to which the
20 17:51:43 arbitration agreement must be linked.
21 17:51:45 The commentary to the New York Convention emphasises
22 17:51:48 that the reason why there is a reference to the defined
23 17:51:51 legal relationship in the convention is exactly to
24 17:51:55 protect the parties from unnecessarily expanding the
25 17:51:59 scope of potential disputes which can go to arbitration

01 17:52:02 instead of state courts.

02 17:52:04 Now, moving to the next slide, let us briefly have

03 17:52:08 a look at how the claimant frames its claim. In the

04 17:52:12 present case the arbitration clause is part of the

05 17:52:15 contract, it's not a separate agreement. It's contained

06 17:52:19 in article 14 of the contract. It also contains wording

07 17:52:22 referring to the contract, although respondent admits

08 17:52:25 that this wording is very broad.

09 17:52:28 Let's look at the claimant's claim.

10 17:52:30 Claimant does not plead that respondent committed

11 17:52:34 any market manipulation, any competition law or REMIT

12 17:52:38 violation with -- and at the same time violated

13 17:52:40 a contractual provision. This is not a claim the

14 17:52:44 claimant is making before this tribunal.

15 17:52:47 Claimant argues that the contractual link between

16 17:52:50 the supplemental claim and the contract is in fact the

17 17:52:54 contract price, which increased because, as per

18 17:52:58 claimant, respondent's actions were the reason behind

19 17:53:01 the rise of the TTF index. And the contract price was

20 17:53:05 linked to that TTF index.

21 17:53:08 Now, that could have been the case if the

22 17:53:10 supplemental claim by claimant remained in its original

23 17:53:14 form as when it was filed on 28 August 2023.

24 17:53:20 At this time, when the claimant first announced its

25 17:53:23 competition law and REMIT claims, it indeed asked to be

01 17:53:26 compensated for the excessive payments, because the
02 17:53:30 contract price rose because of the TTF index price.
03 17:53:34 Now, in the present documents, so how the
04 17:53:39 supplemental claim developed for instance in the
05 17:53:41 statement of -- in the claimant's latest submission,
06 17:53:44 which is the statement of reply, the tribunal can see
07 17:53:48 the wording in the slides. So this is the only type of
08 17:53:51 relief that the claimant is asking for with respect to
09 17:53:55 the supplemental claim.
10 17:53:57 Claimant does not seek any excessive contractual
11 17:54:00 payments. Claimant seeks to recover damages which
12 17:54:04 relate to its relations with third parties, who stopped
13 17:54:09 purchasing gas from claimant, who failed to pay for
14 17:54:12 supplies, who refused to patch PPD's transactions.
15 17:54:17 In theory, such claims could be brought against GPE,
16 17:54:19 although not arbitration but to a national court, even
17 17:54:23 in the absence of the contract and even in the absence
18 17:54:28 of the arbitration agreement.
19 17:54:30 If we can move to the next slide.
20 17:54:32 The tribunal will see one of the precedents on which
21 17:54:35 claimant relies quite heavily, which is a decision by
22 17:54:37 the Austrian Supreme Court in 2020.
23 17:54:42 Now in that case, the national court indeed found
24 17:54:47 that the arbitration agreement covered the competition
25 17:54:50 law claim. But there was one important difference,

01 17:54:53 because the competition law violation in that case,
02 17:54:55 actually as per the claimant's position in that case,
03 17:55:00 affected the validity of the contract.
04 17:55:04 In the present case it arguably applies to one of
05 17:55:07 the claimant's objections against the validity of the
06 17:55:10 modification, which is abuse of dominance, and
07 17:55:14 respondent does not challenge jurisdiction with respect
08 17:55:16 to that objection to the modification.
09 17:55:20 Respondent challenges jurisdiction only with respect
10 17:55:22 to the supplemental claim and also the claims under
11 17:55:24 article 102 of the Treaty on the Functioning of the
12 17:55:28 European Union and REMIT in relation to the events of
13 17:55:33 2021 and 2022.
14 17:55:36 We will focus more on them throughout the
15 17:55:38 presentation.
16 17:55:40 To explain why there is no in fact requirement of
17 17:55:43 the defined legal relationship, claimant's expert
18 17:55:47 Dr Koller referred to the European Convention, although
19 17:55:50 the tribunal considers respondent's pleadings in that
20 17:55:53 respect and this is addressed quite in detail on them.
21 17:55:56 European Convention in fact rather reinforces
22 17:55:59 respondent's position, because European Convention, as
23 17:56:04 the drafting documents do clearly demonstrate, actually
24 17:56:07 presupposes that it applies to disputes which are
25 17:56:10 considered to be commercial in nature.

01 17:56:15 This commerciality of disputes is determined in
02 17:56:17 accordance with the law of the parties to the dispute or
03 17:56:20 the parties to the arbitration agreement.
04 17:56:23 In the present case I cannot for sure speak for
05 17:56:26 Croatian law, although I understand that the Croatian
06 17:56:28 law situates competition law disputes as non-arbitrable,
07 17:56:31 but under Russian law those disputes are not considered
08 17:56:35 to be commercial, they are completely public in nature.
09 17:56:37 And for that reason, even if we consider the European
10 17:56:41 Convention as the other side suggested, that would
11 17:56:44 rather support the respondent's position that the
12 17:56:46 supplemental claim in fact falls outside the tribunal's
13 17:56:50 jurisdiction.
14 17:56:51 Now I will briefly address, if we move to the next
15 17:56:53 slide, claimant's proposition that here the parties had
16 17:56:58 an intention not to split disputes.
17 17:57:01 In fact, there is neither general agreement to
18 17:57:04 arbitrate in the present case, nor a one-stop forum, or
19 17:57:09 any other presumption that there is no split
20 17:57:11 jurisdiction between different categories of disputes.
21 17:57:14 This is because in the present case, the arbitration
22 17:57:17 clause is contained in a contract, whereas Austrian law
23 17:57:22 clearly identifies two options how to conclude an
24 17:57:24 **arbitration agreement**: either by concluding it as
25 17:57:28 a separate document, or by including a clause in

01 17:57:30 a contract. And if the parties want a universal
02 17:57:34 arbitral agreement, what claimant calls a general
03 17:57:37 agreement, it seems like having a separate document
04 17:57:40 could be an illogical solution.
05 17:57:42 This is especially so in the present case, because
06 17:57:44 I don't want my argument to appear formalistic, because
07 17:57:47 the parties also entered into the gas transportation
08 17:57:51 agreement, which was concluded just I think a couple of
09 17:57:54 weeks after the contract, and the gas transportation
10 17:57:58 agreement includes a completely different arbitration
11 17:58:02 clause, which the tribunal can see on the screen. In
12 17:58:05 particular it provides for a Swiss-seated arbitration.
13 17:58:09 What is very important, and the claimant emphasised
14 17:58:12 it itself, both arbitration clauses are not
15 17:58:15 standard-template arbitration clauses. They were
16 17:58:18 drafted by the parties. So the parties clearly did not
17 17:58:21 have an intention, which claimant now suggests, to have
18 17:58:25 one-stop forum for all source of disputes.
19 17:58:33 This swiftly brings me to the next objection in
20 17:58:36 relation to jurisdiction, which concerns in particular
21 17:58:39 REMIT.
22 17:58:40 I will start by addressing the difference between
23 17:58:43 REMIT and article 102 of the TFEU, because in fact in
24 17:58:47 the claimant's submission it was largely conflated and
25 17:58:50 claimant usually does not distinguish between the two,

01 17:58:52 although these are two very separate and very distinct
02 17:58:57 instruments.
03 17:58:58 So first of all, article 102, together with
04 17:59:02 article 101, is actually the pillar of European
05 17:59:07 competition law. They represent European competition
06 17:59:08 law.
07 17:59:10 By contrast, REMIT regulation is based on a
08 17:59:13 different provision of the TFEU, namely article 194,
09 17:59:18 which is part of TFEU's energy chapter.
10 17:59:23 So REMIT in essence is concerned with the provision
11 17:59:26 of harmonised rules for wholesale energy market
12 17:59:29 transparency and integrity. It is not concerned with
13 17:59:33 setting out the competition law rules.
14 17:59:36 Now, we also have quite distinct regimes in terms of
15 17:59:41 violations and how they established.
16 17:59:43 Article 102 is concerned with abuse of dominance on
17 17:59:47 a relevant product and geographic market.
18 17:59:50 Article 1(2) of the REMIT expressly indicates that
19 17:59:54 its provisions are without prejudice to the application
20 17:59:57 of European competition law, so a breach of REMIT may be
21 18:00:01 completely legitimate under article 102 and vice versa.
22 18:00:05 And the core distinction in relation to the
23 18:00:08 jurisdictional objection by the respondent is in fact
24 18:00:11 the approach to arbitrability of those two instruments.
25 18:00:14 Whereas it is expressly recognised that national

01 18:00:18 courts are entrusted to apply competition law rules as
02 18:00:22 courts of first instance, REMIT has a distinct regime
03 18:00:26 where the function of the court of first instance is
04 18:00:30 entrusted to nationally regulate through authorities.
05 18:00:33 The tribunal can see the relevant provisions on the
06 18:00:35 slides and in fact it is expressly stated in
07 18:00:39 article 13.1 that the national regulatory authorities
08 18:00:43 are the bodies which shall ensure that the prohibitions
09 18:00:46 set out in the REMIT are applied.
10 18:00:53 For national regulatory authorities to be able to
11 18:00:55 exercise its function, national states take an
12 18:00:59 obligation to provide them with investigatory and
13 18:01:02 enforcement powers. This is what REMIT expressly says,
14 18:01:06 it's not even a matter of interpretation.
15 18:01:08 Now I envisage from the claimant's written
16 18:01:12 submissions what could be a potential counter-argument
17 18:01:14 to this, that, well, REMIT also mentions national
18 18:01:16 courts, and in particular its recital 31 refers to the
19 18:01:20 standard rules of proof and the necessity to establish
20 18:01:23 facts by national regulatory authorities and courts.
21 18:01:26 A simple response to this is that national courts
22 18:01:30 are not completely excluded from the REMIT framework.
23 18:01:34 They do have a role, but this is a role of assistance
24 18:01:38 and a role of appeal, and this is what is exactly stated
25 18:01:42 in articles 13.2 and 14 of the REMIT. The tribunal can

01 18:01:47 see those provisions in a simplified and shortened form

02 18:01:50 on the screen.

03 18:01:51 There is no other role that national courts are

04 18:01:54 provided with under REMIT.

05 18:01:57 Moving now to the next slide to show briefly the

06 18:02:03 objectives of REMIT also support the reading that it is

07 18:02:08 only a national regulatory authority that is entitled to

08 18:02:12 establish an infringement under REMIT.

09 18:02:15 And to move to the next point, to briefly address

10 18:02:20 the authorities which were relied upon by claimant in

11 18:02:23 the present case.

12 18:02:27 Now, the key in relation to how the claimant framed

13 18:02:30 this case on arbitrability of REMIT is that claimant

14 18:02:33 failed to bring at least one example where REMIT was

15 18:02:36 applied either by a national court or by a tribunal as

16 18:02:40 a court of first instance. And when I say "apply",

17 18:02:43 I mean when infringement was established by a national

18 18:02:47 court or tribunal.

19 18:02:49 This is for a reason.

20 18:02:51 Respondent exhibited a collection of enforcement

21 18:02:54 decisions from the ISA website. There are no such

22 18:02:56 decisions. Simply none. This is because of the wording

23 18:03:00 of the REMIT, because the REMIT provides that

24 18:03:02 infringements are to be established by the national

25 18:03:05 regulatory authorities.

01 18:03:07 Now, claimant and its expert Dr Koller provided
02 18:03:11 a variety of examples, which were supposed to support
03 18:03:16 the proposition that REMIT is arbitrable.
04 18:03:19 Now, the issue with these examples is as follows.
05 18:03:22 All of them, including the cases which claimant
06 18:03:25 screen-shared today, or rather demonstrated today as
07 18:03:27 part of its presentation, concern articles 101 or 102 of
08 18:03:33 the Treaty on the Functioning of the European Union,
09 18:03:33 which is European competition law, and as already
10 18:03:40 explained, which is actually arbitral, which is
11 18:03:42 expressly recognised in the relevant provisions.
12 18:03:46 Those cases do not concern REMIT, which has
13 18:03:48 a separate regime.
14 18:03:50 Equally, reference to Austrian case law and
15 18:03:51 legislation in this respect are irrelevant. With
16 18:03:56 respect to article 1311 of the Austrian Civil Code, this
17 18:04:00 is a special tort clause which provides the rules for
18 18:04:04 compensation for private persons if a violation of
19 18:04:06 a protective law is established.
20 18:04:09 What is key here is that this governs the private
21 18:04:12 law damages after the infringement is established.
22 18:04:16 Article 1311 cannot serve as a basis to allow the
23 18:04:20 tribunal or national court to establish an infringement
24 18:04:24 as a court of first instance, and this is what claimant
25 18:04:27 is inviting this tribunal to do.

01 18:04:30 Now, one last point in this respect is perhaps that
02 18:04:35 even if Austrian law did contain any provisions to the
03 18:04:38 contrary which could be interpreted as potentially
04 18:04:41 allowing to submit REMIT disputes, disputes arising from
05 18:04:46 REMIT, infringements to arbitration, then the principle
06 18:04:49 of primacy of European law, of which REMIT forms part,
07 18:04:54 would override such provisions of national law.
08 18:04:58 Now moving to the next slide, claimant also referred
09 18:05:01 to the Munoz decision of the Court of Justice of the
10 18:05:04 European Union. Now, that case is quite different from
11 18:05:07 the present one for several reasons.
12 18:05:09 First of all, that case concerned different
13 18:05:12 regulations, which contained quality standards
14 18:05:15 applicable to fruit and vegetables. Quite different
15 18:05:18 from wholesale energy markets, you would agree.
16 18:05:22 Now, in that particular regulations, there were no
17 18:05:26 provisions on enforcement, just some very general
18 18:05:29 wording that there can be inspections and checks and
19 18:05:31 that they would be conducted by authorities appointed by
20 18:05:35 each member state. So basically, if you sell rotten
21 18:05:37 tomatoes, you get a fine. That is what those
22 18:05:40 regulations said.
23 18:05:41 Now REMIT, as I already mentioned, has a quite
24 18:05:44 detailed enforcement regime. It contains a variety of
25 18:05:47 provisions which govern cooperation between the national

01 18:05:50 regulatory authorities, the relations between ISA and
02 18:05:52 national regulatory authorities, so it's a completely
03 18:05:56 different situation.
04 18:05:57 Finally, and this is perhaps key in the present
05 18:06:00 case, is that the referral in the Munoz case
06 18:06:04 specifically concerned an ability to claim private law
07 18:06:09 damages.
08 18:06:09 So the infringement itself of those relevant
09 18:06:12 regulations was considered by the defendant. It was not
10 18:06:17 in dispute. The court of justice simply needed to say,
11 18:06:20 well, what do you do if you infringed those regulations
12 18:06:24 concerning food quality, and whether you can bring
13 18:06:28 a private law claim if such infringement is already
14 18:06:31 established. And the present case is very different
15 18:06:33 from this.
16 18:06:34 Respondent does not dispute that once a REMIT
17 18:06:37 violation has been found by a competent national
18 18:06:41 regulatory authority, claimant could in principle pursue
19 18:06:44 civil damages.
20 18:06:47 But this does not mean the tribunal has competence
21 18:06:50 to establish the infringement which could eventually
22 18:06:53 give rise to such damages.
23 18:06:55 This power is reserved to national regulatory
24 18:06:58 authorities.
25 18:07:00 And just for the record, there has been no decision

01 18:07:03 against respondent by any national regulatory authority

02 18:07:06 in relation to the events which is the subject of the

03 18:07:09 supplemental claim.

04 18:07:13 This answered jurisdictional objections and now we

05 18:07:16 shall go to the merits of the supplemental claim.

06 18:07:21 We will start with briefly addressing the burden of

07 18:07:23 proof, which is extremely high in the present case and

08 18:07:28 that will apply both to article 102 and to REMIT.

09 18:07:32 So European Union's charter provides that everyone

10 18:07:36 who has been charged shall be presumed innocent until

11 18:07:39 proved guilty according to law. And the case law of the

12 18:07:42 court of justice as well as the wording of the REMIT

13 18:07:45 support the proposition that this provision is

14 18:07:48 applicable to any allegations of violations of

15 18:07:52 competition law or REMIT.

16 18:07:54 Now in the present case and based on the case law,

17 18:07:56 PPD bears burden to override presumption of innocence,

18 18:08:00 to prove breach and its causal link with GPE's conduct

19 18:08:05 beyond any doubt and to adduce specific and tangible

20 18:08:10 evidence. Respectfully, this has not been done.

21 18:08:13 I will start by addressing a violation under

22 18:08:15 article 102.

23 18:08:18 On the next slide the tribunal will see three layers

24 18:08:21 which have to be passed before use of dominance under

25 18:08:25 article 102 can be established, and the burden of

01 18:08:28 proving those three elements lies on the claimant.

02 18:08:32 So, first, the claimant needs to define the relevant

03 18:08:35 market. Second, it needs to establish respondent's

04 18:08:39 dominance on the relevant market. And finally, it needs

05 18:08:43 to prove abuse, because being dominant itself is not

06 18:08:46 a violation.

07 18:08:49 Importantly, all this has to be done in the relevant

08 18:08:52 period.

09 18:08:54 The relevant time period is actually a very

10 18:08:56 important point because it will eliminate a lot of

11 18:08:59 discussion both between the experts and between the

12 18:09:01 parties.

13 18:09:02 The market definition notice at paragraph 18

14 18:09:06 contains a very clear wording that the competitive --

15 18:09:10 when you assess a breach, what has to be assessed is the

16 18:09:15 position of the market participant of the undertaking at

17 18:09:17 the time of the conduct which is alleged to be a breach.

18 18:09:21 In the present case, as the tribunal can see from

19 18:09:23 the snapshots of the claimant's position on the slide,

20 18:09:26 claimant submits that the breaches occurred in 2021 and

21 18:09:32 2022.

22 18:09:34 The claimant's expert Dr Riechmann did not conduct

23 18:09:37 his own analysis of the relevant time period. As

24 18:09:40 clearly follows from his instructions, he was instructed

25 18:09:44 to consider 2017 as well. That is expressly stated in

01 18:09:49 paragraph 26 from his first report, as the tribunal can
02 18:09:54 see on the screen.

03 18:09:55 Now, as it is alleged that respondent's breaches
04 18:09:59 were committed in 2021 and 2022, this is the only
05 18:10:04 relevant periods for the discussion.

06 18:10:07 Moving to the next slide, the relevant product
07 18:10:10 market in the present case is PNG and LNG.

08 18:10:13 The market definition notice -- and this was already
09 18:10:16 quoted by the claimant today -- clearly provides that
10 18:10:20 the relevant product market comprises all those products
11 18:10:24 that customers regard as interchangeable or
12 18:10:28 substitutable and the particular substitutability
13 18:10:31 conditions include characteristics, such as prices and
14 18:10:34 the intended use.

15 18:10:36 Now Prof Dr Hildebrand concludes that similarities
16 18:10:40 between LNG and PNG certainly far outweigh any
17 18:10:44 differences, because the key difference is a long
18 18:10:47 distance transportation mode.

19 18:10:49 Of course PNG is transported as a gaseous substance,
20 18:10:51 whereas LNG is transported as a liquid.

21 18:10:56 All other points are in fact in common. So short
22 18:10:59 distance transportation would also be a pipeline. The
23 18:11:03 product is the same gas molecules. And the purpose of
24 18:11:06 consumption is also the same.

25 18:11:08 In fact, claimant's own experience points to the

01 18:11:11 similarity between PNG and LNG. Because claimant just

02 18:11:15 as many other European gas buyers, purchases both LNG

03 18:11:19 and PNG, substitutes PNG with LNG, and even swaps PNG

04 18:11:25 with LNG.

05 18:11:27 Moving to the next slide, the tribunal can see

06 18:11:32 a letter which I think was not mentioned in the

07 18:11:34 claimant's pleadings today, albeit it is very important

08 18:11:36 with respect to both the parties' market positions and

09 18:11:41 claimant's contemporaneous position on the relevant

10 18:11:43 product market.

11 18:11:45 This is a price revision request that claimant sent

12 18:11:48 respondent on 12 December 2020.

13 18:11:52 In this price revision request, claimant

14 18:11:55 specifically relied on the rise of LNG input in Europe,

15 18:11:58 as well as the opening of the Krk terminal in the

16 18:12:00 beginning of 2021.

17 18:12:04 From the claimant's explanation, it clearly follows

18 18:12:07 that already in the end of 2020, that is before the

19 18:12:12 opening of the Krk terminal, claimant already considered

20 18:12:15 that LNG was putting a competitive pressure on PNG

21 18:12:19 price wise.

22 18:12:21 Ultimately, that price revision was granted as the

23 18:12:23 tribunal will see a little bit further in the pleadings.

24 18:12:28 If we move to the next slide, we can see an

25 18:12:34 interview or a snapshot from the interview with

01 18:12:37 claimant's beneficiary, Mr Pavao Vujnovac, where he also
02 18:12:40 commented on PPD's position vis-a-vis LNG.
03 18:12:44 And specifically he noted that the (unclear ...) for
04 18:12:47 PPD has increased. That PPDPNG buys gas from diverse
05 18:12:52 sources, including European stock exchange, and through
06 18:13:00 terminal at Krk. And that in fact he also emphasises
07 18:13:03 that they do have a stable supply. But the tribunal
08 18:13:06 will see some snapshots from this article further.
09 18:13:09 So claimant itself relies on this (unclear ...)
10 18:13:11 between LNG and PNG throughout these pleadings.
11 18:13:16 Claimant's witnesses concede replacing PNG with LNG.
12 18:13:19 And as claimant noted today and if this is also
13 18:13:23 confirmed by the calculations, at least one-third of
14 18:13:26 those replacement transactions was concluded
15 18:13:29 specifically at LNG terminal.
16 18:13:31 The next slide briefly addresses the position of the
17 18:13:34 Dr Riechmann in this respect, where he leaves this
18 18:13:37 question open, but at the same time concedes that since
19 18:13:41 January 2021, LNG may have been part of the relevant
20 18:13:45 product market.
21 18:13:46 There is also a snapshot from the relevant report in
22 18:13:49 relation to LNG specifically which was co-authored by
23 18:13:53 Dr Riechmann in 2020.
24 18:13:55 And this report cites some relevant case law in this
25 18:13:58 respect, which specifically says that following the

01 18:14:01 opening of infrastructure for LNG, LNG would constitute
02 18:14:06 a direct competitive constraint to gas imported by
03 18:14:10 pipeline.
04 18:14:11 It is not disputed fortunately between the parties
05 18:14:13 that Krk terminal did open in January 2021. And
06 18:14:17 following this period, LNG and PNG are clearly two
07 18:14:22 sources equally available in Croatia and that possibly
08 18:14:26 ends the discussion on this matter.
09 18:14:28 Now we will move to the relevant geographic market.
10 18:14:35 With respect to the relevant geographic market,
11 18:14:38 claimant has already cited to the relevant criterion,
12 18:14:40 which is whether the conditions of competition are
13 18:14:44 sufficiently homogeneous.
14 18:14:46 In the present case, I would just point to several
15 18:14:51 sources the tribunal could have in mind in this respect,
16 18:14:53 and which were treated as relevant by Prof Dr Hildebrand
17 18:14:57 in her reports in which respondent relies.
18 18:15:00 So first of all, the practice of the commission in
19 18:15:03 relation to gas markets so far includes no conclusive
20 18:15:08 findings where a relevant geographic market would be
21 18:15:11 found larger than a national one.
22 18:15:14 So claimant already referred to the Gazprom decision
23 18:15:17 2018, where Hungary was treated as a national market.
24 18:15:21 Although different positions with respect to larger
25 18:15:23 markets were considered in the practice of the

01 18:15:25 commission, there is no conclusive finding -- and

02 18:15:28 I emphasise conclusive finding -- that there is a market

03 18:15:31 that is larger than national.

04 18:15:33 Now Prof Dr Hildebrand also observes that conditions

05 18:15:37 of competition in Croatia and Hungary are not

06 18:15:39 homogeneous.

07 18:15:40 And to conclude this, to make this conclusion, she

08 18:15:43 conducts two types of comparisons between the prices in

09 18:15:47 Hungary and in Croatia.

10 18:15:49 And there are also other factors, including factual

11 18:15:51 absence of bi-directional flows, different market

12 18:15:54 positions of largest wholesalers and non-economic

13 18:15:57 barriers.

14 18:15:59 On the next slide which I will skip because it

15 18:16:01 contains a lot of numbers, given how much time I have.

16 18:16:06 **PRESIDENT:** You have until -- I forgot to add the seven

17 18:16:10 minutes extra you had. You have until 5 past 7.00, so

18 18:16:14 you have another 40 -- don't make me count.

19 18:16:19 **MS SOLDATENKOVA:** Maybe I should break before I start

20 18:16:22 addressing damages, so that I can take note of how much

21 18:16:25 time I have left for that.

22 18:16:27 We will skip the next slide in relation to the price

23 18:16:29 comparison, so the tribunal can see here the, so to say,

24 18:16:31 political argument.

25 18:16:33 So what is probably relevant to consider as well is

01 18:16:35 how the two nations -- Hungary and Croatia -- perceive
02 18:16:39 each other, whether they do consider each other to be
03 18:16:41 a common market or not.
04 18:16:43 In fact, this is not an imaginary criterion. The
05 18:16:47 market definition notice specifically says the
06 18:16:49 differences in culture, language, lifestyle,
07 18:16:51 demographics or socioeconomic background can lead to
08 18:16:56 preferences.
09 18:16:58 Here as the tribunal can see, quotes which are quite
10 18:17:00 recent, both of 2024, from the Hungarian Ministry of
11 18:17:05 Foreign Affairs and from the Minister of Economy of
12 18:17:08 Croatia. And both seem to consider the relations in the
13 18:17:12 energy sector to be quite weak -- the weakest link.
14 18:17:16 I would quote directly the Hungarian position, in
15 18:17:20 relation to how those two countries trade between
16 18:17:26 each other.
17 18:17:28 So moving to the next slide, which summarises the
18 18:17:30 disagreements between the experts and summarises why the
19 18:17:34 respondent's expert Prof Dr Hildebrand and the
20 18:17:36 respondent disagree with the position of Dr Riechmann,
21 18:17:39 with respect to the geographic market.
22 18:17:45 The factors which are considered as key by
23 18:17:46 Dr Riechmann are presented on this slide. The first one
24 18:17:50 concerns the physical pipeline capacity between two
25 18:17:53 countries which allows to exploit arbitrage

01 18:17:55 opportunities.

02 18:17:57 Now Prof Dr Hildebrand concludes that while that

03 18:18:01 could be technically possible, in fact those

04 18:18:03 opportunities are not exploited, because there are no

05 18:18:06 bi-directional flows between the countries.

06 18:18:10 The second point on which Dr Riechmann relies is

07 18:18:13 that the storage in Hungary is used to meet demand in

08 18:18:15 Croatia.

09 18:18:17 Now storage is a distinct market, and the experts

10 18:18:21 agree that the relevant market is wholesale supply.

11 18:18:26 Finally, the experts treat swaps quite differently.

12 18:18:29 And respectfully we submit that the correct position in

13 18:18:32 the present case, that in fact swaps prove that there

14 18:18:35 are substantial transport costs and restrictions between

15 18:18:39 two countries.

16 18:18:41 Second, that those documents are non-transparent,

17 18:18:44 confidential and arbitrary, in the sense that the

18 18:18:48 existence of the swap depends on the budget's ability to

19 18:18:51 actually find a swap opportunity.

20 18:18:54 And finally, that if swaps could in principle be

21 18:18:57 used to enlarge geographic markets, then say that could

22 18:19:03 lead to a conclusion that Croatia and South Africa or

23 18:19:06 any other distant country is the same market, if the

24 18:19:09 parties do find an arbitrage opportunity, they need to

25 18:19:12 exchange gas.

01 18:19:13 You can even create what I would call a fictitious
02 18:19:17 device quoting from the REMIT in this respect,
03 18:19:18 specifically to create an impression of an enlarged
04 18:19:22 market.
05 18:19:23 On the next slide, the tribunal can see charts
06 18:19:25 considered by Prof Dr Hildebrand. And I will skip this.
07 18:19:31 And the next slide swiftly brings us to the section
08 18:19:34 concerning whether the undertaking is dominant or not.
09 18:19:40 The first step in the assessment of dominance is in
10 18:19:43 fact always the market share. Only after the market
11 18:19:46 share is considered is it relevant to view other
12 18:19:49 factors.
13 18:19:51 There is a clear distinction between different
14 18:19:53 market shares which point us to different conclusions
15 18:19:56 with respect to this first step.
16 18:19:58 So when the share is more than 50 per cent, this is
17 18:20:02 clearly evidence of dominance.
18 18:20:04 When the share is between 40 and 50 per cent, this
19 18:20:07 is the so-called risk zone to consider possible
20 18:20:10 dominance. And if the share is less than 40 per cent,
21 18:20:14 then dominance is unlikely.
22 18:20:17 Now to overcome this arithmetic approach, I would
23 18:20:21 say, because claimant may be dissatisfied with the
24 18:20:25 conclusions of Prof Dr Hildebrand in this respect,
25 18:20:29 claimant and its expert also came up with this so-called

01 18:20:34 pivotality analysis.

02 18:20:35 And this analysis is taken from the Hoffmann-La

03 18:20:38 Roche decision of the commission.

04 18:20:42 Conveniently, in the reference to this decision

05 18:20:46 which we saw on the slides presented by claimant today,

06 18:20:48 the first part of the citation was missing.

07 18:20:53 This very first part specifically refers to an

08 18:20:56 undertaking which has a very large market share.

09 18:21:00 So this case in fact does not say -- the Hoffmann-La

10 18:21:03 Roche precedent does not say that you can be an

11 18:21:06 unavoidable trading partner or a pivotal supplier in the

12 18:21:11 absence of the large market share.

13 18:21:13 In that particular case, this conclusion about

14 18:21:16 unavoidability was specifically reached because the

15 18:21:19 undertaking in question had very large market shares.

16 18:21:24 Moving to the next slide, the tribunal can see the

17 18:21:27 conclusions of Prof Dr Hildebrand with respect to the

18 18:21:32 market shares of respondent.

19 18:21:39 There are three distinct approaches which were

20 18:21:41 applied. But for the sake of time, I will reserve this

21 18:21:45 for Prof Dr Hildebrand's presentation this Friday.

22 18:21:50 Next we would -- if we move to the methodological

23 18:21:55 differences, I would say, between the experts, then the

24 18:21:58 three key differences are the so-called back tracing

25 18:22:01 approach, treatment of indirect sales and the treatment

01 18:22:05 of swapped volumes.

02 18:22:06 All of them are kind of related.

03 18:22:10 In relation to back tracing approach, what

04 18:22:13 Dr Riechmann does he calculates the share of Russian gas

05 18:22:17 on the relevant market -- either in Croatia or in

06 18:22:21 Croatia plus Hungary.

07 18:22:22 The rationale of this approach, as explained by

08 18:22:25 Dr Riechmann, is that respondent is a monopolist

09 18:22:29 exporter of Russian gas to Europe.

10 18:22:32 Nevertheless, this approach is still problematic for

11 18:22:35 two reasons. First of all, the opposing side does not

12 18:22:38 provide any examples where that approach would be used

13 18:22:41 in the commission's practice.

14 18:22:43 And second, that approach incorrectly captures all

15 18:22:47 indirect sales of Russian gas in the relevant markets.

16 18:22:51 So even if say those volumes are resold 100 times,

17 18:22:55 those would still be captured as Russian gas, although

18 18:22:58 respondent would clearly have no control with respect to

19 18:23:02 those volumes and therefore the destiny.

20 18:23:05 The same goes to indirect sales. The cumulative

21 18:23:08 test proposed by Dr Hildebrand is not satisfied with

22 18:23:11 respect to all those transactions that would be

23 18:23:14 incorrectly captured by this approach.

24 18:23:17 And finally, the swapped volumes. Now the swapped

25 18:23:22 volumes are treated by experts distinctly differently.

01 18:23:26 While Prof Dr Hildebrand attributes them to the
02 18:23:29 Hungarian market because they physically stayed in
03 18:23:32 Hungary, Dr Riechmann attributes them to the Croatian
04 18:23:36 market in a scenario where he considers Croatian market
05 18:23:39 only, which is the position of the respondent.
06 18:23:41 Now respondent respectfully disagrees with this
07 18:23:43 approach for several reasons.
08 18:23:45 So first of all, respondent is not a party to the
09 18:23:48 swap agreements.
10 18:23:49 Second, in a practical sense, if you consider the
11 18:23:53 physical flows, the gas supplied by GPE into Hungary
12 18:23:56 never entered Croatia, so Croatian market was not
13 18:23:59 supplied with that gas.
14 18:24:00 And finally, the swap was actually contrary to the
15 18:24:04 gas transportation agreement. So claimant and its
16 18:24:07 experts attempt to rely on the gas transportation
17 18:24:11 agreement to explain the swaps were in fact necessary to
18 18:24:14 fulfil the obligations under those agreement is void.
19 18:24:18 And the reason for this is that the gas
20 18:24:20 transportation agreement provides for physical
21 18:24:22 transportation only.
22 18:24:24 Swaps clearly do not entail physical transportation.
23 18:24:28 Now on the next slide, the tribunal would see the
24 18:24:32 outcome of Dr Riechmann's calculations before they
25 18:24:36 adjusted for the swapped volumes.

01 18:24:40 And on the next slide.

02 18:24:44 And just a brief comment on the previous slide.

03 18:24:46 There is no dominance, if you consider the calculation

04 18:24:50 based on how the computer code calculated those shares

05 18:24:54 prior to the adjustment for swaps and for replacement

06 18:24:57 transactions.

07 18:24:58 Now the next slide.

08 18:24:59 The tribunal can see the alternative analysis by

09 18:25:02 Prof Dr Hildebrand, where for the sake of testing this

10 18:25:08 assumption, she agrees to include the swap volumes into

11 18:25:12 the market share of respondent in Croatia.

12 18:25:16 Now the tribunal can see the outcome of this

13 18:25:18 approach in the red box in the bottom of the slide, and

14 18:25:23 the conclusion is that the market share will be

15 18:25:27 35 per cent in 2021 and 19 per cent in 2022.

16 18:25:31 This is well below the dominant threshold as

17 18:25:35 likewise.

18 18:25:38 If we were to consider the pivotality analysis, as

19 18:25:41 suggested by claimant, albeit it has no support in the

20 18:25:44 commission's practice, the outcome is likely to be

21 18:25:48 similar.

22 18:25:49 Respondent was not a dominant undertaking.

23 18:25:51 If the tribunal -- if I ask the tribunal to consider

24 18:25:54 the next slide.

25 18:25:56 The tribunal can see the very same interview of the

01 18:26:00 claimant's beneficiary, where he emphasises the
02 18:26:03 excellent position of Croatia in terms of natural gas
03 18:26:06 supply, diversified supply routes and he specifically
04 18:26:11 mentions LNG and Hungarian and Slovenian gas storage and
05 18:26:14 domestic production, so multiple sources.
06 18:26:17 Another relevant point is the so-called residual
07 18:26:21 supply index.
08 18:26:23 The residual supply index measures the market's
09 18:26:26 dependence on the largest supplier by analysing the
10 18:26:29 availability of alternative suppliers, to avoid full
11 18:26:32 reliance of the market on its largest supplier to meet
12 18:26:35 market demands.
13 18:26:37 Both experts agree that the minimum threshold for
14 18:26:39 this RSI index which demonstrates that the entity is in
15 18:26:44 fact independent, is 110 per cent.
16 18:26:48 Prof Dr Hildebrand in her reports rely on assessment
17 18:26:51 of those numbers by the Croatian energy regulatory
18 18:26:56 authority, HERA. And the assessment of HERA is as
19 18:26:59 follows.
20 18:26:59 In 2021, Croatia's independence in the gas sector
21 18:27:06 was above 110 per cent. The number was not specified.
22 18:27:11 Whereas in 2022, it was 155 per cent. So well
23 18:27:17 beyond the threshold where we could conclude that the
24 18:27:20 market is in fact dependent on the dominant undertaking.
25 18:27:25 And the findings of the commission in one of the

01 18:27:27 reports also conclude -- I think the report itself was
02 18:27:30 published in 2023. But the commission considered the
03 18:27:34 situation in 2021. And the commission also came to
04 18:27:38 a conclusion that Croatia's dependence on Russian gas in
05 18:27:42 2021 was in fact zero.

06 18:27:46 Moving to the next slide. And I already mentioned
07 18:27:48 this today. The so-called pivotality analysis must take
08 18:27:53 into account how the parties behaved in relation to this
09 18:27:56 particular contract.

10 18:27:59 The definition of dominance basically pre-supposes
11 18:28:02 that the entity is able to behave independently of its
12 18:28:05 customers.

13 18:28:07 Now what happened in the present case is that in
14 18:28:09 December 2020, PPD asked GPE to decrease the price under
15 18:28:14 the contract. The offer was clearly unfavourable to
16 18:28:17 GPE. But in July 2021, GPE agreed to decrease the price
17 18:28:24 to its disadvantage.

18 18:28:25 An unavoidable trading partner will not agree to
19 18:28:29 lower the price if it is actually unavoidable.

20 18:28:33 In fact the reduction of the priming in the price
21 18:28:34 formula was almost by two times in favour of PPD. This
22 18:28:41 happened in the very period when claimant and its expert
23 18:28:46 allege that respondent was dominant.

24 18:28:51 I will move to the next block in relation to the
25 18:28:54 supplemental claim, which concerns the respondent's

01 18:28:57 alleged role in relation to the price development in
02 18:29:00 2021 and 2022.

03 18:29:03 The conclusion of Dr Prof Hildebrand in the present
04 18:29:07 case is actually in line with what was generally the
05 18:29:10 position on the market at that time. And it is that the
06 18:29:14 price developments were the result of the so-called
07 18:29:16 perfect storm. So a number of external factors.

08 18:29:19 In the present case, this concern and this
09 18:29:22 conclusion is in fact reinforced by the fact the
10 18:29:25 claimant alleges that respondent abused and its actions
11 18:29:30 led to the decrease of TTF index. Whereas TTF is a high
12 18:29:35 (unclear ...) benchmark with thousands of daily trades,
13 18:29:38 where a lot of professional entities will specialise
14 18:29:43 specifically in financial operations trade.

15 18:29:46 It is impossible that a unilateral action by
16 18:29:51 a certain entity could shift this market balance and
17 18:29:56 this trading market in such a direction as suggested by
18 18:29:59 claimant.

19 18:30:01 On the next slides the tribunal can see a summary of
20 18:30:05 key criticisms, so to say, in relation to the claimant's
21 18:30:08 expert's evidence.

22 18:30:11 None of the claimant's experts in this arbitration
23 18:30:15 presented a finding of a breach under article 102 of
24 18:30:18 REMIT.

25 18:30:20 Their findings contradict the contemporaneously

01 18:30:23 publicly expressed views and the general consensus on
02 18:30:26 the expert community.
03 18:30:28 And there is also a contradiction with respect to
04 18:30:31 what is considered to be the relevant market, and where
05 18:30:35 the alleged abuse occurred.
06 18:30:38 If we move to the next slide, the tribunal can see
07 18:30:41 the statements both by the claimant's beneficiary in
08 18:30:45 2023 and claimant's two experts in this proceeding
09 18:30:49 Dr Riechmann and Mr Fulwood in 2021 and 2022
10 18:30:53 respectively, where with respect to the relevant events,
11 18:30:56 they rely on a multitude of factors which led to the
12 18:31:01 price developments as they were in 2021 and 2022.
13 18:31:07 None of them makes a conclusion that that was the
14 18:31:09 result of GPE's actions, the result of GPE's conduct.
15 18:31:15 Moving to the next slide, this is very notable and
16 18:31:18 very important with respect to the tribunal's analysis
17 18:31:21 of the expert report presented by claimant. None of the
18 18:31:25 experts were actually instructed to assess abuse or
19 18:31:27 violation under REMIT.
20 18:31:30 So the extracts from the instructions are available
21 18:31:33 on the slide.
22 18:31:37 Moving to the next slide, respondent also addressed
23 18:31:41 to a large extent in its written submissions, the
24 18:31:45 difference between exploitative and exclusionary abuses,
25 18:31:48 whereas in the present case, there is clearly an

01 18:31:50 exploitative abuse, that is an abuse against the
02 18:31:54 customer, with respect to which the standard of proof is
03 18:31:57 very high, and there is no relevant case law.
04 18:32:02 The next two slides as analysis of the case law in
05 18:32:05 this respect. And for the sake of time, I will just
06 18:32:07 keep them.
07 18:32:09 But I will instead focus on the last point in
08 18:32:11 relation to article 102, which is that the alleged abuse
09 18:32:15 happened on a different market.
10 18:32:18 In the present case, to set the facts straight,
11 18:32:21 claimant submits that the relevant market is Hungary
12 18:32:24 plus Croatia. And to be precise, all sale gas supply in
13 18:32:29 Croatia and Hungary.
14 18:32:31 At the same time, claimant submits that the alleged
15 18:32:33 abuse occurred at the gas trading market at the
16 18:32:36 Dutch TTF.
17 18:32:38 Both experts agree that gas trading is a separate
18 18:32:42 market, so here we speak not only of different market as
19 18:32:47 in trading versus wholesale supply, but also different
20 18:32:51 geographic market, as in Croatia plus Hungary versus The
21 18:32:55 Netherlands, if you consider the position of the
22 18:32:57 claimant.
23 18:32:57 Now, there are exceptions, in practice, where you
24 18:33:03 can establish -- try to establish abuse through
25 18:33:05 a related market. But it is required to establish

01 18:33:08 concrete links which claimant and its experts have

02 18:33:12 not done.

03 18:33:13 Also, all examples provided in the relevant -- all

04 18:33:17 the relevant examples would relate to exclusionary

05 18:33:22 abuses and also the product and not geographic markets.

06 18:33:26 And finally, what is specifically relevant here is,

07 18:33:29 once again, the high liquidity of the benchmark, such as

08 18:33:35 TTF, which cannot be influenced by a single physical

09 18:33:37 supplier.

10 18:33:38 And the last point in this respect is, perhaps, the

11 18:33:42 key one. Claimant and its experts actually did not

12 18:33:45 analyse the respondent's position in TTF.

13 18:33:47 The claimant mentions in its submissions today that

14 18:33:50 the pivotality analysis conducted by Dr Riechmann would

15 18:33:53 lead to a conclusion that respondent is in fact dominant

16 18:33:57 also in The Netherlands.

17 18:34:00 As I mentioned with the example of the Hoffmann-La

18 18:34:02 Roche precedent, you cannot establish dominance based on

19 18:34:06 the so-called pivotality analysis in the absence of

20 18:34:09 large market shares.

21 18:34:12 There is no analysis on the record with respect to

22 18:34:14 the respondent's market share in relation to the trading

23 18:34:17 market at the Dutch TTF.

24 18:34:20 **And the last part of the supplemental claim: REMIT.**

25 18:34:24 So first of all, the standard of proof for REMIT is

01 18:34:27 even higher.

02 18:34:28 And the reason for this is twofold. So first of

03 18:34:31 all, REMIT is very likely to affect the fundamental

04 18:34:33 rights under the charter of the European Union.

05 18:34:39 And second, REMIT, in its objectives, specifically

06 18:34:43 states the relevant conduct should affect wholesale

07 18:34:46 energy markets.

08 18:34:48 So it is not sufficient for PPD to just show that

09 18:34:51 it, as a private entity, was affected. It needs to show

10 18:34:54 that there was affect on the entire market.

11 18:34:58 Now moving to the next slide.

12 18:35:02 The tribunal can see the relevant explanation with

13 18:35:07 respect to the first violation alleged by claimant in

14 18:35:11 the present case, which is the violation under article

15 18:35:14 **2(2)(a)(iii), which relates to:**

16 18:35:19 "entering into any transaction or issuing any order

17 18:35:20 to trade ... which ... employs or attempts to employ

18 18:35:24 a fictitious device or any other form of deception or

19 18:35:27 contrivance ..."

20 18:35:29 Following claimant's submission, I still do not

21 18:35:31 understand what is the fictitious device which was

22 18:35:34 allegedly used by respondent.

23 18:35:38 And respectfully claimant provided no evidence that

24 18:35:40 could show that this provision is anyhow relevant to the

25 18:35:44 actual claims which it is bringing before respondent.

01 18:35:47 So it did not identify the type of conduct which
02 18:35:50 could meet this definition. And in fact what is alleged
03 18:35:54 by claimant is distinctively different. Claimant
04 18:35:55 alleges capacity withholding and dissemination of
05 18:35:59 misleading information.

06 18:36:00 On the next slide, which I will definitely skip for
07 18:36:03 now, the tribunal can see an analysis of certain
08 18:36:05 selective statements, by which PPD claims GPE violated
09 18:36:09 the obligation not to disseminate the misleading
10 18:36:13 information.

11 18:36:15 And on the next slide, the tribunal can see
12 18:36:16 a definition with respect to manipulative capacity
13 18:36:20 withholding from the ACER guidance.

14 18:36:23 There are five key requirements which have to be
15 18:36:24 established, including the available capacity, the
16 18:36:28 ability to affect market price, conscious decision not
17 18:36:32 to offer capacity, no legitimate justification for the
18 18:36:34 withholding and market distorting effect.

19 18:36:38 This was not analysed by the claimant's expert.
20 18:36:41 So there is no consideration of those factors with
21 18:36:44 respect to the respondent's conduct which is alleged to
22 18:36:47 violate REMIT.

23 18:36:49 The tribunal can see a classic example with respect
24 18:36:51 to PPD's own actions, with respect to the fine and the
25 18:36:55 administrative offence of which PPD was found guilty by

01 18:36:59 the relevant national regulatory authority which, once
02 18:37:02 again, emphasises that REMIT is not arbitrable.
03 18:37:05 Now that conduct concerned PPD bidding for nearly
04 18:37:10 100 per cent of the available capacity across 36 bidding
05 18:37:15 rounds. So PPD participated in the auction for
06 18:37:17 36 bidding rounds, bidding for nearly 100 per cent and
07 18:37:21 maintaining high volume bids.
08 18:37:23 They're driving the prices up. And after prices
09 18:37:27 were already very high, PPD simply exited that auction
10 18:37:31 without making transaction.
11 18:37:33 That was found to be a classic example of violation
12 18:37:36 under article 5 of REMIT.
13 18:37:38 Respondent's conduct is respectfully not, and the
14 18:37:41 tribunal can see a summary of explanations in this
15 18:37:43 respect in the last slide.
16 18:37:47 So 98 per cent of production was in fact marketed.
17 18:37:49 There was no unilateral pricing power for TTF prices.
18 18:37:55 GPE committed to link prices to provide
19 18:37:57 a competitive benchmark. In 2021, production was
20 18:38:01 scaled up.
21 18:38:02 The under-deliveries in 2022 were caused by
22 18:38:04 contractual force majeure events. And the only minor
23 18:38:08 differentials between TTF and other hubs, while
24 18:38:11 respondent is alleged to have manipulated TTF.
25 18:38:17 Moving to the next slide, I will very briefly

01 18:38:19 address claimant's arguments with respect to the private
02 18:38:24 law aspect of a supplemental claim.
03 18:38:25 So claimant brings it under several heads, which are
04 18:38:28 all based on Austrian law. While as the tribunal can
05 18:38:32 see from the next slide, Austrian law is not applicable
06 18:38:35 in the present case to the supplemental claim in this
07 18:38:38 private law aspect, because of the Rome II regulation,
08 18:38:40 which operates as a relevant and mandatory conflict of
09 18:38:45 law rule, either as part of Austrian law as the law of
10 18:38:49 the seat, or because it represents public policy, as in
11 18:38:53 fact expressly follows from recital 21 of Rome II
12 18:38:58 regulation.
13 18:39:00 What it means, in practice, is that the relevant law
14 18:39:03 which would be applicable under article 6 of the Rome II
15 18:39:07 regulation is a law of the affected market.
16 18:39:10 Respondent's position is the law of the affected
17 18:39:12 market is Croatian law, and the tribunal can see the
18 18:39:15 position in Croatian law on the next slide.
19 18:39:18 Basically, the Croatian law has to prove adequate
20 18:39:19 causality between the alleged breach and damages.
21 18:39:26 While claimant insists on application of Austrian
22 18:39:29 law is because Austrian law contains so-called
23 18:39:32 protective law rules, the special tort for violation of
24 18:39:35 protective laws, which provides for lowest threshold for
25 18:39:40 lower burden of proof for claimant. And this is what

01 18:39:42 claimant discussed today in front of the tribunal.

02 18:39:47 Croatian law contains no such provisions. It

03 18:39:49 requires to show the damages were caused by the conduct

04 18:39:52 in question.

05 18:39:53 On the next slide, the tribunal can see the same

06 18:39:55 position under Hungarian law.

07 18:40:00 And lastly, I will explain why in the present case,

08 18:40:02 even if claimant tried to prove causation, claimant

09 18:40:05 could not possibly do it.

10 18:40:07 So claimant claims damages of three categories. So

11 18:40:10 first of all, the alleged losses from sales to

12 18:40:12 Petrokemija.

13 18:40:14 Second, alleged losses from sales to GPZ.

14 18:40:18 Finally, alleged losses from sales to HEP.

15 18:40:22 All those losses, as in fact considered by claimant,

16 18:40:25 it follows directly from the description of those

17 18:40:26 damages, were actually as a result of other human

18 18:40:30 actions.

19 18:40:31 So Petrokemija's management decided to take little

20 18:40:35 or no gas. PPD decided to maintain supplies to GPZ,

21 18:40:39 even after GPZ failed to pay. And some potential

22 18:40:44 counterparties declined to hedge transactions of PPD.

23 18:40:49 All of this is beyond respondent's control and

24 18:40:49 cannot be attributed to respondent.

25 18:40:53 Now for the same reason, section 1295 of the

01 18:40:59 Austrian Civil Code is inapplicable. If you move to the
02 18:41:03 next slide and the next slide, claimant also failed to
03 18:41:08 prove intent to inflict harm which is necessary for that
04 18:41:13 provision to be invoked.
05 18:41:16 As claimant did not address it today, I will also
06 18:41:19 skip duties of care and loyalty.
07 18:41:23 So I think that could be it.
08 18:41:26 If I can take a small pause to consider what sort of
09 18:41:30 damages we would have sufficient time to address, that
10 18:41:33 would be very helpful.
11 18:41:35 **PRESIDENT:** You have, at this moment, 25 minutes left.
12 18:41:42 It's 41 until 5 past 7.00. It's now 24 minutes.
13 18:41:50 **MR HAUGENEDER:** According to our calculation, this should
14 18:41:52 end at 18.57 at the latest.
15 18:42:01 **PRESIDENT:** When counsel started at 5.49, she had --
16 18:42:05 I told her she had 58 minutes left. I was wrong. She
17 18:42:10 had 66 minutes left, because she's entitled to 217
18 18:42:14 minutes.
19 18:42:14 So my understanding is that the respondent still has
20 18:42:19 25 minutes left, until 5 past 7.00.
21 18:42:23 If I'm wrong, correct me if I'm wrong.
22 18:42:29 **MR HAUGENEDER:** I believe we were already before -- at
23 18:42:34 18.23, we were at 181 minutes.
24 18:42:41 **PRESIDENT:** Please go on.
25 18:42:42 **MR HAUGENEDER:** But we --

01 18:42:43 **PRESIDENT:** No, no. Please make your point. I don't want
02 18:42:46 to be right because I'm wrong. You see?
03 18:42:51 I just want to know.
04 18:42:57 Let's take a three-minute break.
05 18:43:01 (6.43 pm)
06 18:43:04 (Short break)
07 18:43:05 (6.49 pm)
08 18:49:13 **MS SOLDATENKOVA:** So we will go straight to damages, and
09 18:49:15 I will just address the key legal points made by the
10 18:49:18 other side.
11 18:49:19 If we can go to the slide number 162, I will briefly
12 18:49:29 explain -- or rather slide 161, I will briefly explain
13 18:49:34 why the claimant's approach to damages is flawed,
14 18:49:36 meaning to those replacement transactions.
15 18:49:39 Claimant alleges that all transactions from 1 April
16 18:49:44 are in fact replacement transactions. And claimant
17 18:49:46 relies in this respect on articles 75 and 76 of
18 18:49:49 the CISG.
19 18:49:51 But the true nature of articles 75 and 76 of the
20 18:49:56 CISG is that those regulate the so-called avoidance
21 18:50:00 damages -- so after the contract is avoided.
22 18:50:02 For this reason, those clauses are not accessible to
23 18:50:06 PPD prior to the notice of avoidance, which was only
24 18:50:09 submitted by PPD in March 2023.
25 18:50:13 Moving to the next slide, when the claimant's expert

01 18:50:18 Mr Way calculates claimant's losses from the replacement
02 18:50:21 transactions, he applies the peculiar approach. In
03 18:50:24 a way that he relies, he considers only those
04 18:50:27 replacement transactions which entail lost PPD.
05 18:50:30 In the sense that when the contract price was in
06 18:50:33 fact more beneficial than the price under this contract,
07 18:50:37 he does not consider those transactions in his analysis.
08 18:50:41 This approach is respectfully incorrect. To support
09 18:50:44 this approach, Mr Way relied on article 12 of the
10 18:50:48 contract, but article 12 of the contract is irrelevant
11 18:50:52 to the assessment of damages.
12 18:50:54 Article 12 provides remedy for under-supply, which
13 18:50:59 is not what claimant seeks here.
14 18:51:01 Second, it is also inconsistent with the CISG to
15 18:51:06 consider only loss making transactions.
16 18:51:09 The approach that claimant suggested that each
17 18:51:11 individual successive delivery is to be treated as
18 18:51:15 a separate contract is respectfully incorrect, because
19 18:51:18 it applies to instalment contracts, whereas this is not
20 18:51:22 the case here.
21 18:51:23 A remedy REMIT for breach of the entire contract
22 18:51:25 relies on a remedy for a breach of a particular
23 18:51:28 instalment, a particular transaction, applies to the
24 18:51:31 entire contract.
25 18:51:33 This can be well illustrated by the next slide.

01 18:51:36 So many transactions, as the tribunal can see from
02 18:51:39 the calculations of the respondent's experts, actually
03 18:51:44 were beneficial to PPD. So PPD managed to acquire gas
04 18:51:48 under the conditions which were much more beneficial to
05 18:51:51 claimant than the price under the contract.
06 18:51:54 Yet, those transactions are wrongly included from
07 18:51:57 the assessment of claimant's replacement damages.
08 18:52:00 This naturally inflates the amount of the claimant's
09 18:52:04 claim against the respondent.
10 18:52:07 Now if we can move to the next block of claims
11 18:52:11 brought by claimant which concerns the gas
12 18:52:14 transportation losses. This is slide 169.
13 18:52:19 Those losses are also outside what could be awarded
14 18:52:25 possibly by this tribunal to claimant.
15 18:52:27 And the reason for this is very simple. GTA, as
16 18:52:30 I already mentioned, contains a different arbitration
17 18:52:33 clause. So any claims for damages under the gas
18 18:52:38 transportation agreement or the GTA are to be submitted
19 18:52:41 to arbitration under article 12.2 of the GTA, which is
20 18:52:45 a different arbitration seated in Switzerland.
21 18:52:49 However, even if the tribunal were to accept those
22 18:52:51 claims and to consider them, then that claim is not
23 18:52:55 substantiated as a matter of substance.
24 18:52:58 That is because respondent had no obligation to
25 18:53:01 eliminate under the GTA.

01 18:53:04 The tribunal can see the relevant provisions of the
02 18:53:07 GTA on the slide. The GTA does not provide a minimum
03 18:53:11 amount of gas that has to be nominated by GPE.
04 18:53:16 This is quite different from the contract, where PPD
05 18:53:18 did have minimum nominations which it was to make,
06 18:53:21 otherwise it had to pay the so-called take or pay
07 18:53:26 clause. There is no such clause in the GTA.
08 18:53:29 So GPE was not obliged to make those nominations.
09 18:53:33 Now with respect to the casual link, because it
10 18:53:36 addresses potentially the claimant's argument that while
11 18:53:40 GPE did not have an obligation, but it did in fact
12 18:53:42 nominate gas. There is in fact no casual link in the
13 18:53:46 present case.
14 18:53:47 That is because the claimant's own case, which it
15 18:53:52 emphasises loss specifically in respect of its
16 18:53:54 competition law claims, delivery point of the contract
17 18:53:57 is Croatia and GTA was specifically concluded to ensure
18 18:54:02 physical transportation of gas to Croatia. So to make
19 18:54:06 sure that respondent fulfils its obligation to deliver
20 18:54:09 gas in Croatia.
21 18:54:11 Naturally, for the gas to be delivered to Croatia,
22 18:54:13 this gas first has to be transported to Croatia. So in
23 18:54:18 this sense, the obligation under the GTA precedes the
24 18:54:21 fulfillment of the obligation under the contract.
25 18:54:24 For this reason, the casual link which the claimant

01 18:54:27 pleads between the breach of this contract and the GTA

02 18:54:30 is, in fact, non-existent.

03 18:54:33 There are also multiple other arguments which

04 18:54:35 respondent submitted, which explain why GTA damages are

05 18:54:38 not claimable.

06 18:54:40 But I will stop just on one of the last arguments,

07 18:54:43 which is on slide 174.

08 18:54:46 That is that the gas transportation loss is, in

09 18:54:51 fact, unforeseeable.

10 18:54:54 If the tribunal considers the relevant provisions of

11 18:54:56 the GTA, then article 2.2 of the GTA says that the

12 18:55:00 company, which is PPD under the GTA, must make available

13 18:55:05 to the client the transportation capacity.

14 18:55:08 So the transportation capacity must be booked

15 18:55:11 by PPD.

16 18:55:13 Now, by contrast, there is no minimum nomination on

17 18:55:18 the part of GPE.

18 18:55:20 What it means is that the obligation to make

19 18:55:24 available the transportation capacity exists without and

20 18:55:28 separately from nominations made by GPE.

21 18:55:30 So this is an obligation of PPD without any

22 18:55:35 bilateral relationship, so to say, whether there is

23 18:55:38 a nomination by GPE or not.

24 18:55:41 This means that this loss is not foreseeable.

25 18:55:43 Because if you go to the next slide, GPE cannot be held

01 18:55:46 liable for non-performance of obligations it never
02 18:55:49 committed to. And GPE never committed to nominate any
03 18:55:53 volumes under the GTA.
04 18:55:56 PPD is unable to claim any transportation fee as far
05 18:56:00 as no obligation to provide the transportation service
06 18:56:02 has arisen. And GPE could also not foresee the
07 18:56:04 transportation loss to be claimed under the contract,
08 18:56:08 especially in the circumstances when PPD did not in fact
09 18:56:11 provide -- did not in fact book the transportation
10 18:56:14 capacity.
11 18:56:16 Now that is all for the claimant's claims.
12 18:56:17 And I have seven minutes for the respondent's
13 18:56:20 counterclaim.
14 18:56:21 If we go to slide 178, this concerns the first block
15 18:56:28 of claims brought by respondent in this arbitration.
16 18:56:31 Now when claimant presented its position on the
17 18:56:34 counterclaim, it did not focus a lot on this particular
18 18:56:36 block, but in fact this is perhaps central to this
19 18:56:39 dispute.
20 18:56:40 Those are the two amounts of gas supplies which were
21 18:56:42 not paid for, and now the amount is substantially
22 18:56:45 higher -- the undisputed amount between the parties. It
23 18:56:48 is 455 million euros. Because the penalties on this
24 18:56:52 amount has already accrued.
25 18:56:56 If we go to the next block of claims, which is

01 18:57:01 heavily disputed by claimant in this proceeding, that

02 18:57:03 would concern the GPE's entitlement to claim payment for

03 18:57:06 minimum annual quantities. This is slide 183.

04 18:57:13 PPD suggests that in response to its refusal to pay

05 18:57:18 for gas deliveries, GPE was still required to make those

06 18:57:24 deliveries to make the gas available.

07 18:57:26 This is a completely illogical proposition. Because

08 18:57:30 otherwise PPD says GPE does not have an entitlement to

09 18:57:34 claim those minimum annual quantities, because it did

10 18:57:37 not perform the obligation on its part. It did not make

11 18:57:41 those volumes of gas available.

12 18:57:43 But this puts respondent in an impossible position.

13 18:57:46 Because it means that PPD's refusal to pay for gas

14 18:57:51 deliveries, GPE has two forms of response available,

15 18:57:53 both of which inflict inevitable damage on the part of

16 18:57:57 GPE, which arises from PPD's misconduct.

17 18:58:00 The first block is GPE's -- the first option is that

18 18:58:04 GPE supplies gas free of charge and does not lose the

19 18:58:09 right to claim minimum annual quantities, as suggested

20 18:58:11 by claimant.

21 18:58:13 And the second option is the one exercised by

22 18:58:15 respondent, that it suspends supplies and loses the

23 18:58:18 right to minimum the annual quantity payments.

24 18:58:23 It is clear from the CISG that the party should not

25 18:58:27 benefit from its unlawful conduct. And this situation,

01 18:58:30 which the claimant suggests, would be exactly as such.

02 18:58:34 If we move to the lost profits section, and this is

03 18:58:37 slide 185, respectfully, a lot of what was said by

04 18:58:42 claimant today in relation to the counterclaim of

05 18:58:46 respondent concerning lost profits, is completely

06 18:58:49 irrelevant to the lost profits approach.

07 18:58:53 For example, claimant focused a lot on the

08 18:58:55 replacement transactions and the fact that claimant's

09 18:58:58 experts were supposed to consider those replacement

10 18:59:00 transactions.

11 18:59:01 But this ignores the essence of lost profits

12 18:59:04 calculation. Because the essence of lost profits

13 18:59:07 calculation -- the tribunal can see it on the next

14 18:59:09 slide -- is this no mitigation is in fact possible. No

15 18:59:13 substitute transactions are possible. And damages are

16 18:59:16 equal to the profit margin from the failed contract.

17 18:59:20 Yes, if you look at this, it could seem that this

18 18:59:23 actually entails a very, very significant remedy which

19 18:59:27 could put a lot of pressure on the other party.

20 18:59:30 But if we go to the previous slide, there are

21 18:59:33 concrete reasons why respondent suggested that this type

22 18:59:35 of and this concept is available.

23 18:59:39 And for the sake of time, I will not address it now,

24 18:59:42 but this is related directly to the nature of gas as

25 18:59:46 goods, to the nature of the market where you have only

01 18:59:50 a limited list of potential buyers, and finally to the
02 18:59:53 access to the infrastructure, for which respondent is
03 18:59:56 not responsible, but which limits its ability to
04 18:59:58 market gas.

05 19:00:00 Now lastly, I will address the sanctions relief
06 19:00:04 argued by claimant which claimant submits actually
07 19:00:08 prevents the granting of the respondent's counterclaim.

08 19:00:11 This approach is incorrect for several reasons, both
09 19:00:13 under article 11 and article 10.

10 19:00:17 So first of all, with respect to article 11 of
11 19:00:22 regulation 833, the payment mechanism as demonstrated by
12 19:00:27 my colleague, entails no prohibited transactions. And
13 19:00:32 in any event, the argument that the payment mechanism
14 19:00:35 contradicts sanctions is completely irrelevant and does
15 19:00:38 not allow to invoke article 11 with respect to two
16 19:00:43 months of gas supplies which were not paid for.

17 19:00:46 This is for two reasons. First of all, that amount
18 19:00:48 has not relation to the continuation of supplies in the
19 19:00:50 contract, if claimant consider that to be contrary to
20 19:00:54 sanctions.

21 19:00:55 Claimant also had a concrete mechanism to pay for
22 19:00:58 those two months of gas supplies.

23 19:01:01 What claimant could do is in response to the
24 19:01:05 respondent's letter of 19 January 2023, when respondent
25 19:01:11 proposed to claimant to settle that for two months of

01 19:01:15 gas supply directly to GPE's account in euros, PPD could
02 19:01:20 recover, could actually pay the debt, and no concerns
03 19:01:24 with respect to sanctions would arise. Because that
04 19:01:27 would be a direct payment to GPE's account.
05 19:01:31 Claimant failed to do it. And from the moment when
06 19:01:33 claimant refused to do it, if the impossibility -- the
07 19:01:38 non-performance is on the claimant's side, because
08 19:01:41 respondent actually gave claimant a mechanism how to
09 19:01:45 settle its debts sanctions free.
10 19:01:48 For those reasons, articles 11 and 10 of the
11 19:01:52 relevant EU sanctions regulations are plainly
12 19:01:55 inapplicable in the present case. They do not apply on
13 19:01:58 any occasion to the claim with respect to the two months
14 19:02:03 of unpaid gas supplies.
15 19:02:05 Finally, claimant cannot rely on them to avoid those
16 19:02:09 payments because it was provided with a concrete
17 19:02:11 mechanism where those payments would be settled directly
18 19:02:14 to respondent's account, and without the use of the
19 19:02:17 payment mechanism.
20 19:02:19 This ends my submission. Thank you very much.
21 19:02:25 **PRESIDENT:** This concludes your presentation?
22 19:02:27 **MS SOLDATENKOVA:** Yes. Thank you.
23 19:02:28 Questions by TRIBUNAL
24 19:02:44 **MS HOFFMANN:** I have one question.
25 19:02:45 The question is in relation to the presentation you

01 19:02:47 gave, Mr Talanov.

02 19:02:50 I think you might have answered something I have

03 19:02:52 been wondering when looking at the payment mechanism, as

04 19:02:57 it's been set out by both parties, with circles and

05 19:03:01 squares and the chain of events, so to speak.

06 19:03:04 You said during your presentation that Gazprombank

07 19:03:10 does not have its own euros.

08 19:03:12 And Gazprombank, being a Russian bank, without, as

09 19:03:17 far as I know, branches in Europe, would need

10 19:03:21 a correspondent bank to hold its euros. Am I correct?

11 19:03:25 **MR TALANOV:** Absolutely.

12 19:03:26 **MS HOFFMANN:** Thank you.

13 19:03:30 Sorry. Do you happen to know who that correspondent

14 19:03:32 bank is?

15 19:03:33 **MR TALANOV:** I'm afraid not. Because we have no knowledge

16 19:03:35 of Gazprombank.

17 19:03:39 **MS HOFFMANN:** Thank you.

18 19:03:40 **MR TALANOV:** It's in Luxembourg.

19 19:03:51 **DR REINER:** One question to both parties.

20 19:03:56 I think I understand that respondent says that the

21 19:04:02 payment mechanism required payments two days earlier

22 19:04:08 than under the contract.

23 19:04:11 **And my question to both sides is:** how do you assess

24 19:04:16 that from a purely contractual point of view? In

25 19:04:19 particular vis-a-vis article 54 of the CISG.

01 19:04:32 **MS SOLDATENKOVA:** Respondent assess it exactly as a minor
02 19:04:34 correction. It does not, for the reasons explained by
03 19:04:37 my colleague, change the actual moment when the
04 19:04:39 obligation is fulfilled, but it does require the party
05 19:04:42 to take steps to make payment earlier to this.
06 19:04:45 Because for the payment to arrive by the contract
07 19:04:49 due date, it needs to be made earlier.
08 19:04:52 So that would be the summary. And because two days
09 19:04:55 in comparison to 30 days -- I mean, in comparison to
10 19:04:58 almost a month which PPD had to pay for the previous
11 19:05:02 months of gas supplies, is indeed marginal.
12 19:05:05 So right now PPD has effectively 58 days from the
13 19:05:09 first day of the previous month of supplies to pay
14 19:05:12 for it.
15 19:05:13 **MR TALANOV:** If I could add. I fully see your point on
16 19:05:16 the contractual side of the story, and I really agree
17 19:05:20 that these two days may have contractual consequences,
18 19:05:22 in the sense of the funds available to an entity in the
19 19:05:28 course of these two days.
20 19:05:29 But I think the parties could perfectly agree on
21 19:05:32 some corresponding modification maybe of the contract
22 19:05:35 price or whatever, so that to address that concern, if
23 19:05:38 it was raised by PPD.
24 19:05:40 But given that there was no concern ever raised and
25 19:05:43 the proposal was signed in two days after it was

01 19:05:49 received, there was absolutely no ground for any

02 19:05:53 discussion on the possible contractual relief that PPD

03 19:05:56 could ask for, unfortunately.

04 19:06:01 **DR REINER:** Any comment by claimant?

05 19:06:20 **MR HAUGENEDER:** Yes. We don't know where these two days

06 19:06:25 come from.

07 19:06:26 And in actual fact, the completion of this process

08 19:06:33 was much longer, so we say four to eight days

09 19:06:39 approximately.

10 19:06:44 We also do not understand in this context that it

11 19:06:48 was said that the payment obligation would somehow be

12 19:06:54 already discharged with the transfer of the euros to the

13 19:06:58 Gazprom account, because decree 172 clearly says that

14 19:07:04 the payment obligation is only discharged with the

15 19:07:09 transfer of the roubles to Gazprom.

16 19:07:15 So we don't know where these two days come from. We

17 19:07:20 dispute this. This wasn't the actual reality to

18 19:07:23 complete this process.

19 19:07:27 **DR REINER:** My next question relates more fundamentally to

20 19:07:29 the payment mechanism.

21 19:07:34 **MR TALANOV:** For a sense of clarification, because if you

22 19:07:34 permit.

23 19:07:34 As the representatives of the claimant said that

24 19:07:39 these two days term has no clear source. To that letter

25 19:07:44 which is on the record C03, which is the letter of

01 19:07:48 1 April, there was an instruction of Gazprombank
02 19:07:51 attached and it was the mandatory term for Gazprombank
03 19:07:55 to do this transfer.
04 19:07:56 So this term was always complied with.
05 19:07:59 I see the point that maybe the claimant may feel
06 19:08:03 longer timeframes, but they were not somehow relevant to
07 19:08:06 Gazprombank, but to longer European bank compliance
08 19:08:11 proceedings that may apply because of the possible
09 19:08:14 sanctions.
10 19:08:15 But there is a very hard time limit in this
11 19:08:18 instruction that was attached to the original
12 19:08:20 letter C03.
13 19:08:21 **MS SOLDATENKOVA:** And those compliance issues would apply
14 19:08:23 irrespective of whether the payment is made to PPD's own
15 19:08:26 account or to GPE's account in Gazprombank.
16 19:08:31 **DR REINER:** My next question relates to the payment
17 19:08:33 mechanism more generally.
18 19:08:36 What I tried to understand is what the purpose of
19 19:08:38 that mechanism was.
20 19:08:42 I understand respondent to say that all what
21 19:08:45 happened after the payment to this new euro account is
22 19:08:51 of no relevance to claimant.
23 19:08:55 But if that's the case, why not just keep the
24 19:08:58 initial euro account and then whatever respondent wants
25 19:09:02 to do with these euros, it's respondent's business. Why

01 19:09:07 not just stick to that?

02 19:09:11 I understand there's a dispute about the implication

03 19:09:14 of claimant in all those further steps. But I mean,

04 19:09:22 without going into those details now, the question still

05 19:09:26 **remains:** why not do it whatever respondent wants to do,

06 19:09:30 do it internally once you receive the claimant's euros

07 19:09:35 on the initial euro account?

08 19:09:38 **MR TALANOV:** We fully share your concern and GPE has the

09 19:09:42 same logic. It will be happy to receive the same euros

10 19:09:44 on the same account.

11 19:09:46 It's difficult for GPE to actually address the

12 19:09:50 reasons behind this document as published by the

13 19:09:55 president.

14 19:09:56 However, as I tried to clarify during my speech,

15 19:09:59 based on those clarifications that were given by the

16 19:10:03 president on the very same day when the decree was

17 19:10:05 issued, and given that it was one of the number of

18 19:10:10 measures that have been developed by the Russian

19 19:10:12 Federation to address the problems with foreign

20 19:10:17 transactions.

21 19:10:19 Apparently, based on these clarifications, one could

22 19:10:22 conclude that this mechanism was necessary to ensure

23 19:10:26 that foreign banks consider the scheme transparent and

24 19:10:30 they see that it is exchange trade of foreign currency

25 19:10:35 with a clearing house that is visible, non in sanctions

01 19:10:41 and there is no one standing behind it pretending to be
02 19:10:45 a non-sanctioned entity.
03 19:10:47 So as I understand the clarifications by the
04 19:10:49 president, it was a measure so that to reduce risks of
05 19:10:54 overcompliance to the parties paying for the Russian gas
06 19:10:59 by their banks. Effectively addressing the concerns of
07 19:11:02 these longer timeframes as mentioned by my learned
08 19:11:07 colleague, to minimise those days from 10, eight, six at
09 19:11:12 the European side, to one or two.
10 19:11:17 **DR REINER:** Any comment on claimant side?
11 19:11:19 **MR HAUGENEDER:** Yes. That was, I believe, not the answer
12 19:11:23 to the question that you posed.
13 19:11:26 **The question that you posed was:** what was the
14 19:11:28 purpose? And clearly this mechanism makes only sense
15 19:11:34 when one looks at the documents that have been submitted
16 19:11:38 and the statements of Mr Putin in those documents, which
17 19:11:45 clearly underline that the purpose of the mechanism was
18 19:11:51 to manage the currency reserves of the CBR and the
19 19:11:57 Russian economy and to create a mechanism that would
20 19:12:03 allow sanctioned entities to have access to foreign
21 19:12:09 currency, to euros.
22 19:12:12 That is clearly the purpose of this, otherwise this
23 19:12:18 very complex and in-transparent succession of transfers
24 19:12:25 makes no sense whatsoever.
25 19:12:30 Gazprom itself is unable to explain what actually

01 19:12:32 the purpose was.

02 19:12:35 **DR REINER:** Thank you.

03 19:12:35 My last question -- there will be more questions,

04 19:12:38 I think, in the course of those two weeks. But my last

05 19:12:41 question, just a clarification, relates to the decree

06 19:12:45 amendment number 992.

07 19:12:48 If I understand well, that decree would have allowed

08 19:12:52 to pay for the unpaid deliveries that you say were

09 19:12:59 unpaid without going through the new payment mechanism.

10 19:13:08 Do both sides agree on that?

11 19:13:12 Right.

12 19:13:12 But my follow-up question is assuming claimant would

13 19:13:17 have done that, could they also have relied on the

14 19:13:21 initial payment formula, in accordance with decree

15 19:13:27 amendment number 992 for any future gas deliveries or

16 19:13:31 would any payment for any future deliveries of gas have

17 19:13:37 had to be made in accordance with the new payment

18 19:13:43 mechanism decree 172 and 254?

19 19:13:49 **MS SOLDATENKOVA:** The purpose of the decree was

20 19:13:52 specifically settlement of debts. So from the (unclear

21 19:13:54 ...) of the decree, it follows that, no, the settlement

22 19:13:56 of debt via this direct mechanism was not a ground under

23 19:14:00 the decree to resume supplies.

24 19:14:02 To resume supplies, the other party would need to

25 19:14:05 agree to pay for them in the future, in accordance with

01 19:14:08 the payment mechanism.

02 19:14:10 **DR REINER:** That was my understanding. I wanted to

03 19:14:11 double-check.

04 19:14:15 **MS PETKUTE:** Yes. The decree 992 allowed to pay the debts

05 19:14:18 in euros. It specifically says that any payment for the

06 19:14:22 future supply of gas has still to be made via the

07 19:14:27 mechanism if gas is to be delivered.

08 19:14:31 **DR REINER:** Thank you.

09 19:14:34 **PRESIDENT:** I have a simple question, with simple

10 19:14:38 questions.

11 19:14:39 There is a sequence of letters exchanged between

12 19:14:44 31 October 2022 and 3 November 2022.

13 19:14:49 So I refer to C12, R8 and C13, which are presented

14 19:14:56 in the e-bundle on the contractual documents on the key

15 19:15:00 correspondence under B227, B228 and B229,

16 19:15:08 particularly -- because the parties have referred to

17 19:15:10 these letters today.

18 19:15:13 Particularly on 31 October 2022, two letters were

19 19:15:18 exchanged. In the bundle, they're presented as first

20 19:15:26 Gazprom's letter or respondent's letter, and then that's

21 19:15:31 C12. And then PPD's letter R8, on that same date.

22 19:15:38 I would like to know whether there is any sequence

23 19:15:41 in which this should be read or whether they are

24 19:15:46 independent from each other. They're not -- none is

25 19:15:49 answering the other.

01 19:15:55 So maybe either of you.

02 19:15:59 **MR HAUGENEDER:** We believe we would have to verify the

03 19:16:03 time.

04 19:16:05 **MS SOLDATENKOVA:** Likewise.

05 19:16:06 **PRESIDENT:** Yes. Maybe it's a question that the tribunal

06 19:16:09 could ask to the witnesses, to the authors of the

07 19:16:12 letters. But since the parties have relied on these

08 19:16:17 letters -- so thank you very much, respondent. Maybe

09 19:16:21 you want to --

10 19:16:23 **MR TALANOV:** We will also prefer to clarify. We have some

11 19:16:25 initial understanding of that, but not to mislead the

12 19:16:28 tribunal, we'll prefer to double-check. Thank you.

13 19:16:31 **PRESIDENT:** Thank you.

14 19:16:33 We have housekeeping matters which won't be on the

15 19:16:35 record.

16 19:16:36 Thank you very much.

17 19:16:37 We will resume tomorrow at 9.30 with the examination

18 19:16:42 of the first witness.

19 19:16:46 This is all for today.

20 19:16:48 We are off record now. (Pause).

21 19:17:09 We go back on record.

22 19:17:22 The tribunal has prepared a form of oath and a form

23 19:17:27 of affirmation for the fact witnesses. Unless the

24 19:17:30 parties have agreed otherwise on a form, I was just

25 19:17:36 offering to circulate it to you for tomorrow. So you

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- 01 19:17:41 will shortly receive an email to that extent.
- 02 19:17:44 But if you wish to agree on another formulation, the
- 03 19:17:48 tribunal will gladly take the other formulation.
- 04 19:17:52 **MR TALANOV:** Thank you.
- 05 19:17:53 **MR HAUGENEDER:** Thank you.
- 06 19:17:53 **PRESIDENT:** Now we are off record.
- 07 19:17:56 (7.18 pm)
- 08 19:17:58 (The hearing adjourned until 9.30 am on the following day)

